

Kotak Mahindra Bank Ltd. (KOTAKBANK)

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Kotak Mahindra Bank Limited
Q1FY24 Earnings Conference Call
IST 6.00 PM on July 22, 2023

MANAGEMENT : Mr. Uday Kotak – Managing Director & CEO
Mr. Dipak Gupta – Joint Managing Director
Mr. KVS Manian – Whole Time Director
Ms. Shanti Ekambaram – Whole Time Director
Mr. Virat Diwanji - Group President & Head Consumer Bank
Mr. Jaimin Bhatt – Group President & Group CFO
Mr. Paul Parambi – Group President & Chief Risk Officer
Mr. Milind Nagnur - Group President & Chief Technology Officer
Mr. Nilesh Shah – Managing Director, Kotak Mahindra Asset Management Co. Ltd.
Mr. Jaideep Hansraj – Managing Director & CEO, Kotak Securities Ltd.
Mr. S Srinivasan - Managing Director, Kotak Investment Advisors Ltd.

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Moderator: Ladies and gentlemen, good day and welcome to the Kotak Mahindra Bank Q1FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Uday Kotak. Thank you and over to you, Mr. Kotak.

Uday Kotak: Good evening, friends and colleagues. Welcome to you on a wonderful Saturday evening. I know you had a very busy day today. So have we. And I want to really start by sharing with you something which is on the top of my mind. For a long time, I did not believe in the concept of astrology and stars. But when I think about the India situation today, I really feel that the stars have aligned for India to be in an almost wonderful, unbelievable position as it stands today.

And if you look at just the geopolitics of the world, and I'm just keeping my fingers crossed, India can continue down this position. It is unique for us to see the nature and the depth of our relationship with the United States, with Europe, whether it's France, whether it's UK, whether it's Germany, whether in the Middle East, whether it's UAE, whether it's Saudi Arabia, whether it's Israel. Moving farther, whether it's Japan, whether it's Australia, and we have been able to even manage our relationship well in the context of all the geopolitics with Russia.

And in this context, the axis for the new geopolitical dynamics are uniquely positioned in favor of India. And when COVID happened first, many of us were seriously worried about the impact on the Indian economy. India did a reasonably good job in managing itself through the COVID period. When the Russia-Ukraine war happened, we were all very concerned, including on the price of oil and how it would impact India. India navigated itself beautifully through this and actually ensured that our key necessity, which is energy, not only is taken care of, but actually effectively the cost of energy was

lower than what it was in the pre-COVID world.

And now the whole relationship with the rest of the world is almost at a stage which I can't recollect having seen in my career over a long period of time. So with this geopolitics which is getting increasingly critical for how the global investors think about India's positioning, you combine it with an extremely benign and I would say positive macro situation on many fronts for India.

Our current account deficit at 1% of GDP, that's what it looks like for the current year. A balance of payments, which is looking very strong, our reserves having crossed USD 600 billion. And over the last many years, we have also been able to get a better handle

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on some other macro factors like inflation. And to see our current inflation situation to a point where the differential between the Fed rate and RBI's repo rate is now barely about 1% as the differential.

I haven't seen that for a long time in my career. And in that context, we have really moved a long way to a very sound macroeconomic fundamental situation. And I must take this opportunity to compliment our government, policymakers and regulators for really giving India this very, very positive positioning which we are in. And it is in this context, I think both policymakers, governments and practitioners can take a bolder view for India's future. And I think it's a great time to be building and nurturing business in India from a medium term perspective.

And that's how I feel about India the present and feel much more confident and bolder about India's future, and we all will have to take calibrated risks in the different areas we work in to take the calls and make this dream happen and make India in a much

superior position, including over time, and I hope that's not too long a time, where the Indian currency gets more and more acceptable as a currency in many, many more countries from where it is today.

So with this background of a positive alignment of stars for India, a strong geopolitics, strong macro, and a mindset for us to really take this forward. We now need to ask the things we need to watch out for as we go forward. And I think one of the most important things for India will have to be a continuing stable political environment. And I'm using the words about a stable political environment for us to be able to sustain these growth rates over a long period of time.

At the same point of time, I think we need to keep a strong, united India through this period and the famous words of 'Unity in Diversity' as a single country are going to be even more relevant as we go into the future. And if we can keep a strong India, a united India and a long-term stability combined with both political and macroeconomic stability, India truly has a great opportunity into the future.

And with this backdrop, I am happy to say that we at Kotak Mahindra Bank continue to strive and grow and we are feeling pretty confident about how things are shaping. And while my colleagues will take you through a number of developments, there are two important developments which stand out for me to share with you.

The first is a very significant lever in terms of our deposits growth. Our deposits have really picked up and are growing at a very good pace, driven by a product which we think is, again, bold and disruptive in this marketplace, which we call as 'ActivMoney'. And this product for us, just in this quarter, has grown at a flat rate of 24%, which would make it annualize nearly 100% growth on an annualized basis.

And it's a unique product which is now about 7% to 8% of our total funds or total deposits and it positions itself beautifully from the point of view of cost of funds

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between a traditional deposit and CASA. So if a savings account cost for us

is about

average of around 3.6% to 3.65% average, and a term deposit's cost which is between seven to 7% to 7.3%.

A sweep deposit or ActivMoney as we call it, we offer our customers 7% on a six-month FD and the corresponding rate if they break it earlier. Based on our experience, the effective cost of this ActivMoney is in the range of 5% to 5.25% broadly, which gives us a sweet spot between our savings account and our term deposit with significantly better alignment in the favor of the customer. So if the customer keeps it for a longer time, the customer gets it more. And this is a product which we are going all out. We will continue to go all out and focus on this as one of the core products we will offer. Yes, to a certain extent, you can see it in the CASA ratio. There is an internal cannibalization on CASA as our customers move into the ActivMoney product. But we believe this is in the interest of the customer, long term, giving us a much greater flow of deposits into our coffers and we will sustain it over the medium term as a strategic intent to build a stronger, stable and a more customer engaged franchise around ActivMoney in our menu.

The second development which is again making me quite in a way proud is something about our international fund management. More than 10 or 12 years ago, we started on our international platform a India dedicated fund called the 'Kotak Mid-Cap Fund'. The primary source of distribution and the corpus was in Japan. And we have now a very significant distribution network to Japanese investors. And many, many Mrs. Watanabe's and others have invested in this fund. And I'm happy to share with you that we have now, as of end of June, crossed this single fund, which is an active Mid Cap fund, has crossed USD 2.5 billion, making it one of the largest India dedicated active funds in the world.

And in just in the quarter April to June in one quarter, we have received, we have got fresh inflows into this fund in excess of USD 500 million. And it's a matter of particular pride for us, since when we started this, our entire offshore fund management, we were first of all countered with a question that, you don't have a global platform, how will you build an offshore fund of scale? And it is that progress, we have made on this offshore fund and other international funds, it gives me hope that, if you have the right product and the right distribution, it is possible for an Indian firm to be thinking more positively about global opportunity as well.

And the other point on this fund is that even in July, the flows continue to be very strong coming from various geographies, including Japan. And with that, I will now hand it over

to my colleague, Jaimin Bhatt, and all other colleagues from my group management council are here with me, on this call to take you through the various aspects of Kotak financials for the first quarter.

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Over to Jaimin Bhatt.

Jaimin Bhatt: Thank you, Uday. Let me start with the consolidated numbers first. Quarter 1, FY24, April-June, we closed on a consolidated basis with a post-tax profit of INR 4,150 crore, which is 51% higher than what we did in Q1 last year. The bank itself brought in INR 3,452 crore during this quarter. We will talk about the bank in some detail as we go forward. Kotak Securities got in INR 219 crore this quarter, which is about the same as what they did last year and against INR 182 crore, they did in quarter 4, last year. The market share of Kotak Securities of the overall market has increased from 4.2% last year first quarter to 7.5% this quarter.

Kotak Prime got a post-tax profit of INR 218 crore this quarter versus INR 157 crore a year ago. Last year quarter 1, Kotak Prime had taken a one-time hit of over INR 100 crore on a pre-tax basis due to change in accounting policy on brokerage. The vehicle book

in Kotak Prime has actually gone up by 31% on a Y-o-Y basis.

The other NBFC Kotak Mahindra Investments had a post-tax profit of INR 102 crore this quarter versus INR 63 crore, a year ago. This is on the back of a 50% growth in the advances book there. The business correspondent in microfinance called BSS has now had a post-tax profit of INR 95 crore this quarter versus INR 56 crore a year ago. The life insurance entity dropped in INR 193 crore this quarter versus INR 248 crore a year ago.

The mutual fund entity contributed INR 106 crore which is the same as what they did last year. In Q4, the mutual fund entity had a capital gains income of over INR 90 crore pre-tax. The overall assets under management at the group level have gone up by 23% on a Y-o-Y basis.

At the consolidated level, you see an adjustment of INR 375 crore on the sheet, which is largely on account of dividends received by the various companies. The bank itself got about just over INR 300 crore out of this. The consolidated assets at the group level now crossing the INR 4 lakh crore mark and it is about 19% higher than what it was a year ago.

The capital and reserves at the group level at INR 1,16,500 crore. Both the NBFCs, Kotak Prime and Kotak Investments have capital adequacy of 26% plus, the life insurance entity having a solvency of 2.68%. The ROA at the group level at 2.63% and capital adequacy comfortably at 23.3% with CET1 itself at 22.3% and book value now at INR 584 per share.

If I go to the bank standalone, the first quarter recorded a profit of INR 3,452 crore, which is 67% higher than what we did in Q1 last year and a tad lower than what we did in the immediately preceding quarter. The NII, this quarter at INR 6,234 crore which is 33% higher on Y-o-Y basis. Q1 also saw fees and services grow by 20% to INR 1,827 crore this quarter. The other income, which is non-fees and services clocked INR 856 crore.

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crore partly helped by a reversal of INR 240 crore on MTM hits, which we had taken in previous periods. Q1 last year, had MTM hits of INR 857 crore.

We continue to have a large part of our book on AFS and HFT. As of June 30, this amounted to 74% of our overall book with the modified duration (net of OIS) being 1.3 years.

Overall cost during the period at INR 3,967 crore. The employee costs look higher this quarter compared to both last year first quarter as well as the previous quarter. Quarter 1 last year, the retiral cost had dropped sharply due to change in interest rates and Q4 had a beneficial change on account of pension annuity rates. We don't have that benefit this quarter. The other operating expenses took a higher load on account of IT and promotional expenses this quarter.

The pre-provisioning profits are 78% higher than what we did last year and this quarter at INR 4,950 crore. Our provisions at INR 365 crore gives us a pre-tax profit of INR 4,585 crore. In quarter four last year, we had a favorable tax order which resulted in that

quarter's tax rate being lower. This quarter is a more normalized tax rate.

On the balance sheet standalone, we crossed the INR 5 lakh crore mark during this quarter at the bank's standalone level. Before taking account of IBPCs and BRDS, advances grew 19% Y-o-Y and closed at INR 3,37,000 crore. On a Y-o-Y basis, advances have grown in most of the categories, credit cards, home loans, tractors, CVs, SME, microfinance.

Our unsecured retail book now, which includes retail microfinance, now at 10.7% of net advances. Net interest margin, which was 4.92% in quarter one last year, now at 5.57%. In quarter four, it had peaked to 5.75%. As of June 30, the bank had 43 and half million customers, which is 9 million higher than what we had a year ago.

On asset quality, the GNPA at 1.77% versus 2.24% a year ago, and with a PCR of 78%, our net NPA

now are 0.4%. Slippages this quarter were INR 1,205 crore, of which INR 288 crore got upgraded during the same quarter. Our fund base d restructured under COVID and MSME aggregating to 0.19% of net advances. SMA 2, which is for borrowers with exposure of INR 5 crore plus on funded basis at INR 203 crore.

Our CASA ratio at 49% and as Uday mentioned, during this quarter, we had reactivated ActivMoney and the amounts on the TD sweep grew by 24% during this quarter, not annualized. The capital adequacy at the bank again, healthy at 22% overall with CET1 itself at 20.9% and at the bank standalone, the ROA for this quarter at 2.81%.

I hand over to Manian to take on the corporate book.

KVS Manian: Thank you Jaimin. I will make a short commentary on the wholesale businesses. During the quarter, we saw a reasonably strong demand for credit off-take, especially among

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the larger corporates. Our wholesale book grew by 7% Q-o-Q. Two other segments, which did well were the MNC and the NBFC segments.

In MNC, we are seeing good traction in terms of new to bank customers. With MNC's increasing footprint in India, both in manufacturing and services sector, we see an opportunity there. We have a dedicated country-focused coverage strategy, where we are seeing early success.

On the NBFC segment, we are seeing good growth in credit off-take as the demand remained robust across all retail assets including affordable housing, CV, passenger vehicles, SME and even unsecured segments. While we have witnessed healthy growth in the number of SME NTBs, the book growth is lower than expected due to lower utilization of limits.

Effective 1st April this year, we have also carved out a separate segment called mid-corporate segment. We believe this segment has potential to grow faster and we have put in place a dedicated team to focus on new client acquisitions and grow our franchise among mid-sized corporates. While it is still early days, in Q1 the business has grown at a healthy rate.

While volume growth has been reasonable, on the pricing front we continue to witness spread compression due to competitive pricing pressures in the market. However, we continue to follow a disciplined approach of taking measured risks only where risk-return metrics are justified. We are also focusing on identifying opportunities to leverage our structuring and advisory capabilities to identify better yielding opportunities without commensurate increase in risk.

We continue to focus on fee income which shows a healthy growth on Q-o-Q basis. We have also seen strong traction in our DCM business in this quarter with completion of some large deals in the large corporate space. We have closed diverse set of deals across high yield, structured, credit bonds, high-grade bonds, REITs and InvITs.

Favorable interest rate environment has also seen the wholesale bank benefit from MTM gains on credit substitutes in this quarter. Credit costs continued to remain low. On the liability side, we are seeing good traction on the non-custody current account balances. Custody flows have been a mixed bag. Global headwinds caused some amount of flight of capital both in the listed and unlisted spaces in the initial part of the quarter. But we saw some inflows back by end of June in line with the change in market sentiments. The domestic custody business has done better than the FPI custody business in this quarter.

On the digital front, 'fyn', our integrated corporate portal for trade, CMS and account services, continued to scale up well. We also implemented an online supply chain

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platform with industry preferred features like dynamic discounting. Overall, the business remains in good health and with healthy ROEs.

Let me hand it over to Shanti to take you through t

he commercial bank.

Shanti Ekambaram : Thank you, Manian. I will start with commercial vehicles. At the industry level, the volumes actually witnessed a de -growth of 3% Y -o-Y and immediately on a Q -o-Q basis even lower at 22%. This is on the back of a very strong Q4. However, our disbursement in unit volume terms this quarter has grown 21% Y -o-Y, leading to an improvement in market share. At an industry level, the freight demand and availability of return load continues to be stable. We expect this to get better as we get into the busy season in Q3. Collection efficiency for us continues to be stable and we will continue to build our book and market share in this segment with a focus on risk -adjusted return and increased distribution across geographies.

Construction equipment at an industry level showed a growth of 17% Y -o-Y in Q1 due to sustained growth in execution of infra projects and aggressive targets for road building and expressway under the Bharat mala and big ticket infrastructure under PM Ga ti Shakti. This has given boost to growth in the CE segment. Our disbursements were in line with the market growth and collections in this segment have increased.

Tractor finance . The tractor industry actually de -grew 2% YoY due to higher base and higher inventory at dealership at the beginning of the year. While collection efficiency continues to be stable, impact of monsoon, excess in some parts and deficient in other parts will need to be watched closely to assess the impact it can have on both demand as well as collection. We grew our disbursement in used and new tractor financing in this quarter, leading to a step up in market share. Overall, advances grew at a healthy pace of 26% Y -o-Y. This will continue to remain a focused segment for us as we deepen our distribution.

MFI. Our microfinance continued its strong growth momentum in Q1 with disbursements growing at 69% Y-o-Y. We currently operate in 11 states through a network of 719 BC branches and have a customer base of 16 lakh women borrowers. Asset quality continues to be strong. Our outreach to the microfinance segment has also enabled credit for low -income households in microenterprises and allied activities. We expect the credit demand in rural economy to be stable as well as see growth in our microfinance business.

On the agri side, we saw some reduction in utilisation as the Rabi peak procurement started getting utilised. There were increasing prices of agro -commodity but processors and traders held on to the stock in the hope of higher prices. Although above factors led to a muted growth in our agri advances in Q1, we continue to focus on new

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acquisition of customers across geography. The credit quality in this segment has been very stable.

I will now request Virat to take you through the consumer banking highlights.

Virat Diwanji : Thanks, Shanti. I will start with consumer assets. Our strategy to gradually build our market share in the unsecured business backed by data analytics continues to yield positive results. Our unsecured products in consumer banks have grown 51% on Y -o-Y basis and approximately 9% on Q -o-Q basis. From a risk perspective, our unsecured loans portfolio continues to hold well and is adequately priced for risk.

Our mortgage lending business continues to grow well at 18% Y -o-Y and we see traction both in home loans and loan against property segments. The book continues to hold well on all parameters of collection.

We continue to invest in our cards franchise with overall credit card advances growing by 67% on Y -o-Y basis. Our market shares have been steadily growing both on spends and cards in force. We continue to strengthen our co -brand product suite. Last quarter we had shared about our new Indian Oil co -brand. This quarter we are happy to share that we have gone live

e with a co-brand card with Mynt ra that would enhance our value proposition to our millennial and Gen Z customer segments. We also went live with UPI on credit card which now enables our RuPay credit card customers to map their credit card on UPI payment apps and use the scan and pay functionality. Our story on digital acquisition continues and significant proportion of the personal loans and credit cards continue to be sourced digitally. Going on to business banking, Bank continues to focus on growing business banking franchise both on assets and liabilities. While the demand for new working capital loans have shown healthy growth, improvement in the limit utilization is relatively slow. The demand for unsecured loans by the business customers continues to show positive traction both in terms of demand and portfolio performance. We are witnessing a steady formalization of informal units in MSME space with higher GST registration and compliance. This is enabling us to improve both the speed and quality of underwriting for this segment. With focus on digitization, we have gone live with our new loan origination system helping us to further improve our turnaround time and enhancing our portfolio management ability. The assisted digital current account opening have shown improvement in resource level productivity and customer experience. The traction on ActivMoney among current account customers continued to show encouraging results in higher acquisition of new to bank customers and also building balances of our existing customer base. With the aim of supporting the startups, we have revamped our startup proposition with more power-packed features on banking and non-banking needs in their business journey. Kotak Mahindra Bank Limited
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Our QR acquisition across merchants is gaining speed with growth in new merchants acquired and spends driven by product innovation. We have also empowered merchants to accept digital rupee from their customers furthering the nation's march towards digitizing retail franchise transactions. Coming to liabilities, the total deposits have grown at 22% on Y-o-Y basis with major contribution coming from fixed deposits. With an objective of building a retail SA franchise, we rolled out an ActivMoney proposition which allows savers to earn higher interest on their deposit without compromising on liquidity or having to incur penalty on withdrawal. This feature allows customers to enjoy up to 7% interest on savings balance above a pre-decided threshold. This not only facilitates in holding on to the existing deposits from being moved to higher yielding investments option, but it also helps us in acquiring new customers. With focus on enhancing our large premium banking franchise, the all-new Privy League proposition with best-in-class features and lifestyle benefits was introduced. We launched 'Sankalp Saving Account' with exclusive features that cater to evolving needs of emerging India in semi-urban and rural markets. The revamped corporate salary product offering is showing encouraging results. We were successful in building our term deposit book which showed 49% growth on a Y-o-Y basis. With this I will pass on to Milind.

Uday Kotak : Yes, colleagues, before Milind starts, let me just introduce Milind Nagnur. Milind Nagnur is the Chief Technology Officer of the bank. Milind joined us on August 1, 2022. So he is now close to celebrating his first birthday. And we thought that's a great time for him to come and meet investors virtually and share the developments on the technology front as he's gone through nearly one year at Kotak. Milind comes with a very interesting background, being an engineer from IIT Mumbai, then IIM Calcutta, then spent about nearly 23 to 25 years in the U.S. across various banks thereafter for a few years at a Zelle which is a company started by

all banks similar to an NPCI concept in India and Milind was the Chief Technology Officer there. We are really delighted to have him come and join us about a year ago. So over to you Milind. Milind Nagnur: Thank you so much Uday for such a generous introduction. I'll provide a short update on our tech and digital strategy. Our tech strategy is aligned with what customers want from us. And whether it's in the branches or in the digital channels, customers want tech that works fast, works reliably all the time and is always on and always available. We will therefore continue to invest in nurturing deep engineering talent, software engineers and principal engineers who know how to design and deliver fast, robust, reliable platforms. We will continue to fortify our digital and technology core with strong talent as well as robust systems design and architecture. A short glance at the metrics on the digital Kotak Mahindra Bank Limited

page show notable improvements in digitization across both the consumer and the corporate area. Overall, we strive to see ourselves delivering technology that would be a key differentiator for our customers.

That would be my short update on technology and digital and I'll pass it on now to Dipak for the next topic.

Dipak Gupta: Yes, thanks, Milind. I'll take up Kotak Prime and Kotak Life. First, a quick update on the car market. What we're seeing is, while the wholesale industry numbers are looking up, they are up 9% plus Y-o-Y basis, retail is down practically by about 10% and that means we're seeing a lot more stocks at the dealer level. So inventory is piling up at the intermediate level.

On the demand side, entry-level cars still is a problem and that manifests itself in us seeing a lot more promotional drives from both manufacturers and dealers. However, when you look at the SUV segment or the luxury segment, both of them are seeing reasonably good demand. In fact, the waiting periods are only going up and up in some of these cases, really.

I think when you look at Q2, one probably will expect a subdued Q2 for two reasons.

One is of course monsoons have been heavy this time and second of course this time if you recollect the entire festival season has got pushed by at least a month so it happens in Q3. So Q2 should probably be not as good as the past.

Overall from a financial point, financials, the profit after tax is significantly better but remember last year this quarter we had an accounting policy change for brokerage because of which the PAT was depressed. Otherwise, KMP is doing fine.

On the life side, Kotak Life, what we are seeing really is premium growth has been relatively slow, not as good as probably some of our peers. This quarter we expect to catch up and grow faster particularly on the group side and the other big piece on the life side is that going forward we'll have to watch out for how the entire expense of management philosophy pans out and what it does to product sales and product margins as we move ahead. From a profitability point of view, the profits for this quarter are slightly subdued as compared to the previous one.

With that, I'd hand over to Jaideep to talk about securities.

Jaideep Hansraj: Thank you Dipak. I'm here to talk on Kotak Securities. Just a brief before I get on to the numbers and performances, the cash market volumes this quarter has been pretty subdued and have started seeing some bit of improvement in the months of June and that continues in July.

The options market or the derivative market has gone up significantly. It's more than doubled year-on-year and shown maybe a 15-20% increase quarter-on-quarter as well.

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KS for Q1 did a top line of INR 805 crore compared to INR 744 crore last year and INR 682 crore in the last quarter. The PAT for this quarter is INR

219 crore which is flat over

last year and compares to INR 182 crore over the last quarter.

The cash market share for KS as a firm for this quarter is 10.5% compared to 10.4% for last year as well as last quarter. But as Jaideep earlier mentioned and I mentioned earlier as well that the overall market share is nearly doubled on a doubled volume for Kotak Securities which is something which has been good for this quarter.

On the digital side, lot of developments, we focused primarily on platform and product. The Kotak Neo platform is a top of the line OMS and RMS as called by us, which is an order management system and a risk management system, which is what we are currently using. On the product side, two products which have met very decent success is Kotak Trade Free and Kotak Trade Free Youth, which has been now in existence for some time. Clients have liked the product and are adapting to it or accepting it gleefully. A self-trading customers today contribute about 63% of cash market volumes and 96% of option volumes for KS. 80% of customer service requests are served digitally. The Y-o-Y growth in mobile trading has gone up 3x of last year and on the web it is close to 2x.

I will now hand over to Nilesh to take you through the AMC numbers.

Nilesh Shah: Thanks Jaideep. Let me take you through our asset management business. Our total average AUM grew 10% year-on-year in first quarter FY24 to reach INR 3.12 trillion. Our

equity average AUM growth was at 16% Y-o-Y to INR 1.67 trillion. Our active equity AUM market share grew to 6.43% in first quarter FY24. Our SIP inflows for March 23 grew 21% year-on-year to touch INR 9.5 billion.

Our retail AUM stands at 55% of total AUM. As mentioned by Uday, we now manage one of the largest India dedicated offshore fund, viz Kotak Funds - India Mid-Cap Fund for Global Investors, and second largest actively managed onshore equity fund for local investors, viz Kotak FlexiCap Fund.

Our profit after tax was flat at INR 106 crore in first quarter FY24, as economies of scale was shared with unit holders. Our total assets under management across mutual funds, PMS, offshore, insurance and alternate assets grew 23% year-on-year to INR 4.67 trillion led by alternate assets.

I'll now hand it over to my colleague, S Srinivasan.

S Srinivasan: Thank you Nilesh. The alternate asset management business has been built since 2006 with aggregate assets that we have raised of USD 8.8 billion, growing at a CAGR of 26.5% over the last 17 years. In the last 12 months, we have raised USD 3.6 billion across multiple asset classes, two funds in the real estate strategy aggregating USD Kotak Mahindra Bank Limited

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1.18 billion, a strategic situations fund which has a first close of USD 1.25 billion, an infrastructure fund at USD 664 million and a datacenter fund at USD 590 million.

With these pools of capital that we have raised, this makes us India's truly first and only multi-asset alternative asset management company, about 90% of the assets under management that we currently manage has been raised from global institutional investors and we believe that there is significant opportunity to scale this further.

With that, I will hand it over to Jaimin.

Jaimin Bhatt: Thanks, Srin. We'll be open to taking questions now.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello, hi. My first question is on miscellaneous income. So it's been very strong this quarter, right? You have trading gains of around 240 crore and then you have other and miscellaneous of around INR 600 crore. So would you have any break up of that income?

Jaimin Bhatt Mahrukh, that's something I mentioned earlier. We get dividend from the subsidiaries largely in the first

quarter. As I mentioned, that's about 300 plus crore in the bank standalone. This quarter we also had some benefit of a transaction from our ARD team which brought in another income into that category. So yes that is in addition to the MTM gain which we talked about.

Mahrukh Adajania: Okay all right and the other question is on loan growth. So, personal loans as guided by you are growing very well. They're growing at 7% to 8% Q-o-Q. Is that pace comfortable given talks around some asset quality issues in some segments? Of course, there's a mixed feedback on that, but is there any issue in any segment of unsecured loans that worries you at all?

Jaimin Bhatt: Paul would take that question now.

Paul Parambi: See as we see it right now we don't see any major issues in these segments. Having said that, the overall credit environment is normalizing right now, but overall we are comfortable with all the unsecured segments and the way they are currently behaving.

Mahrukh Adajania: Thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. So the question is with respect to asset quality. So in terms of the slippages, compared to the run rate, which we have seen in the past a few quarters that has gone up. And even credit cost is almost like 50 basis points plus. In fact, at the time, we Kotak Mahindra Bank Limited

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should be able to sustain the relatively lower credit cost of, say, less than 30 odd basis points because that was not much visible. So can you just highlight maybe what's leading to that and what should be the sustainable level of slippages and the credit cost with this unsecured pool. Yes, that's the question.

Paul Parambi: Yes, so, you know, if you have to look at the entire credit environment and how it has

evolved over the last two or three years, and then look at the current context, you know, the COVID period is one which really served to flush out a lot of the stress in the entire system. That had two impacts overall.

One, if you take out a lot of the bad assets over a period of time, therefore, in the following periods, a lot of the overall credit costs come down because the flows also come down because recoveries tend to be good in that period and, you know, super normal.

The second is because a lot of the weaker accounts have got flushed out, what you also find is that subsequent underwriting in the immediately subsequent period tends to be much better. So this is really the phenomenon one saw in the last couple of years. I believe the environment is now normalizing and to that extent therefore while we are not seeing anything to worry about, I would say it's now becoming more normal and what we would usually expect.

Kunal Shah: Yes, anything on ECLGS, maybe the flow from the SME was that relatively higher in the overall slippages or maybe broader slippages across the segments are being similar to what we have seen in last few quarters?

Paul Parambi: No, flows from SME were not higher than normal and they're absolutely normal right now.

Kunal Shah: Okay, Yes, thanks a lot.

Moderator: Thank you. The next question is from the line of Gaurav Singhal from Aspek Management. Please go ahead.

Gaurav Singhal: So because of the success of the ActivMoney product, I'm just wondering if you would still maintain the stance you had in the previous quarter call, where you said that NIM probably, based on your assessment so far, does not decline below 5%. Would that still be correct, given that ActivMoney seems to be cannibalizing CASA? That's my first question. I have a follow-up.

Jaimin Bhatt: So just let me take that. Yes, if you look at the fact that this quarter, last quarter itself, we had talked about the fact that the 5.75% was a peak and you could see some correction there. We've talked

about this period we've closed at 5.57%. While the ActivMoney does mean that we are paying higher than what we would have done on Kotak Mahindra Bank Limited
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savings account, but recognize that the ActivMoney costs us decently lower than what a equivalent time deposit would have cost.

A time deposit would cost us north of 7%, ActivMoney would be more like 5%-5.5% on the assumption that not everything stays there for 180-day period. So it's a mixed balancing between the two and more importantly, we are getting a flow of deposits which has improved significantly in this quarter. So while it may have some impact on the margins, it's not just because of ActivMoney. It's also last year we saw the NIMs improving quarter on quarter on the back of repo rate rises. This quarter in April and June we've seen that becoming flat. So to that extent, some of that is also impacting the NIMs. And your question about being north of five, I think for the current year we can reasonably safely say we'll be there.

Gaurav Singhal: Thank you. And then the second question related to that, so while the deposit growth has been quite good this quarter, our loan growth at like net loan growth at 2.7% I think Q-o-Q, I think it's below system, which is like 4% to 5% Q-o-Q roughly. So just wondering, you mentioned last quarter we wanted to be 1.5 to 2X nominal GDP, which is like, I would like to be towards 2x, close to 20 year on year. Does that view still hold or do you feel pricing competition is so intense that 20% or maybe close to 2x GDP might be difficult?

Jaimin Bhatt: Okay, let me just take that out. It is, quarter one generally has been a slower quarter, so if you look at pre IBPC and BRDS, we are still at 3 plus percent, 3.5% thereabouts. So to the extent of the fact that we've talked for the full year maintaining a loan growth number at about 1.5 to 2 times the nominal GDP growth, I think we are reasonably comfortable at this stage that we would be in that range.

Gaurav Singhal: I think that the cash and other balance increased quite a bit at the quarter end. Is there some one-off here or maybe? Up 36% Q-o-Q. Just wondering what's the reason?

Jaimin Bhatt: Some of that is 2000 rupee notes which came in there but not a significant one. It's actually if you look at the last year it was 40,000, we are at 44,000 right now. So it's not completely unusual there.

Gaurav Singhal: Thank you.

Moderator: Thank you. The next question is from the line of Prakash Sharma from Jefferies, please go ahead.

Prakhar Sharma: So my congratulations on this result and best of luck. But my question on this ActivMoney program me, you know, at a strategic level, do you think this has an impact on customer behavior and how they think of deposits in the Kotak Bank? Because, you know, while I understand that the blended cost of ActivMoney is lower, the term deposit program mes are easier to withdraw and they can be far more sensitive to the rate environment. Whereas, program mes like ActivMoney probably have very average branch level people and the customers think of deposits at Kotak and that's why, in this Kotak Mahindra Bank Limited
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period you have had a lot of savings deposit impact on the growth. So I just want to get a pulse on what do you think of this ActivMoney type of program mes on the way people see Kotak Bank and the deposit relationship? Thank you.

Shanti Ekambaram: So, this is Shanti here. The whole program me was structured based on customer need and customer requirement. Now, go back to the customer, they have short, medium, long term needs. Bulk of their long term needs, they park in term deposits. They have their short term needs in savings. Now, a savings bank rate is at about average of about 3.5% and even lower.

When a customer wants to have the flexibility of a savings but slightly

better returns is

when they keep the money in the savings account but sweep above a certain threshold into ActivMoney. It gives them two things - whenever they want liquidity, they get it immediately, there is no penalty on breaking. It gives them the comfort of saying, I am keeping my money liquid, I am getting a better rate than what I get in savings account. It is this customer psychology and behavior that we tapped and we are seeing the results of this ActivMoney. So that is why, when Uday started he said, it is between savings and term deposits, people do keep in term deposits and the growth in term deposits has also been healthy as you can see because that's how people plan their cash.

Uday Kotak: I wanted to add something here. This is Uday here. If you go back to 2011, when savings deposit rates were opened up, most of the strong entrenched incumbents did not change their rate. We went out and started a 6% savings deposit rate and sustained it with the higher pressure from 2011 to 2020. We were perceived as the potential disruptor.

In this period, we grew our savings franchise for a period of over nine years at 40% plus compounded CAGR. We believe that, we are looking at total cost of funds. We believe that, we have a strong position in the CASA, which we are quite confident, we will maintain at a reasonably high level versus the broad industry benchmark. So we are not worried about that in terms of absolute CASA percentages.

But we also believe that, there is a huge opportunity for a space between CASA and traditional term deposits, with some short-term pressure on CASA. We are very clear, we see this as a sustained program me and this is not about being a disruptor for disruptors sake. We think, it's a hugely positive customer engagement and customer franchise program me and we will be going guns blazing on this for a long - long time.

Dipak Gupta : I'd probably add two more nuances to what Uday and Shanti mentioned. One is the product in itself helps you attract a lot many more customers. So it is a phenomenal NTB tool, New To Bank tool. And we are seeing early signs of that on the franchise. The second really is for a certain set of customers, who otherwise probably would have just gone because of rate, particularly the more affluent type of customers, this is a good Kotak Mahindra Bank Limited
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product to hold them back. And again, we are seeing a reasonable insight into that. So the combination of this does give you a far better control over your customers.

Prakhar Sharma: Perfect, thank you for explaining in so much detail. Thank you everyone.

Moderator: Thank you. The next question is from the line of Param Subramaniam from Nomura. Please go ahead.

Param Subramaniam: Yes, hi, thanks for taking my question. My question is on the cost of the term deposits. So you provide us the cost of savings accounts. Now, if I try and impute from that, the cost of term deposits, it seems to indicate that, from the bottom of first quarter last year, it seems to be up about 200 basis points. So is that rough number correct? And does that mean that, there is not much incremental re-pricing that is to happen on the

term deposit book? That's my first question.

Jaimin Bhatt : No, I don't think it's as sharp as 200 basis points. If you look at last year to this year, it would be certainly lower than the 200 basis points, which you're talking about. We need to look at it on an average basis, not on a period end basis.

Param Subramaniam: Okay, maybe I can connect with you offline on that. So any indication on where we are in terms of the incremental versus the stock of term deposits, perhaps? The differential between what we have ?

Jaimin Bhatt : Yes. So lot of the term deposits, which are taken earlier , durations are not long. So a lot of them have got priced in, in terms of the renewals. And as we go forward,

some more

will get priced in, but assuming the rates stay as they are, then maybe after a quarter or so, I guess most of that would have happened.

Param Subramaniam: Okay. Thanks for that. Another question, perhaps on the operating expenses. So any color on, how we see this shaping up over the next couple of years, because we've actually seen the cost to assets increase quite substantially over the last couple of years. So, when do we see this start moderating? And that's it from me and congratulations on the quarter. Thanks.

Jaimin Bhatt : So on the cost, as I explained this quarter, we've had on the employee front, the delta looks higher because of the retiral cost. If I take that out, the employee cost delta between last year and this year is about just over 20%. This is including the increments and all which, we would have done at the beginning of the year. On the overall cost and again the other things are we have been spending this quarter on promotion particularly on the ActivMoney promotions.

The technology cost has got elevated and it will possibly remain there for a while. So, a lot of attempt and lot of plan, which we have to bring down the cost to income and the cost to assets. But you would see that, somewhere elevated for some time. But as

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you've seen from last year to this year, we've kind of getting some traction and as we go forward, we would have a plan to get that down as we go forward.

Param Subramaniam: Okay. Thank you so much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Pankaj Agarwal from Ambit Capital. Please go ahead.

Pankaj Agarwal: Yes, hello, sir. So your attrition rate has gone up quite sharply over the last two years. What's causing this and how it's impacting your operations?

Shanti Ekambaram: Yes, I'll take that question. Shanti here. So if you see the breakup of the attrition, and I just want to quote some numbers, at the senior management level, it's around 10%, at the middle management level, it's less than 20%. It's only in the junior management, which is really at about 50%, which is what our disclosure is. And this is largely in sales, service and call center, some amount in collections. Now this has had several reasons. Firstly, this was the first full year post COVID, where people have decided their calls as far as their careers are concerned and we have had some spillover of attrition this year. At the industry level, there is a strong demand supply gap, which continues. Despite that, we were able to fully resource our requirements despite the gap and the attrition. We are focusing on a number of areas to reduce the attrition. Sorry, another point. We also include probationary officers in the calculation, which is not really permanent employees, but we include them in the calculation for the purpose of attrition. A lot of them are reflecting only in the junior management.

Working on a number of platforms and areas, including how to make ease of working, better engagement, training, benchmarking, and technology automation and how to make their lives easier. So a number of initiatives are being worked on to see how we can control the attrition. So far, it's not really impacted in terms of our business. You can see that, but it's important that we work on this.

Pankaj Agarwal: Okay, one related question. Is it the reason that cost, employee cost is going up for all the banks? And can it put a structural pressure on cost to assets ratio for the banking?

Shanti Ekambaram: So I think, if you look at it, from an employee cost perspective, Jaimin gave you the number, if you take out the retiral one time cost, it is 20% Y-o-Y and if you see banks across, that is a number that is more than in line with industry trends. More importantly, it is important from a longer term productivity perspective to reduce the

attrition. So,

that is where I would put the emphasis on. It is not necessarily costing us that much.

Yes, there is a cost but I do not think that's a significant part of the cost.

Pankaj Agarwal: Okay, thank you. Thank you very much.
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Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Good evening and thank you for the opportunity. First, to reconfirm on credit costs, was it said that, now credit costs have normalized to 50 basis points and we should probably expect it to be in this region?

Paul Parambi : So what I would, this is Paul here. What I would say is that, yes, the credit environment is getting more normal. So I would expect that going forward, the behavior in terms of fresh flows and all of that should be in similar terms as it is currently.

The second thing one has to keep in mind is that, credit costs to a certain extent are also influenced by mix. And as the mix of our unsecured portfolio goes up, you would find that, the credit costs can pick up a little bit, but that is clearly getting, therefore, there is the risk and return are therefore priced in as you think about unsecured. So, one has to look at the overall credit costs in this context.

Manish Shukla: Sure. So now, if you put the three together, margins normalizing to 5% plus levels, some normalization of credit costs, moderation in opex, broadly how should we look at it in terms of ROAs? In where, we are right now at 2.8% of standalone bank. Where does it have gotten out?

Jaimin Bhatt: Manish, 2.8% this quarter is also helped by some of the ones, which we talked about, like the MTM gains, dividend comes in this quarter, doesn't happen every quarter. So, we've been generally north of 2%. 2.81%, don't go with that number as a normal one.

Manish Shukla: Yes, the number 2.82% is a very normal. Can be, right, sir?

Jaimin Bhatt: Yes, I said 2.81%, don't go with that as a normalized number also.

Manish Shukla: Okay, thanks very much.

Moderator: Thank you. The next question is from the line of Dhaval Gala from Aditya Birla Sun Life Asset Management. Please go ahead.

Dhaval Gala: Thank you, sir, for the opportunity. A couple of questions. So, I just wanted to know, you've been fairly having strong views and bullish commentary about Indian banking as well as the country's economy. Just wanted to understand, how do you differentiate Kotak Bank's progress from here on say for next three years to five years. What is the competitive advantage Kotak Bank would have and differentiation Kotak Bank would have versus the markets?

Uday Kotak: Thank you for that question. We should get you for a strategy session and we can take you through that. I just want to make a general point. We will at Kotak, like I would like to believe at Kotak, we will take decisions, which are medium term in nature. We are not
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colored necessarily that if we believe a decision is right, it will be taken from a point of view of what does it do for value addition over the medium term.

And therefore, we will dare to be different, we will dare to be bold, we will take calls, which may seem at the point of time we take the calls a little ahead of what has to be done and I can give you a number of examples of that in our history, whether it's a distressed asset division, whether it's alternate asset business, whether it's international offshore fund management, whether it's a tractor finance business, where we continue to have probably the largest market share in the tractor finance business. Whether it's private banking, which is something, which we really built as a bank, because we thought, it was a very significant opportunity going forward. Whether it's our product excellence in our investment bank or inst

itutional equities franchise,

whether it is technology, we believe going forward. If I have to say, where do, we will focus on the difference, it will be product excellence, customer obsession and differentiated talent, including in the field of technology.

And just so that I wanted to share, I don't want to get into numbers, but we think the future is going to be different from the past. A transformation is undergoing the financial services sector. We genuinely believe the future is neither physical, not even digital. We think the future is at least digital, which is digital first along with physical. AI and machine learning are going to question even that. So if you ask me a three year to five year view, financial services landscape is going to be wholly different. And I

share, as I've said, both excitement and paranoia, when I look at three years to five years ahead.

Dhaval Gala: Sir, just one request. You made a very good presentation last year, same time, on your 811 update. Would like that maybe in the half year, if you could present something or you could put it there for everybody across all businesses.

Jaimin Bhatt : What we currently are doing is we are doing a yearly update of the 811. And currently at present, that's the idea that, we'll do a yearly update, which is a reasonably detailed update on what's happening there. We did that after our annual results in '22 and '23, and we'll do that again next year.

Uday Kotak: And we also got to keep in mind that, we want to remain competitive in terms of our strategy and you have to wait for it to unfold rather than sharing it up front.

Dhaval Gala: Thank you.

Moderator: Thank you. We have the next question from the line of Samir Bhise. from JM Financial. Please go ahead.

Samir Bhise: Yes, hi. Thanks for the opportunity and congrats on the strong quarter. Just wanted to hear, how would the Board timelines on the leadership transition move here on? And

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secondly, in terms of the next three years to five years journey, do any inorganic opportunities fit into the picture? That's all from my side. Thank you.

Uday Kotak: We are, I just wanted to share that, we are on track for our leadership transition and at an appropriate time, we will share with all of you as we go forward. And on inorganic, we are always open. We have done inorganic in the past and we will continue to do it, if we believe that we are getting either product excellence or significant addition in customers or a differentiated strategy based on geography and markets or something, which gives us a cutting edge through technology. We are very open to all of those, but we need to make sure that, we evaluate that very carefully and closely rather than rushing into a deal.

Samir Bhise: Okay, that's helpful. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Uday Kotak for closing comments. Over to you, sir.

Uday Kotak: I think, I've shared my views at the beginning and also in the last couple of questions. I continue to be very optimistic about India's future, about the Indian financial services landscape and about Kotak. I do believe Kotak will be and continue to be a player, which will be differentiated in many areas, not for the sake of differentiation but because we believe it adds value to our stakeholders.

And I see actually, Kotak having the ability and the resilience to change with the times as the times change. And particularly in the last 18 to 24 months, we have made a very strong beginning in that, and I will assure you, we'll continue to nurture talent both in terms of attracting talent externally as well as internal talent. And we see a long-term, huge road way out in front of us to see this as a multi-year and hopefully, a multi-decade

opportunity for growth. Thank you very much.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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IST 4.15 PM on October 21, 2023

MANAGEMENT : Mr. Dipak Gupta – Managing Director & CEO
Mr. KVS Manian – Whole Time Director
Ms. Shanti Ekambaram – Whole Time Director
Mr. Virat Diwanji - Group President & Head Consumer Bank
Mr. Jaimin Bhatt – Group President & Group CFO
Mr. Paul Parambi – Group President & Chief Risk Officer
Mr. Milind Nagnur - Group President & Chief Technology Officer
Mr. Nilesh Shah – Managing Director, Kotak Mahindra Asset Management Co. Ltd.
Mr. Jaideep Hansraj – Managing Director & CEO, Kotak Securities Ltd.
Mr. S Srinivasan - Managing Director, Kotak Alternate Assets Managers Ltd.

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Moderator: Ladies and gentlemen, good day and welcome to the Kotak Mahindra Bank Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on a touchtone phone Please note that this conference is being recorded.

I now hand the conference over to Mr. Dipak Gupta, Managing Director and CEO of Kotak Mahindra Bank Thank you and over to you. Mr. Gupta.

Dipak Gupta : Thank you. Good evening, friends. It sort of feels quite odd. As you are aware, Uday has done the opening remarks for the bank religiously for the past umpteen years. And here, I am a night watchman being the opening batsman for a change. I'm sure there are quite a few such parallels in cricket. Hopefully, several of them would have lived up to their expectations. The night watchman piece also reminds me you would have seen our announcement earlier in the day regarding receipt of the RBI approval for our recommendation of Ashok Vaswani as the next MD and CEO of the Bank.

Just to give you a quick background, Ashok is a veteran banker with a proven track record initially at Citigroup and then more recently at Barclays. He brings with him significant experience in building consumer and corporate businesses across various geographies, leveraging forward-leaning technologies. His recent stints have been as CEO of Barclays U.K. and as the Global Consumer and Digital Head of Barclays PLC. We expect Ashok to accelerate the pace of digital and technology at Kotak, focusing on delivering enhanced customer value.

Trends on the macro side, the India story continues to be exciting across most parameters. However, the emerging global geopolitical trend warrants increasing

caution.

Increasing oil prices are what we have to monitor closely. Its additive impact on domestic inflation trends need to be watched out for. Liquidity, again, is likely to continue being tight, whether driven by policy or by market pressures. And hence, as indicated by our Governor recently, this will keep pressure on interest rates.

Fortunately, the credit cycle still looks acceptable. However, continuing inflation and elevated interest rates will ultimately create uncomfortable outcomes. Net-net, for some time into the near future, I expect the growth to NIM trade-off to be better bet as compared to the growth to the credit trade-off and probably that's what we will be following.

Coming specifically to Kotak, Jaimin will take you through the numbers and by other colleagues. You will note that the financials look very balanced and comfortable across Kotak Mahindra Bank Limited

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all parameters. Growth is well rounded. You will, however, see a more-than-expected drop in NIMs this time, but as Jaimin will explain about 15-16 odd basis points of it is unlikely to be repeated. SA continues to be a challenge, especially the higher ticket size ones. And if you exclude the government business related SA, I suspect this is going to be an industry-wide problem. That's all from my side. Jaimin, over to you.

Jaimin Bhatt : Thank you, Dipak. So let me take the commentary on the quarter. Let me take the consolidated numbers first. So if we look at the current quarter, we ended the quarter with a post-tax profit of INR 4,461 crore, which is roughly about 24% higher than what we did in the same quarter last year and about 7% higher than what we did in quarter 1 this year. The bank contributed about 72% of the overall profits with INR 3,191 crore. Kotak Securities being the other major contributor with INR 324 crore of post-tax profit, which was a growth of 45% over what they recorded a year ago.

Kotak Securities market share continuing to grow from what was 5% in quarter 2 last year to 8.8% this period. Kotak Prime brought in INR 208 crore this year which is a tad lower than what they did last year. It was mainly due to a reduction of some profits on account of a rundown of bought-out portfolio which we had done a year ago. The vehicle finance business in Kotak Prime continued to grow, which was about 31% growth on a Y-o-Y basis and about 9% on a Q-o-Q basis. The other NBFC, which is Kotak Investments had a post-tax profit of INR 126 crore, which is significantly higher than INR 78 crore, which was a year ago which is on the back of a close to 50% growth in its advances book Y-o-Y.

The business correspondent entity BSS, which is largely microfinance, crossed a INR 100 crore per quarter mark for the first time, the post-tax profit being INR 108 crore this quarter. And as we had announced earlier this week, the RBI has also approved our acquisition of another micro finance company, which is Sonata, headquartered in Uttar Pradesh.

The life insurance entity brought in a post-tax profit of INR 247 crore which was against INR 270 crore they did in quarter 2 last year and INR 193 crore in the sequentially preceding quarter. The domestic mutual fund business brought in INR 124 crore with the overall assets under management at the group level increasing by about 28% Y-o-Y,

coming to close to INR 5 lakh crore at the group level.

At quarter 1, we had a consolidated adjustment of about INR 375 crore, which was largely on account of dividends, which was collected from the subsidiaries.

Our customer asset at the consolidated level at about INR 428,000 crore, about 19% higher than what we did a year ago, continue to have healthy capital ratio

s. The overall

net worth at the group level at about INR 120,000 crore, the bank contributing close to 75% of it. Both the NBFC's prime and investments having CAPAD ratio of 27% and 28%, respectively.

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Life, again, having the solvency ratio reasonably higher at 2.7%, which gets us to an ROA at the group level of 2.68% and book value, including the profits for this quarter at INR 605 per share.

Coming to the bank standalone, the bank too clocked a 24% Y-o-Y growth in post-tax profit with bringing in INR 3,191 crore of profits this quarter. The net interest income for this period grew 23% Y-o-Y to INR 6,297 crore. We also saw growth of fees and services to INR 2,026 crore this quarter.

The other income, which is non fees and services part had a drop Q1 to Q2, one of reason being the dividend which came from the subsidiaries, brought roughly about INR 300 crore in quarter 1, which was not there in quarter 2. Similarly, there was a treasury profit in Q1, which also included what we gained on some security receipts, which is absent in Q2. This resulted in overall profit for Q2 being lower than Q1.

We continue to have a pretty large part of our book in AFS and HFT at 30th September 2023, 75% of our book was in AFS and HFT with the modified duration being net of OIS being 1.2 years. Our overall cost for this quarter, INR 4,000 crore, which is about 19% higher than what it was a year ago, but just a tad up from what it was in the previous quarter.

Other operating expenses this quarter includes certain amounts which we spent on promotion and marketing. Our pre-provisioning profits giving us a 29% Y-o-Y growth at INR 4,610 crore, provisioning of INR 367 crore coming to a post provisioning of INR 4,244 crore.

Our advances, before the IBPC and BRDS, we brought in a 21% growth on a Y-o-Y basis, and this quarter itself saw a growth of 6%, which is not annualized.

On a Y-o-Y basis, we've seen growth across categories, credit cards, unsecured personal loans, home loans, LAP, tractors, CVCs, microfinance. This quarter, of course, saw a growth in the corporate loan book also. Our unsecured retail book, including the microfinance activity stands at 11% of net advances. NIM at 5.22% this quarter, against 5.15% a year ago, though lower than what we saw in the previous quarter.

Mind you NIM is a calculation of balances on a daily average basis and not necessarily the end of period. So during this period, we did have our ActivMoney growth coming in at 28% on the quarter. Some of this also came in from movement from our lower cost deposit accounts into ActivMoney. This quarter also saw the bank going in for some higher liquidity buffers, which resulted also in the LCR ticking up on a quarter-on-quarter basis.

We also had some short-term funds including a spate of IPOs which happened, which got invested into liquid investments at marginal gains on that transaction, but this is pulling down

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the overall yields and thereby the overall NIMs. Sequentially, as Dipak mentioned, we do have some one-offs this period, roughly about 14-15 bps.

As of June 30, the bank had 45.8 million customers, which is about 9.2 million higher than what it was a year ago. Asset quality at the bank, GNPA down from 2.08% a year ago to 1.72%, even in absolute terms, down from INR 6,200 crore to INR 6,087. And with a PCR of 79%, our net NPA now at 0.37% versus what it was 0.55% a year ago.

Slippages this quarter saw INR 1,314 crore,

which did include things which went back into

the normal category, about INR 300 crore of what upgraded during the quarter, therefore, net slippage is coming at just over INR 1,000 crore.

Our fund-based restructuring standard under COVID and MSME at about 0.15% of our overall net advances. SMA2 continuing to be low, which is for borrowers over INR 5 crore at INR 155 crore. CASA at 48.3% as of 30th September, and capital adequacy, including this quarter's profits at the bank, again healthy at 21.7%, with most of it being CET1, which is 20.6% in and therefore, this quarter, we have an annualized ROA at the bank level of 2.45%.

I'd pass it on to Manian to take on the wholesale business.

KVS Manian: Hi. Thank you, Jaimin. I'll make a short commentary on the wholesale business. During the quarter, we saw some reasonable demand for credit offtake from both larger corporates and SMEs. This quarter, our advances grew at a rate of about 17% Y-o-Y and 5% Q-o-Q. But that is not the full story, as you know. We need to look at the credit substitute book as well.

Our credit substitute book witnessed some reduction as we focus more on loans with better spread than the low-yielding bonds. Given the current interest rate scenario, our focus on credit substitutes will remain relatively subdued. Overall, our funded asset book, including credit substitutes grew at about 10% Y-o-Y and 3% Q-o-Q, non-SME corporate would have grown just at about reaching double digits.

On the conglomerate side, we saw a shift of our book from bonds into advances, so it did show a healthy growth in advances. NBFC segment remains fairly robust. On the large corporate and mid-corporate space, if you recall last time I had apprised you of the fact that we have set up a separate vertical for mid-corporate. Both these segments are growing at a healthy pace and in fact mid-corporate is growing at close to 8% to 10% Q-o-Q.

On SME, while it remains our focus area, we are seeing some irrational competitive pressures in this segment, and this is putting pressure on risk-reward metrics of this business, leading to some moderation in the growth to protect the profitability and ROE of this segment. We continue to scale up manpower and expand geographical footprint.

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The SME book grew at about 16% Y-o-Y and 5% Q-o-Q. The quality of the portfolio continues to be healthy. We continue to be focusing on identifying opportunities to leverage our structuring and advisory capabilities to identify better yielding assets without commensurate increase in the risk. Overall, the corporate book continues to be healthy and with very negligible credit costs.

On the liability side, balances have been bolstered strongly by the custody flows in the offshore space. On the non-custody front, we are seeing lower growth rates than we have seen in the past. We continue to focus on transaction banking business, garnering higher wallet shares in collections and payment. Tax payment flows grew robustly this quarter at about 12% Q-o-Q. While DCM had a subdued quarter due to slippages in some large deal revenue, growth of our other fee income remained robust.

Technology remains a key focus area and our investment in this space have ensured significant improvement in stability of our systems through this quarter and with minimal downtime. FYN, our integrated corporate portal for trade, CMS and account services is ramping up quite well and we have now gone live also with electronic bank guarantee solutions. We also went live with a 365-day CMS solution during this quarter. Overall, the business remains in good health with healthy ROEs and robust profit growth.

Now I'll hand it over to Shanti

to take you through the commercial banks.

Shanti Ekambaram: Thank you, Manian. I will talk about the commercial banking business.

The commercial vehicle industry saw a marginal uptick in volumes in Q2, 7% Y-o-Y for the quarter, though H1 was muted at 2% overall. This is on the volume. Some of this growth in Q2 is also due to larger wholesale dispatches in preparation for the expected festival demand series. At an industry level, the freight demand, viability and availability of return load continues to be stable with the usual monsoon sporadic disruptions. We expect this to get better as we get into the festival season. Within CV, in line with the trend in Q1, demand for passenger bus segment continues to witness significant growth at 33% Y-o-Y, whereas the goods segment, MHCV witnessed some demand while HCV continues to show a flattish trend. Our disbursement volumes grew 30% Y-o-Y and it continued to outpace the growth in the industry and we were able to improve some market share. Collection efficiency continues to be stable and we will build our books and market share in this sector with a focus on risk-adjusted returns and more geographic distribution and footprint.

Coming to the construction equipment, the industry has seen a strong Y-o-Y growth of

~23% for H1 in value terms, aided by a pickup in execution of infrastructure projects, earth moving equipment, road handling, material handling equipment, all of it saw a growth. We could see healthy growth in roads, semi-urban housing, airports, ports, also pick up due to the projects.

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I think the overall macroeconomic environment and thrust in infra has really helped improve the demand for the construction equipment. Our disbursement in value terms grew 39% Y-o-Y in a quarter 2 and helped us gain market share. Collections are stable too, and we expect to maintain our growth momentum in this segment in the second half of the year.

Tractor, the wholesale tractor industry was down by 6.6 Y-o-Y on the Q2 and in H1 Y-o-Y, primarily on account of the delayed and uneven rainfall in a few states. Compared to last year, there was a drop in September because the Navratras are in October this year as compared to September. Our tractor disbursements in volume terms were up 9% YoY for the second quarter. We continue to marginally increase our market share. We continue to remain the market leader in this space.

Gross NPA is maintained at last year's level. Collection efficiencies have remained stable, but we are seeing a few states where collections are beginning to see marginal stress because of deficient rainfall. We expect this to get better as we get into the second half of the year.

Microfinance, our microcredit business continues its momentum growth and a healthy growth in disbursement of 65% Y-o-Y. We have presence currently in 12 states through a network of 800 plus BC branches and have a customer base close to 17 lakh women borrowers. Asset quality continues to be strong. Our microcredit business was able to ensure delivery of credit to low-income households in agri, allied and micro-enterprises. We foresee healthy credit demand in the rural economy in this business.

As Jaimin had mentioned, the bank has received the approval from RBI for acquisition of Sonata Finance, a Lucknow-based NBFC MFI. Sonata has operations in 10 states with a network of 540 branches and close to 1 million customers as of 30th September. We will work towards confirmation of this by the fourth quarter of this year.

On the agricultural SME side, if the growth was more muted because of lower utilization due to commodity prices as well as some amount of demand. The collection continues to remain

strong in terms of the credit quality and we expect credit growth to pick up in the second half as we get into the better business cycle and busy period, will continue to be an area of focus for us.

I will now request Virat to take us through the Consumer Bank highlights.

Virat Diwanji: Thank you, Shanti. I will start with Consumer Assets. Our unsecured product in Consumer Bank continues to show positive traction with a growth of 44% Y-o-Y and approximately 9% on quarter-on-quarter basis. From a risk perspective, our unsecured loans portfolio continues to hold and is adequately priced for the risk.

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Our mortgage lending business continues to grow well at 15% on a Y-o-Y basis. We see strong traction in the loan against property segment, which has been a traditional area of strength for us. This book continues to hold well on all parameters of collections.

We continue to invest in our cards franchise with overall credit card advances growing by 59% on a Y-o-Y basis. Our market shares have been steadily growing both on spend and cards in force. To deliver value to our card customer, we have been working on getting unique offers for them. I'm sure most of you would have noticed our sponsorship to Trevor Noah events recently. We also participated in the big billion day by Flipkart, Myntra and ClearTrip.

Overall, our investments in technology have helped us to improve productivity. Happy to share that this quarter, we have launched our revamped loan origination system built on Salesforce platform for our LAP business. We also went live with our new digital collection platform last quarter. Our story on digital acquisition continues and significant proportion of personal loans and credit cards continue to be sourced end-to-end digitally. I'll now move to the business banking. Consumer Bank secured working capital growth has been strong with a growth of 21% on Y-o-Y basis. While the demand for new working

capital secured loans have been strong. However, improvement in the limited utilization is relatively slow. We witnessed formalization, gathering pace in this segment. And as a result, our share on the lending to micro enterprise is growing.

Fueled by market demand and partnerships, the unsecured business loan segment witnessed a volume growth. Our delinquencies on both the secured and unsecured books remain stable in this business banking sector.

Now I move to liabilities. The total deposits have grown 23% on Y-o-Y basis with major contribution coming from term deposits. With an objective of growing retail and granular SA deposits, we have taken a couple of initiatives over the last two quarters, and we hope that this would give us some better results going forward.

As you know, bank had launched ActivMoney proposition in May '23 that allows savers to earn higher interest on the deposits. In this quarter, bank focused on scaling up the ActivMoney proposition by leveraging technology and analytical capabilities. Bank deployed intuitive engagement campaigns through multiple touch points, which helped customers to understand and subscribe for offering, which resulted in substantial chunk in mobilization of incremental deposits. However, this did have an impact on our retail SA, where some of the balances moved from SA to ActivMoney.

Continuing its thrust on customer centricity, the bank has kept focus on identifying customer insights via research and surveys to sharpen the customer value proposition specific to micro segments. Steps taken during the period have not only aided in

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acquisition of customers but have also resulted in better customer onboarding experience reflected in higher NPS scores.

Banks had recently launched a straight-through digital onboarding journeys for savings and corporate salary account opening. In second quarter, bank has invested in initiatives like search engine optimization and focused performance marketing, which has resulted in very good growth in acquisitions with this new channel of acquisition.

We have gone live with do-it-yourself journey for individual and sole proprietary customers to open their current account using video KYC and are seeing early signs of demand for digital fulfilment in the market.

With this, I'll pass on to Milind to give an update on digital.

Milind Nagnur: Thank you, Virat. Good afternoon, everyone. This is Milind Nagnur, Chief Technology Officer and will give an update on our Digital and Technology portfolio. We regularly share updates on the new digital journeys that went live, as Virat also alluded in his narrative.

These are digital journeys for self-service opening up current accounts, savings accounts, personal loan accounts and so on.

These journeys are important contributors to business growth, customer acquisition and digitization. Equally important, however, are the invisible parts of the technology transformation, which requires their own deep set of technical skills. At Kotak, we have a silent but massive transformation underway on modernizing the back end.

These are technology changes that are required to transform and upgrade the back ends, which include networking, data centers, core product processors such as core banking platforms, loan processing platforms, general ledgers, operational systems, treasury platforms and also setting up of DevOps pipeline, builder tools and a culture of core engineers to build important pieces of core back-end platforms.

Top-performing engineers will not just be able to join a bank and start building platforms that mimic consumer tech apps. And for that, a massive enabling ecosystem is required to facilitate engineering skills to produce the outcomes. There is, of course, an easy path of just outsourcing these platforms, but we are not doing that. We are making investments in people, processes and enabling technologies to fortify our back end. And these will be important drivers to ensure stability, scalability, resiliency of our platforms and get more control on the technology behind the systems we use.

I call these invisible changes because if a firm is focused only on the visible front end and journeys they can easily lose track of the mega upgrades in talent, processes and back-end technologies that are required to fortify their own core. And this invisible back-end transformation requires leadership that is technically savvy that is hands on, and we have made a huge headway in getting that leadership in place.

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We have made a great start to get this journey going. We have lots of work ahead of us to fortify the core to match the speed and agility of front-end journeys that our customers expect from us. The fruits of these back-end efforts will be durable and will positively impact many future quarters to come in a silent way. I hope that context was useful. And with that, I will turn it over to Jaideep.

Jaideep Hansraj: Thank you, Milind. I will talk of the numbers for Kotak Securities before some of the other highlights of the quarter. Total income increased to INR 962 crore in this quarter versus INR 776 crore in the corresponding quarter last year and INR 805 crore in the previous quarter.

The profit before tax for Q2 of this financial year is INR 432 crore, against INR 298 crore in Q2 of FY '23 and INR 292 crore in the last quarter. The corresponding PAT for this quarter is INR 324 crore against INR 224 crore in the same period last year and INR 219 crore in the last quarter.

Our cash market share showed some decline and is at 10% for Q2 of FY '24 and the combined market share showed a jump of close to 90% year-on-year from 5% to 8.8%. For Kotak Securities, NEO is the newest trading platform and is a complete ecosystem of mobile, web, API and trading terminals. Currently, 80% of the futures and options volume and 70% of traded orders are through NEO. Total orders on NEO have grown 608% Y-o-Y and 100% Q-on-Q. Kotak Securities was one of the first few brokers to have launched the BSE F&O who has already taken a reasonably decent market share in the last 2.5 months since it launched the BSE F&O.

All new digital accounts which are opened in the last quarter or so is via NEO and hopefully by the end of Q4 all dealer-based businesses will also move to NEO. There are quite a few new age features which we are planning to launch on NEO in the next quarter or so, which will get unfolded as we talk.

There is a significant investment which is being made in revamping our back office operations and the CRM for a far better customer experience.

With this, I hand over to Nilesh to take us through the mutual fund business. Thank you.

Nilesh Shah: Thanks, Jaideep. Let me talk about our asset management business. In second quarter FY '24, our total average assets under management grew 18% year-on-year to reach INR 3.36 trillion. Our equity average AUM grew 24% year-on-year to reach INR 1.88 trillion. Our active equity AUM market share grew to 6.47% in second quarter of FY24. Our SIP inflows for September '23 grew 22% Y-o-Y to INR 10.2 billion. Our retail AUM stands at 57% of total AUM. Our profit after tax grew 17% to INR 124 crore in second quarter FY '24 on back of AUM growth.

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During the quarter, Kotak multi-asset allocation, NFO collected over INR 3,650 crore. Our total AUM across mutual funds, PMS, offshore, insurance and alternate assets grew 28% Y-o-Y to INR 4.98 trillion led by offshore funds and alternate assets. We continue to manage the largest India dedicated offshore fund, Kotak Funds India Mid cap Fund with AUM in excess of \$ 3.5 billion.

I will hand it over to my colleague, Srinu Srinivasan.

Srinu Srinivasan: Hi, we are building a comprehensive platform of alternative assets which comprises six different asset classes by raising capital from global institutional investors as well as domestic institutional and private client investors.

In the previous quarter, our Data Center Fund with commitments of \$ 590 million had made an investment of \$ 72 million in SIFY Infinite Spaces which is the data center arm of SIFY. Discretionary portfolio solutions under the brands of Optimus and Iconic presently manage \$ 424 million effective 30, September, 2023. We have also raised a Private Credit fund to provide capital to mid-market companies. As of 30, September, we have raised \$ 109 million from domestic investors in this particular fund.

I now hand over to Dipak Gupta.

Dipak Gupta: I am back with Kotak Prime. Kotak Prime had a quarterly profit after tax of INR 208 crore. That is roughly about the same level as what we had in Q1 and actually lower than what we had in Q2 of last year. Remember last year we had acquired portfolios of Volkswagen and subsequently Ford, so these have been running off and hence you see the decline in profitability. But otherwise, the base car finance business per

se, including the dealer

finance piece, is extremely robust.

We've seen demand being slow at the lower end of the car business. However, SUVs and

top-end premium segments continue to be growing very well. There is a buildup of dealer inventory because some of the past festivals have not necessarily gone down well. Fingers are crossed for how Dus sehra and Diwali will be.

On to Kotak Life Insurance. Kotak Life Insurance had a muted quarter. The profit of tax for the quarter was INR 247 crore. If you see the individual regular premium business that has been slow in terms of growth, we were probably caught on the wrong foot in our aggression on the non-par side. Traditionally, we've been pretty aggressive on the non-par side of the marketplace, but this time we were not sure about the direction in which interest rates were moving and hence we were cautious and that probably impacted some of the individual regular payment. Otherwise, as we build up Q3 and Q4, the growth momentum should continue.

With that, friends, I will hand it over back to the operator for questions. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes, hi. So, firstly, with respect to this 14 bps - 15 bps of margin one-off, which will not be repeated, I'm not sure if you highlighted the reason for that and maybe where we are seeing it. Or is it more to do with the TD Sweeps and that's the reason you are confident that it will not come through, maybe that will stabilize now?

Jaimin Bhatt: So Kunal, let me just take that. If you take the obvious ones, it is like you had the ICRR impact this quarter, which was not expected, it has gone. The liquidity buffer, which I talked about earlier, which we may continue to have that, but will not be as much as what we had in this quarter. So it's not that it is completely tapered off, but that's not likely to be at those kind of levels. I also talked earlier about the fact that we had some short-term inflows, which had to be kind of invested into short-term investments. Now on a marginal basis, this gives you positive returns. But if you look at the calculation of the NIMs, they kind of depress the yields overall because the denominator just flows. To that extent, the extent of those kind of marginal or short-term money which comes in could be different. So if I look at my average earning assets because that's what goes into the denominator for calculating your net interest margins, the best is if you can have as high the number as advances because that brings you much better yields.

This quarter, if I look at sequentially, the segment or the share of advances actually has dropped from what it was a quarter ago. So maybe we do expect that this to getting back to the normal levels as we go forward. So that's broadly what we said is, some of this may not be of these kind of levels as we go forward.

Kunal Shah: Okay. So assuming that, if we purely look at spreads in terms of yields and cost of deposits, then that should help in 16-17-odd basis points kind of an impact?

Jaimin Bhatt: If I look at yields on advances, they have more or less held up. So yields on advances overall has not changed. So yes, the cost of funds would have gone up to that extent that would impact the spreads but yields on advances have held up. The rest of the commentary is on account of the other things like the change in the mix of funding, the cost of TDs going up and the rest. But effectively, overall advances yields have been holding up. Yes, overall cost of funds have gone up for two reasons, as on

one of you

mentioned about the cost of deposits itself going up and the mix, which is the low-cost deposits share going down.

Kunal Shah: Okay...

Dipak Gupta: Let me explain Kunal. If you look at just yield on advances, it's about the same level. If you look at cost of deposits, it's up by about 20 bps, yes. So roughly, that's the NIM drop. The delta of 15 bps is arising out of all the other aspects, which Jaimin mentioned, most of which is unlikely to repeat next quarter.

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Kunal Shah: Okay. Great. Yes. That answers the question. And second one now that the event is over with respect to CEO appointment, if you can highlight in terms of maybe how many names were shared with RBI and in terms of the order in which it would have been shared. And finally, we thought now, Vaswani getting appointed as a MD & CEO

Dipak Gupta: Kunal, I don't get your question, but that's not relevant. The RBI has given its approval to our recommendation. I guess that's good enough.

Kunal Shah: Okay. Thanks. Yes.

Moderator: Thank you. Our next question is from the line of Rahul from GS. Please go ahead. The line for Mr. Rahul has dropped. Our next question is from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Hi, good evening. So my question is on cost of funds or cost of deposits. How far along are we in the re-pricing? And how much more to go from here? If you can give a sense of that?

Shanti Ekambaram: If you look at the average tenor of our liabilities which we've been talking about, it's roughly about 10 months to 11 months. And if you look at the interest rate cycle, we more or less are close to closing the 10 months to 11 months. So my sense, except for global factors, tight liquidity, increase in rates otherwise, we're more or less there on the re-pricing, maybe a quarter or so. The cycle of re-pricing has come its distance. That's the way I would put it.

Abhishek M: Okay. And given that at your card rates are mostly roughly around 7-ish at least in the one year to three year bucket where you're getting most of the deposits, that would leave about 50-odd bps on the TD side, 50 bps, 60 bps on the TD side for re-pricing, right? So that catch-up could happen in a quarter given the short tenor of liabilities?

Shanti Ekambaram: I think a lot has happened. That's not correct, yes.

Dipak Gupta: No, that's not the catch-up. That is not just TD.

KVS Manian: Average cost of TD is not 7-ish.

Shanti Ekambaram: That's right. See, you're assuming that everything is coming in the one year range, right? You have sweep at 180 days. And if you see this quarter, we've had very strong sweep flows. You have TD at one year. You have TD at 270 days. So, I am saying, your average cost of TD is not in the 7% because of the range of tenures that has come through, that's why your average liability cycle is around 10-11 months.

Abhishek M: Right. Got that. And just secondly, Dipak, opening comment on growth to NIM trade-off will be better than the growth to credit trade-offs. Does that mean incrementally you'd be

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looking to do more of higher quality, let's say, home loan, corporate loans and something of that sort? Just wanted to get a sense of what you meant?

Dipak Gupta: No, it doesn't mean that. It just means that the credit cycle is still playing off and we are still pretty well off continuing the product mix, which is outlined. Yes, it's still good, it's safe to play the growth path assuming

the mix of credit which we really have. Yes, rather than start being cautious on credit at this point of time. That's what I really mean by that.

Abhishek M: Thank you.

Moderator: Thank you. Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes, hi. Good evening, sir. In your opening remarks, again, more or less the same question, you had mentioned that the growth versus NIM and growth versus credit cost, at the same time, at two quarters back, the bank had a view that corporate growth was the risk reward apart from credit cost also, but in terms of tenure and in terms of pricing, was also not that favorable, and the bank had let go of a few hundred crore of corporate deposits because of these issues. However, in the last two quarters, corporate growth has picked up really well. So has anything changed in the way you think on the corporate growth side, large corporate side?

Dipak Gupta: So I'll have Manian answer that, but it's not really a deposit side issue. It's really the growth you're seeing is primarily driven on the asset side. So Manian, do you want to answer that really?

KVS Manian: Yes. So when you look at the growth you must -- like we always do, look at the advances and credit substitutes. So if you combine them that and look at it, the growth trajectory is not dramatically different. I would say the mix is changing more favorably. Advances give us better net yield than credit substitutes. So I would say that, it's more profitability driven than size driven and there's not a dramatic change in customer assets per se.

Jai Mundhra: Okay, sure. And in your view, has anything changed on the home loan risk reward? Because the trajectory Y-o-Y growth in that product, that has come off subsequently and now we are below system growth, whereas two, three quarters back we were like 2x of system growth that has climbed below system growth?

Dipak Gupta: I think you must look at two parts and you must look at the overall mortgage business per se, which is home loans and LAP together and I'll have my colleague, Virat try and answer your question.

Virat Diwanji: Yes. So if you look at in terms of purely home loans, I think on the disbursement front or

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rates have risen in the recent past, there are people who are actually part repaying or foreclosing their loans. And that's where the impact comes on the overall book size. But if you look on the home loan and LAP together, I think our grow th was in excess of 15% and LAP is a segment where we have been traditionally very good. And I think there is no -- what do you call, we are getting growth both in terms of new customers as well as the book is holding well.

Shanti Ekambaram: I just wanted to add to that. You asked about risk. I think the home loan product and environment is extremely stable, both home loans and LAP. I don't think there is anything about risk. There is high competitive pricing and you've got to make sure that you get your business based on pricing. And as Virat said, we have a combination of both LAP and home loan, but no issue of risk at all.

Jai Mundhra: No, ma'am, I was just highlighting that the home loan and LAP put together the growth in the last four, five quarters hav e been 45%, 40%, 30%, 21%, 18% and now 15% right? So there is a dramatic shift or dramatic moderation in the growth rate. You are still growing at 15% plus. But has anything changed because, of course, the rate cycle has changed as -- is anything apart fro m that one should take note of?

Dipak Gupta: No, it's not a risk issue. It is proba

bly just a spread issue. So yes, as your ROAs and ROEs of pure home loans fall. Yes, the desire to do more of that reduces. And that's part of our product mix management on the asset side strategy.

Jai Mundhra: Sure. Yes, so that is all for me. Thank you.

Dipak Gupta: And then that's what I meant when I said really, we can still continue with the credit cycle still looks decent. So your product mix on the asset side is still not something which you want to trade off really.

Jai Mundhra: Right. Understood, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh: Sir, just two questions. One is this recovery and upgrade that you are seeing from your net slippages, if we adjust for this intra quarter change, the recovery upgrade is like 64%, 65%. Is that something which you think is normal in the retail business? Or is it just elevated at this point?

Jaimin Bhatt: No, actually, it's fine. We've been seeing the recovery upgrades continuing to be a reasonable part of the slippages during this period. So this quarter as -- there are two different parts of recovery and upgrades. One is the 300 which we talk about is 1, 300 slipped during the quarter. 300 out of those 1,300 got upgraded during the same quarter

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itself. So net -net, they didn't really slip into NPA for technical reason they slipped into NPA and got back. The overall recovery in upgrades is about INR 900 crore out of the 1,300 which includes this 300 crore .

Saurabh: Yes. Sir, basically 600 out of 1,000 that's the broad number 64 2 out of 1 000 so that...

Jaimin Bhatt: No, the 600 will not be out of the 1,000, the 600 will be out of the previous period's balance.

Saurabh: Okay. Okay. Got it, sir. And sir, just very quickly, what's the LCR for the quarter now?

Jaimin Bhatt: We talk about group level , average would be 126% -127%.

Paul Parambi : Yes about 127%.

Saurabh: And bank.

Paul Parambi: Bank is 120% , about 120%.

Saurabh: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Chintan Joshi from Autonomous, Bernstein. Please go ahead.

Chintan Joshi: So thank you for taking my question . If I observe the CASA ratio, it is down 70 basis points this quarter. If I look at CASA as a percentage of total funds, it's down 90 basis points. I hear your focus on ActivMoney product and scaling up activities there. The trend in CASA are more marked f or Kotak than for other banks. I'm wondering how these trends will evolve , where do you think CASA ratio will land at post maturity of the ActivMoney product?

Dipak Gupta: Well, there are 2 parts to what you asked really. I think CASA has CA and SA of the 2, the

SA part, I see it as a challenge for the industry itself going forward. And you must look at SA even across other peer banks net of government business SA. When you look at pure customer non-government SA. I think it's a challenge for the industry going forward, Yes, because customers are moving from lazy money, low interest rates to term deposits. Definitely, one sees that as a phenomena. And one has to be worried about that as an industry as we look ahead.

The second part, which you mentioned is the choice really is, yes, money moves out of SA. It actually -- it either goes into term deposits or do you retain some of that money at lower costs through products like sweep deposits. And that's the strategy which we've gone in for and it does result in some amount of cannibalization of SA itself into sweep deposits. But in general, you do manage to lift your overall SA out of that as well as get incremental new deposits at a cost lower than the cost of term deposits.

So net-net, it works well from a cost of deposit point of view.
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Chintan Joshi: But do you have visibility on kind of where would CASA land for you after kind of the trends that you see?

Dipak Gupta: Well, again, you must look at it from a slightly different perspective. When you're talking about growth rates in the 20s, SA and CA and the problem is more with CA than SA in that case, takes time to move up, yes? CASA does not move up in steps. It moves up sort of more granularly at a constant slope. So it takes time to catch up. So I expect CASA to catch up and progressively start moving up once overall growth rates stabilize. We'll have to wait for that. Yes. But I don't see too much of downside pressure at the second half.

Chintan Joshi: Fair enough. And the second question was on lending yield. You highlighted on cost of deposit, the duration is 11-12 months, and most of it is done now. On the lending side, how much of the book is yet to reprice. There was a healthy 32 basis point increase calculated on yields this quarter. How much more can we expect how much is left to be repriced?

KVS Manian: On the asset side, I think largely the repricing is more or less done. We don't see -- especially given the scenario that we don't see repo rates rising. I think currently, the entire industry faces the issue of assets which are based on repo pricing and the liability cost rising, the basis different basis risk playing out slightly. So I don't see advances rates further going up.

Jaimin Bhatt: So about 70% of our book is anyway on floating rate. So they are linked largely to the repo or at best the MCLR rate. So about 58% -59% linked to repo and the balance to MCLR and what not. So these are reasonably changing as we go, as Manian mentioned, as long as those rates don't change, they will remain where they are.

KVS Manian: MCLR-based the loans may somewhat change, but repo rates are not likely to keep pace with the cost rises.

Chintan Joshi: Got it, but the 16% of the book has got duration greater than 1 year. Is there any more repricing left in that part of the book?

Jaimin Bhatt: That's fixed rate. That's a fixed rate straight.

Chintan Joshi: It doesn't have as much as pass through.

Dipak Gupta: Commercial vehicle EMI, tractor loans, all of those. Those are all fixed rates.

Moderator: Our next question is from the line of Manish Shukla from Axis Capital.

Manish Shukla: Jaimin, going back to the comment that you made on 14-15 basis points one-off. So just to be clear, from here on, does margins stay where it is or it still falls from where it was in the second half of this year?

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Jaimin Bhatt: No, I can't make an absolute this thing, but the sharpness of what you saw this quarter is going to be nowhere near that. And what we are talking about is to that extent, the kind of fall, which we saw this quarter, the 14-15 bps is things which are not regularly happening every time. So difficult to say, it will not fall, but I think we still continue to be the highest net interest margin in the industry, I think, will pretty much remain there. And the sharpness will not likely to be of this variety as we go forward.

Manish Shukla: So this yield drag one-off drag of 14-15 bps doesn't repeat and hypothetically if cost of funds rise only 15 bps sequentially. Margins ought to stay where they are. It's a fair way right?

Jaimin Bhatt: Right, yes.

Manish Shukla: Second question is the

high margin and low credit cost environment, some of that has gone as reinvestment in business. How do you think of cost ratios going forward either later this year or more into next year in terms of cost to income or cost to assets?

Dipak Gupta: So normally, before Jaimin tries to answer that, I would barge in and say, yes, downward, except the only caveat is my friend Milind Nagnur here to the extent he keeps on bringing in technology efficiency, some amount of tech costs will come in and what happens really is as tech costs come in, there is an intermediate period of a bubble where you run your existing costs and you spend on tech. At the end of it, and that bubble probably will be another 6 months really for us. You should see movement downwards of operating costs.

Jaimin Bhatt: I was talking about the fact that this quarter versus last quarter, our costs have been reasonably flat despite the fact that we spent a lot more on promotions, we got some one-offs as interest rates rose up, some retiral costs came down and what not, but I think pretty much an eye on costs as the industry develops.

Moderator: Our next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: So my question is on the credit card business, like we have been reporting pretty strong growth. So if you can talk about the key changes in our sourcing strategy? And what is the mix of NTB customers? And related to it on the overall unsecured piece last quarter, we guided for mid-teen levels of book size. So are we still keeping that intact because there has been some big concern on the overall unsecured loans?

Virat Diwanji: Yes. So first of all, as promised, yes, our unsecured is just 11% of our loan book. So we are very much there within what we had said earlier. Coming to your question on credit card, mind you, 92% of our credit card base comes from the cards of our existing bank customers.

And most of our new to bank acquisition comes through our existing customers of co-brand partners. And that gives us a very good comfort to grow both in terms of numbers

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and the spends. There might be a slight elevation in 90-plus numbers, but I think overall risk metrics on card business are absolutely in control. And there is nothing to worry at this stage as we see the card portfolio.

Dipak Gupta: Paul, do you want to give a flavor of card delinquencies as you see it?

Paul Parambi: Yes. So overall, as we look at cards and the broader unsecured, the slippages and delinquencies are still in line with levels which we are comfortable. We are not seeing anything which believe we should change trajectory or change growth. And some of our bounce rates, etc., all those metrics are sort of holding up right now. So nothing to worry about.

Moderator: Our next question is from the line of Gaurav Singhal from Aspex Management Limited. Please go ahead.

Gaurav Singhal: So just 1 thing. So the new CEO, can you give us a sense of when he will start because the current interim CEO term expires, I think, at the end of October and the RBI letter says needs to start off no later than January. So can you give us a sense of how this transition will happen?

Dipak Gupta: Well, the current CEO, term expires on 1st November so we had a Board meeting today. So we will be applying to RBI for extension of the current CEO. We'll have to wait for RBI's approval to see what the extension is like. On the new MD and CEO, hopefully, over the next I think, 8 weeks, we should have a better idea of when about he will be joining really yes. The approval is for the joining not later than 1st Jan. So hopefully, we'll probably have him before that. But we j

ust got to get back and chat because the approval came last minute really.

Gaurav Singhal: Got it. And my second question is on NIM. So just so that I heard the correction on the previous question. So if there is like a 15 bps rise in cost of deposit, let's say, for example, next quarter, our NIM can be flat, because the 15 bps or one-off roughly may not repeat. Is that the right understanding?

Dipak Gupta: Yes, that's the right understanding.

Gaurav Singhal: Got it. And secondly on NIM, when will we reflect the Sonata acquisition in our numbers because hopefully that can be NIM accretive. And including the Sonata acquisition because we had given this 5% exit -- a minimum 5% exit guidance by the end of March '24. But if we factor in Sonata acquisition, do you think that can be better because it's proven NIM accretive.

Jaimin Bhatt: So just to take that, Sonata, we just got the approval from the RBI, and it's subject to a couple of other requisite approvals. We do expect that, as Shanti mentioned, to be done by the end of this financial year. Yes, it is a high-yielding book like microfinance. But at Kotak Mahindra Bank Limited
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the end of the day, if you look at the size of Sonata advances, if I remember, it's about INR 2,500 crore. So while it is high-yielding net-net, it is about what 0.6% -0.7% of our overall advances. So it's not likely to make any meaningful difference in overall margin.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. Dipak Gupta for closing comments.

Dipak Gupta: Thank you friends and wish you all happy Dussehra and Diwali. Thank you.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3FY24 Earnings Conference Call
IST 4.00 PM on January 20, 2024

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Mr. KVS Manian - Whole Time Director
Ms. Shanti Ekambaram - Whole Time Director
Mr. Virat Diwanji - Group President & Head Consumer Bank
Mr. Jaimin Bhatt - Group President & Group CFO
Mr. Paul Parambi - Group President & Chief Risk Officer
Mr. Milind Nagnur - Group President & Chief Technology Officer
Mr. Nilesh Shah - Managing Director, Kotak Mahindra Asset Management Co. Ltd.
Mr. Jaideep Hansraj - Managing Director, Kotak Securities Ltd.
Mr. Mahesh Balasubramanian - Managing Director, Kotak Mahindra Life Insurance Company Ltd.
Mr. Vyomesh Kapasi - Managing Director, Kotak Mahindra Prime Ltd.

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Safe Harbour

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Moderator: Ladies and gentlemen, good day and welcome to the Kotak Mahindra Bank Q3 FY'24 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani, Managing Director & CEO of Kotak Bank. Thank you and over to you, sir.

Ashok Vaswani: Thank you. Thank you so much. I am absolutely delighted to be here with all of you for the first time as the CEO of Kotak Mahindra Bank. As you all must be well aware, I have been in this

assignment for only about 18 calendar days and I am still, you know, working my way, getting my arms around the place. But I am very cognizant that these are incredibly special times and that Kotak is in a particularly special place, which I will come back to.

If you just take a big step back, globally, we have had unprecedented volatility over the last few years, starting with the COVID pandemic, significant injections of liquidity by virtually every government across the world which then led to very high inflation, which was only previously seen in maybe the 1980s, and then unprecedented tightening by the central banks across the world to fight inflation.

And central banks will have to continue this fight to bring down inflation to a sustainable level, but yet protect growth. And as if all of this was not enough, the geopolitical situation has made it extremely difficult.

With this kind of backdrop, actually India has been relatively speaking protected and resilient with strong economic growth, business optimism, continuous rise in public expenditure and a pickup in private sector capex. As I look out, India actually looks like quite a shining star amongst the various other economies in the world.

The other thing about India which is really truly transformative is the digital stack that has been built here. I believe that the digital stack has transformed the country in more ways than just meets

the eye. This will continue to be a very significant opportunity and a change agent for the country and for us.

In this context, Kotak occupies a very special place. Kotak is a very strong brand, has a very strong reputation, very well capitalized and is an incredible platform offering the full array of financial products and services. Kotak has done very well and really the challenge and the story from here on is how we scale? And scaling is not just for the size of scale, scaling is for remaining and becoming relevant as India steps up to become the third largest economy in the world.

But for today, let's focus on the Q3 numbers and I'll turn to Jaemin to help us walk through the numbers.

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Jaimin Bhatt: Thank you, Ashok. Friends, just to take you through the October-December '23 numbers which we disclosed earlier today, let me start with the consolidated numbers first. This quarter, we closed the quarter with a post-tax profit of INR4,265 crore which was compared to INR3,995 crore in the same period last year. If I take the 9-month period which is April-December '23, we brought in INR12,876 crore versus INR10,359 crore in the same period last year. The bank's contribution this quarter was INR3,005 crore. The bank did take some hits on a couple of counts. I will talk about that as we get into the details of the bank.

On the other entities, the securities business brought in INR306 crore of profit which is about 27% higher than what they did in the same period last year. Securities also improved its market share from 5.8% last year to 10.3% this quarter with a significant increase in the derivative market share.

Kotak Prime contributed INR239 crore this quarter versus INR225 crore in the previous year. The vehicle loan book in Prime has grown sharply on a Y-o-Y basis. Kotak Investments, again on the back of about 35% growth on advances, has taken its post-tax profit for the quarter up from INR86 crore last year this quarter to INR157 crore.

The microfinance business correspondent entity which we have called BSS, brought in INR104 crore of post-tax profit for the quarter and for the nine-month period INR307 crore.

The life insurance entity this quarter had a post-tax profit of INR140 crore and was hit on account of the change of commissions which happened. I'll have the management talk about that.

The domestic mutual fund brought in INR146 crore. Last year same quarter we had some one-time capital gains which had taken that number up. Our overall group-wide assets under management have grown 32% on a Y-o-Y basis and are now in excess of INR5 lakh crore. Our overall customer assets at the consolidated level at INR4,50,000 crore which is about 19% higher than what we were a year ago.

The capital position across the group is very healthy. Overall, our net worth at INR1,25,000 crore, apart from the bank, the two NBFCs having capital adequacies in excess of 25%. The life insurance entity having a solvency of 2.66 X. Capital adequacy at the overall consolidated level with a CET1 of 21.2%.

Among the subsidiaries, the other notable thing during the quarter was the fact that in November we did announce a signing of an agreement with Zurich Insurance for them to take initially a 51% stake in Kotak General Insurance which would be through a combination of primary and secondary transactions and over a period of time to increase that to 70%.

Let me come to the standalone bank. This quarter we took a profit of INR3,005 crore as against INR2,792 crore a year ago. And for the 9-month period, we clocked INR9,648 crore which is about 30% higher than the 9-month in the previous period.

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As I mentioned, two hits we got this quarter; one was, a INR190 crore pre-tax provision on investments in al

ternate asset investment funds. This is pursuant to the RBI circular which was of December 19. I must say there is no ever greening which we have as against the INR190 crore of provision which we have taken which is the quantum of money invested in specific funds. The outstanding exposure which we have on the investments which are common is all of INR65 crore. Plus, the bank has no investments which are in subordinated units with priority distribution at all.

The other hit which we got this quarter was on Trading and MTM loss on the fixed income book net of OIS which is this quarter taking a hit of INR168 crore. A large part of this is on the OIS book. Now, this is a book where the bank is locking a spread on the security through OIS for the life of the asset. This quarter, we had the OIS curve saw a sharp change resulting in the mark-to-market.

While this we have seen volatility during interim periods, for the life of the security, the spread remains protected and that's what we are playing with. If you notice the previous quarter itself, we actually had a profit of INR150 crore on the mark-to-market scenario. We of course continue to have a significant portion of our investment book in AFS and HFT which is 81% as of December.

The net interest income for the bank closed at INR6,554 crore which is about 16% higher than what we have done a year ago. We have also seen a 27% growth in fees and services both on account of distribution, as well as on general banking fees. This quarter costs INR4,284 crore which is 14% higher than what we had a year ago.

The employee cost tended to be a little higher this quarter because of higher retiral costs as well as some stock related hits which we end up taking. And the other operating expenses were significantly higher spend on promotion and marketing during the festive period in quarter 4 calendar.

The pre-provision profit therefore INR4,566 crore which is 19% higher than what we had at INR3,850 crore in quarter 3 last year. Provision towards advances INR324 crore which gives us a pre-tax profit of INR3,987 crore. Our credit cost at 40 bps versus 47 bps in the previous quarter.

Our advances overall which is before I BPC, BRDS stood at INR3,72,000 crore which is about 19% higher than what we had a year ago. After including credit substitutes, we grew customer assets at 17% Y-o-Y and 5% Q-o-Q.

Our unsecured retail including retail microfinance is now at 11.6% of our net advances. Net interest margins we closed at 5.22% which is the same as what we had in the immediately preceding quarter versus 5.47 a year ago. We had 4.8 crore customers as of this period which is about 0.9 crore higher than what we had a year ago. Our asset quality remains fine. We had a GNPA of 1.73% against 1.90% a year ago with a net number at 0.34% against 0.43% a year ago. The coverage ratio therefore at over 80% now.

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Our slippages this quarter were about INR1,177 crore whereas at net level we would come to about INR888 crore. Our fund based restructured standard COVID and MSME resolution aggregates to only about 0.13% of our advances. Our CASA at 47.7% and about another 10 odd percent comes from ActivMoney which is the quasi-TD which we have. Our capital adequacy again at the bank healthy at 21.3% with CET1 itself at 20.1%. Probably those were the highlights of what we did this quarter. I will give it to Manian to take for the corporate bank.

KVS Manian: Thank you, Jamin. I will quickly take you through the highlights of the wholesale business in the bank. This quarter our corporate advances grew at a rate of 3% Q-o-Q and 13% Y-o-Y but overall, our funded assets book including credit substitutes grew at 7% Q-o-Q.

As we have always been talking about, we manage the funded assets, advances and credit substitutes in an interchangeable manner

depending upon the movement of interest rates and pricing that is available on each of those. This quarter therefore saw a reasonable pickup in the

investment book which grew actually 21% Q-o-Q.

Among the various segments, we saw strong demand for credit offtake from our mid-market and SME segments. Both these segments have grown much faster than the rest of the wholesale bank. The mid-market segment ramped up well and grew in double digit Q-o-Q. Growth in this segment is consistent with our philosophy of growing a granular book in the corporate bank. Majority of the mid-corporate book is working capital intensive and we will continue focusing on faster onboarding of new clients in this segment.

SME book saw a growth of 5% Q-o-Q and 18% Y-o-Y. Our focus on NTBs and rollout across more locations has ensured good overall growth in the business. In fact, the business witnessed its record number of NTBs getting onboarded this quarter. SME book quality remains healthy. However, we do continue to see pricing related challenges in this segment.

We see even more intense pricing pressures in our traditional large corporate segment and this has impacted growth of that book in the long-term book as well as the short-term book. But advances growth was relatively healthy in the conglomerates and the multinational segments. We have been cautiously building our infrastructure financing book in a selective manner. We have seen some traction in this side of our business with deals being closed across renewables, roads, hospitality and other allied sectors. Our overall portfolio metrics remain excellent with negligible credit costs.

We are seeing somewhat subdued growth in the fees in the current year. While we have seen growth in throughput in FX volumes, spreads have been competitive and have put pressure on the fee growth. Even though DCM has a healthy pipeline, we have seen some challenges in deal closure during the quarter and therefore the income was somewhat subdued.

On the liability side, the current account balances were muted this quarter. The lumpy upside that we saw in Q2 arising out of custody flows has moderated a bit in Q3. We continue to focus on garnering higher share of the customer flows and transaction banking in the corporate

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segment. On an average basis, the core corporate segment has shown a reasonably robust Q-o-Q growth.

We have been investing significantly in improving our technology and stability of our systems. Our digital offerings through fyn and our offerings on tax remittances continue to show good adoption rates. Tax payments through the bank grew at a healthy 35% Q-o-Q. This quarter, we also successfully completed migrating all our CMS payments customers to our new CMS platform.

Overall, the business remains in good health with healthy ROEs and robust profit growth. Our philosophy that our profit growth should grow faster than our asset growth remains our abiding principle in this business and we continue to manage it in that manner.

I will now hand it over to Shanti to take you through the commercial bank.

Shanti Ekambaram: Thank you, Manian. The commercial banking business saw reasonable growth in this quarter.

I will start with commercial vehicles. While the industry in this quarter saw muted and a little bit of de-growth, our overall disbursement grew at 35% Y-o-Y in new unit volume terms and we continue to outpace the industry growth leading to an improvement in market share. Demand for passenger bus segment continues to witness significant growth whereas the goods segment remains relatively flat. At the industry level, freight demand, viability and availability of return loads continues to be stable. We will continue to increase our SOH and market share in this segment with focused approach on risk-adjusted return and increasing our distribution

footprint. Collection efficiency continues to be stable.

Coming to construction equipment, thanks to the steady and improving demand on the infrastructure side, the industry grew as well as we grew. Our disbursement grew at 38% Y-o-Y in Q3 which helped us gain the market share. Earth-moving equipment, road and material handling equipment, segments like mining, roads, urban, semi-urban housing, saw a lot of demand for construction equipment and also aided by the significant improvement in the macroeconomic scenario. We expect to retain our growth momentum in this segment in the last quarter and we expect industry also to continue to show a good rate.

Tractor industry actually de-grew 4.2% on YTD December because of the delay in harvesting and rain impact. However, we continue to grow our disbursement and market share in this very important segment for us. The used tractor business has seen strong growth in current year and helping us strengthen our existing customer relationships as well as acquire new customers in the early state of farm mechanization. Our focus on this segment will continue and we will deepen our presence in Bharat. Collection efficiencies were better than the previous year. Some stress is visible in rainfall deficit states, predominantly Maharashtra and South India.

Microfinance business. Our microfinance business continues its growth momentum in Q3 with a healthy growth in advance of around 56% Y-o-Y. There has been some relative slowdown in Kotak Mahindra Bank Limited
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growth due to control measures implemented by us for better hygiene. Our current outreach in 12 states is through a network of 800 BC branches with an active base of 18 lakhs women .

Marginal increase in PAR , but that is because again of certain excess rainfall deficit states as we talked about in the earlier tractor finance business. We will look to strengthen our investment in technology to bring about greater control and improve our customer experience as we continue to build our presence in this largest underserved segment.

Agri SME continues to be subdued in terms of utilization of limits due to lower stocking by many traders given the volatility in the pricing. We expect this business to pick up in the coming quarter and utilization to improve. Remains a core focus area for us and will continue the growth path.

I now request Virat to take you through the highlights of the consumer bank.

Virat Diwanji: Thanks Shanti. As I start with consumer assets within the consumer bank. Our mortgage lending business continues to grow well at 15% Y-o-Y in spite of the pricing pressures. We see strong traction in the loan against property segment which has been traditionally area of strength for us. This book continues to hold well on all parameters of risk and collections.

Our unsecured products in consumer bank continues to show positive traction with a growth of about 40% Y-o-Y and 9% Q-o-Q. Our growth is well balanced and well diversified between personal loans, business loans and credit cards.

We continue to invest in our card franchise with overall credit card advances is growing by about over 50% on a Y-o-Y basis. Our focus on creating a differentiated customer value through strategic tie -ups and sponsorship is paying dividends.

Overall risk metrics for the unsecured business is holding stable. Some emerging risk seen in the credit cards due to leverage build up by customers leading to diminished repayment capability. However, it is absolutely under control and we believe our unsecured portfolio is appropriately priced to deliver targeted risk adjusted returns.

Now I move to the business banking assets within the consumer bank. Again, this has seen a good growth of about 20% on a Y-o-Y basis. While on Q -o-Q, the growth was slightly muted due to repayment of utilized limits originating from the post -festive season ca

sh realizations.

Formalization in the micro -enterprises segment over the recent period along with our geographical distribution has resulted in micro -enterprises segment book which gives better limit utilization going much faster than the small and medium enterprises book.

Fuelled by market demand and partnerships, the unsecured business loan segment witnessed a healthy growth. Of late, we have seen demand for CGTMSE -backed loans from our customers.

Our delinquencies on both the secured and unsecured business banking book remains stable.

Looking ahead , we expect to reap benefits in efficiency and enhancing customer experience from technology investments we have made in the recent period.

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Moving on to the liability side, the total deposits have grown 19% on Y-o-Y basis with major contribution coming from term deposit. However, savings account balances returning to show some positive traction on a Y-o-Y basis. In line with banks objective of building a granular and stable deposit franchise, the bank introduced a special offering for a senior citizen customer segment which was received well on the ground. ActivMoney which was launched in May continues to scale up significantly.

Bank continues to scale up sourcing of savings and current accounts using assisted digital journey. This has helped us to reduce the account opening TAT resulting in better customer on -boarding experience. This digital on -boarding journey also allows customers to choose other financial products offered by the bank. This eventually will help us better cross sell at the time of on -boarding.

To drive growth of business customers, we have launched a value proposition for SME and MSME segment. We also launched a new global service account to meet the unique banking needs of service export sector. We saw significant traction in our customers using our digital platform for payments of statutory taxes in quarters.

Thank you. I will now hand it over to Milind for digital update.

Milind Nagnur: Thank you, Virat. I will take this opportunity to explain our strategic thought process on core

technology and digital focus areas. It's a three-pronged strategy where firstly we have to ensure the basics on customer experience and platform. That is, we must provide technology that works fast, that works reliably all the time while protecting customers' assets and transactions with the highest level of security and privacy.

Secondly, straight through processing is a concept we relentlessly go after where the goal is to design and maintain processes that are simple, fast and paper-free. Thirdly, we are also investing for a future that is getting shaped with software 2.0. A key aspect of software 2.0 is that traditional software engineering, which was about engineers writing code based on user stories, is getting replaced with designing of weights on neural networks.

In order to be fortified on all three aspects of this strategy, we have to have the right skills in-house and we have had a significant focus in 2023 on onboarding some of the best tech talent and establishing best practices such as architecture review board and principal engineer reviews for our project design. We plan to double down on these efforts in calendar year 2024. A short glance at the metrics on the digital page show notable improvements in digitization across both consumer and wholesale areas.

Overall, we strive to see ourselves delivering technology that could be a key differentiator for our customers. And that would be my short update on tech today and I'll pass it now to Jaideep for the next topic on Kotak Securities.

Jaideep Hansraj: Thank you, Milind. I'll be talking about the Q3 numbers for Kotak Securities. Since the overall cash market volumes saw a dramatic jump over the last two and a half months, which has

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clearly been fuelled by the FIIs and domestic mutual funds. Options volumes have shown some bit of plateauing over the last quarter. We will have to wait and see how things pan out post this round of market volatility.

Kotak Securities has delivered a top line of INR999 crore for Q3 of FY24. This was against a number of INR784 crore for the same period last year. This top line resulted in a PAT of INR306 crore, which was comparable with a INR241 crore PAT of last year. The call taken by the firm on having Neo as the preferred app and web platform for our customers is working out reasonably well.

Neo today accounts for nearly 90% of the firm's volumes, 80% of the traded orders, and 85% of the futures and options orders. It is being liked by our customers, still some time before all the customer's demands for all the features are met. The team continues to strive to ensure that it listens to every communication by the customer and tries fulfilling it.

The institutional part of the business would be one of the strongest franchises of the group and shows robust growth in practically all categories. The overall market share has seen a healthy growth and we will continue our endeavours to keep climbing on the market share. I will now hand over to Mahesh Balasubramanian, who is the CEO of Kotak Life Insurance. Thank you.

Mahesh Balasubramanian: Thank you, Jaideep. Kotak Life Insurance gross written premium grew by 9.7% year-on-year for the quarter. Traditional products contributed 78.9% of regular premium, with non-participating products contributing 46%. Our unit growth has been lower than some of our peers, as our focus has been more on the traditional products which deliver consistent margin.

The overall protection premium stood at 36.6% of individual new business and group premium. Kotak Life profit after tax for the quarter stood at INR140 crore, which was lower than the same period last year. This is mainly due to two reasons. Higher guarantee rates to customers on the non-par products sold during the period, resulting in higher new business trade.

Secondly, consequent to the change in guidelines wherein commissions have been deregulated, we now pay higher commissions to few partners, including Kotak Mahindra Bank. I will now hand over to Vyomesh Kapasi to go through the results of Kotak Prime.

Vyomesh Kapasi: Thank you, Mahesh. Auto industry witnessed good retail demand in Q3 due to festive season and attractive consumer offers in the year-end. This has also resulted in reduction of stock levels at the dealership. So far, industry has grown 7.4% in the current financial year and 8% for the calendar year 2023. The demand is mainly driven by SUV segment, which is now more than 50% of the industry sales.

Passenger car EV sales has doubled in the first nine months of the current financial year to 65,000 against 30,000 last year. EV penetration in the industry is now at 2% as compared to 1% last year. This year, KMP car finance business growth is 2.5 times higher than the car industry growth. Overall, on the financials, profit after tax was INR239 crore in Q3 against INR225 crore in the same quarter last year and INR208 crore in previous quarter.

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KMP acquired Volkswagen and Ford Portfolio in financial year 2022, which is running down. As a result, the contribution from this portfolio to PBT has come down this quarter compared to same quarter last financial year. The overall customer assets at December 23 are at INR32,944 crore against INR26,983 crore as at December 22.

Thank you and with this I'll hand over to Mr. Nilesh Shah of Kotak AMC.

Nilesh Shah: Thanks, Vyomesh. Let me talk about our asset management business. In third quarter FY'24, our total average AUM grew 23% Y-o-Y to reach INR3.54 trillion. Our equity average AUM

grew

32% Y-o-Y to INR2.10 trillion. Our equity AUM market share grew to 6.56% in third quarter FY'24. Our SIP inflows for December 23 grew 23% Y-o-Y to INR10.9 billion. Our non-institutional AUM stands at about 59% of total AUM.

Our PBT before other income grew 19% to INR184 crore in Q3 FY'24 on back of AUM growth. Our total AUM across mutual fund, TMS, offshore, insurance and alternate assets grew 32% Y-o-Y to INR5.33 trillion led by domestic equity and offshore funds. We continue to manage the largest India dedicated offshore fund, Kotak Funds - India Midcap Fund with AUM in excess of INR3.9 billion.

Now I will hand it over to Jaimin.

Jaimin Bhatt: Dorwin, we should be good for taking questions now.

Moderator: Certainly, sir. We will now begin the question-and-answer session. The first question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: Thank you. So, I wanted to start off with understanding the sensitivity to your NIM for FY'25. So, the way I see it, you have something like 35-40 basis points of NIM improvement coming from the business mix shift towards unsecured. And also, 57% of your book is EBLR.

So, if I think about FY'25, how do you see the impact of RBI measures on unsecured impacting your book? And how does that flow into NIMs? And also, if there is a rate cut, let's say at the end of FY'25, how should that impact your NIMs going forward? If you could give some color on that, that would be helpful.

Jaimin Bhatt: Let me just take that. Jaimin here. Yes, you are right, 57%-58% of our book is linked to repo. And to that extent, it is directly linked to what's happening there. This year, you have seen repo rates flat that have been effectively since the last increase in February '23, we have retained that number for all of this period. And likely to be at that level for some time. We don't know when it will change. But yes, the book is somewhat sensitive to the fact that 58% is linked to repo rates.

If the repo rate falls, yes, those advances do get re-priced. And to that extent, it will depend upon how the mix on the asset side as well as the liability side is changing. Yes, the unsecured book, we have taken it now to about 11.6% of our overall net advances. We have talked in the Kotak Mahindra Bank Limited

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past that we would be comfortable to take it early to mid-teens. We are pretty much on that journey. At this stage, there is no reason for us to put the brakes on it.

While RBI may have increased risk rates and all, we are quite comfortable with that. And that wouldn't really put the brakes on what's happening on that growth. So, we will keep growing that steadily from where we are today, of course, keeping an eye on the collections and credit. But that will keep going on. So yes, if the repo rates drop, it will kind of rebalance what's happening. But the decision on going for higher unsecured will not be necessarily linked to, because the repo rates are falling, it's a mix of how the credit book would look like.

Chintan Joshi: Thank you. And then the second question is on deposit competition. It seems to be competitive in the system. Liquidity is tight, which should be headwind arguably to your cost of funds. The question I have is, do you see room to move lending margins higher to offset some of these competitive pressures? Or do you think business as usual, is good enough for the moment?

Jaimin Bhatt: Look, they are two different things. Both sides are in the marketplace. So, while deposits we need -- all banks would go for deposits and pay what is the right and what the depositor will take. Similarly, the borrower is also in the marketplace and you're not going to be able to price higher than what the market is willing to pay. So, it will have to be played out in the market. Yes, there is a challenge in deposits, which we've called out in our in

vestor presentation. And to that

extent, yes, we are taking all kinds of steps.

We activated these Sweep deposits. We call it ActivMoney. That happened about six months ago and we've seen big traction on that. We had reasonable growth both in the previous quarter and in this quarter. Last quarter -- just a month ago, we've activated the senior citizen's scheme. So that's again, we're pushing that out. So that is a separate play and what the market will pay

you on the asset side is a completely different game.

Chintan Joshi: Okay . Do you see any signs of lending margins increasing in the face of deposit competition pressure?

Jaimin Bhatt: Not really. I think that will play it out. I think there are enough players on the lending side also.

Shanti Ekambaram: It's a competitive market and each of the product segments and the customer segments you are in are very different pricing. So, it is a very competitive market and we sort of have a strategy in each of the segments.

Chintan Joshi: Okay. Thank you. And finally, just wanted to say welcome to Ashok and congrats in the role.

Ashok Vasvani: Thank you so much. Much appreciated .

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, hello. Hi. My question is in general, a discussion on LDRs, because the presentation has talked about -- you just mentioned the deposit challenge. And then there are talks from some

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banks that RBI is monitoring LDRs more closely than it was earlier. So how do I view this in the context of Kotak, especially in FY'25?

Because if you take the third quarter, say third quarter loans grew 3.3%. If you take like an annualization of 3.5, then you're talking about maybe 14% -15% loan growth. Is that the kind of loan growth that the bank will settle for or is there scope for LDRs to move higher? How does it pan out from here? Is there any guidance or any rough target that you could give on where LDRs should settle in FY'25?

Jaimin Bhatt: So, Mahrukh , let me just put a couple of things there. One is what you talked about, the 3 odd percentage as advances growth for the quarter is at the net -net level. If you look at the level before the IBPC, BRDS and others, the number of customer asset growth is about 5.3% -odd for the quarter. So that takes you to about 20% thereabouts annualized. So that's broadly the asset side growth which is happening at this stage. IBPC, BRDS is like a way of funding that to keep that going.

On the LDR, yes, we are at 88 -odd-percent at the end of December. Let's also recognize the fact that while 88% may be optically higher, we also have among the highest Tier 1 capital in the industry which is pure equity. Our CET1 today is about 21% which is giving a lot more cushion to what we can do with it.

Plus, look at the fact that on the LCR, we are at about 126% overall at group level, about the same level as what we were a year ago. So, there is enough liquidity there. And yes, we will keep looking at that and we also at times fund coming through other means. Take this quarter itself where we did about INR3,000 -odd-crore through borrowings which were from refinancing from SIDBI. There are other avenues which are available to fund the asset growth , we will keep looking at it. Of course, deposits is something which we are very focused on.

Mahrukh Adajania: Okay. So, we can still see high -teens growth next year?

Jaimin Bhatt: Yes. The standard thing if you have noticed Kotak for the last 20 -odd years has been that if you take the nominal GDP, we would typically end up in the space of 1.75 to 2 X that growth at a time when we want to grow. Of course, there are times when we hunker down which is not the state at this stage.

Mahrukh Adajania: Okay, so high teens should be possible. And my last question is o

n basically again deposits

only. With so much competition in deposits, do you think deposit rates are likely to rise or you could see margin pressure going ahead?

Shanti Ekambaram: Okay. So, Mahrukh , let me take that question. I am saying that if you look at what we did, you have savings at about 3.5%, you have term deposits at about give or take 7.2%. And we introduced ActivMoney which actually gives a cost in between savings and TD s. So, we introduced another product that gives us another flow of deposits. We will have to keep on innovatively looking at sources of funding for the purpose of our balance sheet and also look at how do you optimize cost of funds.

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We will do what it takes. I am saying if you see the market now, all the banks are raising deposits to fund their growth because there is growth and finding the various initiatives and strategies to play this game. So, we are right there and will be competitive in order to make sure we have adequate fuel for our balance sheet.

Mahrukh Adajania: Okay, perfect. Thanks a lot.

Moderator: Thank you. We have the next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: I was just saying maybe if you can just highlight in terms of the COVID provisions outstanding. Last quarter it was INR320 odd crore . How much have you utilized this quarter and where do we stand now?

Jaimin Bhatt: So, Kunal, that's an arithmetic which we are following which is why I have not put that number this quarter. We are following a formula -driven provisioning on COVID now. That was done long back in the period.

Technically, we could take all of that back but we worked out a situation where we use a formula with the consent of the auditors and others. So, in this quarter, we would have taken away a provision of about INR26 crore . So, out of that 321 which you talked about, 295 is still being carried.

Kunal Shah: Okay. So, 295 still continues. Okay.

Jaimin Bhatt: That's correct.

Kunal Shah: And when we look at it in terms of the overall deposits, so these Sweep deposits are now almost like INR42,000 odd crore . Looking at where the savings pool is, maybe we have seen this shift almost like 35% out there into Sweep .

Obviously, this is more of a behavioral change but where would it largely settle looking at maybe your interaction with the customers and how much impact could it continue to have in terms of the overall cost of SA moving up or maybe combined cost of SA plus TD moving up? Yes.

Virat Diwanji: So, you see, we launched this ActivMoney with a clear strategy that, okay, we get in more customers and when we get more customers, they help us build both SA and the high -valued customers which were moving money to the places where there was a high interest gain for them.

We retained that money or got more money from the other places to build our Sweep balances. I think that strategy has worked for us so far and we will definitely continue going forward is to get more customers, more SA balances and money moving into Sweep . So, at least the money that we have as deposits keep on growing.

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Kunal Shah: And last quarter, in fact, you indicated when there was 35 bps decline that 20 bps was spread impact and 15 was maybe one -off. Maybe this one -off would not unwind but maybe it will not repeat this quarter. So, if we just look at in terms of the maybe currently 5.22 % staying as it is as Q2, if you can just give the breakup in terms of how much has been the impact on the spreads and how much maybe if any of the unwinding which was there maybe which has helped this quarter. So, that would have maybe because expectations were of a decline ?

Jaimin Bhatt: So, I think, Kunal, it's not easy to put that into an arithmetical formula but yes, just to give a

ve a

thing, last year there was a CRR impact which was a one -timer which is not there this time. We had some hit taken internally last quarter which is not there again this time. So, those would be about 3 -4 bps differential.

Of course, there is the other thing which we have done smarter this period is now that we know the behavior particularly of what's happening on ActivMoney and all, the proportion of money which is going into advances from the investable amount has gone up and that does make a difference. Because what you earn on advances is significantly higher than what you would earn on just putting into liquid investments or whatnot.

So, that is the difference where the mix of the earning assets has changed a little more in favor of advances and that's again continuing to be an effort and we'll keep doing what it takes there.

Kunal Shah: So, then investment rise of almost INR17, 000-odd crore during the quarter away from the cash.

So, in fact, investments are also growing on a quarter -on-quarter basis from 128 now , it's gone up to 146. So, maybe obviously some cash has been put into the investments but if you look at between the advances and the investments, investments is also growing and largely credit substitute is a part of it?

Jaimin Bhatt: That's correct. That's the credit substitute growth which is effectively what we looked at as customer assets...

Kunal Shah: Yes, okay. So, you are saying not maybe mainly the low -yielding one but still getting into the credit substitutes and that's helping. Okay.

Jaimin Bhatt: That's right

Kunal Shah: Okay, good. Okay, yes. Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Hi, sir. Just one question on your ROA. So, historically we used to be in the 1.8% -1.9% odd ballpark. Now with this unsecured mix moving up, would you say this 2.2% handle should be

the new normal at which Kotak operates at given the mix change?
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Jaimin Bhatt: The 2.2%, actually what you are saying, the 2.2% I presume you are talking about is at standalone level. The 2.2% has also got hit thanks to the two hits which we took including the AIF hit which is purely accounting. So, it could actually be higher.

But the numbers which you are talking about, the 1.9% and odd, were in a different era. We've raised capital after that. It does help you on the ROA number which effectively we raised about INR7,000 -odd crore in 2020 and that's taken up our CET1 ratio.

So, that does help on the ROA. But I think overall, the margins have tended to get higher. If you again go back to that era of 1.9% thereabouts, NIMs were operating more in the 4.5 range. We are now talking about consistently in the 5 plus range.

Saurabh Kumar: In a mixed shift in the book, that's a higher ROA book. So, my question was like now we should expect Kotak to be now structurally above the 2.1% -2.2% ballpark, right?

Jaimin Bhatt: Again, that is the ROA is more of a consequence and yes, the mixed change has helped on the asset side. And yes, the consistent thing of pushing the CASA numbers again.

Saurabh Kumar: Okay, thank you.

Moderator: Thank you. The next question is from the line of Jai from ICICI Securities. Please go ahead.

Jai: Hi, good evening, sir and thanks for the opportunity. Sir, my first question is on cost of deposits.

So, last quarter we had said that considering our duration of term deposits, the TD cost should be more or less plateauing.

So, while we don't give the interest on deposits or the TD cost separately, is that a fair assumption that the TD cost would have been plateauing? And just a supplement to that is that in the fag end of the quarter, SBI and maybe some other banks had raised their deposit rate.

So, how should we look at

the cost of deposit for our banks?

Jaimin Bhatt: That's a market-driven thing technically and yes, you've seen if the big boys play the deposit game, some of us will end up having to raise the deposits. Yes, so I wouldn't say it's absolutely plateauing, but yes, the range has been narrowed.

Shanti Ekambaram: I'm saying that it's not just the repricing of deposits, which we had said 10 -11 months more or less time. There's a mixed change also, right? We talked about the fact now that there is SA, there is ActivMoney and there is term deposits. The mix of deposits are also changed. It's not just a function of repricing of the TDs, but the mix of deposits as we go forward.

Jai: Right. So, that is one. And secondly, if we can also talk about the PSL fulfilment for our bank, I think there is some change by the RBI in terms of Udyam registration, etc, wherein they had made mandatory that registration for MSME. Is there any change in the PSL framework for our banks and how are we doing?

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KVS Manian: So, let me take that. So, there is no recent change in the framework of PSL. Udyam registration has been the norm for a while now, a couple of years actually. So, there is no significant change.

We, by and large, meet our PSL requirements other than in the SMF category, where we meet it through trading of certificates. And we have a small shortfall there, which we make up.

Otherwise, we meet the PSL requirements prescribed by RBI.

Jai: Understood, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes, hi. Thanks for taking my question and congrats on the quarter. Just firstly, I wanted to understand industry-wide and for Kotak, what are the sort of rate actions on PL and loans to NBFCs post the risk weight guidelines?

KVS Manian: What is the question? Can you just repeat that, please?

Shanti Ekambaram: Can you repeat the question, please?

Piran Engineer: Yes, so I'm saying that after RBI's risk weight guidelines for personal loans and loans to NBFCs, how much have we and the industry increased pricing in these loans by?

KVS Manian: Yes, so if you see most of our unsecured loan segments, they are largely fixed rate products and the pricing are already at reasonably elevated levels and therefore, we haven't significantly increased pricing at that end. On loan to NBFCs, yes, we have made our adjustment to prices that are required to get us the right ROEs on the products.

Virat Diwanji: Keeping with the principle of the risk-adjusted returns, yes, there is a slight increase on the unsecured personal loans that we are doing today. So, there is some increase that we have done.

Piran Engineer: Is that like 10, 20 bps or more like 40, 50 bps, when you said that?

Virat Diwanji: Yes, it is exactly between that.

Piran Engineer: Okay, so 20 -30 bps. Okay, fair enough. Secondly, just wanted to understand, festive demand for commercial vehicles was a bit muted. A couple of your peers have reported. But we've delivered like 9% Q -o-Q growth. So, what exactly are we seeing or is there some sort of one -off in the base that we need to understand out here or some market share gains? Can you just elaborate on that?

Shanti Ekambaram: It's a distribution strategy as well as, volume strategies that we are looking into and also segment strategy. I think there's a combination of all these three, which is what I said in the opening while the industry has seen muted growth disbursed in Q3 , Y-o-Y muted growth . But we've sort of been deepening our distribution and also looking at the segments where we are growing in certain segments. So, it is a growth strategy focus in that sense , market share .

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Piran Engineer: Is it like some new segme

nts that we have entered into within commercial? Like started doing used commercial vehicles?

KVS Manian: Yes, so we have done two things. One is the proportion of used commercial vehicles has gone up slightly. And we are also, we have made some penetration into what we call the small commercial vehicle segment.

Piran Engineer: Got it. And just lastly, in terms of opex to assets, now we used to be at 2.5% pre -COVID, now consistently north of 3%. Is that a consequence of our strategy of going more into unsecured retail, which of course is a high -cost product? Or should we think about that over a two, three - year period?

Jaimin Bhatt: No, right now, yes, there is some investment more, which is happening on the cost side. But yes, the effort over a period of time is to stepping it down. I don't think we are wanting to be staying at three plus overall.

Piran Engineer: Got it. Got it. Okay. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi, good evening. So, my question is on deposit s costs. If you can share what is the incremental cost of deposits or cost of term deposits, whatever you find easier to share? And also, LCRs, I think you mentioned 120% at the group level. Can you also share that number for the bank?

Paul Para mbi: The group level LCR is 126.9% and the stand -alone bank is at about 119.5%.

Shanti Ekambaram: 120, Yes.

Abhishek Murarka: So similar to last quarter?

Jaimin Bhatt: That's right.

Shanti Ekambaram: Yes.

Abhishek Murarka: And on cost of term deposits, th e incremental cost?

Jaimin Bhatt: I wouldn't want to get into incremental, but our overall deposit s, I think as Shanti alluded to, would be about 6.5 - 6.7, in that range.

Abhishek Murarka: Term deposits?

Jaimin Bhatt: Term deposits. Yes.

Abhishek Murarka: Term deposits is 6.5 to 6.7. Is that correct?

Jaimin Bhatt: That's correct.

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Abhishek Murarka: Okay, okay. So basically, in terms of deposits, the gap between your outstanding deposit costs and incremental, can y ou give an indication of how much that would be?

Jaimin Bhatt: I said I don't want to get into incremental ones. What my book today would be in that range.

Abhishek Murarka: Okay, got it. Got it. All right. Thank you so much.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi. Thanks for the opportunity. One question on the unsecured business, particularly the credit card, while you talked about that you'll want to take the unsecured mix to mid -teens, as earlier indicated, but there was a blip on the credit card sourc ing in the quarter. So, if you can talk about how the sourcing rate is trending and what is the strategy there?

Virat Diwanji: Look, strategically, we have been always focusing on issuing cards to our own customers. And as of today, if you ask me, about 85% to 90% of the cards that are issued are to the existing bank customers. So, from that perspective, at least on the issuance side, we are consistent with

our strategy.

Nitin Aggarwal: So basically, I'm referring to the month of November, wherein there was a drop in terms of the net card addition versus like 100,000 plus run rate that has been the usual trend. So, anything to read into that?

KVS Manian: Nitin, what we did in the last quarter was that the lower end card with low limits, we rationalized our sourcing in that segment.

Nitin Aggarwal: Okay, sure. And one clarification on the treasury loss that we have quoted for the quarter. So, what has driven this? Because, across all the banks who have come so far, we are seeing steady treasury gains. And both equity and bond markets have been moving pretty good. So, what has really driven this loss?

his quarter?

Jaimin Bhatt: I haven't understood the question, but just to explain that, as I mentioned, it is probably the bond swap strategy which we are following. Where in effect, we lock the spread over the life of the asset, where the OIS curve can move differently. And this quarter, it had moved sharply. So, we would have intermediate fluctuations on the thing, but over a period of the life of the asset. So, do I need to repeat the answer again? Then I'll do that.

So just to explain the treasury loss which we took this quarter. It is basically a part of the bond swap strategy which we do, where over the life of a security, the swap enables us to fix up a lifetime spread which we are protected on. While this swap curve moves, there could be volatility in the intermediate periods. We saw a profit in the previous quarter. We've taken a hit in this quarter. But over the life of the asset, the spread is protected and that's what we play on. So yes, we'll have to live with this volatility over periods. But I think over the life of the security, it's a gain which we quite like and we'll continue that.

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Nitin Aggarwal: Right. And lastly, on the ROA, while you talked about the sustainable ROAs that you looked at, but how do you really look at the ROE in the medium term? Because that's one metric wherein Kotak has been really behind other banks.

Jaimin Bhatt: I take the point just as the ROA is helped by the equity which we raised. It is a drag on the ROE because at 21% CET1, it's significantly higher than what we would need. So, to that extent, yes, we would look at and we would take a look at what we do with that. But yes, the capital which we raised three, four years ago has effectively, the profits have been enough to keep the growth going. And to that extent, we'll keep looking at what we do with the capital.

Nitin Aggarwal: Sure. Thanks so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi. Thanks for the opportunity. Just one data keeping question. So, for the investment book, how is it split between GSec and non - GSec? Because the credit substitutes have gone up and you mentioned you manage margins by moving cash into credit substitutes. But at the same time, we maintain the LCR. So, if you could just explain how that happened?

Jaimin Bhatt: Well, broadly GSec book is about 108 out of the 145. So, we've seen that, I think somebody asked earlier about 128 in the previous quarter going to 145. A large part of that has gone into investing which is in credit substitutes. Effectively of the 145, about 108 would be with respect to GSec and about 28 which is the credit substitutes there. The balance will be including our investments in subsidiaries and whatnot.

Param Subramanian: Yes. Jaimin, could you explain how the LCR has been maintained despite? You said that the margins have been managed, the 15 bps drag on margins which was their last time has been managed.

Jaimin Bhatt: There are two different things. I'll talk about the margin. I'll let Paul take the LCR bit. The margin is there because of the fact that you have the proportion of advances to the earning investments has increased. And even a small change does make a difference because what you make on your advances is from a yield basis higher than what you would make on investing or interbank funds. So that's how the margin was maintained over the last quarter. In terms of LCR, you're speaking on that?

Paul Parambi: See overall LCR is good because we are fairly comfortable in our liquidity position and therefore that is really what is helping us to maintain our LCR. However, we sort of balance -- carefully balance how much, our inflows and outflows in the short term. We manage some of that. We manage our HQL

A. We manage our investments and therefore also try to optimize LCR using that. So, it's a combination of these that helps us to manage our overall LCR. But I think the underlying factor is really that we are fairly comfortable on liquidity.

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Param Subramanian: Fair enough. Thanks a lot. Just one more question if I can squeeze in. I think in this quarter we increased the deposit rates in some of the higher tenure buckets. So, what's driving that because if we are at the fag end and could be heading into rate cuts going ahead, why are we increasing in higher tenure buckets?

Virat Diwanji: In terms of the opportunities in the market plus an option to get higher. This is a time where the interest rates, people believe they are at the peak and from here on it will come down. And hence there is an opportunity for us or for the customers to lock in the deposits at the higher end. And that's where we saw the opportunity and in certain durations, we have raised that rate. And there again to be competitive with the three or four competitors whom we benchmarked.

Param Subramanian: Okay. Thanks a lot. All the best. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Ashok Vaswani for closing comments. Over to you, sir.

Ashok Vaswani: Guys, just on behalf of the entire Kotak team, I wanted to say a very big thank you and appreciate you doing this on a Saturday evening. And with this I call it to close for this quarter's results. Thank you.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us, you may now disconnect your lines.

Call: May 2024

Kotak Mahindra Bank
Q4FY24 Earnings Conference Call
IST 5.45 PM on May 04, 2024

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Virat Diwanji - Head Consumer Bank
Mr. Paul Parambi - Group Chief Risk Officer
Mr. Shripal Shah - Managing Director, Kotak Securities Ltd.
Mr. Ramesh Srinivasan - Managing Director & CEO, Kotak Mahindra Capital Company Limited

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Kotak Mahindra Bank Q4 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Bank. Thank you, and over to you, sir.

Ashok Vaswani: Thank you. Thank you so much. Absolutely delighted to be here today with the entire team.

I realize it is Saturday evening, so truly appreciate your time with us this evening. Along with me on this call, I have Shanti and then of course, Devang – our Group CFO and all the other members of the management team.

Today, actually we have a pretty busy schedule and I thought we will cover three important matters:

#1. Devang will walk us through the Financial Numbers for the Quarter and the Year, I hope you will agree that they are pretty impressive numbers. I will ask Shanti to cover the Highlights of the Bank. And as a departure from the past, I would like to shine the spotlight on one of our businesses and for this quarter we have picked the Capital Markets Business. This is something I thought I will do every quarter to give you a very good sense of the totality of the group.

#2. After the numbers, second agenda item I do want to talk to you about the RBI Order and its implications.

#3. I thought I would share with you my broad level thinking on the strategy for the Kotak

Group going forward . As a management team, we have already spent a lot of time on this and at least directionally the way we are going, I would like to share that with you today . Post that of course, we will open up for Q&A. And for starters, let's go to Devang and let Devang take us through the numbers. Devang, please.

Devang Gheewalla : Thank you, Ashok . Before I start the Results , I would like to express my deep gratitude to Jaimin Bhatt for building this function on foundation of trust and transparency. I intend to carry forward

and this legacy and look forward of interacting with each of you .

Let me start with the consolidated numbers first, which we disclosed earlier today :

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We ended this full financial year with a profit of 18,213 crore , which is 22% higher than what we did in FY'23. Profit for the quarter at the consolidated level was 5,337 crore , it is about 17% higher than the same quarter last year.

Our consolidated customer asset is about 4,79,000 crore which is roughly 22% higher than last year. Our capital adequacy at group level 21.82% which includes CET -I itself of about 20.72%. We have redeemed the preference share capital during the Q4, so our CET -I is pure equity . ROE at consolidated level of 15.08 % and ROA at 2.66% for the full year .

Starting with the Bank , which contributes about 75% of our consolidated profit, for the full year, the Bank clocked a PAT of 13,782 crore , up 26% over last year. This year we added 93 lakh customers, of which 24 lakh customers added during the last quarter. At the Bank standalone level too, we have a capital adequacy now of 20.55 % with CET-I of 19.25%. For the quarter, the Bank clocked ROA of 2.97% with full year ROA of 2.61% . Bank customer assets grew by 20% to 4,23,324 annually with a Q4 growth of 6%.

During Q4, we completed acquisition of Sonata Microfinance towards the end of March .

Some info about Sonata . Sonata Microfinance is based out of Lucknow and has a branch network of about 560 branches in about 155 districts , centered around UP , MP, Bihar and North India . This actually complements with our earlier acquisition, which was largely based out of South and you will see the results of Sonata getting into the next year 's performers .

Our CASA now at 45.5 % . Total deposit for the year grew by 24% YoY with TD sweep product, which we relaunched in May, growing at 102% YoY. SA growth continues to be challenging .

The NIM for the Bank for full year was 5.32% , almost same as last year with 5.28% for the Q4'24 up from 5.22 % in Q3 on higher earning asset yields. Fees and services saw robust growth of 25% in FY'24 versus what we did a year ago .

Operating cost increased by 21% compared to last year. We continue to spend about 10% of our total operating expenditure on information technology. PAT for Q4 '24 was 4,133 crore , up 38% compared to previous quarter with NII of 6,909 crore .

This quarter we saw a favorable order with respect to income tax. This enabled us to reverse some tax provision of about 200 crore besides interest on refunds .

Q4'24 Result also includes reversal of AIF provision of 157 crore . As you may recall, we had done 190 crore provision in the Q3. This is based, of course, on the RBI circular issued in March '24.

Gross NPA at 31st March was 1.39% and net NPA is 0.34%, same as last quarter and actually reduced from 0.37% last year . Credit costs for the year was 45 bps.

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During the Q4 , Bank wrote off fully provided retail unsecured loans aggregating to 1,455 crore . However, the Bank will continue to pursue collections from this written off accounts and such write - off has no impact on results for the Bank as they were fully provided.

Our fund based restructured advances under COVID and MSME resolution framework currently are at 383 crore which is about 0.10% of our advances. Our SMA2 at March 31, which is fund based borrowers with exposure of over 5 crore is about 199 crore .

Let me now turn to the "Subsidiaries Performance" :

Kotak Securities and Kotak Capital performed exceedingly well with tailwinds from capital markets. Kotak Securities recorded 42% growth in profit to Rs.1,226 crore with increase in market volume . Kotak Capital made profit of 215 crore , up 44% compared to last year with increased activity in IPO and advisory space. As Ashok mentioned,

we will have my

colleagues from both these companies delve in further detail later on this call.

Kotak Investments, the NBFC , profits increased by about 58% to Rs.514 crore primarily due

to growth in advances and increase in the recoveries.

Kotak Prime, which is involved in the car finance business, had a growth over last year and the profit is 888 crore, last year profit include a certain reversal of provision as well as income from bought-out portfolios. Both Kotak Prime and Kotak Investments are well capitalized and the capital adequacy of both of this company is in excess of 25%.

BSS Microfinance, this is the microfinance company, business correspondent based out of Bangalore, has ended the year with a post-tax profit of 383 crore as against 297 crore last year.

Kotak Life continues to focus on balanced approach in its product channel mix towards building sustainable growth and value. The company's overall premium grew by 15.6% while the individual premium saw a muted growth. The embedded value of Kotak Life at the end of the year was 15,242 crore with a growth of 21.8%. The value of new business, VNB as it is called, is 1,053 crore with a healthy margin of 28.5%. Kotak Life profitability got impacted on a higher commission payout and strain in new business in non-PAR products and ended the year at a PAT of 689 crore. The company continues to have higher solvency ratio of 2.56 times as against regulatory requirement of 1.5 times. Kotak Life quality parameters continue to improve with conservation ratio moving to 88.09 and persistency ratio going up across most buckets. Claim ratio is 99.23% for group business and individual business is 98.29%.

International subsidiaries also benefited from growth in capital market and increased inflow contributing a profit of 189 crore compared to 76 crore in the previous year.

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Domestic mutual fund entities, both AMC and trustee company, saw increase in SIP inflow by 23%. However, YoY profitability marginally declined because last year we had a higher investment profit booked during FY'23.

With this, I hand over to Shanti for further discussion on the Bank's detailed performance.

Shanti Ekambaram: Thank you, Devang.

I will just touch upon the "Business Highlights":

Overall, the Bank saw robust growth in its advances and deposits in Q4. The Bank's customer assets grew 20% YoY and 6% during the quarter. There was good growth across all the segments with the Consumer Bank growing at 20% YoY and 5% QoQ, commercial Bank at 20% YoY and 7% QoQ, SME and the corporate Bank, including credit substitutes, grew at 19% YoY and 6% QoQ. The commercial Bank book, as Devang said, includes the Sonata acquisition, which got consummated during the quarter.

Let me talk about brief highlights on both "Assets and Liabilities" and starting with the assets:

Our mortgage lending business, which is both a home loan and LAP on the consumer side continue to grow well with a YoY growth of 15%. We have seen improvement in yields towards the end of Q4 and the performance of the portfolio continues to be extremely robust, reflecting strong credit quality of the book.

Our unsecured products, credit cards, personal loans, business loans showed good growth in Q4. Given the recent RBI directive, the focus on cards will be on servicing and nurturing our existing customers through focus on building customer engagement and loyalty programs. Our focus on personal loans and business loans will continue as is.

Overall risk metric for the unsecured business continues to hold well. Early reads on new sourcing is quite encouraging and we have seen improvements in the quality. We continue to maintain a close watch on emerging risks and leverage buildup in the system in addition to the collections and resolutions.

On the business banking side in the Consumer Bank

Bank, the secured working capital maintain

momentum with a 22% growth YoY and 7% QoQ, largely powered by demand and utilization by micro enterprise.

Let me now turn to "Commercial Assets":

Commercial vehicles disbursement in the Q4 grew 46% YoY outpacing the industry growth and helping us improve market share. This is an important segment and we will continue to grow our book and market share in this segment. Collection efficiencies remain stable.

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On the construction equipment side again, given the infrastructure spend, our disbursements grew 47% YoY where also we gained market share in the quarter. We expect to retain growth momentum in the upcoming year.

The tractor industry was muted, with a drop in growth for the year at 7.5%, while at Kotak we were flat for the year on the growth side. This helped us also gain market share and we continue to maintain our dominant position in the sector. The used tractor finance business has seen a strong growth in the current year and we intend to continue to focus and deepen our presence in Bharat. Some collection stress was visible in geographies where monsoon was deficient or erratic, but our collection efficiencies in Q4 were better than in the previous year.

Our microfinance business has reported a healthy growth in advances of 60% YoY. With the acquisition of Sonata in March '24, our presence has now increased to 16 states through a network of 1,400 plus BCs and we have a customer base of almost 27 lakh women borrowers. Sonata is now a 100% sub of the Bank and will act as a business correspondent for the microfinance business. Collection Efficiency, again, like the tractor industry, in certain rain deficient areas were erratic but overall position is stable. We are focusing on integrating Sonata into the group and strengthening our operations and making investments in technology for greater control.

Let me now turn to the "Wholesale Bank":

This quarter we saw strong credit offtake from almost all our segments, across large corporates, multinationals, financial institutions, driven by higher NTB additions and deeper penetration.

Our real estate book saw strong disbursements in the latter part of the quarter. We remain bullish on this sector given the strong sales and collection and are actively trying to increase our business penetration across commercial and residential sector.

The mid-market and SME, which is where we focused on, grew faster from the rest of the segments. In mid-markets we onboarded twice the number of customers in this year as compared to last year. Majority of the mid-market business is focused on working capital and flow-based businesses.

SME also, we witnessed increase in across key matrices of assets, fees, acquisition of NTBs and witnessed a record number of NTBs during the year.

We continue to see profitable lending opportunities in the infrastructure space selectively. Our book is predominantly weight towards higher-rated sponsors and borrowers in certain sectors like renewables, roads, hospitality and other elite sectors.

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Intense competition on pricing continues across the large conglomerates, as well as the large corporates.

Fee growth was healthy in this quarter, driven mainly by our debt capital markets syndication business where we had very good traction on a few large deals in infrastructure, real estate and NBFC space. Overall, portfolio metrics remain excellent with negligible credit costs.

Let me turn to "Liabilities":

Total deposits showed a robust growth overall at 24% YoY and 9.9% QoQ. On the consumer side, retail TD showed strong growth, aided by ActivMoney, which, like Devang mentioned on a YoY growth, grew at over 100%.

The Bank energized its effort to integrate current and savings account into its consumer asset customers,

presenting a complete suite of banking products to our asset customers.

Our savings showed 5% average growth in the quarter on a YoY basis and current grew at 3% on the retail side. Term deposits showed a strong average growth of 35% in the quarter on a YoY basis.

Wholesale liabilities which is current account largely grew even though custody flows were muted. This was on account of focusing on higher share of customer flows and transaction banking in the corporate segment. Our trade assets grew very well in this quarter, 13% QoQ, driven by domestic trade. Our digital offerings through FYN and our offerings on tax remittances showed good adoption rates. With a complete launch of a new and scalable CMS platform, we witnessed robust scale and better customer experience. We have seen significant increase in market share of our capital market and IPO transactions on the escrow side, and our specialized processing teams and enhanced focus on regulatory compliance. Overall, our deposit franchise has seen good growth and our asset franchise has been healthy and robust.

On the private banking side, we have had a good traction on client acquisition and our customer AUM has grown by around 50%.

I will now hand it over to Ramesh for taking us through the capital market segment as Ashok has said, our special focus this time is on the capital market. Ramesh, over to you.

Ramesh Srinivasan: Thank you, Shanti. Fiscal '24 has been a strong year for our investment banking business.

We were #1 in the ECM league tables in fiscal '24, having led 18 IPOs and QIPs and also playing a significant origination role for the large secondary sell-downs by promoters and financial sponsors.

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Some of the notable deals that we did in the equity space were the IPO of Mankind Pharma, the QIP of Cholamandalam Finance and the secondary sell-down which were large in Embassy, Mankind, Five Star, Astra Diem amongst many others.

Our advisory business also had a record year with the highest ever revenue. This is despite the fact that the overall M&A market is down in India on deal-making by about 58% in fiscal '24. Some of the notable deals on the advisory and M&A side we did this year were the sale of Glenmark's API business to Nirma, Tata Consumers acquisition of Capital Foods and the USD 1 billion merger of Suven Pharma and Cohen, among others.

We achieved total revenue of about 432 crore, almost all of this in fees translating to a growth of 33% over last year. Q4 was a record quarter for us at the investment Bank with a revenue growth of close to 83% over last year. Given the strong performance, our profits for fiscal '24 were higher by 44% over last year, with a profit before tax of 277 crore and a profit after tax of 215 crore. Our pipeline for fiscal '25 at this moment continues to be robust.

I will now hand over to Shripal Shah – who is a Kotak veteran and who has just taken over as the MD and CEO of Kotak Securities.

Shripal Shah: Thank you, Ramesh. I am absolutely delighted to be here in this earning call for the first time and interact with you all.

I will be talking about the "Performance" of Q4 and FY'24 for Kotak Securities. For the Q4 FY'24, our total income rose by 78% to Rs.1,214 crore, up from Rs.682 crore in the corresponding quarter in FY'23, primarily driven by substantial growth in cash market volume in the industry.

For the entire FY'24, total income is up by 33% at Rs.3,982 crore compared to Rs.2,986 crore in previous year.

In terms of profit for the Q4 of FY'24, our profit after tax stood at Rs.378 crore, which has more than doubled from Rs.182 crore in corresponding quarter in FY '23. For the full year FY'24, the PAT is up by 42% at Rs. 1,226 crore versus Rs.865 crore for FY '23. I am happy to share that this is the highest ever profit reported by Kotak Securities in its

history.

In terms of market share, we maintained our cash market share for FY'24 at 10 -plus percentages, while our derivative markets have increased sharply to 12.6% from 9.2% in FY'23.

In the quarter, we enhanced our newly launched NEO platform with a host of new features and new products on that. This includes the introduction of NEO mutual fund platform, simplifying user journeys and enhancing accessibilities.

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We also introduced Insta Trade, which provides quick trading solutions by offering chart, options and positions, orders and P&L, all in one screen.

Additionally, we launched our IPO module to improve the order placement journey and expedite application processing.

We actually rolled out one of the best pricing plans in the industry called Trade Free Pro which is offering very competitive pricing on margin trade facility products in terms of interest rates and delivery brokerages.

With this enhancement, Kotak NEO remains the preferred choice for our clients accounting for nearly 86% of the firm's total executed orders and 86% of the new accounts opened in Q4.

Our institutional equities business registered a stellar growth in revenues and maintained its leadership position in both cash and derivative segments.

Kotak Institutional Equities continued to add new global and domestic clients to its franchise. It also showed very strong performance in distribution of IPOs, QIPs, Open Offers and execution of block trades and maintained its leadership position.

With this overview, I will now pass it over to Ashok for further update. Thank. You.

Ashok Vaswani: I hope you got a good sense of not only the quantitative aspects of our business, but also some of the qualitative aspects of our business and of course the spotlight on the capital markets.

Let me move ahead on to the RBI order:

On April 24th, we received an order from the RBI directing us to stop, one, onboarding of

new customers through our online and mobile banking channels , and two, issuing fresh credit cards. Needless to add, we take every communication from our regulator very seriously and have complied with the directions with immediate effect .

For the sake of complete clarity, let me share , that there is absolutely no impact on our existing customers across all channels. We have been seeking guidance from our regulators on building resiliency of our technology platforms and on enhancing the experience for our customers. We are totally committed towards building world-class technology infrastructure and giving best-in-class customer experience. Consequently , for the immediate, we have stopped digital onboarding of new customers and fresh issuance of credit cards. This has primarily affected acquisitions in 811 and our credit card business. Two, we have developed a plan to mitigate the impact on these businesses. The plan focuses on protecting our existing customer base and deepening relationships with them.

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Three, we are accelerating the execution of our technology strategy to achieve resilience, appropriate capacity and to meet regulatory data cybersecurity standards. As you well know, we have been on this journey for the last two - three years. We have made a number of very senior hires, significantly augmented the internal tech team and invested heavily in improving our risk and reliance. Year -on-year, our tech spend has grown by 30% and is now at over 10% of our total OPEX . However, our efforts have fallen short of the expectations of the regulator. This, in our view, is on account of #1, that tech changes take time to play out, and #2 demand is growing at an ever increasing pace. These are therefore required us to step up our efforts on both fronts. In terms of the financial implications, as you're aware for both 811 and credit cards, we have the J

-curve impact in year one. This is obviously offset by the incremental tech spend. So, while there is a loss in customer acquisition momentum, the overall financial implications are limited. We are in ongoing dialogue with the RBI on seeking their guidance in meeting the expected outcomes.

If I can now ask you to set aside the RBI order, we will come back if you have any other questions on it , but just take a step back and let's talk a little bit about where and how this management team wants to take the Kotak Group.

It is not new news that the Indian economy is doing well and that the Indian economy is predicted to continue to do well over the next 5 , 10, 12 kind of years. That's not new news. The Kotak platform is very, very well positioned. That too is not really new news. These are the strong tailwinds for us.

It's also very, very clear that our #1 priority is to get to business as usual as quickly as possible. But during this period, we also want to take a little bit of time and think strategically and think ahead. What are the things that we don't want to change at all? What is it that we want to tweak as we kind of go forward ? There are two things that I am very clear we are not going to change. It is in our DNA to deliver healthy returns with a well calibrated risk appetite . This is not going to change. However, the market is evolving , things are changing very quickly and therefore from a Kotak perspective, as I look out into the Indian market, a couple of things strike me.

Technology, as all of you know, is rapidly changing industry, changing the way we live, the changing the way we communicate, the way we work and stuff like that. But most importantly, technology is changing the customer s outlook , the customers exposure, the customers expectation are all changing. And for all the years that I have been in business, the one thing that I have learned is that keeping the customer at the center of everything that we do and aligning the entire business model behind the customer is the only way to win. This technology change that I have been talking about and the resultant impact on the customer is not only restricted to India . Frankly, it's a worldwide phenomenon . But it has

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had the maximum or a much greater impact in India because three things have kind of come together in India.

The first thing that's happened is a tremendous amount of push by the public sector and how the Government of India has built an unparalleled digital infrastructure.

Two, the cost of telephony and data in India is about the cheapest compared to anywhere else in the world . And these two factors have therefore resulted in an adoption curve by the Indian consumer at an unprecedented level.

With all of this, I therefore look at the Kotak Group and our management team spent a lot

of time over the last 90 -days looking at how our strategy should evolve, and we have agreed to look at the whole business in terms of four lenses :

#1. Customer :

That's what I referred to. We said that the exposure , outlook, affluence and expectation is changing. We have to gear up for this. This is the starting point. The rest of the business model will align behind this. We do have a lot of products and services within the Kotak group and to meet the needs holistically of the customer is something that we can do internally very well .

#2. The Colleague:

Ultimately we are a people business. The colleague is someone who comes as a customer and also represents the delivery of our promise to the customer. We need to hire and retain the appropriate talent to transform our business in light of the changing customer experiences. And we will work towards being regarded as the Employer of Choice in financial services.

#3. Company :

So, customer, colleague, company . Company , three elements to it , bring the power of all our businesses

to meet the holistic needs of the customer . You may have seen we have already created the position of 'One Kotak ' to try and bring this to bear and bring the power of all our products to the advantage of the customer.

Two, Scale, not the size, but the relevance. Remember, we are not going to shift our focus away for returns . So, this is not scale at the cost of returns. This is scale with returns . And three, we realize that the only way you achieve scale , and if you achieve scale without compromising returns , technology will play a very significant role going forward.

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The fourth C and to keep it easy we put it into a 4Cs kind of framework , the fourth C is community . And here it is all about re-establishing and reinforcing the Kotak brand and building very good relationship with all our regulators , of course, the RBI, but all the other regulators.

These are the four lenses by which we are going to plot the future path of the Kotak group. And you will hear the management team and I talk much more about these 4Cs going forward .

For the time being , like I said, the immediate priority is to get the business as usual. We believe that other than this impacted businesses, the rest of the businesses should continue on the growth path. And we want to use this period to evolve all the businesses along the 4C lens to be ready and come out very strongly when we get back to that business as usual.

With that, I would like to open this up to Q&A.

Moderator : We will now begin the question -and-answer session. The first question is from the Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi : Can I ask three , please? The first one is on the RBI actions. You have indicated that there should not be a meaningful impact on growth. Could you explain to us why there should not be? If I recall all the various presentations of Kotak, they talk about digital in practically every presentation and conversation as has been the case today. If digital has been a strong onboarding driver, then there should be some impact . So, help us understand why there should not be a material impact and what kind of impact should we expect . The second one is on the fourth point you mentioned about scale. If I think about Kotak underwriting has been extremely strong over a very long period, almost industry -leading, but that's come with a sense of conservatism where Kotak has not been ambitious enough to take market share, whereas some other private sector Banks have. Can you comment on, are you committed growing faster than the major private sector players? And I am focusing on the private sector, not the system. And then the final question is a detail one . Could you give us a sense of how cost of funds and yields on loans have evolved in this quarter , and how the competitive dynamics have evolved in this quarter?

Ashok Vaswani: So, what I will try and do is I will try and answer the one on the impact of the RBI and the underwriting one , and Devang, if you don't mind if you could pick up the one in cost of funds . So, look , on the impact of the RBI order , let me kind of peel it out for you , right. #1, what the order says is that all onboarding on mobile and digital channels, new customer onboarding is what the RBI has said that you should stop . And two, they said that the credit cards should be stopped. Now depending of course on how long it takes to get back to business as usual ,

that will have a major impact. But if you say that on an annual kind of basis, the two areas which really get impacted are 811 and credit cards. Yes, we do a lot of other business digitally, like in the corporate Bank we do a lot of stuff digitally when the customer wants to

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do cash management or when the customer wants to do transactional banking. But that is an existing c

ustomer. The onboarding of the customer, at the private Bank or the corporate bank or the commercial bank, a lot of it is not entirely digital. It actually involves a fair amount of assisted journeys where people are kind of involved. Also, we can continue with digital journeys to existing customers. So, an existing customer taking on a personal loan or an existing 811 customer taking on a new fixed deposit, that is not affected. So, the only thing that is affected is new customers in credit cards or new customers in 811. Now, in both these businesses, as we have always been disclosing and credit card, this is a worldwide phenomenon, in year one, there's a J-curve, in year one, the cost of acquisition exceeds the revenue that you make. And therefore in year one in both these businesses, acquisition actually is a drag, right. So, in year one you will actually have a financial benefit. Now, offset to this is going to be incremental technology spend. Obviously, like I said, our #1 priority is to get back to business as usual. We're going to step up our efforts to get that. Therefore, I am saying that if you take the offset of the two, the impact is actually minimal. Now, what exactly that number will be, is hard to tell. It's only been seven days since we got the order, but back-of-the-envelope math would tell you somewhere between 300 to 450 crore kind of number, right? No, it's very back-of-the-envelope, it has lots of assumptions baked in as to the timing, but that's the way we are kind of thinking about it.

Then I move to the underwriting side. On the underwriting side, look, I think right now if you think about it, India's economy has been doing really well. If you look at what is happening in the industry and look at loss rates and stuff like that post the COVID provisions, it has really been a Goldilocks period for the last 2-3 years at least since COVID. Now, all of us know that credits go through cycles. At this point in the cycle, to go out and get aggressive on credit, I don't think it is a smart thing to do. We have always been prudent. We will continue to be prudent. We have continued to gain market share. We will continue to gain market share, but we will do it smartly. We are not going to go for a wholesale change in risk appetite, not so early on, right. We will continue to grow the business. We will seek to grow the business faster than competitors, right and we feel very good about, we feel particularly good about our corporate business and the promise that it holds. We will continue to kind of grow that, but right now I am not sure we feel comfortable about making a wholesale change in our risk appetite.

Chintan Joshi: Before you go back, can I just come back on a couple of items. So, in terms of impact on growth understand corporate won't get impacted mainly it is retail in the unsecured space, should this be like, would you put a ballpark number around the drag, like is it going to be like a 2% drag or a 5% drag on growth or like is there any quantifiable way we can think about it?

Ashok Vaswani: I made it easy for you. I gave you a number.

Shanti Ekambaram: I just want to add to what Ashok said. You asked about digital transactions. We always have said 95% plus savings comes through our mobile and net channels. They are all existing

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customers, term deposits, a whole lot of products are all existing customers. I think credit cards will get impacted. That impact is calculated in the number that Ashok has talked about despite the J-Curve. Some small amount in personal loans, but that we will make up through assisted as well as physical journey that we have because we can continue to sell around our branches into our existing customers.

Devang Gheewalla: Coming to your question on cost of funds, the way we look at cost of fund, I think it has essentially 3 components. It has

s basically the deposit mix, the duration of the deposit and I think the alternate source of funding. So, if I take each of them, the deposit mix clearly with the challenges in the low-cost deposit of CA & SA is moving towards term deposit. To address that, obviously we introduced the innovative product as you know in May, which is the ActivMoney which is the quasi-TD product where the cost of deposit is marginally higher than the SA, but lower than the TD. In terms of the deposit duration, most of the deposits have repriced over last year and on the alternate source of funding to fuel our growth, we

are obviously actively pursuing refinance as well as infrastructure bond financing. All put this together, yes, the cost of fund will move up, however, it will not be at the same pace and will be far gradual than the rise what we saw in the current year.

Shanti Ekambaram: In fact, our view on interest rates is reasonably stable. We have seen deposit rates stabilized over the last few months. We will have to see how it goes from a demand supply as well as external rate movement perspective.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Sir, just to clarify this Rs. 300 to Rs. 500 crore of impact, which you highlighted, that is on what?

Ashok Vaswani: Kunal, PBT.

Kunal Shah: PBT impact of Rs. 300 to Rs. 500 odd crore ?

Ashok Vaswani: That is correct. This is of course, assuming annual basis, so of course we will try to resolve and BAU much earlier.

Kunal Shah: So, broadly, this speaks into account maybe the overall moderation on the unsecured side that is there, but in terms of our guidance, which has always been like taking unsecured towards mid teens at 15% odd, now, how do we see that in the near future? And secondly in terms of the branch expansion, maybe we still have been highlighting that we want to go more digitally rather than the physical branches with this kind of restrictions, is there a change in a way we would be approaching the network expansion plan?

Ashok Vaswani: To take care of question on the unsecured loans, I think our trajectory remains same. We continue to aspire for mid teens as we have committed and as you know unsecured loan

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consists not only credit card, it also includes personal loans, retail microfinance with this acquisition of Sonata and the growth of microfinance, obviously, and business loan all of that are included. So, our aspiration and target towards achieving mid teens continues. On the branch side, I will request Virat to respond.

Virat Diwanji: In terms of network expansion, yes, for last year we did close to around 150 branches. Even this year, we are scheduled to do around 150 branches. From that perspective, I think we believe network will expand. We will gradually expand the network as we go forward. We also will look at it and evaluate as we go forward, but as far as the moderated expansion of the branch network is concerned, we will continue to expand as we go forward.

Shanti Ekambaram: Our aim, just to add to what Ashok said, the number one priority is to see how we can focus on risk, resilience and capacity and get back to BAU, but we still believe that our branch strategy will be calibrated. We will continue to roll out branches and focus on the gaps and the needs of the customers and the digital will also continue to be a key pet to drive as we come back.

Kunal Shah: So, maybe when we look at it in terms of this Rs. 300 to Rs. 500 crore of PBT impact which we had given, there is not much built in with respect to the OPEX except for the technology investments which would be accelerated, or front loaded to resolve the issue, not much on the overall OPEX side is what we believe we will have to incur?

Devang Gheewalla: No, Kunal, I think let me explain. This Rs. 300 -R

s. 400 crore when we say it is a combination of additional IT spend, which we will have to do. Second thing, also the financial impact of the two businesses which we mentioned, 811 and credit card. And as Ashok mentioned especially on 811, in the year of acquisition, normally the cost of acquisition is higher than the revenue. So, the J -Curve is there. So, actually we can end up having some saving. On credit card, yes, there will be some impact. So, it is a culmination of all these three put together is the number which we said is Rs. 300 -Rs. 400 crore . The IT spend also let me explain, it may be reprioritization of some of the spend which we have estimated. So, it may not necessarily be an incremental, but we have estimated certain amount and I think as we go along during the project, we will have more final details coming out of this.

Ashok Vaswani: Also Kunal, look as a management team, we are very committed to mitigating this and really, if you think about it, our focus is going to shift at least during this period from acquisition to deepening of customer relations, right. And if we get that right when we come out of this and get into business as usual, the kicker that it can give could be quite significant, so we have done this lots of the rough back of the envelope math, but obviously our effort is to try and mitigate as much of it as possible.

Kunal Shah: And any comments on timelines? When do you expect and how are we approaching this entire thing? Maybe will there be a submission of the entire plan to RBI? How much time would it actually take? Obviously maybe from external auditor and RBI perspective, there

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would not be very clear cut timeline, but at least from our end, when do we expect all this sufficient from our side?

Ashok Vaswani: Kunal look, we are going aggressively on our technology plan to Devang's point we want to bring forward and focus on capacity, risk and resilience and move as aggressively as we can. Simultaneously, obviously, we will go through the process, appoint an external auditor, have the auditor involved with us and hopefully in short order get the external auditor comfortable that we have got enough safeguard on risk, resilience and capacity. And once we get the auditor comfortable, such that the auditor can verify that to the Reserve Bank of India, then we go to the RBI and say, look, we would like to get back to business as usual. What exactly, how long this is going to take and what is going to be those points where the RBI is going to say, we are comfortable that Kunal is hard to justify. Are we in ongoing contact with the RBI? Are we trying to lay down the plan? Everything that we can do to accelerate the plan, of course we are all over it. Like I said, this management team's number one priority is to get back to business as usual as soon as possible.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: I have three questions. First one is on the liability strategy. So, while we have been pushing our digital over expansion of physical network if you look at most of the key liability ratios, whether it is CASA, retail deposit or even cost of deposits, they have deteriorated a lot more vis-a-vis the peers in this rate cycle. So, is that a continuation of the strategy or is there going to be a change in thought about how do you want to approach the liability side, building the liability franchise? That is question number one. Question number two is on the balance sheet strengthening. Again, if you look at the balance sheet construct over the last couple of years, we have ramped up the share of unsecured loans in our book and the loan mix is pretty homogeneous vis-a-vis the peers, but if I look at the total stock of provisions that we are now carrying is almost 45% -50% less than what the other peers are carrying,

so

would you think about adding some contingency buffer provisions for the future rainy days?

That is the second and the third and the final question is again on the tech side. So, while you did quantify that Rs. 300 to Rs. 500 crore, is the impact, does that kind of take into account any benefits that you would see while deploying the resources in some other businesses because last year you spent almost Rs. 1,700 crore in the tech and this Rs. 300 to Rs. 400 crore quantification seems a bit on the lower end taking into account incremental spends that you would need to do on the IT side as well? Those are my questions.

Ashok Vaswani: Thank You. Virat, if you don't mind, you can take the liability strategy one. Devang, you can pick up the Balance sheet construct and I'll pick up the tech one.

Virat Diwanji: So, coming to the liability thing, means if you remember our first network strategy was all physical, then we moved to phygital where we were using physical first and digital and from there on we have moved to digital where we have started using digital first and physical second. Now in all this, means even our branch expansion strategy has been based on what

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kind of customers we need to focus on. As we know, 95% to 96% of the savings account customers transact outside the branch, either on mobile or on net banking and hence the expansion has been focused on the area where essentially there is a business community. Hence we have used the techniques to figure out the pockets where we are underpenetrated and we will use this opportunity of our branch expansion strategy to get where the availability of liabilities is easy. So, from that perspective, we will follow that means we have already set certain segments that we will focus on and that is what we call, say salaried segment, which is one of the key segments that we are chasing. Now, these are the ones who give us stable deposits. So, all in all we will cover all corners to make sure that the liability growth is robust. In this higher interest rate scenario, we know the CASA could be a challenge, but I think focusing completely on ActivMoney, ActivMoney not only gets us the deposit really in that sense, but it also helps us to get new customers who eventually leave some money in their CASA accounts. That also means while the number in ActivMoney is significantly higher, it also helps us to get some kind of liabilities from the customers. So, I think this is something that we are moving forward on. I think about 3 to 4 months back, we even started doing the reverse whereby asset led acquisition means earlier we were in the model where we were acquiring liability customers and then selling assets. Now, we are gradually trying to shift where even where we sell assets we want to get the wallet share of those customers on the liability side. So, there are quite a few things which we are working on to make sure that the liability growth is robust.

Devang Gheewalla: Coming back to your question on unsecured loan and provisions, I think as I said, we

continue to aspire for what we had said about achieving unsecured loan in mid teens. However, having said that, I think we believe that unsecured loan we need to look at the risk reward relation and not necessarily only the provisioning part. And if you look at today, the credit cost of unsecured loan vis-a-vis the yield on that we are well within the acceptable parameters of risk reward relationship. As far as the provisioning is concerned, we have been conservative. Any unsecured loan which is overdue over 180 day is 100% provided. This after that, our net NPA ratio is comparable at 0.34%. Even if I look at the total provision, what we are carrying it is about Rs. 5,900 crore including all COVID, restructured, standard provisions, which is significantly higher than my gross NPA. So, we believe that we are adequately protected

and from a risk reward position, we believe the unsecured business continues to make sense for us.

Rikin Shah: Devang, just to follow up on this one, while I would agree that the provisioning would be adequate for the current level, my question was more from strengthening the balance sheet for future perspective. So, our total stock of provisions as percentage of loan is 1.6% whereas for the peers it is anywhere from 2.5% to 3.7% and they have been adding to the buffer provisions whereas we are barely carrying any, so it was more from that perspective, please?

Devang Gheewalla: I understand, so I would not like to comment on my peer's part. We believe based on our risk analysis of our portfolio, we are adequately provided.

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Ashok Vaswani: See the other thing you got to look at it is as a product mix on the asset side of the balance sheet, right. So, given our mix compared to the mix of competitors, that is what we are determined how well we are covered. To Devang's point, we feel given all our history, you can go back, I don't know how many years, we have been always quite conservative on risk appetite, we continue to be conservative. That is one thing that I don't want to change like I mentioned. So, under all those kind of circumstances and given the mix, we feel very comfortable on that score. Let me pick up a little bit on the tech side. On the tech side, look that number that I quoted somewhere between 300 and 450, all of that number is not tech. Tech is going to be an integral part of the business, no doubt, and tech we have been stepping up our expenditure, round numbers we have been spending about 10% of our OPEX in tech. So, as the base of expenses go up, tech expenses go up. So, last year it was Rs. 1,300 crore, round numbers, this year Rs. 1,700 crore, you are going to expect to see similar amounts of growth in tech, right. This year, some piece, honestly, I am not able to quantify and tell you exactly how much 300 to 450 is because we are still finalizing what is the scope of work to be done. Look, it has only been 8 days since we got the RBI order, so trying to finalize what elements of that tech we are going to accelerate to bring forward is work in progress, but tech is going to be a very important ingredient for our business and at about 10% of OPEX is what our tech expenditure will be.

Moderator: Thank you. The next question comes from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Rahul Jain: This is Rahul Jain from Goldman Sachs. Actually, if you permit I would like to ask two questions. One is Ashok, you laid out your thought process about how you would like to take the bank forward from the lens of 4Cs if I heard it right, but just to also think about the quantitative figures, what milestones do you set out for yourself or like us to think about both in terms of profitability and growth, particularly in growth given that the bank is just about 1.5% -2% market share has got huge opportunities ahead of itself and has been investing top dollar in digital as you articulated, the brick and mortar, we feel that could have been done a lot more. So, just want to understand first on what milestones should we perhaps judge, your tenor from here on across the growth, profitability and asset quality and I have one more question after that?

Ashok Vaswani: Rahul, what a tough taskmaster. I have just been in my job for 100 days. But anyway, apart from that look, we have hit a speed bump, and like I said, our first task is to get to business as usual. Once we get to business as usual, there is really no reason why we shouldn't continue to grow at least as much as we have been kind of consistently growing over a period of time. Now, I have also told you and I am very committed to that, that scale is important to us, right. And how we are going to scale those businesses and not have

fractional market shares, but go significant to something more relevant in terms of market shares is going to be critical. But the first priority is to get to business as usual. Once we get to business as usual, we will get more aggressive on the kind of growth target.

Rahul Jain: And just related question to that is, what profit pools are you more excited about if I were to simplify this into consumer retail and commercial retail. Consumer retail is people like individuals would borrow for consumption needs like home loans, unsecured versus the commercial retail where the bank has been historically very successful. So, which segments of growth you would want to go after, given you also made a remark that you are not very comfortable about pressing accelerator given the current environment we are in. So, what specific segment you are talking about here?

Ashok Vaswani: So, Rahul, what I said was that I don't want a dramatic change in my risk appetite. Am I excited about the consumer bank overall? I am very excited about the consumer bank. Am I excited about our private bank? I am very excited about our private bank business, the capital markets business, Ramesh just took you through it, right? That is doing really well. Institutional equity is doing really well. Kotak Securities, really well. Corporate bank really nicely poised to kind of grow. Tractor finance, we have got a great kind of market share. All of these businesses where we have got already well-established platforms and we have got well established processes, those are the areas where we will push the accelerator and grow quite aggressively. We kind of focus on those areas and really grow. SME is another area where I think we can get significant amounts of growth. Over a period of time, obviously this whole RBI order has consumed a lot of management bandwidth, but over a period of time come back and say like for these segments what is our proposition and how are we going to go after these propositions in a very big way.

Rahul Jain: The second question was on human capital, we have of course, been seeing and hearing about a lot of changes that have taken place at the senior level, at the mid management level. So, for the kind of growth opportunity you are talking about, how well placed you are, how far you are from adequately staffing the bank? And of course, you had one high profile departure also, would that have any impact on the Bank's performance, or you have got the bench already set up to capture the opportunities?

Ashok Vaswani: Yes, Rahul, of course, the press plays up these kind of departures, but nobody takes into account that we can have a very strong bench strength, right. Today you heard Devang. Devang has been groomed by Jaimin, taken over, he is the group CFO. Shripal, he has kind of taken over Kotak Securities as the CEO, and kind of Jaideep has moved into a new role, right. And look, Manian is the friend of the firm. Manian was with Kotak for 29 years. Manian has played a very critical role in building out of Kotak. Yes, Manian had certain aspirations. He wants to go and do things in other parts of the financial services. That is absolutely fine, right. And we sincerely wish Manian the very best. I obviously haven't worked so closely with him, but in the four months that I worked with him, I really enjoyed working with him and I sincerely wish him the best. My colleagues around the table, of course know him much better, and they too sincerely wish him the very best. These things will evolve over a period of time. There will be people who will retire. There will be people who will choose to do different things. The good news is that for the most part we have the bench strength, right? Even with Manian walking away, we have got Oisharya, Paritosh, Manish, Ramesh, all of

them kind

of just stepping up into those roles and once you get to meet them, you will see the bench and the depth on the bench. I feel very comfortable with that. There will be certain areas where we will have to end up with new talent, things change, people change, but I think that is the natural course for business and frankly, honestly with the kind of team that I am sitting with today, am I losing sleep over this, the answer is no.

Rahul Jain: Just one last question on unsecured loans. So, we have got seen slippages increase through the course of this year and this quarter also, it is sort of further in stuff and of course it is not very dramatic, but still I wanted to ask you, how far are we from the normalization in the unsecured credit risk, is there some more way to go, the slippages will further inch up from here or we are kind of near where the normalized run rate should be?

Paul Parambi: See, you said unsecured, basically, the losses there have increased and are we normalizing and so on. What I would like to emphasize is that we are very comfortable in terms of our positioning vis-a-vis unsecured. It is not that our credit losses are beyond our risk appetite or we are beyond what we have seen in the past or there is something to worry about. So, overall, we are comfortable. The position as we see it in terms of delinquencies, early delinquencies, book delinquencies, all of that is looking perfectly fine. But we are very watchful because as Ashok had said initially, we have been to an extremely benign credit period. So, one has to be extremely watchful of this portfolio, but currently we are very

comfortable.

Rahul Jain: And is there any impact of Sonata acquisition across numbers, meaningful impact on the numbers from Sonata acquisition across the line items, if you can quantify that on?

Devang Gheewalla : I think Sonata acquisition was done in the last week of March, so no meaningful impact in the numbers, but as I said, as we go forward, it will happen.

Moderator: Thank you. The next question is from the line of Roshan Chutkey from ICICI Prudential Mutual Fund. Please go ahead.

Roshan Chutkey: Essentially, want to understand the IT spending bit a little more, how much of it is fixed and how much of it is variable? That is my one question around this. And then if I look at this 1300 becoming 1700, right, assuming really 20% growth to the IT spending, you are talking about something like Rs. 400 crore of growth in natural courses of the year, but on top of it because the other two businesses, the 811 and the credit card business, we are going to have positive savings out there. Are we going to spend more like Rs. 400 -Rs. 500 crore on top of this Rs. 400 crore of growth that we are talking about as a BAU?

Ashok Vaswani: Let me try and answer this question. It is very hard at the top of my head to tell you how much is variable, how much is fixed and stuff like that, right, because there are certain products where we have outside vendors, so for example credit cards, we run credit cards on Vision Plus. Vision Plus is an international kind of platform. The kind of deal we have

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with Vision Plus is per account we pay them a certain amount of fee. That is one example in cards, right. Obviously, when the product processors is in-house, like let us say Finacle on which we run the whole liabilities business or the corporate business or some aspects of the commercial business or 811, there it is more in the nature of the fixed cost, right. And then of course, an added complication is how much you spend, how much of it gets capitalized versus how much gets expensed. So, really getting into that kind of level of detail, I don't think it is going to be very helpful for anyone. The point is total tech spend is roughly 10% of OPEX, right. And that percentage is, for the most part, round numbers staying there, it could

be 9.6, 9.8, 10.5, 10.6, that kind of thing. Two years ago that was roughly Rs. 1,300 crore. Last year, it was Rs. 1,700 crore. So, as the OPEX base grows, the tech spend will grow. Tech spend is not going to go away. Tech spend is not going to go down. Tech is going to be a competitive advantage and we will continue to invest such that we get to the risk, resilience and capacity. Now, within tech spend for the time being the tweak will be more towards risk, resilience and capacity as opposed to coming up with new products or new features or a new mobile banking app and stuff like that, right. So, within tech spend, it will be more on risk, resilience and capacity as opposed to new features and things like that.

Roshan Chutkey: So, let me repeat this. So, what I was trying to allude to is, you are talking about an impact of Rs. 350 to Rs. 400 crore on PBT right? Now, there are clearly positive cost savings from 811 and the credit card, which means IT spending is going to grow up by more than Rs. 400 crore, right, that is logical?

Ashok Vaswani: No, I said the total estimate is somewhere between Rs. 300 to Rs. 450 crore. On the positive side of the column, you are right, acquisition cost for 811 and credit card on an annualized basis will be a positive. You are right that the negative will be some offset of technology spend, but in a business-like credit cards, even existing customers spend, what happens to the spend? What happens to the revolve? What happens to keeping the teams in place in all other areas? There are other expenditures as well. The balancing figure is not entirely technology spend. There will be some incremental technology spend, but that will not account for the total amount of Rs. 400 crore. It will be far less than that.

Moderator: Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Sir, I just wanted to talk about customer acquisition that you were doing through 811. And when I look at your numbers from last year, FY23, you acquired I think 8.5 million customers, FY24, you acquired around 8.8 and about 70% -75% of these would have been through 811 now that you can't, that 60 lakh customer base that you are getting and now you are not going to be able to get it, how are you looking to continue to acquire as many of those as possible? That is point one? Point two, to attract them will you have to increase your term deposit rates more than competition? Or when those transactions are going to branches for onboarding, will you have to staff your branches with more people and will this push up

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OPEX ? So, that is what I wanted to understand around the customer acquisition that you will forego by not having this 811 product for some time?

Shanti Ekambaram: So, as far as 811 is concerned, as you said, we were acquiring a lot of customers. Now, what we will do is that digital onboarding is not possible, but wherever we still have a stock of what you call OTP accounts to convert into full KYC accounts which we will continue to do. We will have to stop our acquisition till such a time we come back. But what we will do is we have about Rs. 2.5 crore of existing 811 customers. Because we were acquiring so aggressively, our cross-sell ratio still remains small because of the denominator impact. So, we are going to focus on three things; increase the deepening of the base, second, prepare our journeys when we come back so that on the product we have launched a new app, as you may have seen and that is still a lot to be done on that and get ready for when we come back. The impact will not be on this year because we will actually have a saving on the acquisition cost, but the impact on some of it could come in the following year of customer acquisition as we look at it. So, we have done the math, and it is the part of wh

at Ashok

talked about in terms of the number that he talked about of the impact, but we will do a number of things to protect, to transform, to do while we wait for the green signal to come back. The branch acquisition channel will continue. The digitally assisted channels that the branch uses will continue, which is more through staff and biometric, etc., and the 811 will continue its strategy of vetting and completing the KYC accounts. And as far as term deposits is concerned it is actually, I don't think any of this is going to trigger the term deposit ratio. Right now, to show in the last from February 15th onwards, the system has been reasonably liquid and the deposit rates have been reasonably stable. I think everybody is waiting to see how the Fed moves and how inflation moves. We see deposit rates reasonably stable. I think domestically the demand supply is what is going to really drive the rates. Right now, we see more stability, but we will have to wait and watch.

Abhishek Murarka: Shanti, just a quick follow up, would you have to increase the capacity of branches because more of these transactions will now have to be executed at the branch rather than on the app or on the mobile?

Shanti Ekambaram: Existing customers, there is no restriction for execution of transactions on the mobile.

Whether it is our branch customers, whether it is 811 customers, they can continue to do their payments, book their term deposits, buy a personal loan, everything through the mobile and net channels even today and they don't have to go to branches for any of their service.

Abhishek Murarka: No, sure, but this is for the new customer, so new customer onboarding will have to be done at the branches, so will you have to increase capacity for that?

Shanti Ekambaram: No, we have a field sales force for 811 who will take care of the new customer. Our number of customer acquisition will slow down because we were doing it through digital direct DIY journey right, which is not permit. So, the number of customers we will acquire in 811 will

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go down, right, which will be handled whatever we need to by the field Salesforce the 811 currently has.

Ashok Vaswani: Abhishek, I will put it in a different way. 811 acquisitions to Shanti's point will come down.

The focus is going to be on deepening the relationship and if you are able to do the deepening of the relationship and be able to do it with the beautiful customer journey, can you imagine how powerful that becomes when we get back to business as usual, right?

That would be a massive kick up for the entire franchise and therefore we are spending a lot of time on saying, okay, let us get that kind of journey right.

Abhishek Murarka: And so, this does not lead to any kind of slowdown and deposit growth in the medium term, right or in the near term?

Ashok Vaswani: Not at all.

Shanti Ekambaram: Marginal, yes.

Moderator: Thank you. The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Just wanted to confirm one number, basically your total customer asset growth for next year should broadly be similar 20% odd and your incremental deposit accretion for next year would actually not be that high versus this year, right?

Shanti Ekambaram: We have not given any forward guidance.

Devang Gheewalla: I think we need to understand the number of customer and the growth in the value. I think what we are all saying is the 811 while the number of count is significantly high in terms of the value it doesn't contribute significantly or materially on the value side. So, yes, while there will be reduction in the customer acquisition count at 811. I think to meet the funding requirement of the balance sheet we will have enough avenues to get the alternate source of deposits from the alternate customers and borrowing channels.

Saurabh Kumar: B

ut I was talking more from customer assets, total customer assets, you have grown 20% that is 400 basis points over the system this year. Would you be still confident of achieving that?

Devang Gheewalla : Yes, as we have maintained that we always aspire to be 1.5 to 2x the nominal of the GDP growth, which we continue to grow that way

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Ashok Vaswani for his closing comments. Over to you, sir.

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Ashok Vaswani: So, first of all, thank you so much. It has been, it is a long evening, it is already well past 7'o clock. So, truly appreciate your time with us. As a management team, like I said, we are totally committed to getting back to business as usual, take whatever it needs to do. We will isolate the other businesses and keep them on the growth trajectory that they have been as far as the businesses which have been deeply affected or have been affected. 81 1 and credit card, we are developing mitigation plans. And we are going to use this period to really think about how when we come back to business as usual, we come back soaring ahead. I look forward to obviously keeping you all posted on developments and thank you very much for joining us this evening.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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IST 4.30 PM on July 20, 2024

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Paul Parambi - Group Chief Risk Officer
Mr. Paritosh - Head Wholesale Banking
Mr. Manish Kothari - Head Commercial Banking

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Safe Harbour

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Kotak Mahindra Bank Q1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you and over to you, sir.

Ashok Vaswani: Thank you. Thank you so much and welcome, everyone on this Call to discuss the 1st Quarter '25 Results.

The 1st Quarter has been a very busy quarter for us and today I thought I would cover three things with you, which I am sure on the top of your mind as well.

I think the primary and first thing I would like to cover is the power of being a financial services conglomerate. Obviously, as you know that in this quarter, we closed the disinvestment of the 70% stake in Kotak General Insurance to Zurich Insurance for a consideration of Rs.5,560 crore . The reason I am highlighting this is because :

#1. As I have always mentioned, we will always evaluate our businesses from the eyes of our shareholders. In instances where we think that there could be a better owner that

could generate a higher value, we will evaluate that option. In this case, not only have we got a great return compounded growth rate of 45% since we started in 2014, but our continuing relationship with Zurich both in terms of ownership and operational activity, which will continue to be highly accretive to our shareholders.

#2. This transaction also demonstrates the real value of our subsidiaries both in terms of the current embedded value and the way the value grows year-on-year. Obviously, where we feel that we have got a good position and that we have the capabilities to run a particular line of business in a subsidiary on our own, we like the notion of being a financial services conglomerate. And that really is the second point that I wanted to come to, that the power of being together and the power of having the f

our businesses

of banking and lending, asset management, capital markets and protection, really allows us to meet the holistic needs of our customers. I will come to that a little later. The second thing I wanted to talk to you about was obviously the RBI order. I am very pleased to report that we have made substantial progress on all the points through significant work that our technology teams have put in. In consultation with the RBI, we have put together a comprehensive plan. We have beefed up our internal team with Kotak Mahindra Bank Limited
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resources from Accenture, Infosys, Oracle and Cisco and focused on relentless execution.

We appointed GT Bharat as our external auditors with the approval of the RBI, and they have already commenced their work. We continue to work closely with the RBI and obviously keep them updated on all developments.

As we stand today, we are on track exactly where we thought we wanted to be, maybe even slightly ahead. Our financial estimates around the RBI continue to hold and it all seems in the kind of place where we thought we would be after the order on April the 24th.

Thirdly, I wanted to talk about the business. Devang will of course take you through the numbers in detail. As I mentioned at last quarter's result, the RBI order would affect our 811 and credit card businesses. There would also be a period of two to three weeks as we shifted gears from a digital onboarding process to one which was an assisted process. All of this is played out in the quarter exactly as we anticipated. And obviously this has had some impact on unsecured book growth and consequently on NIM. Despite that, I am very pleased to say that we have made very good progress in deepening relationships with our 811 customers and through enhanced offers to our credit card customers, maintained ENR levels in cards. In fact, market share of spends on the credit card have actually inched up from March to May. Because of all of the above, we sincerely believe that when the embargo is lifted, we will come out even more strongly.

Exactly, as we talked about last quarter, the rest of the business was unaffected and grew really well. The 1st Quarter is always a muted growth. And if you think about it, the Bank grew year-on-year at about 2%, our subsidiaries grew at 26%. Within the Bank, obviously, if you take out the impact on the unsecured businesses and 811, the rest of the business grew very well. Advances and deposits both grew at around 20% year-on-year.

Like I said, our capital market businesses, asset management businesses and our corporate Bank had another stellar quarter. Group AUM crossed Rs. 6,36,000 crore. We have seen the ongoing stress in low-cost deposits. And that is an industry wide phenomenon and we continue to try and build propositions to counter this. In addition, we have seen a certain level of stress in certain pockets on consumer, retail unsecured assets, particularly at the low-ticket levels and in certain segments where the customer has got overleveraged. We are obviously maintaining a very, very sharp focus on these kinds of segments.

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During the quarter, we also made solid progress in defining the next level of granularity in our strategy on transforming for scale. I wrote about this extensively in my first letter to shareholders in our annual report for the period ending March 2024.

Specifically, in this quarter, we have made progress on the One Kotak Agenda and in revamping our distribution organization, such that our customers have a seamless, resilient, omni-channel experience. More to come on both of these very important

initiatives. At the end of the 1st Quarter, I am feeling more confident and comfortable that we can really transform our businesses for scale and take them to the next level of success.

For n

ow, let me hand it over to Devang to take you through our Financial Performance.

Devang Gheewalla: Thank you, Ashok. Good afternoon all of you. Before I start the results highlights, I would like to explain two matters which have significant impact on the quarter results, so that all of you have uniform understanding and hopefully we end up answering questions upfront.

The first matter of course related to KGI divestment. KGI was a 100% subsidiary of Bank. The divestment got completed on 18th June, 2024. The divestment in KGI was achieved through a combination of part sale of stake by the Bank, as well as issuance of fresh capital by KGI. Therefore, post the divestment, the Bank holding in KGI stands reduced to 30%. Hence, during the quarter, till the date of divestment, it is accounted as a subsidiary and post 18th June, it is accounted as associate company in the consolidation results of the Bank. Bank was holding KGI investment at cost and received total consideration of Rs.4,096 crore for part sale of KGI shares, resulting in post-tax profit, after netting of direct expenses of Rs.2,730 crore in standalone Bank's books. Further, in addition to the standalone books in consolidated accounts, there is a reversal of KGI accumulated losses of Rs.284 crore which is proportionate to the shares sold. Hence, the total profit impact of KGI transaction is Rs.3,013 crore at consolidated results, which has been disclosed as exceptional item in press table with suitable disclosures. Shanti will of course later explain the business rationale and future benefits arising from this transaction.

So, after the KGI investment, the second matter impacting the Q1 result is the implementation of RBI direction on valuation and operations of investment portfolio.

Bank has implemented this direction with effect from 1st April 2024. As required by the direction, applicable investments have been marked to market using the fair value principles, which erstwhile were accounted at cost. At 30th June, value of these investments has resulted in post-tax gain of Rs.3,414 crore, which has been accounted in reserves as required by the direction. So, the Rs.3,414 crore is an entry in the reserves, it has not gone through the P&L.

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In the press table, this impact is stated on the date of implementation of the direction which is 1st April. Therefore, you see the figure of Rs.2,905 crore. The Rs.3,414 crore is the valuation impact on 30th June as compared to 31st March. Hence, while the KGI transaction has an impact on profit and net worth, the investment direction impact is only in the net worth accretion.

As you would have noticed, we have quantified impact of above matters in applicable P&L related figures and ratios in the investor presentation which you have. I will be referring above as KGI transaction and investment direction as I provide further insight to our results and largely focus on performance without considering these matters. While this is accounting, I think as Ashok also stated, both of these value accretion transaction truly reflects embedded value of Kotak group assets, which continues to create sustainable shareholder value, which we are very proud of.

Let me now start with the consolidated numbers, which we disclosed earlier today. We ended this quarter with consolidated profit of Rs.4,435 crore excluding KGI transaction which is about 7% higher than the same quarter last year. Our consolidated customer assets Rs.4,94,105 crore is about 22% higher than the last year. Our capital adequacy at group level robust 22.8% with CET -1 itself 21.9% and the book value of our share is Rs.710 at 30th June, both of these obviously including the KGI and investment direction. ROE at consolidated level, excluding KGI transaction is 13.12% and ROA is at 2.30%. Would like to clarify if we remove t

he denominator effect of the KGI in investment direction

from the ROE computation, the ROE will improve to 13.44%. We have highlighted that on the Page #6 of the investor presentation. So, 13.12% is only after removing from the numerators of the exceptional PAT, but if you have to rightly compute and remove the effect from the denominator of the net worth as well, it increases to 13.44%. And please remember, the transaction of KGI has come towards the end of the quarter. So, the next quarter, the impact of that average will be much higher in the ROE.

Let me now start with the individual entities starting with the Bank first:

Bank contributes about 73% of the group profits excluding the profit on KGI transaction.

The Bank ended the quarter with a PAT of Rs.3,520 crore excluding profit on KGI transaction with a YoY growth of 2%. Q4 PAT of the Bank had one -off credit items aggregating to Rs.426 crore, which has been explained on page #10 of the investor presentation. This was also disclosed in our last quarter's investor presentation. At the Bank standalone level too, we have a capital adequacy of 22.4% with CET -1 itself of 21.3% including KGI and R BI direction. For the quarter, Bank clocked ROA of 2.38%, excluding KGI transaction. Bank's customer asset grew 20% to Rs.4,35,827 crore YoY
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and 3% QoQ with corporate banking contributing significantly to asset growth during Q1. Unsecured retail slowed down during the quarter due to embargo on credit card and slower disbursement in micro credit loans. Our CASA ratio now at 30th June is 43.4%. Average total deposits for the year grew by 21% YoY and QoQ 7% growth. Challenges of low-cost deposit continue with savers turning into investor, deploying money in high yielding capital market products, which is reflected in our capital market business performance and an increase in cost of fund for the Bank. On the NIM, I would like you to focus on the NIM trends for the last three quarters. Our NIM for the quarter ended December was 5.22%, for the March quarter, it was 5.28%, it increased and for the quarter June it is 5.02%. So, the way I would urge you to look at is, is actually 5.22% going to 5.02%, 20 bps reduction over two quarters, as the March NIM of 5.28% increase despite increase in the cost of fund and the CASA challenge was due to some of the one -off factors, one of them been Sonata acquisition towards the March end. We also had certain liquidity during the beginning of this quarter, which resulted in deploying assets at a lower yield, and of course the challenges on CASA as well as slowdown in the high yield unsecured business, impacted the yield, reducing the NIM to 5.02%. However, our fees and services continue to grow at a healthy pace of 23% YoY growth in Q1 compared to what we did last year. Operating cost increased 14% YoY, including annual payroll related increases during the Q1. Potential cost estimates due to IT embargo, which we had indicated last quarter is in line with our initial estimate as per the guidance given. Gross NPA at 30th June is 1.39% with net NPA of 0.35%.

Credit cost at the Bank increased to 55 bps annualized and increase is largely due to losses in unsecured retail book in lower ticket segment and select geography for micro credit business. Currently, we do not see any stress in non-individual customer segment and secured products. Overall, if we were to conclude the Bank result, the Q1 performance normalized on backdrop of generally a high-performance year-end quarter as well as last year Q1 which had NIM at unsustainable level and lower credit cost.

Now, let me come to performance of select subsidiaries:

Kotak Securities and Kotak AMC continue to perform well with growth in capital market, increasing their contribution to the overall group profits. Kotak Securities recorded YoY 83% growth in profit to

Rs.400 crore with increase in market volume. Kotak AMC made profit of Rs.175 crore, up 65% compared to last year with increase in average AUM in equity to Rs.2,68,567 crore, YoY growth of 61%. International subsidiaries also benefited from growth in capital market. And increase inflow contributing to Rs.68 crore, profit compared to Rs.32 crore as compared to previous year. KMCC profit was Rs.81 crore for the quarter against Rs.55 crore last year.
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Kotak Mahindra Investment profit increased by 35% to Rs.138 crore, primarily due to growth in advances. Kotak Prime, which is into passenger car finance business, customers assets grew to Rs.35,893 crore with a YoY growth of 21%. PAT for Q1 was Rs.232 crore with a tad increase in provisions. Both NBFC, which is Kotak Prime as well as Kotak Investments, are very well capitalized, with the capital adequacy ratio of 24.6% and 30.1% respectively.

BSS Microfinance business correspondent entity has ended quarter with a lower post-tax profit of Rs.50 crore as against Rs.95 crore in the same quarter previous year. This is mainly due to lower disbursement, higher branch expansion cost, besides increase in delinquencies in select states. I must mention BSS net worth is Rs.1,060 crore as at 30th June 2024.

Kotak Life profitability got impacted on higher distribution cost and ended the quarter with a PAT of Rs.174 crore as against Rs.193 crore same quarter last year. We continue

to maintain high solvency ratio of 2.48X as against the regulatory requirement of 1.5X. With this, I complete the overview of subsidiary and Bank's standalone performance and hand over to Shanti for Business Update. Thank you.

Shanti Ekambaram: Thank you very much, Devang. Ashok started by saying Q1 is a muted quarter, and we also had some impact of the RBI embargo on certain businesses. In the backdrop of that, the Bank saw good growth in its advances and average deposits. The Bank's customer assets grew 20% YoY and 3% during the quarter.

If you look at the segments, consumer Bank growth was at 20% YoY and 3% QoQ. Commercial Bank at 20% YoY and 1% QoQ, impact of the microfinance business. SME, Corporate Bank including credit substitutes, grew 20%, YoY and 4% quarterly. Commercial Bank includes the Sonata acquisition.

Let me talk about the highlights in each of the segments and I will start with the consumer segment on the asset side. Our mortgage lending business continues to grow well with a YoY growth of 17% and QoQ growth of 4%. We have also seen improvement in yields in the incremental lending during the quarter. Performance of the portfolio continues to be robust, reflecting strong quality. Unsecured retail products grew 25% YoY but were flat QoQ because of the impact of the embargo. Credit cards grew mainly because of the spends increase. We could not issue new cards in the quarter post April 24th, but we still managed to maintain the book because of the spends increase.

Personal loans also were flat because we had to move some acquisition from digital to assisted journeys and we lost a few days. Happy to say that we are back with that. So, the result of that, those volumes have been flat while the secured businesses have done well. In the credit card space, we do see some buildup of stress in the industry, largely

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due to leveraging at a customer end and to a lesser extent in personal loans. And keeping that in mind, we have tightened some of our credit policy norms in the recent vintages to align our risk appetite.

On the business banking side, in the consumer Bank, there was an increase in geographical presence, and we have seen significant increase in our footprint as well as business, and the business grew at 26% YoY and 4% QoQ.

Demand was actually robust, especially on the manufacturing

side, and some amount

due to the price increase in commodities.

Our portfolio continues to be healthy on the delinquency both in secured and unsecured segments in the business banking area. And we are beginning to see the demand for some amount of CAPEX in this segment for increasing capacities.

Let me now move to the commercial assets:

The commercial vehicles industry saw a growth of only 2% YoY in Q1 and a 16% degrowth QoQ. In the segment, the demand for passenger bus continued and whereas the goods segment degrew. We have grown more than 20% YoY in this quarter in unit as well as in our disbursement, thus helping us improve our market share.

Collection efficiency continues to remain stable. While we have seen some stress at the lower end of the segment, overall, we have done well, and we will continue to grow our book and market share in the segment.

Construction equipment industry in the quarter saw a moderate growth while it has grown YoY. Our disbursements grew at 16% and again it helped us gain market share. Collections and book in this segment were stable and we think that with the government's allocation to infrastructure which we expect in the budget, this segment should get a fillip, and we will continue to focus as well as grow our business in the segment.

Tractor industry was flat YoY, and our disbursements were in line with the industry. The used tractor business witnessed very good growth of 20% in the 1st Quarter. This helped us strengthen the relationship with the existing customer and deepen them as well as acquire customers. This is an important segment for us given our market share and we will continue to maintain focus in this segment.

Let's get to Microcredit:

Post the acquisition of Sonata, the microcredit business of the Bank, we are now present in 16 states with a customer base of 27 lakh. Because of this, we saw an overall

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growth. QoQ was muted for many reasons; heat wave, some delinquencies in some

states and also the elections had some impact.

We are focused on working on strengthening our operations and introducing more technology and controls in this business. We will continue to monitor delinquency and keep our focus on growth within the framework that we have put out. We expect continued demand from rural and semi-urban customers, and we plan to grow this business in line with the industry.

Let me turn to the Wholesale Bank :

In line with the larger strategy, 'transforming for scale', the wholesale Bank has identified a medium to long term strategy with increasing market share and profitable and sensible growth. Focused on increased product holding, transaction banking and capturing a large share of the non-risk income and thus focused on higher ROE. This quarter our wholesale advances including the SME and mid-market businesses in the corporate Bank grew at 6% QoQ and 21% YoY.

Our credit substitutes book though saw a little bit of a degrowth. Our portfolio metrics remains very healthy with negligible credit cost.

Capturing a higher share of trade and transaction flows is a key component of our strategy. Our trade assets during the quarter grew very well, driven by both domestic and export trade. Our supply chain book also grew significant, coming largely from NTB clients.

Our focus continues to be granular in the SME and mid-market segments. In the SME, we have been able to acquire record customers in Q1 and this helped us grow advances by 21% YoY.

In our mid-market business as well, we have ramped up franchise through new customer acquisition and almost all the growth is coming from granular working capital business, thus the shift in focus in the corporate Bank is very clear. Amongst the larger corporates, we saw the demand offtake across almost all of our segments. And in the transaction banking segment, we were able to cross-

sell, deepen capture fee income, including in FX, debt capital markets and our current accounts businesses, which I will talk about in a little later.

Technology continues to be important and fun, our flagship digital offering to the corporate customers continue to show good adoption and usage rate. Overall, the franchise and business remain healthy and with healthy ROE.

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Let me now turn to Liabilities :

The average total deposits as Devang has said grew 21% YoY and 7% QoQ, driven largely by term deposits, 38% YoY.

Savings continue to be a challenge and I think the saver to investor momentum continues and especially after elections, this has accentuated. We have focused on, and I will talk about some of the initiatives that will help us grow our savings. The ActivMoney which has contributed a lot on the YoY growth was flat this quarter and we will continue to focus on that as a strategy. We have taken certain steps and initiatives that will help us enhance our deposits franchise. We have simplified the savings product booking, bundled propositions for certain very key segments and focused on value and propositions as we go into the quarter for acquisition of customers.

We relaunched ActivMoney in this quarter with an outreach program, and we expect that to help us garner deposits and pay dividends over the next few quarters.

We also launched a micro market strategy on segment specific offerings in the top 25 cities and this will help us shore up deposits as we get into the next few quarters. On the current account side, very clear bundle proposition for the business banking solutions have also been launched. So, we will continue to focus on deposits. While term deposits continue to grow well, CASA and ActivMoney will be a very important focused area as we get into this quarter and the next.

On the wholesale side liability, custody flows were very strong this quarter, driven by market buoyancy and marquee acquisitions both offshore and in the domestic market. Tax payments, we were able to penetrate into our customers significantly this quarter. GST payments were at an all-time high. We also improved our penetration in the cash management side, particularly in our asset customers and with higher trade flows benefited the CA balances and expect this to continue to benefit as we get into the next year.

I think Devang talked about the subsidiaries and the growth of the capital market subsidiaries amongst others.

I will now request the operator to open for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, firstly, on the growth front, so if we look on an incremental basis, are we out to say 13,000, 14,000 -odd crore kind of growth, almost like 10,000 crore coming from the low Kotak Mahindra Bank Limited
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yielding corporate as well as the home loan. And given that this is just the 1st Quarter impact on the unsecured and you indicated that credit card stress is also arising. So, do we see maybe now the tilt being more towards the secured compared to unsecured and our guidance of 15% unsecured maybe that could be relatively lower in the coming quarter, the way we saw decline this quarter as well?

Ashok Vaswani: Kunal, let me take that and Shanti, if you could kind of pipe in, right. So, look, by definition during the 1st Quarter, because of the RBI order, we couldn't grow our unsecured book.

Obviously, we didn't put on any new additional cards nor the digital journey for the PL kind of thing work for us. So, actually as a percentage of total advances, retail unsecured loans have actually dipped by 20 basis points. But our goal to kind of get to mid-teens on our unsecured retail book continues and hopefully we will get back to m

arching towards that goal once the embargo is lifted.

Shanti Ekambaram: I just want to say 2-3 things, Kunal. Firstly, if you look at the Corporate, the focus has sharply increased in the SME and the mid-market businesses and I talked about how we are seeing robust growth there with new acquisition, and the share of non-risk incomes has actually gone up. Second, on the mortgages, it's not just about home loan, but it's also LAP. We have a very strong market share in LAP where the yields are higher.

And I also mentioned that during this quarter both in home loans and LAP, we have actually been able to see an increase in June. So, from a secured asset perspective, working capital businesses, whether it's in the consumer Bank, whether it's in the wholesale Bank and the mortgages which is LAP and home loans have grown.

Unsecured businesses retail, we continue to maintain a strategy of moving towards the mid-teen. But as Ashok said, credit cards and PL we could not grow. Credit card remains a very important and strategic product as a part of our customer proposition, and once the embargo is lifted, we will be back and we will be growing this business.

Kunal Shah: And secondly on margin, so if we look at ex of the interest on IT refund, maybe the impact which has been there of almost 16-odd basis points, maybe on a calculated basis it suggests like there is like half impact on account of yield contraction and half of it is on account of cost of deposits. So, would that be the right assumption even when we look at it maybe on a reported basis, you give cost of funds, but purely looking at the cost of deposits and yield on advances, could there be a similar kind of an impact?

Devang Gheewalla: Kunal, just to correct, the interest on IT refund was not considered for calculation of NIM because the NIM is calculated on average earning assets. So, it was anyway not considered last quarter. I think the last quarter NIM actually got impacted because of also the Sonata transaction which we disclosed, we did it on 28th of March, so where the average assets were lower, and the interest income came for a larger period. So, that gives us some kicker on that, right. But you are right in terms of this quarter, it's a mixture of increasing cost of fund, which we have now disclosed, if you see the cost of Kotak Mahindra Bank Limited
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fund has increased and also reduction in the yield on the advances which got impacted by the share of unsecured advances, which dipped as per the reasons mentioned by Ashok and Shanti. So, both of them has impacted the yield. But as I said again, I think the way to look at it is, March was a bit of aberration, the right way to perhaps look at is the September NIM which is 5.22 going down to 5.02, is about 20 bps, which is the case.

Kunal Shah: NIM will continue at 5% -plus maybe trying to sustain it over 5% -odd?

Devang Gheewalla: So, we will of course try to see how it goes. Obviously, the liquidity, if it eases out, will help us and of course how do we progress on the low-cost deposit strategy as well as how the personal loan, all of those factors will actually I think impact that. Obviously, the biggest question is the repo rate, how it moves also will impact. So, it's very difficult to say as of now how it will work.

Moderator: The next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Had a bunch of questions. Start with, on the growth bit, quite pleasantly surprised that 1st Quarter typically is a weak quarter given seasonality and management pushed up the growth momentum. So, is this more like the opportunities presented for itself

because the corporate which has been one of the drivers for growth, we keep hearing that the pricing is quite ridiculous if I may say so, so was it because the opportunities were unique to your Bank that we pursue that growth

and how sustainable would this

be at an aggregate level also as well as the corporate level momentum?

Ashok Vaswani: Rahul, I will make some kind of opening comments and then Paritosh is here with me and maybe he can talk to you about the corporate. Frankly, from my perspective, I think our corporate team has done a really nice job of pushing the agenda. Like Shanti mentioned, they define like a three-year plan. We are very, very focused on where there's growth in the economy, who is the right people to go after and building it out and building it out in a sense with a very sharp focus on return on equity. So, this is not about just lending at any rate, this is about actually cultivating proper corporate relationships, building out the mid-market book, building out the SME book and this is a focus that we are going to continue and hopefully continue with far greater vigor as the quarters get along. But let me have Paritosh comment on it as well.

Paritosh Kashyap: So, we have been focusing a lot on building our trade and transaction banking book and Shanti mentioned that both trade and supply chain have grown significantly in this quarter. We have looked at our numbers and trade active customers give us far larger CA and also it gives us significant upside in FX revenue, and hence doing more trade and larger focus on transaction banking helps us both on liability as well as in the fee income. We also keep very significant focus on having a right mix of risk and non-risk income from our corporate customers. So, while I agree with you, there is a significant

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pressure on spreads in the corporate segment, however, we are meeting that gap by getting a higher share of transaction banking and cash and FX from those customers.

Shanti Ekambaram: I just want to add that in the consumer Bank, you talked about the Corporate, the working capital businesses are growing very robustly in addition to the mortgages business, the business banking both secured and unsecured.

Rahul Jain: Just a follow on, so does it mean that the growth focus is going to be a lot more sharper, Ashok, on the leadership and we should see more and more market share gains to come through in the subsequent quarters from here on because 1st Quarter you have done this kind of a growth, so technically as the business momentum picks up in the economy, would Kotak be now able to show us a much larger gains in market share?

Ashok Vaswani: My whole hypothesis all been about how we are going to transform for scale, scale, not for the size of scale, but scale for the size of relevance. So, whether it is our consumer business, whether it is our commercial business or whether it is our corporate business, we are developing our plans to get to scale. Now, consumer business, the unsecured part has hit a bit of a speed bump because of the RBI order, but clearly, we are looking, our whole strategy is predicated upon driving transforming for scale.

Rahul Jain: Just moving to the margins bit, clearly, I think the quarter-on-quarter downside was slightly surprising because we thought that the cost of funds bottomed out last couple of quarters or at least a quarter back, but we have seen of course the pressure building up again. Devang also made this point about the margins earlier were at an unsustainable level. So, can we just get some idea as to when you think about the profitability or margins in context of growth, how should we think about it if it is unsustainable or if it was unsustainable, are we now at the right level or you still see some more pressure in the margins or there could be some mix driven impact on yields that we can see in the coming quarters?

Ashok Vaswani: I think that Devang said was that the two quarters back at 5.20% and then going to 5.28%, that was kind of unsustainable with the cost of funds going up. Look, while

there

is no question, everybody from the governor downwards has talked about how to go up for deposits is on. Obviously, we are participating in that kind of thing. Our effort is how do we continue to build out a deposit franchise, a broad-based deposit franchise across all our businesses to be able to make sure that we have not only a sustainable deposit growth which helps us grow our business and scale, but also get those deposits at the right cost. Year-on-year deposit growth I would say is a tick, is I would say that the cost has been, one would have hoped that we had a better kind of CASA ratio, but that is the sole focus or the number one focus, may I say as the management team as to how we kind of drive that. We are working on multiple initiatives in that regard. Hopefully, you'll see a new ad on ActivMoney on air tomorrow, which has also worked very, very well for Kotak Mahindra Bank Limited

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us and other propositions that will start going through. Let's see how the market develops. Let's see how the capital markets do. If God forbid, there is a bump, you will see a return to a more normalized deposit environment as well. Let's see what happens in the budget as to what kind of changes kind of come through there. So, right now, while there are a whole bunch of things which are difficult to predict right, but our number one focus is on trying to build these propositions that will help us to sustain deposit growth and deposit growth at a low cost.

Rahul : So, again, sorry to belabour, but is there some more deposit repricing that is still left in the books or as we have repriced some of the deposits now given this war analogy that is given, we could continue to see some more repricing go through in this year?

Devang Gheewalla : Yes, I think our deposits are largely repriced and I think the rates have stabilized. I think two more data points I think despite all this, we continue to be at the highest, CASA ratio I would like to believe. I think this equity, profit on sale of KG I transaction should also help some amount of liquidity going forward. But yes, right now, as Ashok said, the war is on and we have to fund our balance sheet as well. So, the challenge obviously is how do we get the low-cost deposit to fund the growth in the balance sheet.

Ashok Vaswani : On the asset side, a lot of it is linked, right, pricing. So, the repricing happens every time there's a change.

Rahul : Just wanted to squeeze in one or two more questions. So, you upped your branch expansion guidance as we have read in the media to 150 to 200 branches now every year. So, is there a target number do we have as to what should be the branch number now over the next three years or so? If you can share with us and also in that context, what kind of cost to income ratio that you're looking at, do we still see scope for any improvement in that number because that number has been elevated now?

Ashok Vaswani : So, Rahul, like we mentioned last quarter also look we are not going to become a primary branch-based Bank, that's not going to happen but branches and a physical network will continue to be a very important part of our distribution network. We believe that by blanketing the top 68 cities with the current kind of branch infrastructure and by making the branch a one Kotak kind of asset which is accessed by or leveraged by the SME business, the commercial businesses as well as the consumer businesses, we will be able to get the maximum impact for our branches. Now tentatively we put in a number or somewhere between 3000-3500 branches in a kind of 5-year time frame, the speed at which we go, the pace at which we execute, refurbishments that we do is all a function of what kind of response we get and how quickly we get it right. But we will increase our branch network. We were doing about 150. It goes to about 200

and later

on to about 250 branches till we get to that number of between 3000 to 3500 in a 4-5-year timeframe.

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Rahul: So, therefore, cost to income would remain elevated?

Ashok Vaswani : Look at the other way, the branches will also generate revenues, both balance sheet revenues as well as fees. So, I don't think we are seeing, we are projecting any kind of significant pickup in cost to income ratio. In fact, what we are saying is when we are transforming for scale and really bringing technology to play, we hope to make a dent over the next 4-5 years in our cost to income ratio.

Moderator: Thank you. We have the next question from the line of Chintan Joshi from Autonomous, please go ahead.

Chintan Joshi: So, if I can check on the timeline of the work that needs to be done on the RBI embargo, could you give us some sense of optimistically or pessimistically what the timeline range looks like before you put the ball back in the RBI's court?

Ashok Vaswani: Chintan, first of all, there is a defined scope of work which we kind of talked about, that defined scope of work is what we have talked about the RBI and said what will put us into may not be a platinum level of standard, but let's say a very good gold level of standard. The RBI has also told us and we have been assured that look, it's not as if we are going to wait till you finish every single thing before we lift the embargo, they want us to demonstrate ongoing progress, they want us to demonstrate sustainability and they want us to demonstrate commitment. I would submit to you that in the 1st Quarter, we have definitely demonstrated progress. Commitment my God, we are working on this like no other. And our technology teams have really worked very hard on this, right. So, there's strong level of commitment and that commitment we have shown by the

resources that we have added and I think the RBI is aware of that . At what stage in this journey the RBI gets comfortable, right is very hard to predict. All I am trying to say is, hey, we will continue with incredible gusto down that path where I am thinking about this is at the end of this, we will have a phenomenal technology platform right, one that we can scale, one that has resilience, one that we can feel very confident to match growth. Simultaneously with this , as the technology teams are working very hard on this, it is my job to try and convince the RBI that the conditions which they want , the milestones that we have kind of committed are working through . As of from April 24th to June 30th or even July 20 , all the milestones that we said we will hit, we have hit right . In fact in certain cases , we may also be slightly ahead, right? Now, when exactly the RBI will say we are lifting the embargo.

Chintan Joshi: Maybe I can ask that another way. How about I ask you as a percentage of like items that need to be completed say 100%, how much have you completed because some things may take longer, some things may be faster at least that might give us some sense of timing than if you don't want to be pinned on timing for the moment, which I completely understand.

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Ashok Vaswani: Chintan, I know what you are looking for , but is very hard, right . I will tell you one thing. First of all, the RBI is not saying if you hit 60%, I will lift the embargo or something. So, the percentage of completion from an RBI perspective is not very relevant. And then look, I can tell you there 's a list of 327 items or 356 items , 400 items . One item is not necessarily equal to the other , right. So, again to tell you that we have completed this, obviously the easier stuff, we complete faster and complete much quicker, right. I think what we have to do is demonstrate to the RBI that the change that

we are putting through is completely sustainable. That would be it takes a little longer. I would submit to you that we have got to demonstrate that we are totally committed. I think we have done that and we will continue to do that right and we have got to demonstrate progress. It 's been April 24th to July 24th, 3 months. We are keeping them totally up to date on every single kind of milestone, right? In the meantime, Chintan, we are also gearing up that when we get out of the embargo, how can we come out stronger? And by the way, while it affected us in this quarter for 2 or 3 weeks switching from pure digital journeys to physical and assisted journeys , we have done that. So, we are trying to mitigate the impact as much as possible. So, it's a multi-pronged attack which we have kind of gone on.

Chintan Joshi: And the second question would be on cost. Should we expect some cost inflation to meet some of these tech demands this year? I don't know how you would like to give that message cost to asset or cost income or just an absolute number, but some idea of the extra cost involved would be helpful.

Devang Gheewalla : So, I think we had given the estimate and I think we have also confirmed in this update that we are well within the estimate which we have given earlier. As far as cost is concerned, I think we will continue to spend what we have been spending on IT within the overall OPEX which we incur and as we progress on that, I think some of the benefits of the past spend will start coming in and for a year or two , the cost will remain at elevated level for the spend which we have reinforced.

Moderator: Thank you. We have the next question from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: My first question is to Ashok . Ashok, you started off your commentary talking about subsidiaries and the deal that we did this quarter. And you said that going ahead, you will be looking at similar partnerships wherever they are lucrative and makes sense right now. Now going ahead considering that the Bank has excess capital , our ROEs are less than 14% even this quarter, how do you plan to juxtapose those two things where the Bank doesn't need capital and at the same time, you're looking to say add a few partnerships in terms of your subsidiaries ? Yes, that 's my first question.

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Ashok Vaswani: So, I have spent a lot of time kind of thinking about this right. And let me try and do this. Look, there 's no doubt we have excess capital, and I would say excess capital is a good thing. Excess capital is a good thing. Why is excess capital a good thing? Because it helps us take advantages of any kind of opportunities that may arise from an inorganic perspective and God forbid there 's a downturn, we can weather that. So, generally

speaking, excess capital and having a fortress balance sheet is a good thing. The question is how much and how we are thinking about it. And what I would like to submit to you, and I think it came out very strongly in this quarter, your help sometimes when you're helped by an accounting change, I never dreamt I will get help like that with an accounting change. The real question is how is that excess capital being deployed, right? And if you think about how our excess capital is being deployed currently, what we are doing is we have actually making alternative asset investments business right, there if we can show our other LP 's that we have actually got skin in the game, you get a very good kind of response. So, as you know, we have got about \$9 billion of assets in that business and we contribute rough numbers, and of course they're ins and outs and their sales and stuff like that. So, don't do the math, but it's about 15% that we contribute. That business generates a very high teen kind of IRR. So, that is

a great

return for that excess capital. The second thing which we do with our excess capital is really make investments in financial market infrastructures, right, and you've seen the pretty significant number that Devang talked to you about that got added to our reserves this year in this quarter actually because of the embedded value of those investments. Again, if you translate that into a return, that is a very good return on our excess capital. And as we start thinking more and more about how we are investing excess capital, the return on that excess capital will actually be between obviously if we invest in our business, we get the best return, but carrying a little bit of insurance premium, I would submit to you is a good thing and we will narrow the cost of carrying that kind of excess capital, right. And now with this accounting standard, frankly you will be able to see the benefit of that quarter on quarter on quarter, right and we are on the lookout like every other business to see what are the kind of inorganic opportunities are there to be able to participate and transform for scale. We are constantly talking to our businesses and all our businesses know that they have the primary raw material for growth, which is capital so that is not a kind of binding factor for that. And that's why I think we can start talking to you about a much better position around our excess capital and the return that capital makes and hence the overall return that the firm makes.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama.

Please go ahead.

Mahrukh Adajania: I had a question on credit cost and on the unsecured bit. So, on credit cost now, do we see it settling at around 60 basis points? Is that a fair assumption to make even for the future quarters because in the fourth quarter that is there were some reversals on Kotak Mahindra Bank Limited

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standard provisions, but those have been possibly exhausted now. So, is that the range, is that the correct range to look at 60 basis points?

Ashok Vaswani: Yes. So, Mahrukh, let me give you the way I am looking at it and then maybe Devang can help kind of quantify to that extent, right. So, first of all, I think the credit cost is the total cost number and you should kind of think about it in different buckets. Frankly, on the corporate side of the house, Touchwood, credit remains very benign and actually working very well. Now what is happening there is that the level of recovery that we were making post COVID have started coming down a little bit while actual new credit costs are close to zero recovery. So, instead of being a massive negative number, it is a smaller negative number. On the secured side, in retail, no issues at all, very similar commentary to what I just talked about on the corporate side. Every other part of the business, credit cost pretty good. In unsecured retail, we are definitely seeing signs of stress in two areas. One, we are definitely seeing a bit of stress in the lower ticket kind of unsecured credit card, not PL, credit card. And then in credit cards, we are definitely seeing some level of stress where the customers are getting over leveraged. Our hypothesis in this regard is that banks coming out of COVID suddenly realized that it's a pretty benign kind of situation and doubled up very aggressively on credit in areas which were traditionally safe and therefore there has been some level of over leveraging within the system. We are very focused on these areas. We have created specialized collections team to work at and hopefully we won't see a tick up from here on as we manage our way through it. Now obviously how the environment develops and what happens generally in the industry is something that we are going to keep a very close watch on.

Devang Gheewalla: Mahrukh, only just one

clarification. The credit cost is computed only for the specific provisions. We have mentioned that on page 14 and the figures are comparable. So,

0.55 is only on specific provision does not include standalone provision .

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Congrats on the quarter. Just a couple of things. Firstly, employee OPE X has under shot. So, do these numbers reflect the annual hikes or will we see a jump next quarter? And just secondly one clarification, so Shanti mentioned about some initiatives on SA deposit, some bundled product offering something in the top 50 cities. So, if you could just elaborate on that. Thanks.

Devang Gheewalla: So, the employee cost includes the total increments which we have sort of declared to the employees so that includes that.

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Shanti Ekambaram: Yes. So, on the deposit side, I talked about very focused customer segments and bundled products and these customer segments really are the affluent space both in the salaried as well as the business banking . The self-employed customer as a customer, the NRI customer and the early jobbers and we have bundled product offerings that we have already launched. But as we get into the quarter, we will be focused . So, there is a very specific segment and product bundling strategy to increase engagement. Some of these product bundling includes your investment, your lending and other products etc. But this is what I talked about and we said that we are focused on the top 25 cities as far as the micro marketing strategy is concerned for some of these segments. But if you look at the deposit strategy , I think top 68 to 75 cities is where we will be very focused on rolling out some of these initiatives .

Moderator: Thank you. The next question is from the line of Suraj Das from Sundaram Mutual Fund . Please go ahead.

Suraj Das: Just couple of questions . One on this Activ Money . While the focus remains on ActivMoney and granular deposit, if I see the percentage of TD Sweep facility in the overall term deposit , that is coming down over the past two quarters . So, just wanted your thoughts there and similarly in terms of the number that the CASA and TD less than Rs. 5 crore that is also as a percentage of total deposit is coming down over the past, let us say 4 or 5 quarters. So, what is your strategy there? And one more question, I mean on the MFI side, I mean you mentioned I think in the opening remarks that there have been some stress, so is it more related to, let us say Bihar and Uttar Pradesh, where probably Sonata is predominantly present or I mean in specific geography where you are seeing some kind of stress? Yes, that 's all from my side.

Ashok Vaswani: So, Shanti, you want to cover the deposit side and we have Manish here, Manish runs our commercial businesses and microfinance falls within his empire. So, maybe he can tell you a little bit about the microfinance business and where we are seeing stresses.

Shanti Ekambaram: So, firstly, in my opening this thing on deposit, I did say that in this quarter , ActivMoney was flat. When I look at a Y-o-Y basis, we were 66% growth, but in this quarter it is flat. I also said that we have relaunched the campaign this quarter and we will continue to focus on the way we got the success last year. We relaunched the campaign with a different focus. Yes, so we will see Activ Money as a contributor. It not only gets us the deposit, but it also helps us shore up savings . So, as far as less than Rs.5 crore is concerned , it's about 78% from 80% , this is vis-à-vis last year, right? So, that's a small marginal drop as far as we are concerned, and I talked about the initiatives that we will be testing, and all these initiatives are focused on granular deposits.

As

Ashok Vaswani: Manish would give a brief update on our microfinance business and then get into this specific question.

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Manish Kothari: So, microfinance business, so we have presence in about 16 states, the existing business in BSS subsidiary is largely concentrated in five large states, which is Karnataka followed by Bihar, Madhya Pradesh, Maharashtra and Tamil Nadu. And the other states are much smaller. So nata acquisition gives us a larger footprint in UP followed by Bihar and MP and the geographies where we are seeing some degree of increased delinquencies as well as collection related issues are more in parts of Tamil Nadu, parts of Madhya Pradesh , some pockets of Maharashtra , Bihar , Bihar is not as much as we talk, some parts of UP, Rajasthan. Now, these are all areas which possibly have been impacted due to the last year the monsoons were pretty erratic in terms of as we saw floods, we also saw pockets of drought. And then of course, there has been

an impact of heat wave in the 1st Quarter of this year and some degree of restricted movement of people during the course of election and hence some of the northern states were hit largely because of that . Pockets of Tamil Nadu, Maharashtra , MP , etc., were b ecause of monsoon impact of that as well.

Ashok Vaswani : So, I mean basically between the heat wave , the elections and stuff like that, obviously, and this is Manish keeps telling me that this is a business which is a very person to person , going to each people 's home and stuff like that. We are doubling up on all our collections and stuff like that. So, hopefully , we will see this get into better shape.

Manish Kothari: Yes, second half should look better as monsoons. If the monsoons are normal and the economic activity in the rural areas pick up , I guess during the course of the year things should get better.

Ashok Vaswani: Having said that, it is a volatile business, but with a great return. It 's got a very good return but has volatility.

Moderator: Thank you. We have the next question from the line of Abhishek Murarka from HSBC.

Please go ahead.

Abhishek Murarka: My question is on LCR. If I look at the number for the last two quarters, it 's been building up. So, it's gone from 126 to 139. And when there is a bit of a margi n pressure, why are you building up this number or is this in preparation for the revised framework or do you anticipate any change in classification for deposits? Why you building up this numb er? That 's what my question is.

Ashok Vaswani: May I request Paul, Group Chief Risk Officer to kind of deal with this question. Yes. Paul, go ahead.

Paul Parambi: This is not something we are trying to build up. It 's a natural consequence of how we are managing the assets and the liabilitie s and it 's just a consequence of all of that. So, liquidity is comfortable right now overall. Right now, as Devang and some of the others
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had mentioned, the real question is in terms of the mix, that is the point. So, it's not a conscious effort to build i t up. Of course, we try and optimize it in various ways. So, that does increase it in some ways, but it 's no special effort because we are expecting something to come up.

Shanti Ekambaram: What Paul said , if you look at the fourth quarter, we got a lot of deposits. If you look at on a Y -o-Y basis or a quarter basis, we are getting deposits . It's a function of the liquidity that we are setting up, we are not actively building up LCR and as and when we see deplo yment opportunities , we continue to give.

Abhishek Murarka: Because the understanding is that most bank s are making it more efficient.

Shanti Ekambaram: Yes, we are working on it currently.

Moderator: Thank you. The next question is from the line of Suresh Ganapathy from Ma

cquarie

Capital. Please go ahead.

Suresh Ganapathy: Just one question, I mean because we did discuss about this capital stuff , is there a thought that the Bank could increase its payout ratio because there is something which has never been discussed and there you will always remain quite well capitalized even if you assume 18% to 19% kind of growth for the foreseeable future, so why not give more dividend?

Ashok Vaswani : This fundamentally goes back to this notion of capital and excess capital and like I explained Suresh , the way I look at it is having a fortress balance sheet is a good thing.

The fundamen tal question I am askin g for myself is, hey, s o what is the return that excess capital is giving and I am submitting to you the way we are investing it, the return that we are getting actually is a decent return as we can 't show it in the P&L, but this time the accou nting has kind of helped us to show you what kind of returns we are getting on this excess capital and if the cost of the insurance premium is not high, high carrying that excess capital, then having a fortress balance sheet and yet getting a return is a v ery nice position to be at. So, in fact, as long as I am being able to deliver that for our shareholders , I think we are in a very good position , right.

Suresh Ganapathy: Just one extension of the same question is your ROE is at 14%, your peers are at 17 %-18%, so somewhere down the line it is hurting you that denominator is th at base, right?

I mean it 's taking time for you to realize some of that excess returns that you 're talking about getting flown into the P&L number. That is we are not talking about for one quarter , we are talking about for the past several years, and these ROEs have been lower than some of your peers .

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Ashok Vaswani: Yes, that 's right. That 's the point right now today in this quarter, because of the accounting change you 've seen, how much has shown into the reserves, right? So, it's the embedded value of the investments that are showing up. If you take that, you can actually compute what is the return that we are generating on that excess capital. And I can assure you , you will be quite pleased that we are generating that kind of return on the excess capital . Now it 's not going to P&L, but a sophisticated investor like you will understand the value of this kind of investment. In fact, I would submit to you because of this, our stock is very undervalued. Not only are we carrying a fortress balance sheet, we are making those investments and getting you a very good return. And today, we are actually being able to depict a certain amount of it say this is the same story in KGI. KGI is slightly different from the choice that we have made, right, but the embedded value of the KGI transaction suddenly became known to you in this quarter or whenever we announced the sale. So, you see the embedded value in the franchise, it is incredible.

Moderator: Thank you. The next question is from the line of Prakhar Sharma from Jefferies. Please go ahead.

Prakhar Sharma: Very quick question . If you look at the margins at 5.0 %, they are more or less in line with what it was at like 1Q FY23 when 4.9% margin was there and the share of assets moved somewhere close to 8%, slightly less than 8%. You are touching almost 12. So, how do you look at the risk adjusted margins in the way they are behaving? That 's question one . And second on the NP A provisioning level, you move down from 81 to 75 , 75 is no less, but since the credit is going up, how do you look at the coverage level? What 's the right level for Kotak Bank? Thanks.

Devang Gheewalla : I think on the coverage level, I think we are quite comfortable with having 75% PCR ratio, right? The way we should look at it is also the net NPA which remains low at 0.35. So, I think

we are very comfortable with that. Yes, the credit cost has gone up. I think we have discussed about this, the measures we are taking over it. But as far as the coverage on the net NP A ratio, we are quite comfortable about it .

Ashok Vaswani: And correct me if I am wrong Devang, but the change in accounting policies that we did would have had some impact on that, right?

Devang Gheewalla: Correct .

Ashok Vaswani: The write off which we did last quarter.

Devang Gheewalla: The coverage also is obviously reduced because of the write off , which we explained in the last quarter. We did it in line with the industry, which we are carrying over a longer period with a recovery pressure, but then we did it in the March an accumulated write - off of close to Rs.1,500 crore . So, that has also impacted provision coverage ratio. But Kotak Mahindra Bank Limited

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I think as a philosophy, we are quite comfortable with the PCR of 75 and as long as the net NPA remains at 0.35.

Prakhar Sharma: Got it, and the first question?

Devang Gheewalla: So, on the margins, I think the way we look at it, where do we go from here , I think we explained what are the reasons why some of the growth in CASA was muted due to the correction we have to do due to the RBI matter. The reason we explained in terms of holding back the unsecured loan growth which has affected the yield. I think if we take those corrective actions and it does result in getting more low-cost deposit and disbursing higher yield unsecured loans going forward , it will have a positive impact on the margin . So, it all depends on how does it play out and of course, as a systemic liquidity, how it behaves as well as the repo rate which are all the determining factors which affect the margin . As I said at this level also would like to believe we are still one of the highest NIM margins and at the highest CASA ratio.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Ashok Vaswani for closing comments. Over to you , sir.

Ashok Vaswani: Yes. So, first of all, thank you so much for being with us this afternoon. I hope we have explained the results. It has been a very busy period for the management team, but I hope they give you a sense of the solid progress that we have made and how we are putting steps into place to really transform our business for scale. So, thank you , much appreciated.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Oct 2024

Kotak Mahindra Bank
Q2FY25 Earnings Conference Call
IST 5.00 PM on October 19, 2024

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Paul Parambi - Group Chief Risk Officer
Mr. Nilesh Shah - Managing Director, Kotak Mahindra Asset Management Co. Ltd.

Kotak Mahindra Bank
October 19, 2024

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Moderator: Ladies and Gentlemen, Good day and Welcome to the Kotak Mahindra Bank Q2 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you. And over to you, sir.

Ashok Vaswani : Thank you so much. Welcome, everybody for our quarterly call. For the 2nd Quarter, let me let me cover kind of four points :

The first point I will kind of cover is "Financials," but at a very high level, I will get Devang to do it

in detail.

Two talk a little bit about the progress that we are making on the technology front, three, a little bit about the personal loan portfolio that we have acquired or are going to acquire from Standard Chartered, and four, I know for a fact that you will have the recent draft RBI circular on your mind so let's try and address that as well.

Starting with the "Financials":

We ended Q2 with a group profit after tax of 5,044 crore. That's up 13% year-on-year. I've always talked about Kotak being a financial conglomerate and a collaborate compared to a plane flying with multiple engines, and this quarter, if you see three of the four engines grew at over 50% year-on-year -- Capital Markets at 52%, Asset Management at 58% and Insurance at 50%.

The Bank grew at a less higher number and the reason for that is #1, this was the first quarter where we saw the full impact of the embargo. Despite that, we grew deposits by 16% year-on-year and assets by 18% year-on-year. In our deposit growth of 16% year-on-year, our CASA ratio stabilised at 43.6%, which I think continues to be industry-leading. Now, even though CASA ratio was 43.6% and customer deposits grew by 16%, our cost of funds went up by about five basis points quarter-on-quarter.

On the Asset side, like I said, we grew our customer assets by 18%. This was largely in the wholesale Bank and

on the secured advances in the consumer Bank. We had more muted growth in the commercial Bank on the back of slow growth in the CV and tractor industry. That is more of an Kotak Mahindra Bank
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industry kind of trend and what we are hoping is that this industry trend kind of changes and moves to the better in Q3 and Q4.

On the MFI side of the business, we restricted growth because as we called out about two quarters ago, we were seeing some strain, and we are being cautious of growing in the MFI space. We expect this trend to continue for the next quarter, maybe two quarters, and then it should get okay. It's obviously confined to certain states and some states are coming back quite nicely, while in some cases, the strain kind of continues.

On the Unsecured Retail business, obviously, the tech embargo has had an effect, particularly on the credit card business. And as you can see, our total share of retail unsecured asset businesses has dipped a little bit to a shy over 11%. In the credit card business, we have also seen some level of credit stress due to the overleveraging of certain kind of customers.

Our loss rates are pretty much in line with industry, though the percentages may look a little elevated and the reason the percentage looks a little elevated is because our denominator is not growing as we are not issuing fresh credit cards. Overall, our CD ratio continues to be in our acceptable range between 83 and 87 at 86.6.

So, that's where I will leave for the financials. I think a strong quarter, 5,000 crore in the quarter with three of the engines clocking at over 50% year-on-year kind of growth.

Let me move to "Technology":

This quarter, again, incredible amount of progress, a lot of hard work, a lot of significant progress on the risk and resilience front. We continue to work under the advice and guidance of the RBI and make strong progress on the matters highlighted in the April order. We are also working very closely with GT Bharat, our external auditor, so that they can validate the work that we have done.

But more importantly, while we greatly improved our risk and resilience, we also use this period to begin to improve the experience for our customers and our colleagues. This through the beta launch of a new customer-facing mobile app and if you haven't tried it, I would urge you to try it. It's available on the App Store as well as on the Android Store, and on the automation of processes. This is quite a significant rewiring and of course there's more to come on both these fronts, but I'm very excited to share with you the progress that we will be making on these two fronts.

Finally, this quarter we saw the RBI issue a draft circular on 4th of October and obviously we are looking at that circular in great detail and trying to understand the implications of that circular for our businesses. We have time until November the 20th to go back to the RBI with our comments, which is of course something that we will do, and once we get the final circular, obviously we will implement the final circular as required. Needless to say that it's a matter of where we do business
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as opposed to whether we do any kind of business. So, it can get kind of sorted out and we are working through those kind of provisions, Needless to say also that we will continue to keep you posted on the progress that we have made. But at Rs.740 book value per share, that is a clear indication of a strong, strong fortress company and a strong fortress balance sheet.

With that, let me hand over to Devang to take you through the details of the Financials.

Devang Gheewalla: Thank you, Ashok and good evening, friends.

Let me just take you through the Q2 numbers, which we disclosed earlier today. We will start with

the consolidated numbers first. We ended this quarter with a consolidated

profit of 5,044 crore, which

is about 13% YoY up and 14% higher on a QoQ basis, on QoQ obviously we have excluded the profit from the Kotak General Insurance transaction which we booked in the last quarter.

Also, it is important to note that this profit does not include MTM gain post tax of 1,363 crore, which according to the investment circular and our classification has been accounted directly in the net worth and it has not gone through the P&L. So, this 1,363 crore is for the quarter MTM gain which has not gone through the P&L and into net worth. With these profits our consolidated net worth of the group is 1,47,000 crore with a book value of share of 740 as mentioned by Ashok which grew 22% YoY.

Our consolidated customer assets is about 5,10,000 crore which is 19% higher than the last year. Our capital adequacy at the group level is at 22.6%, of which CET itself is 21.7%. ROE at the consolidated level is 13.88% and ROA is at 2.53%. Would like to clarify if we remove the impact of the increase in the reserves as I explained, the consolidated ROE will improve to 14.28%. The share of subsidiaries in the group profit at the Q2 stood at 33% on the back of capital market growth.

Let me start with individual entity, with the Bank first, which this quarter contributed 67% of the group profit. The Bank ended the quarter with a PAT of 3,344 crore with YoY growth of 5%. Q1 profit of the Bank included dividend income of 380 crore as explained on page #8 of the Investors Presentation.

At the Bank standalone level too, we have a capital adequacy of 22.6%, of which CET-1 is 21.5%, and for the quarter the Bank clocked an ROA of 2.17%. It is worthwhile to note this is the first quarter with full impact of embargo which was applicable towards end of April last quarter.

The Bank's customer assets grew by 18% to 4,50,000 crore YoY and 3% QoQ basis with secured consumer banking, SME segment contributing significantly to asset growth during the Q2.

Unsecured retail mix reduced to 11.3% due to the embargo on the credit card and lower disbursement in the micro credit business. The mix change in the asset growth towards secure assets resulted in

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reduction in the yield on advances and consequently reduction in NIM for the quarter by about 11 bps to 4.91%.

Our CASA ratio is now at 43.6%, in fact, improved marginally on a QoQ, contributed by SA growth of 5%. Our average total deposit for the year grew by 16% with average TD Sweep growing over 50%. The Bank continues to maintain healthy CD ratio of 86.6%.

Our fees and services at the Bank grew 14% YoY in the current year. There was also an impact of slowdown due to the credit card business income not been accounted due to the embargo in the current quarter.

Operating costs are stable at 2% QoQ growth with a reduction in acquisition cost for 811 products, but higher IT spend to meet the remedial measures relating to embargo. The overall P&L impact estimated due to IT embargo is in line with the initial estimate as we have given as per the earlier guidance.

The gross NPA of the Bank at 30th September is 1.49%, net NPA is at 0.43% with a credit cost of 65 bps annualized increase largely due to losses in unsecured retail book.

Let me now just shift to the "Subsidiaries Performance":

Kotak Securities and Kotak AMC continues to perform well with growth in capital market, increasing contribution to our group profits. Kotak Securities recorded YoY of 37% growth in profit to 444 crore with an increase in market volume. Kotak AMC made a profit of 197 crore, up 60% compared to last year with an increase in average AUM in equity to over 3 lakh crore, YoY growth of 63%. My colleague, Mr. Nilesh Shah, will delve into AMC performance during this call later.

International subsidiaries also benefited from the growth in c

apital market and increased inflow

contributing 76 crore profit as compared to 41 crore in the previous year, clocking a growth of 84% YoY.

Kotak Mahindra Capital profit was 90 crore for the quarter as against 27 crore last year on back of large IPO mandates.

Kotak Prime Customer assets grew to 37,000 crore with a YoY growth of 19% and PAT for Q2 is at 269 crore clocking a growth of 29% YoY with some one-offs in Q2 performance.

BSS Microfinance business, a correspondent entity, ended the quarter with a lower post-tax profit of 16 crore due to lower disbursements and an increase in delinquencies in select states. BSS net worth is 1,076 crore at 30th September 30th, 2024.

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Kotak Life ended the quarter with a PAT of 360 crore as against 247 crore same quarter last year, YoY growth at 46%, primarily due to higher investment income and realized equity gains. Kotak

Life continues to maintain a higher solvency ratio of 2.57 x as against the regulatory requirement of 1.5X.

With this, wishing you all the best for the festivities ahead and look forward to interact with you. I hand over to Shanti for the Business Updates.

Shanti Ekambaram: Thank you, Devang. As has been stated, the Bank's customer assets grew to 4,50,000 crore, which is up 18% YoY and 3% QoQ.

I would like to get into the highlights of each of these segments of assets and I will start with the consumer segment. The Consumer Bank advances were primarily led by secured businesses, which grew 6% QoQ. This includes the mortgage business, both home loan and LAP as well as the business banking segment, which grew 21% YoY. The portfolio of the secured book continues to be robust, reflecting strong quality.

The unsecured retail business showed a muted QoQ growth of 1%, largely because of the embargo on credit card and some amount on the personal loan.

In the credit card business, we do see some build up of stress, particularly in the vintage segment.

We had calibrated our risk framework last year to align to the macro and the recent vintages continued to perform well. Personal loan showing a slightly better stable trend.

Let's move to Commercial Assets. The CV industry saw 10% degrowth in Q2, largely due to the goods segment, although the passenger segment continues to grow. At Kotak, we manage to gain market share marginally, but growth was relatively muted. This segment of commercial vehicles has seen disruptions in the last two quarters, largely due to heat, rains and climatic risks. This impacted overall economics for the truck operator to some effect including a lower load factor. So, due to this, we have seen some delinquencies, particularly in the retail segment. We have tightened our credit underwriting and strengthened our collections to ensure that we continue to underwrite well. With the ongoing festival season and the anticipation of increased government spend, we expect H2 for the sector to be much better on demand.

The construction equipment saw the modest growth. Our disbursement grew along in line with industry and the portfolio is reasonably robust and we plan to retain our growth momentum in this segment in line with the industry.

The Tractor Finance business was largely flat in the first half of the year. This was on the back of 8% degrowth in the last financial year. There is a seasonal impact on the tractor business in Q2, including due to certain erratic climate persisting and the slower rural economy. Our disbursements have grown

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largely in line with industry, and we continue to be a key player in the industry. We continue to focus on our used tractor financing business. With the above normal monsoon and expectation of the government's push on rural infrastructure, we expect a revival of the tractor demand in H2. We also expect the cash flow in the rural and

semi-urban areas to improve and hope to see better collection

efficiencies in tractor in H2. The agri business utilization was very flat, but the portfolio continues to be stable.

Micro Credit, after a consistent 20%-25% growth in the last two years, the micro sector degrew by 4% and was expected to degrow in this quarter as well. The segment saw certain stress because of overleveraging of certain borrower segment. This along with the slowdown in the rural household incomes saw some increase in delinquency. This is likely to play out over the next two to three quarters. Our micro credit business actually degrew. We pulled back a bit and we will be watchful of the trends as we look at this important business. We are optimistic of the medium- and long-term prospects of the business and building a quality franchise with the right reward metrics.

With the acquisition of Sonata, our footprint has increased, and we are currently in 16 states with 27 lakh customers.

I will now take you through the "Highlights of the Wholesale Business":

Last quarter I had spoken about the medium to long term strategy laid out by the wholesale Bank of increasing market share holistically with sensible and profitable growth. A key component was to grow the granular book at a much faster rate and in line with this the corporate SME and the mid-market businesses saw healthy growth. The corporate SME grew at about 31% YoY and the mid-market saw a number of new acquisitions. New acquisition has been a main focus, and we have been able to achieve a 56% YoY growth in the corporate SME businesses of new customers.

Amongst the larger corporates, the growth was a little more muted. Growth came more in the form of credit substitute. This space continues to face challenges of irrational pricing and our strategy in this continues to be initiatives such as increasing product holding, capturing a higher share of transaction banking businesses. The credit substitute book actually grew 32% YoY this quarter. Trade assets continue to be a focus and showed growth. There has been a 2.2X increase in new customers on our flagship digital offering "Kotakify" and the number of trade transactions on our digital platform has grown significantly. We will continue to invest in enriching our digital propositions for trade.

GIFT City has been another important initiative on the wholesale side and our GIFT City business

actually grew 80% YoY in both trade and non-trade advances this quarter.

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Our asset quality across the customer segments on the wholesale side continues to be robust and we continue to bolster across through higher cross-sell and deeper penetration of income.

One of the highlights of this quarter has also been our debt syndication business and we were able to close a number of mandates in a diverse set of sectors like infrastructure, data centers, real estate, auto, retail. We will continue to focus on this business. Overall, the franchise and business remain healthy.

Let me now turn to "Liabilities":

The average deposits for the Bank grew by 16% and our CASA ratio this quarter actually improved marginally. Savings deposit, particularly the fixed rate savings grew sequentially and we saw growth across segment of affluent, core, non-resident and we are beginning to see some green shoots in the savings deposit in this quarter. We make sure that we are focusing on the premium end of the customer as far as new acquisitions are concerned and have moved to co-originate bundled offerings across all our products.

On the Current Accounts side:

We again have focused more on the proposition for customers, payments, current accounts and other products. We relaunched "ActivMoney", we saw a strong growth this quarter of 9% QoQ and 41% YoY. Deposits will continue to be a focus, particularly granular deposits across savings, ActivMoney

and term deposits.

"Distribution":

We make deep-rooted changes in the distribution strategy within the consumer Bank with a focus on customer centricity and have structured ourselves across product proposition and distribution. Our distribution is across physical, digital as well as voice and video with a focus at a micro market level and provide best solutions to customers based on their persona.

On the "Digital Platform":

The focus has been in best-in-class experience across banking, investments, payments and also through our mobile banking app which is the banking app, 811 and Cherry.

On the wholesale liability side, average custody flows were strong, driven by market buoyancy in both primary and secondary market and marquee acquisition in offshore and domestic market. We continue to strengthen our offering in this space and have launched Global Custody Services at GIFT City this quarter.

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Tax payment continues to show strong growth, so also our collection-payments on the cash management side. We have launched the Kotak API Developer portal which enhances the visibility of our API offerings facilitating new business acquisitions.

I will now request "Nilesh to take you through the Asset Management Business."

Nilesh Shah: Thank you, Shanti.

Let me talk about our Asset Management Business. Kotak AMC's North Star is to be the most trustworthy Indian Asset Management Company.

By focusing on the 4Cs of customer, company, colleague and community, we are building a bond of trust with our customers and has emerged as the fifth largest mutual fund in India.

At the end of 2nd Quarter FY'25 our folio base grew 20% YoY to 1.2 crore, a growth of 2.4 x in the last five years. Our unique customer base grew 31 % year-on-year to 65 lakhs, a growth of 3.8 x in the last five years.

Our average assets under management grew 41% YoY to Rs.4.7 trillion, a growth of 2.8 x in the last five years. Our total AUM market share grew to 7.1%. Over the last five years, it has increased by 60 basis points from 6.5% to 7.1%. Our total equity AUM comprising of active, passive and arbitrage funds grew 61% YoY to Rs.3.1 trillion, a growth of 4.6 x in the last five years. Our pure equity AUM grew 58% YoY to Rs.2.4 trillion, a growth of 5.3 x in the last five years. Our pure equity AUM market share grew to 6.5%. Over the last five years, it has increased by two percentage points from 4.5% to 6.5%.

Our SIP inflows as of September '24 grew 23% YoY to Rs.17.6 billion, a growth of 3.2 x in the last five years. We continue to serve investor requirements across active and passive funds, focusing on local and global markets across debt, equity, and commodities for retail as well as institutional investors. We maintained our focus on ESG investing as India's first signatory to the United Nations principle of responsible investing. Since our adoption of UNPRI six years ago, our rating has consistently been above the median across emerging market peers.

Digital transactions contributed 91% of our total transactions in 2nd Quarter FY'25. This restricted investor queries to just 312, which represents 0.0035 percentage of our folios. Our digital properties had an uptime of 99.95 % in 2nd Quarter FY'25, demonstrating robustness of our technology

platform . Our investor base remains well diversified. The top 10 investors contribute 7.3% of total AUM and the top 10 distributors contribute 22% of total AUM.

Our disciplined investment management process continues to add value to our investors. 11 out of 16 equity and hybrid schemes are outperforming respective benchmark indices over the last three

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years. We have embedded quantitative s in our investment process with the launch of Kotak Q uant Fund last year. The alpha of this one i n the last 12 month s is 20%. Our non- instit

tutional AUM is

59% of the total AUM . Over the last five years, it has moved 14% in favor of non -institutional investors as we have expanded o ur branch and digital network. All this is reflected in our profit after tax, which grew 58.87% YoY to Rs.197 crore in 2nd Quarter FY'25, a growth of 2.3 x in the last five years.

Coming to our International Asset Management Business :

We manage \$6.1 billion across debt and equity , across funds and advisory for global investors. Kot ak Asset Management, Singapore, manages the largest India dedicated Mid Cap Offshore Fund vide Kotak Fund - India Midcap Fund, which has an AUM of over \$4.4 billion . With of fices in Singapore, Dubai, London and New York, among other places , we are emerging as the preferred choice for inward investment in India for global in vestors .

Coming to our Alternate Investment Management Business :

Kotak Alternate Assets has secured commitments of US \$352 million in 2nd Quarter FY'25, a growth of 88% , taking its total commitments to US \$10 billion since its inception.

Kotak Life Science Fund, which is part of the private equity strategy, was launched in 2nd Quarter FY'25. Kotak Private Credit Fund raised US\$33 million in 2nd Quarter FY'25, a growth of 153% YoY, taking total commitments to US \$211 million as of 30th September '24. Discretionary Portfolio Solutions under Kotak Optimus and Kotak Iconic added US \$80 million in 2nd Quarter FY'25, a growth of 40% Y oY, taking its total AUM to US \$809 million.

Our total assets under management across mutual funds, portfolio management services, offshore , insurance and alternate assets grew 37% YoY to Rs.6.8 trillion , led by domestic equity mutual funds and offshore funds. It has grown by about 2.8 x in the last five years .

I wish all of you a happy festive season. I will hand it over to the operator for initiating question - answer session.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: Can I start with your recent interview where you had kind of expressed a desire to be the #3 private Bank in India ? If I look at the kind of where consensus estimates are and extrapolate, it feels like you need to grow 8% to 9% faster than your peers in the next five years . What I was interested in understanding was the products, the geographies and the subsidiaries in which you could outgrow your peers to achieve your objectives . And then the second question was on the margins. If you could

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highlight, what kind of sensitivity we would be facing from the RBI rate cuts and how much offset will there be from the Stan C deal and the savings account rate cuts that you 've announced? If you could kind of give us a picture on margins , how they might evolve over the next year?

Ashok Vaswani: So, Chintan, I will start and then I will ask Devang to also chip i n. Look, I think on the vision, this is something that we have said as a team as a goal over the next 5 years. So, this is not like in kind of one quarter and the way we thought about it is that we have said that look, this will happen both from an organic perspective and an inorganic perspective. Obviously, we will see a step up. Inorganic is not in our control, depends when opportunities come up. We step up the pace of organic growth and we are going to do a whole bunch of stuff to kind of get that going. Now, you are going to see the impact of that immediately in one quarter. Right now, our first priority like I have been mentioning since April, at least, is that our first priority is to fix our technology estate and get out of jail. But as you would have heard Shanti talk, at the same time, we also are investing heavily in technology, not only from a risk and resilience purpose, but from a customer and a scale perspective, right? And that is the way

to kind of get about. So, you will see more of those kind s of things happening. As far as NIM is concerned and margins are concerned, Chintan, as you know we manage this very tightly and we manage it on an ongoing basis. One of the things that we have been talking about is how do we at least align some of the ra tes that we pay in the marketplace, let us say our savings book. The rate change that we have made on 17th of October was really to bring our savings rate in line with that of the competition. Going forward, Chintan, it is obviously say , how do we monitor, what pricing we can get on our loan book. Once we get out of under the embargo, obviously we will grow our unsecured retail book and that will give you a higher yielding asset. Obviously, we are looking to

grow our rural kind of book, which is both CV/CE and then hopefully come back strongly on Microfinance. Again, those are high yielding books, so over a period of time we will manage the rate, the yield on our asset and then manage our deposit rates such that come out with propositions such that we maintain our CASA ratios or maintain our kind of cost of funds. So, this is something that we kind of do, I mean like we call it every week, Chintan.

Chintan Joshi: But just I am trying to think about the near term in terms of the NIM impact from three factors. RBI rate cut, the StanC deal and the Savings account reduction?

Devang Gheewalla: So, Chintan, RBI rate cut, it is anyone's guess when it will be and how much it will be. What is definitive today, which we have already declared, is the saving account rate cut which will add roughly about 4 bps improving the NIM margin. What we have already also announced is the Standard Chartered portfolio and unsecured book, which will also add about couple of bps to the average yield on the assets, right plus what I think Ashok said will continue to take measures to improve the margin through change in the asset mix and maintaining the deposit ratio. So, these are the things which we can clearly see now, and we will see how the RBI rate cut as and when and how much it comes. And as you know, when the rates were higher, we took the benefit clearly when the Kotak Mahindra Bank
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rate cuts will happen, it will have initial reaction, but it will stabilize the way it stabilized when the rates went up.

Moderator: Thank you. We have Sumeet from Morgan with the next question. Please go ahead.

Sumeet: I had a question with respect to margins over the last 2 quarters. So, margins have come down from 5.27 to 4.9 and I was looking for some waterfall and what has happened. So, I see three or four factors, one is basically change in loan-mix, second is higher liquidity as reflected in LCR, third is IPO flows and fourth is Sonata the way in which it was accounted in the fourth quarter, then first quarter. So, if you can give me some breakup that will be very helpful because your margins have come down by 35 odd basis points?

Devang Gheewalla: So, I think you have given me the answer in the question itself, but I can only conclude by saying despite that fall in the margin at 4.91, we are still the leader in the sector with the highest margin. But you are right about your analysis. I think I can only add saying that in the current quarter you saw the fall of about 11 bps. That is purely because of the mix change more towards the secured book. So, we have continued to grow our book at 18%, but the proportion of growth is more towards secured book, housing loan, LAP, working capital which are generally at a lower rate than a normal unsecured loan book. And as you know, we have a constraint we cannot grow credit card book and this being the first quarter where the full impact of the embargo in credit card is felt. So, these are the reasons which contributed, so clearly the reason is the yield on the asset and not much on the cost of fund or the deposits fund, which

seems to have stabilized. That is the reason for this quarter fall in the margin.

Sumeet: I was looking for some quantification, but that is fine, Devang and second is on asset quality, when do things stabilize? This quarter was slightly higher on slippages, and I also see coverage moving lower Q-o-Q. So, I guess coverage moving lower Q-o-Q is because of fresh slippages, but I just wanted to get some idea as to how do you look at coverage and where are we on the slippages cycle?

Paul Parambi: As was mentioned earlier, the main areas where there was some amount of delinquency pickup were two, one is significantly in unsecured and within that credit cards. We have not onboarded any fresh credit cards as you know since April. And we have already taken a lot of action probably for a year before that, and some of the impacts are also because of the older vintage clients who normally behave better in the industry seeing some amount of delinquencies. So, the actions which we have taken all this will take a few quarters, maybe 2 or 3 quarters to sort of play out. Our recent sourcing, which we had done before the embargo kicked in, those are behaving much better. So, hopefully that will hold up and some of the slippages in the older book will play themselves out. And similarly on the Microfinance, we had acted much earlier and there again as you are seeing degrowth. So, the fresh onboarding will be better and some of the pain in the older book will play out over the next 2 or 3 quarters. So, that is how one sort of sees it.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi. Please go ahead.

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Kunal Shah: So, firstly, with respect to the entire StanC portfolio, if you can indicate in terms of the profile in terms of the average ticket size, how it is panning out and earlier also we have seen Kotak doing not so sizable acquisition creating the MFI or the vehicle financing and that has continued even on PL side. So, should we assume that those inorganic opportunities would be relatively in few of the sub segments of a smaller size or maybe evaluate a slightly maybe a larger inorganic as well?

Shanti Ekambaram: So, let me take that question. This was an opportunity that came up and when we looked at the portfolio, we saw that it was in keeping with our strategy of the Affluent segment. We have done our due diligence, as you may know, before we signed up for the portfolio. I think that what we found the portfolio is in keeping with our Affluent segment strategy, which is what evaporates strategy in

the personal loan segment, so very much what Ashok has called the tuck-in acquisition strategy, which we will be looking for. And there is an opportunity we get roughly 95,000 customers which will help us onboard, upsell and see what other opportunities we have with us.

Kunal Shah: And when maybe RBI, slightly cautious with respect to growth in the unsecured side, maybe how would it be looked upon from the regulator side because that growth still continues from our end in this segment?

Ashok Vaswani: No. Look, I think the two are completely different. The RBI basically is saying right that you are going to get your technology stack under control, and we are working very hard on that. I think they have said as part of that you can't do digital onboarding, and the portfolio acquisition is something, these opportunities come along and when they come along, we will look at these opportunities and these tuck-in portfolio acquisitions is what we really like because we just bring in the portfolio, you don't have to pay for cost of acquisition. It is an easy kind of switch across. It is a business we know. It is a risk we understand, and it is very accretive right from word go. So, I just wish more of them came along, we did Sonata, we did Standard Chartered. If others come along, we will love to do

these

kind of things. The technology infrastructure build out that continues and those two events are completely independent of each other.

Shanti Ekambaram: I just want to highlight, even today 89% of our book is secured which you have seen had grown pretty well this quarter and our earlier stated objective which continues is that we will look at unsecured up to the mid-teens level. So, as and when we see opportunities that show growth which fits within our risk and strategy framework, we will look at it.

Kunal Shah: And secondly, on this RBI's supervisory reaction, given that we are very much like almost a quarter into it and generally the way we have seen the restrictions getting lifted for most of the other names in terms of the period that it generally takes, what is your assessment in terms of where we are? Would RBI look at some kind of piecemeal lifting of the restrictions? What could be the timeline that you would want to assign given the progress which you are very confident about in terms of it is going very well on track if you can just give some comments on that?

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Ashok Vaswani: Look, it is impossible for me to know how the RBI is thinking or on what date they are going to say the embargo is lifted, right? That is the question for the RBI and obviously the sooner the better from our perspective. What I do know is that we are working exceedingly hard and kind of systematically knocking out any kind of points of failure, any kinds of things that have been brought up in the RBI exam points, anything that we think can improve risk and resiliency. And of course, the work that we are doing is also being validated by our external auditor that should give the RBI greater comfort that what we are saying is validated by the independent kind of person. Having said that, that is all I can do. After that, frankly, it is in the hands of the RBI and at some stage they will determine that we have made enough progress to lift the embargo of us.

Kunal Shah: And one last question on incremental slippage. Would it be fair to assume that larger part of incremental slippage would be from the credit card or are there other segments as well, including MFI and the others?

Ashok Vaswani: Kunal, as you know, the credit card business generally speaking has most of the credit losses. So, if you look at our total credit cost, credit card is always going to constitute a very significant portion of that total and that will kind of continue.

Kunal Shah: On slippage?

Devang Gheewalla: Yes. So, you are right from the slippage, credit card does constitute about 30% -35% of the share of that, the net slippage. I think we are very hopeful that in quarter 3 and 4, we will have recoveries from the rural and secured businesses which will sort of help us to reduce the slippage going forward further in the Q3 -Q4.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Firstly, just wanted to understand the rationale for the SA deposit rate cut in an environment where our SA deposit growth is weak and the benefit is merely 4 bps?

Ashok Vaswani: The SA deposit card, first of all, it is restricted only to balances below 5 lakhs and we were paying a rate of 3.5% which was more than what competition was paying and really the rate cut is to bring our deposit rates in line with competition. Based on everything that we have looked at and based on the analysis we have done, the impact from a volume perspective is going to be at best muted.

Piran Engineer: And just to clarify, if I back calculate, it means that only about one-third of your SA book is less than 5 lakh ticket size?

Devang Gheewalla: So, I think it is not that simple because this is up to 5 lakhs means across the buckets up to 5 lakhs where that is not the way perhaps you will calculate, so that will not be the right

way to calculate it.

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Piran Engineer: Why Devang because if cut by 50 bps, and if it is only a 4-bps impact, it means it is less than 1/10th of your deposits and if SA is 30% and this is 9% or 10%, it means one third, right? Where am I wrong?

Devang Gheewalla: So, I think we should separately take this. I will explain you. As I said, this is across the buckets up to 5 lakhs.

Shanti Ekambaram: It is the first level of 5 lakhs across the entire portfolio.

Devang Gheewalla: Yes, of course I will explain to you separately offline.

Piran Engineer: And just secondly, just wanted to confirm this in terms of our outlook on slippages in credit cards and microfinance, it remains elevated in the second -half, but we also have some offsets from the secured loan book. Did I understand that correctly?

Devang Gheewalla: So, yes, you are right about the offset about the recovery, but I think the slippage itself, we expect with the measures what Paul has described to reduce going forward especially in the microcredit book.

Paul Parambi : But this can continue for a couple of quarters, but the measures have been taken such that each of these are, so if you look at microcredits loan. So, as the old legacy loans run down, what is left will be fresher underwriting and that therefore automatically means that these slippages come under control. So, that is already how it will play out and we have done this a few quarters back. It is not that we saw it this quarter, yes, but it is something we saw a couple of quarters back, but this has to just play out.

Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: I wanted to check what proportion of your loan book is linked to repo and external benchmark?

Devang Gheewalla : About 60% of our book is linked to the external benchmark loan.

Manish Shukla: So, the question here really is that we are at a margin level where we were in June '22 and May '22 is when we had the first-rate hike. While I appreciate that timing and quantum of RBI rate hike is not known, but if we take a 6 -12 months view , rate cut is inevitable. So, what contingencies would you have in that scenario? Because if 60% is linked to repo and we get 50 bps cut, that is a pretty decent yield on your yield on loans?

Devang Gheewalla : So, I think, it is not just on the rate cut on the advances side. As you have seen, when the rates went up, there was a repricing of the deposits as well with a lag. So, similarly as when the rate cut comes down, we also would expect the cost of deposits also to fall with a lag. And 60% is something which Kotak Mahindra Bank
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is if I look at the peers it is something across the board. Kotak is no different from the others. So, I think as we got the benefit when the rates grew up, as the deposit repriced with a lag , similarly when the rates go down, the deposits also will reprice downward and you will start seeing the inflow coming.

Manish Shukla: Lastly, in terms of credit cost, should one expect credit cost should remain in the 65 to 70 bps handle or do you expect it to go up before it comes down?

Ashok Vaswani: So, my sense is that credit cost will more or less stabilize and then over the next 2 or 3 quarters actually come down. But of course, these things you got to be, this is like looking into the crystal ball. We got to be careful, depends on how things kind of play out. Right now, the macroeconomic indicators look strong, a bit of stress on micro. But let us see how it plays out. But given everything that I am seeing, I feel pretty comfortable when at least two quarters out, we will see, loss rates come down.

Devang Gheewalla: I think as I said, the secured book recovery from Q3 -Q4 will ensure that the slippage comes down as we go forward.

Moderator: Thank you. The next question is

from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Firstly, again on the credit cost. So, in the fourth quarter, a couple of quarters ago, we had taken a big write off and we had explained that it was largely unsecured and credit card businesses. So, that pertain to the longer vintage unsecured NPLs, right, so what we are seeing now in this quarter is more pressure delinquency is of more recent vintage. Is that the way to look at it?

Ashok Vaswani: No, one second. What we did in March, about for the quarter ended March was we changed the way we do the accounting, right. Throughout the period, what we have been doing on unsecured, we have been providing 100% at 180 days, right? But the actual write off which we take we were taking 2 years hence. So, what was happening is our GNPA was showing elevated kind of numbers. To try and make it in line with industry, we brought down the write off from 2 years out to 270 days DPD, right? That was the big change that we did for the last quarter of last year, right. That is just an accounting change and that has nothing to do with, frankly, it made no difference to the P&L or anything like that. That was just so that the numbers for you could become, it made your life easier because you could compare numbers across banks. What we are saying separately is that separately and frankly, we called this out about 2 maybe 3 quarters ago, 2 or 3 quarters ago , we said that there is a certain amount of over leverage in the system and that over leverage in the system is starting to show up. The initial place where it showed up was in the microfinance business and then it showed up to some extent in the credit card business. And so you see the loss cost and the credit cost kind of

following through, but we are also saying now is that , we expect post Diwali that we will see a certain amount of recoveries particularly in the businesses that are linked to the rural parts of India and a improvement in credit costs in the next 3 to 6, 9 months in portfolios like credit cards. That is the Kotak Mahindra Bank
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entirety of what has happened, how we think things will happen, and what you are referring to for the last quarter of last year was really just a big accounting change.

Param Subramanian: If I heard you correctly, Ashok, you said 270 days is when you write off unsecured retail, right? That is correct?

Ashok Vaswani: Yes, 270 DPD. So, other banks, we are banks who do 180 DPD, we have chosen to do it at 270 because providing at 100% at 180 and writing off at 180, we felt was not appropriate from an accounting point of view because from an accounting point of view, when you provide at 100%, you expect to get some kind of recovery. Earlier on, we used to have that keep that recovery period open up for two years. Now, we should keep the recovery open up for 90 days. It makes zero difference from all perspectives, because we continue to do recovery irrespective of whether we write off at 270 or at 180 for that matter.

Param Subramanian: So, my second question again, this is just data. So, how much of the slippage in this quarter was from the microfinance segment or is this something that where we expect slippages to come through in subsequent quarters?

Devang Gheewalla : No, this quarter also had slippages from microfinance business. So, as I said, while the majority of that is from the credit card business, microcredit also had its share in the slippage ratio.

Param Subramanian: And lastly, just on this quarter, there would have been some impact of the float from the capital markets on the margin, right, if you could call out that number for this quarter that would be great?

Devang Gheewalla : So, you are right. So, we had a short-term surge in the deposits which obviously you could deploy only in a lower yield asset that we did impacted the NIM. The impact is about not more than

2 bps

basically on account of this IPO surge bit.

Ashok Vaswani: But I guess the bigger point with that is that the strength in one part of the business flowing through, you can see how it flows through so many other parts of the business, right? The fact that we get IPO mandates flows through the deposit side, it flows through on the Treasury side, it flows through on the corporate banking side. And therefore, the power of the financial conglomerate really comes through with these kinds of deals .

Moderator: Thank you. We have the next question from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh: Sir, just two questions. So, one is, on this RBI norm on investments, what are your thoughts if you had to consolidate both Kotak Prime and all the lending subsidiaries within the bank? And the second is just in terms of Kotak Prime specifically and also in the bank, how many of these customers will have like Kotak Prime customers will have an account from the bank as well?

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Ashok Vaswani: So, obviously the draft circular we got it on October 4th. We are looking at it in great amount of detail and trying to analyze it, trying to understand what the spirit is and what kind of makes sense.

Now, clearly, one aspect of this circular is that the business that you can do in the subs has to be businesses, which can be done in the bank, right. And there is nothing that we are doing in the subs that frankly we are not doing in the bank and therefore it is not a question of whether we have to shut down businesses. It is more a question of where we are going to do certain businesses. We have time till November the 20th to kind of go back and actually talk to the RBI about the implications and what our suggestions would be in light of the spirit of the intended kind of regulation. Now at the end of the day, the RBI will obviously take the collective view of the industry, evaluate it. Some of it will make sense, some will not make sense for them and they will come out with the final circular. When they come with the final circular, we will have to abide by the final circular.

There will be some elements of business which we will do only in the bank. You have got a couple of options that we are kind of looking through, walking through, trying to understand what the implications of that are and get ahead. There are advantages, there are both pros and cons in terms of going there. We are evaluating that very carefully and we should be able to provide a greater degree of clarity once we get a sense of what the final circular is. Also, finally, there is a sense of timing.

Let us see, they have indicated on some elements, a certain level of timing. Let us see what the timings actually land up to be and we will work through it.

Saurabh: Sir, in terms of your slippages, what percentage would be coming from the se linked accounts, so basically , would you expect the stress in credit cards to also go up in your personal loans portfolio ?

Ashok Vaswani: So, when you say linked account , means a card customer who has got a personal loan.

Ashok Vaswani: I think , the real way to look at it is these are usually customers who have also got a bank account and usually have their salary coming through us and those are actually our best customers. And obviously we monitor total unsecured exposure across products, right, and particularly a salaried kind of customer usually gives you the best credit. So, that area, I am a little less worried about.

Paul Parambi : Saurabh, I don't have the exact percentages, but the percentages are low and we clearly identified this as a potential area of risk probably a few quarters back and clearly therefore cross sell to customers of weaker segments of one asset to the other, we have actually clamped down quite a bit some quarters back. So, that is how we are looking at it, but the percentages are low

. That is not the major contributor.

Saurabh: And at this current point you would not expect the credit losses in your card business to eventually go up to the PL portfolio. Will that be a fair statement.

Ashok Vaswani: No, definitely not.

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Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL. Please go ahead with your question.

Rikin Shah: Just one basic question, the stage III, the provision coverage on NPAs has come off sharply in this quarter. Just wanted to understand what would be the comfort level that we would like to operate given that we are not carrying any buffer provisions?

Devang Gheewal la: I think what happens is when there is a slippage increase in a quarter, you will appreciate that the coverage ratio will come down because the provision on the fresh NPA, you will not be providing 100%, right? So, the incremental slippage will always result in coverage reducing which will get corrected. If it is unsecured loan, as we provide anyway, 100% over 180 days over next quarter, right? So, I think it will depend upon the nature of business where the slippage is occurring and the quantum of it. But with the increase in slippage, you will see coverage sort of reducing, but to answer your second question, we are comfortable maintaining coverage ratio at about 70% on an average.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, on this StanC transaction, what is the price that we are paying? I hope because there is a bit of a risk or the rising stress in the personal loan portfolio. Are we paying at par or is this subpar and are there any risk mitigants in case the delinquency turns out to be higher than maybe the current level. The public disclosure says that their retail GNPA is 2.6% which is at the retail level itself Rs. 20,000 crore, not the personal loan portfolio. So, would you like to get your comments there?

Ashok Vaswani: So, like Shanti mentioned obviously, we have done very detailed due diligence on this portfolio. We have obviously compared it to our portfolio. We are obviously aware of the situation and the over leverage in the market. We are obviously aware of the trends of risk in personal loan portfolios and all of those factors have been taken into account in us determining whether we want to do this transaction and if we want to do this transaction, do it at what pricing. We obviously had those discussions with Standard Chartered and have agreed upon a deal, but we are not in a position to disclose the exact price that we paid for the portfolio, but obviously we have taken factors like this into consideration.

Moderator: Thank you. Ladies and gentlemen, I would now like to hand the conference over to Mr. Ashok Vaswani for closing comments. Over to you, sir.

Ashok Vaswani: Thank you very much. First of all, thank you so much for being with us on a Saturday evening as usual. It is highly appreciated. As you can see, this has been a very busy quarter for us and I think the power of being a financial conglomerate shone through very strongly and some of our subsidiaries as you saw Niles bhai take you through the AMC have seen some kind of stellar kind of growth and that is really the power of Kotak. That is the difference of owning Kotak of really bringing it all together to meet the needs of our customers and I am very confident and as we kind of grow, we will
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see more such success stories where we bring all the power of Kotak together to meet the needs of our customers, to deliver for our shareholders. So, with that, thank you very much and let me take this opportunity to wish you a very Happy Diwali and I look forward to meeting you, if not before, at the end of the third quarter. Thank you. Good Night.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2025

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Kotak Mahindra Bank
Q3FY25 Earnings Conference Call
IST 5. 30 PM on January 18, 2025

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer

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Moderator: Ladies and Gentlemen, Good day and Welcome to the Kotak Mahindra Bank Q3 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you. And over to you, sir.

Ashok Vaswani : Thank you. Thank you so much. And thank you, everyone, for joining us this Saturday evening. A very happy New Year to start with.

It's actually been one year this month that I completed at Kotak. And wow, what a one year it has been, quite an eventful year. And I thought I would share some of my thoughts with you. And I want to give you and demonstrate to you that the team and I have been working on a lot of events through

this particular year. And we have made significant progress on a whole bunch of areas in our efforts to transform for scale.

Let me now reflect on the last 12 months :

#1. Starting with technology :

Obviously, in April of 2024 we got the order from the RBI , and since then we have been working very closely with the regulator and have made notable progress on core banking resilience, business continuity, cybersecurity and digital payments framework.

But what's more important is we have not only done that , but we have also utilized this period to :

1. Sharply define the group's go-to-market tech strategy.
2. Launched the new Kotak and 811 apps, which are complemented by Neo and Cherry.
3. We are digitizing and automating our customer journeys to make it much easier for the customer to do business with us.

With all of the above, we are starting to see green shoots, which is very very encouraging.

#2. The second point I wanted to make is , in my very first quarter I talked to you about the potential of a credit strain flowing through the system , and that unfortunately turned out to be true.

But as the credit strain kind of has

as worked through the system, what we have seen in this quarter is that personal loan trends have actually improved. The stress in the credit card portfolio is now plateauing and therefore hopefully in the next couple of quarters we will actually see a decline . But Kotak Mahindra Bank

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we continue to be very watchful on the microfinance portfolio. What I can say about the microfinance portfolio is , this quarter we have seen a deacceleration of the strain that was coming through that kind of portfolio.

#3. The third area I want to really highlight is the macroeconomic environment. There's absolutely no doubt that there's heightened volatility , and there seems to be evidence of a slowdown in the economy. Now , what we have always said and always maintained is that we will grow the business at about 1.5 times to 2 times nominal GDP growth . And that continues to be the benchmark by which we will direct and manage this business.

Now , it's not been all negative. Frankly, on the flip side, there's been tremendous buoyancy in the capital markets and that has been a real tailwind as evidenced by the results that we are seeing in our investment Bank , in our mutual funds , and in KSec; frankly, as well as in our private Bank . This really has brought to fore that the diversified nature of our businesses as a group helps us to deliver for you , our shareholder , through various economic cycles.

So, while I am mindful of all the above factors , I also feel very good about our strategy built around customer centricity and the momentum we are building to transform for scale at the Bank . I feel very confident that these results will start to show in the coming quarters. And even in Q3, it's worth noting that despite all the distractions and headwinds, we did grow advances by 15% , grew deposits by 16%, maintained NIM at 4.93% , and managed a tight control on our expenses. So, I am really looking forward to this New Year with a sense of excitement but cautious optimism.

Let me now hand it over to Devang to take you through our Financial Performance in detail.

Devang Gheewalla: Thank you, Ashok. Good evening , friends . And first of all, a very happy New Year to all of you. Let me just take you through the Q3 numbers which we disclosed earlier today.

Let me start with the consolidated numbers first :

We ended this quarter with a consolidated profit of Rs. 4,700 crore , which is about 10% higher on a Y-o-Y basis. Mind you, this does not include MTM gain post tax of about Rs. 877 crore for the quarter , cumulatively, Rs. 5,600 crore on investments which as you know , we have been accounting under the new RBI guidelines as net worth, and obviously this has not gone to the P&L. With these profits, the consolidated net worth stands at Rs. 1,52,000 crore and the book value of share grows to Rs. 769 per share , a Y -o-Y growth of 23% .

Our consolidated customer assets is about Rs. 5,19,000 crore , which is 15% higher than last year. And our capital adequacy the group level continues to be strong at 23.4% , within which the CET-1 itself is 22.5%. Our ROE, at the consolidated level, at 12.43 % with ROA at 2.30% .

Let me start with the individual entities and with the Bank:

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Standalone Bank delivered a stable performance amidst changing macro environment and continuing embargo. The Bank ended the quarter with a PAT of Rs. 3,300 cores with a Y-o-Y growth again of 10% and now contributes 72% of the group profits for the quarter . At the Bank standalone level too, we have a capital adequacy of 22.8%. Again, within this , a very healthy CET -1 ratio of 21.7% . And the ROA for the Bank for the quarter is 2.1%.

Customer assets in the Bank grew to Rs. 4,59,000 crore at a 15% Y-o-Y growth. The growth is mainly

coming from se

cured consumer banking and SM E segment is contributing significantly to the asset growth during the quarter. Advances at 31st December does not include the Standard Chartered portfolio, which we have spoken in Q2, for which the Bank has received all the approvals and we are in the process of migration. We expect this to be completed shortly during this quarter. Unsecured retail mix slowed down to 10.5% during the quarter due to lower disbursement in microcredit and credit card growth, which continues to be impacted by embargo.

Our CASA ratio stood at 42.3% at December 24, with current account showing a healthy growth of 5% Q-on-Q. Yes, it had some of the IPO related fund, which looking at the IPO pipeline we see it continuing in Q4. Average total deposit for the quarter grew by 15% Y-o-Y. A verage sweep TD product, which is growing at the 36% Y-o-Y basis. The Bank continues to maintain a very healthy CD ratio of 87.4%. NIM for the quarter was stable, in fact, marginally higher at 4.93%, contributed primarily by benefit of lower SA rate and the higher CA balance, as I mentioned earlier.

Fees and services grew 10% Y-o-Y in the current quarter, impacted by slowdown in credit card income due to embargo and certain regulatory changes impacting the referral fee income earned by the Bank. Our cost control measures have resulted in efficiency reflected in a marginal increase of operating cost less than 1% Q-on-Q, with employee cost remaining at the Q2 level. Further, our cost-to-income ratio for quarter two improved by 22 bps over the last quarter. Overall P&L impact estimated due to IT embargo continues to be in line with our earlier estimate.

Gross NPA at December 1.5%, with net NPA 0.41%, and the provision coverage ratio improved to 73%. Overall, credit quality for the Bank is in line with our expectation and has remained stable over the last quarter. Slippages during Q3 was lower as compared to Q2. This quarter also saw improved recoveries from secured businesses. The secured book continues to have negligible delinquencies. On unsecured credit cost, personal loan credit cost is showing reduction. Credit card costs is remaining at the same level, whereas the micro credit is showing an increasing trend, in line with the industry.

Coming to the subsidiaries' performance:

Our Capital Market subsidiaries, Kotak Mahindra Capital, which is investment banking; and Kotak Securities, which is the broking, both retail and institutional, had an exceptional performance during the quarter. Kotak Mahindra Capital ranked number one in equity capital market category for the

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third consecutive year, earned a profit of Rs. 94 crore for the quarter as against Rs. 35 crore last year, on the back of the large IPO and QIP mandates. Kotak Securities recorded Y-o-Y growth of 46% with a profit of Rs. 448 crore.

Kotak AMC continues to perform well with the growth in capital markets. Kotak AMC, with the trusteeship company made a total profit of Rs. 240 crore, a growth of 65% compared to last year, with the increase in average AUM in equity to Rs. 3,16,000 crore, a Y-o-Y growth of 51%. Total AUM of Kotak AMC crossed Rs. 5,00,000 crore during the quarter.

Kotak Prime customer assets, which is in the car finance business, grew the asset base to Rs. 38,000 crore with a Y-o-Y growth of 16%. PAT for Q3 at Rs. 218 crore, down 9% Y-o-Y, largely due to the MTM loss in Q3.

Kotak Mahindra Investment Company results for Q3 were impacted by higher provisioning for one single account.

BSS Microfinance business correspondent business ended the quarter with a loss of Rs. 50 crore, owing to lower disbursement and increase in the collection costs related to increase in delinquencies in select states. The BSS net worth continues to be strong at Rs. 1,000 crore at 31st December

, '24.

Kotak Life ended the quarter with a PAT of Rs. 164 crore as against Rs. 140 crore same quarter last year, a Y-o-Y growth of 17%. For quarter two, profits were higher on account of higher investment income and equity gains. We continue to maintain higher solvency ratio of 2.56x as against regulatory requirement of 1.5 times in the Kotak Life business.

Overall, at the end we remain cautiously optimistic and focusing on execution of our plan for transforming to scale. With this, I hand over to Shanti for the business update.

Shanti Ekambaram: Thank you, Devang. As has been stated, the Bank's customer assets grew by 15% Y-o-Y and the average deposits grew 15% Y-o-Y.

I will start with the highlights on the assets, particularly the consumer assets where growth was primarily led by secured businesses which grew 4% on quarter-on-quarter basis. Mortgage business comprising home loans and LAP grew 19% Y-o-Y, with stable property prices and risk metrics holding up well. This continued to be an area of focus for us.

Mortgage also helps build a solid long-term relationship with our customers and helps increase the wallet share of our customers, particularly in the affluent segment. Thus, it will continue to remain a key focus area. The LAP market continues to be steady. We have always been a strong player in this

segment and will continue to focus on this going forward.

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Our secured business banking comprising of small SMEs continued to see good growth at 23% Y-o-Y. Given the festival quarter, utilization was strong. Our portfolio metrics continue to perform well across industry segment in geographies. In this business, we are able to serve the customer across all their financial and non-financial needs, business and individual.

We continue to grow in the unsecured business loan segment, which remains stable at the portfolio level. I think the unsecured retail business, both personal loans and cards, have flattened. Personal loan, at an industry level, has degrown and this is reflected in our business. We had tightened the underwriting norms more than a year ago. And in the last quarter we have seen better trends on flows and collections, which has been stated.

PL is a key offering for our customer segment, and we will continue to build this business by managing risk through rigorous data analytics and policy measures.

In the credit card business, because of the embargo we could not issue new cards, but we continue to grow our portfolio and monitor it well. We saw stress increase in line with industry, but we have seen stabilization of flow and resolution in this quarter. Cards, again, is the core proposition and we will grow this business once we come out of embargo. The delinquency trends in both these businesses have been touched upon and I am not going to repeat it.

Let's move to commercial assets:

Commercial vehicles industry saw a flattish growth of 1% Y-o-Y. The passenger segment continued its positive run for this year, but there was a persistent degrowth in the goods segment. Our new vehicle disbursements were in line with the industry, and we retained our market share. We also continued to grow our used vehicle financing business, considering that a large part of this business was coming from our existing clients we have comfort here. The goods segment has been showcasing a weak trend in financial year. This has impacted the overall viability of truck operators and resulted in some increase in delinquency. We have tightened our collections and underwriting in this segment accordingly. I think the overall economic trends does impact this segment, and we hope to see better trends in the next financial year.

Construction equipment, the sales have been flat. And whatever growth has happened has been led by the earth moving segment.

t. I think CAPEX spending by the government and overall CAPEX

spending has been slower, which is reflected in the growth trends in this industry. We have grown our disbursement by a modest 13% Y-o-Y, leading in some improvement in our market share. The book remains stable in this segment.

Tractor finance – tractor industry saw a 1.3% Y-o-Y growth. We grew our disbursement by 16% and improved our market share in this segment. We continue to remain a key player in this industry with a strong presence in market share. We also continue to grow our used tractor financing business. With a normal monsoon this year, we expect rabi sowing to improve, leading to better cash flows in

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the rural and semi-urban. This will be critical support to our collection efficiency. Pick up in government infra and rural sector should help this segment.

Microcredit degrew 6% in H1 and expected so in H2, this is at an industry level. And our businesses reflected the same. I think the trends on delinquency have been talked about due to various extraneous factors in the first and the second quarter. There have been some structural changes in this sector and in line with industry we degrew. Our delinquencies continue to show an increase in the segment, we expect this to stabilize over the next two quarters as we see the rural economy come back. We pulled back disbursements in certain markets and we will watch the industry trends in this as we craft our long-term strategy for this business.

Agri SME, a good quarter given the rally in the busy season. Our portfolio continued to be stable and we focus on acquiring new customers in this segment. This is a growth area of focus for us.

I will now turn to wholesale business. Last quarter, corporate plus SME advances grew at 18% Y-o-Y, largely led by the mid-market and the SME segment. The SME advances grew 31% Y-o-Y.

Acquisition of new customers has been our main focus area and customer acquisition has grown significantly on a Y-o-Y basis. The portfolio quality is very stable, and we continue to invest in strengthening our customer franchise and deepening our customer base. The mid-market business again grew at a fast pace with NTBs in focus and deepening customer franchise in this segment as well.

Amongst the larger corporates, the book showed a more steady growth. However, credit substitutes, which depend on market rates of interest, showed a degrowth. Our portfolio metrics in the large corporate remain healthy, but pricing remains very competitive. And we have given up many

businesses, given the price competitiveness of this business. The transaction banking and flow business has grown significantly, which leads to higher fee and flow income. And our trade and supply chain assets grew at a higher rate, driven by granular deals.

GIFT City continues to ramp well and advances, particularly trade advances, grew at a sharp pace Y-o-Y. Our asset quality across all the wholesale segments continues to be robust. We also saw strong growth in the fee income, FX and debt capital markets, and the debt capital markets continued its momentum in Q3 with marquee deals across sectors like retail, intra, hospitality, NBFC, etc.

Let me now turn to liabilities:

The average deposits for the Bank grew at 15% and our CASA ratio was at 42.3% this quarter. The current account average grew by 12%. This was aided by both customers, custody and IPO flows, while savings grew at 1% on an average.

Regarding savings, granular fixed rate savings continued to grow while the affluent clients continued to move funds into higher yield opportunities. Our core proposition of savings with ActivMoney

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helped us grow our customer deposits. ActivMoney grew by 36% Y-o-Y on an average

basis and

retail TDs across our segment continued to show an increase. We will continue to focus on our key segments for savings growth and balance between savings, ActivMoney and TD in a granular manner to achieve our growth targets.

Distribution. On the retail side, the focus has been building a granular retail book with a focus on affluence and youth across our channels of physical, digital, voice and video. Customer 360 has been the key pillar as we continue to put our best efforts towards providing seamless customer experience, as well as offer our entire bouquet of products to our affluent salaried and self-employed customers. Our continued effort to help our customers provide the best solutions around consumption, savings, investments, borrow and protect remains the focus.

On the wholesale side, garnering higher client share of collections and payments through digital offerings was really the aim, and the CMS throughput increased by 54% Y-o-Y. We have further consolidated our position in the tax payment space with throughput increasing 124% Y-o-Y. Overall, both on the assets and liabilities sense, we have seen reasonable growth strength, and we remain focused on growing both the segments with focus on quality, deepening customer franchise, acquiring more customers, and focusing on customer experience.

I will now request Devang to take it from here.

Devang Gheewalla: Yes. So, I think I will hand over to the operator for the Q & A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Congratulations for a good set of numbers in such a challenging environment. So, firstly, any update with respect to the RBI restriction? You have indicated that there is substantial progress, but if you can just indicate maybe where are we in terms of the audit? Is the report submitted? And maybe how has been the feedback from the regulator? Yes, that would be helpful.

Ashok Vaswani: Hey, Kunal. Thank you. This is Ashok here. Like I have been saying, we are in constant communication with the RBI. We give them constant regular updates. We have constant meetings with them and we tell them about the progress that we are making. They look at a kind of stop and say, they do their own evaluations on where we are. And I would say the conversations have been helpful. And they provided us guidance which I am very grateful for. And it has been done in good spirit. Kunal, it's very hard to predict at what stage the RBI will say we are going to lift out of jail. I honestly do not know, so I do not know what to say.

Kunal Shah: But are we done with whatever was required from our end and all the submissions are done, or how should we look at it?

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Ashok Vaswani: Yes, mostly all the work has been done. Most of the work has been done. And the submissions also, there we make a whole set of submissions, then they will come back with some observations. We will go back on those observations. So, it's not like a one and done thing. And thank God it's not a one and done thing, because suppose we have to submit a report then they came back and again we go back, it would have become iterative kind of a cycle. This is like concurrent kind of conversations. So, we are spending a lot of time effort with them, and fingers crossed.

Kunal Shah: Sure. And the second question is on the overall stress. You indicated some build up of stress on the commercial vehicle side, but besides that any other segment that you would be worried about? And PL we are seeing improved delinquencies, so would we start to push for growth in PL now compared to maybe 10% year-on-year which has been the case? And should that take the overall unsecured proportion

on up ex of MF I?

Shanti Ekambaram: So, we are not seeing stress in any other segment. This quarter, a large part of our growth was driven by our secured assets. And across the secured assets we are not seeing any signs of stress, its reasonably stable. As far as personal loans is concerned, we have been already growing our disbursements month-on-month. We had to sort of tune down in the initial four, five months because we could not do direct digital journeys. But we continue to disburse as far as PL is concerned. Like I mentioned, it's a very core offering in your affluent segment. Based on the underwriting, based on our analytics, etc., we will continue to grow the business.

Ashok Vaswani: And Kunal, of course, you know that the Standard Chartered portfolio will come onto the books hopefully in this --

Shanti Ekambaram: This quarter.

Ashok Vaswani: Definitely in this quarter. Hopefully in the front end of the quarter.

Moderator: The next question is from the line of Chintan from Autonomous. Please go ahead.

Chintan Joshi: Can I ask two questions, please, one on your provisioning policy and one on growth? If I start with provisioning policy, could you give us a little bit more detail around that, when do you fully write-off a non-performing loan, especially on the unsecured side? Or do you kind of assume some recovery rate, color around how you kind of treat customers where they default on one product when they have multiple products with you? A little bit of color around that would be helpful. And then I have one more on growth.

Devang Gheewalla: Yes. So, we follow an aggressive provisioning policy, obviously, as compared to the RBI. And within that also for unsecured asset it is even more aggressive. So, for example, the unsecured book will be provided 100% on a 180-day basis. In terms of the write-offs, Chintan is basically for retail portfolio. While we provide 100%, we do have a lookout period after which we sort of write-off. On the secured Kotak Mahindra Bank

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or more wholesale sort of assets, it is case-to-case basis based on merit of the case and the estimated collection amount and the time for recovery.

Chintan Joshi: So, write-off on retail product 100%, but with a lookout period. So, I would say there's some recovery assumption there, and then it kind of tapers off if the account is non-performing.

Devang Gheewalla: Yes. For example for credit card, we do it at 270 days, right, the write-off. Whereas for other portfolio we may take some time because we certainly believe that by keeping it we do see value of recovery. Because even after providing after 180 days, in our experience, there is a recovery potential possible. So, while the credit card, we have elaborated earlier in the call also, it is 270 days, for other businesses it is case-to-case basis.

Chintan Joshi: Thank you on that. And then on growth, the second question, I am just trying to think about the current environment. Your kind of current ROAs are at 2.1% levels, where can you take incremental market share where the front book ROAs can reflect well on the back book ROAs without taking excessive risk? So, is it kind of retail consumer which has kind of being the main growth driver, but that's kind of slowing down so I am wondering if that can sustain the above average growth. Corporate margins look weak, deposit competition refuses to ease, just trying to understand that. And also, similarly on your subsidiaries, you have had very two strong years in capital markets, how should we think about kind of there, sequentially? Thank you.

Devang Gheewalla: So, to answer the question on ROA, certainly we would like the ROA to be above 2%. But you are right, it depends upon the mix of the book and clearly currently given the stress in the unsecured book or

the retail microcredit, which we spoke about, the higher yielding assets we have obviously a slowdown. In addition to that, of course we have a embargo. So, I think it depends upon when the embargo lifts. We certainly believe that personal loan and credit cards are very, very big, good propositions for us. And once we are permitted, we will be going for the growth on those two segments for sure.

And if you look at even today, actually before the credit cost my profit growth is actually 13%. So, once we come back to the normalized credit cost or credit cycle, and we have a lot of focus on non-interest-based income like fee income, distribution income which adds directly to the P&L. Plus, as you have seen some benefits of the cost optimization have started flowing in. So, I think given the combination of focus on non-interest fee income, cost optimization, and hopefully the credit cost sort of tapering off, all of this will add to ROA, which we believe will fill for the asset mix impact which it can have.

Ashok Vaswani: And Chintan, look, our market shares right now are so small, right, so we are not trying to grow the market, we are just getting growth of market share. And I really believe that with the kind of stuff that we are putting into place, we will be able to do that and continue to kind of grow in line with what we have always said. We have always said that we will grow our business at about 1.5 times to Kotak Mahindra Bank

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to 2 times nominal GDP, right. Obviously, you do not want to grow and put the firm at risk. So, we will continue to grow at that level and just keep going, right.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvvama. Please go ahead.

Mahrukh Adajania: Hi, congratulations. I have two questions. Firstly, your loan growth has been strong sequentially, which is very good, you have grown in a balanced fashion in most segments. So, in that sense the ban is not impacting your growth, right, it's more about obviously banks have to be digital and you need digital for onboarding customers, and you need to be up to date in tech. But despite the ban, you have achieved a sequential growth which is materially better than other banks. So, would it have been different if the ban would have been lifted or the ban is impacting the overall customer franchise, but not really the loan growth? That's my first question.

And my second question is that different banks are at a different stage of asset quality, but most of the channel checks or the macro checks or the bureau checks give negative indicators only. So, are these lagged indicators? Or is it that asset quality going ahead is likely to remain volatile given that these indicators are still emerging or still being seen, and therefore credit cost for the sector will continue to be volatile? So, you may have seen lower slippages now, do you think that your slippages would have peaked or there could always be some other linked sectors of stress? That's my next question. Thanks.

Ashok Vaswani: Sure. First of all, thank you very much. Talking about the impact of the ban, Mahrukh, I think that there are certain areas which really have got impacted, which have got highlighted before. Clearly, I would have liked to continue to grow our credit card book. Our credit card book has not grown at all. In fact, quarter-on-quarter it has degrown, and that's not a good place to be. Our stated desire was to have our unsecured book, which is credit cards, PL as well as microfinance at about 15% of our total assets. And we have kind of dropped off to about 10.5% right now, which is obviously I wish that had not happened. But also it affected 811 which is another business that's kind of been impacted. And the reason that hurts is that 811 provides tremendous growth in

granular deposits, low-cost granular

deposits, and obviously that is very valuable at this time. So, definitely the embargo is hurt, and I am hoping we get out of embargo soon so that we can get back to our ways. And then once we get back to it, we are going to come out, I believe we are going to come out much stronger on both 811 as well as in other products, and that will be fun to actually go back to proper business.

Mahrukh Adajania: Does the growth trajectory change, or will it just be a different mix?

Ashok Vaswani: No. See, definitely the growth trajectory for cards and PL will be much higher, right. And it's not all linked, right. What we have always said is that overall growth we will try and do at about 1.5 times to 2 times GDP growth, right. And we will continue to kind of, and that's the kind of range that we think we will be able to grow. The mix will of course change because right now credit cards is zero, so obviously credit cards will contribute to that growth. And linked to that volatility, there's no doubt, Kotak Mahindra Bank

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Mahrukh, there is a volatility in the market. We are very mindful of that. We evaluate that on an ongoing basis, and we tweak and adjust the kind of things which we do in the business to make sure that we are not kind of caught out. Generally speaking, we are conservative, people accuse us of being overly conservative, but I much rather be conservative and maintain this stance of conservatism through what we do. So, we are very, very conscious and we react to the situation. The business is not on autopilot as you can assume, right. All of us, as a management team, are kind of adjusting what we do on a very regular basis.

Mahrukh Adajania: And can I just slip in one more question please?

Ashok Vaswani: Sure, go ahead.

Mahrukh Adajania: So, in the last call you had mentioned that you wanted to be amongst the top four banks, right, over five years. You meant organically or a material inorganic, I mean, a material acquisition as well?

Ashok Vaswani: Mahrukh what I said was that I want to be within the top three private sector banks in the country in terms of profitability and get there over a period of time in the next five years, which is like 2030 kind of timeframe. I also mentioned there that we will look at opportunities, both organically as well as inorganically, right. And if the opportunity fits the strategic perspective of what we are trying to do, that's a big tick. After it fits the strategic perspective, we then look and see whether it makes financial sense. And if it ticks on the strategic fit and it ticks on the financial kind of thing, we will definitely do it. And therefore, we look at every opportunity that comes our way and then we see whether it makes sense or not.

Moderator: Thank you. The next question is from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh: Sir, just two questions, one is on your slippages again. Is it possible to quantify how much of it would have come from microfinance and what is the write-off policy on microfinance? And the second is, in Kotak Prime you have seen a profit drop sequentially, can you explain what's happening here? Thank you.

Devang Gheewalla: Saurabh, hi. I could not hear properly, but you mentioned slippage breakup, right?

Saurabh: Yes, on micro finance, how much in microfinance and what's the --

Devang Gheewalla: Yes. So, I think this quarter the contribution in slippage for this quarter, microfinance does contribute a higher percentage in that sense. But obviously, there is an improvement in some other secured businesses, which is why the slippage for the quarter is lower than the last quarter. And your second question was around KMPL, so KMPL, it's a car finance business where obviously the business is facing some margin pressure.

And also, it has an MTM on some OIS which has been a negative, it is more of an accounting sort of hit which has happened during this quarter, which has resulted in a Kotak Mahindra Bank
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loss. But having said that, on a pure core business also it has margin pressure, and the delinquencies are higher in the two-wheeler business. So, that's the reason why sequentially it is going down.

Saurabh: Sir, just on asset finance if you can just quantify how much will it be higher?

Devang Gheewalla: It is higher than the last quarter, as a proportion it is higher.

Saurabh: Sir, just in terms of if you can give some clarity. And when will the write-offs come because the concern is that if it comes in forward quarters, you could see another tick up in credit cost, that's where I am coming from.

Devang Gheewalla: See, what we can certainly say, there are two parts, right. One is the fresh inflow, which is the slippage thing, and second is the resolution of existing NPA accounts, they are two separate things, right. So, the slippage as we said has come down as an overall number, yes, but the proportion of microfinance is higher there. But if I look at on an only microfinance business on quarter-on-quarter, while slippages are there, it is showing a downward trend in terms of the slippage part of it. However, the real issue I think Saurabh is the existing NPAs in those unsecured businesses where the collection continues to be a challenge on the ground.

Saurabh: Can I ask just one more question?

Ashok Vaswani: Yes, go ahead Saurabh.

Saurabh: Will there be a case to, at some point, tighten the provisioning policy on these unsecured loans in line with your like the Bank, or that's not something which you are considering right now?

Devang Gheewalla: So, we anyway provide 50% on 90 day and 100% on 180 days. So, it is far, far more conservative than the IRAC norms or the RBI norms, right.

Saurabh: No, I was comparing to, let's say, a private Bank, the bigger private banks.

Devang Gheewalla: We do not have information on others.

Saurabh: I mean, provisioning of 120 and write-off, around those lines.

Devang Gheewalla: Write-off may reduce the gross NPA, it may not impact the credit cost or slippages, in that sense, right.

Ashok Vaswani: So, Saurabh, 50% at 90 and 50% at 180, it's a pretty aggressive provisioning policy. Honestly, I do not think there's a need to get more aggressive than that. Write-off, frankly, it's just an accounting entry. It's a pure accounting entry. And we do that, obviously it affects the GNPA, but we do that just to make sure that there's no pressure of the collection to continue to push for collection. And that's

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not the only reason. From a P&L perspective and from a return perspective and stuff like that, it makes absolutely no difference.

Moderator: Thank you. The next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Just a couple of questions. So, just to maybe ask differently on credit cost and slippages, so I think what I understood is, MFI's still a bit of a trouble, CC's plateauing, PL is gradually improving. Not the recoveries but whatever fits into NPA but the new formation of NPLs. So, does it mean that the slippages will peak in this year and thereafter in the next year it will start to improve, considering, whatever has been happening in the broader economy?

Devang Gheewalla: So, I think we will have to see it over next two, three quarters. While yes, this quarter the slippages have come down. And if you recall, in the last call I had mentioned that essentially the tractor business and other commercial businesses other than microcredit normally perform well in the second-half of the year. So, I

think we will have to be watchful in terms of the slippages going forward. But we see it today, the slippage on personal loan is tapering down, credit card has plateaued, remaining at the same level. Let's see at what stage it starts coming down. But the micro credit continues to rise. So, it will be a question of when will the other sort of taper down and to what extent the microcredit set off will happen. And again, it's also a question of size of the book, because if you see the retail micro credit is only Rs. 8,000 crore as at December out of over Rs. 4 lakh crore book. So, I think we will have to be watchful. And that's why I mentioned that I remain cautiously optimistic. So, we will have to see this trend over a few more quarters before sort of commenting on this.

Ashok Vaswani: And Rahul, we also have to look at the broad economy and how things are going, right. Obviously,

we are affected by those kinds of things . But as we sit now and where we are , Devang has kind of summed up how we think about it.

Rahul Jain : Got it. And credit costs should see a similar trend, therefore, right? I would reckon that this quarter a significant part of the credit cost may have come from , let's say, the write -off of the MFI loans. We know the write -off figures and maybe unsecured share to recognize . So, as we get into the next year, all of this would have been recognized as a slippage trend further, keeping in mind , like you said Ashok , where we are in the economy , credit cost also should start to taper off. Would that be a fair assumption to make? Is this how you are also thinking about this line item ?

Ashok Vaswani: Yes. So, Rahul, clearly there is a direct correlation between slippages and credit cost , no questions about that. So , that will kind of hold . I think what we have got to look at and say is how does the economy kind of move along . And if the economy kind of stabilizes or gets better, then your analysis is absolutely correct. If there's a worsening in the economy or there's a fair amount of volatility in the economy, the question , and that's what we constantly keep a lookout for is to see whether we are seeing any contagion in any other kind of portfolio . As of now we do not see it . But am I cautious and looking at it on a very, very regular basis? I sure am.

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Rahul Jain : Very comforting . And on the similar note, any qualitative trends you can share about the early bucket movements in both the secured and the unsecured portfolio ? Secured, I mean excluding the home loans and the LAP book, if you can just share qualitatively how you are seeing those , are those stable . Because the environment, I mean , the different players are sharing different views and different data points versus seeing different trends . So, how are you seeing in your portfolio , a qualitative comment would be helpful to us.

Ashok Vaswani: So, Rahul, I think Shanti covered it , right. Look, most of our growth and everything has come from secured . Our secured book , touchwood , is behaving very, very well. We do not anticipate any issues there. The unsecured book by definition is a little more volatile, right . And that will be a function of how the economy kind of shapes up , right. We have talked extensively about PL , card, microfinance , I am not going to repeat myself . And then there are other books like CV /CE which we are looking out to see how things go. The good news, Rahul , is that we are quite diversified. There is no particular segment of loan type that overwhelms the balance sheet . So, to that extent that gives me a slightly greater degree of comfort.

Rahul Jain : Just slightly switching gears to the margin , so clearly the mix has changed over the last two quarters with absence of new CC onboarding and MFI, etc., which is a high yielding portfolio

. So, now

margins are clearly stabilizing this quarter, which is great. How should we think about it next year? Because I think some of these components will come back, you'll have Standard Chartered book also, so shall we assume that margins are bottomed out and next year they might have the upward bias?

Devang Gheewalla: So, I think the margin has various components , as you know , the yield on the earning s asset and cost of fund . And both of them have different levers in addition to , of course , the regulatory repo rate change, right . So, it's very difficult to comment on that. But yes, you are right , as the share of unsecured business grows , either by lifting of embargo and once we are comfortable with the credit quality, it will obviously add to the yield on the earning asset . As far as cost of fund is concerned , the cut in the SA rate is helping us. And of course , as the share of current account deposits which we grew nicely during this quarter continues, then the margins will continue to remain or improve from thereon.

Rahul Jain : Very helpful. Just one last data keeping question , two data points if you can share , one is the employee count at the Bank level . And also , in your business banking book, how much is unsecured?

Thank you.

Devang Gheewalla: So, our headcount approximately , this is including on rolls is close to about 77,000 people as at 31st December. And with this, what you said, sorry ?

Ashok Vaswani: The business banking , as we presented it there is fully secured .

Devang Gheewalla: Yes, correct.

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Rahul Jain : Very comforting. Alright . Very helpful . Thanks . And once again , congratulations on a great quarter.

Moderator: Thank you. We have the next question from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M : Good evening and congratulations for the quarter. So, the question I have is, on this RBI Bank subsidiary norms , how are you positioning the Bank and the group to meet that circular? For example, I mean, if you take the example of real estate, different stages of financing is done in different entities. How would that adjust or be adjusted? Or would you have to do everything in the Bank ? So, just from a business angle, how are you preparing for that circular?

Ashok Vaswani: Yes. So, Abhishek, the October 4th circular , we have kind of studied it like every other Bank , I think.

We have given our comments on what we think makes sense and does not make sense. Look, in our case, the level of overlap is actually very, very, very low. There are very few instances where we do the same kind of business in multiple entities. And therefore, in our case, if the circular goes through exactly as was indicated at the time of issuance, it really will just be about consolidating it into the Bank. So, that will be a lot of operational matters but not going to have a dramatic impact on anything else.

Shanti Ekambaram: I want to add what Ashok said. What we cannot do in the Bank we cannot do in our subsidiaries. You talked about different stages of financing in real estate, we cannot do different stages of financing.

What the Bank can do the subsidiaries can do. And this changed about two years ago, so we do not do any differential type of financing in the subsidiaries as far as real estate is concerned.

Abhishek M: And if you do not mind, can I squeeze in just one more question?

Ashok Vaswani: Yes, go ahead.

Abhishek M: Thank you. So, this is on cost of funds specifically, one, can you give the balances in ActivMoney maybe this quarter and the last quarter? And second, if I look at the Q-on-Q movement in the cost of funds, there's been 8 bps, 9 bps decline. Maybe 4 bps or 5 bps out of that is coming due to the SA rate cut. But the rest of the drop Q-on-Q, is that because of ActivMoney balances going

up a lot or is

there some other repricing? Or how has the cost of funds really come down sequentially except of the SA rate impact?

Devang Gheewalla: Yes. So, if you can see the update where we have the share of current account and the growth in the current account average balance shows a 12% growth Y-o-Y actually, right. So, on a sequential quarter also it has grown by 5%, right. So, as the non-interest-bearing current account share increases, the mix of the cost of fund obviously reduces, right. And you are right, we implemented the SA rate cut on 17th of October, the effect of that is also obviously coming in the cost of funds. So, these are the reasons for that. And of course, as I mentioned, the growth in ActivMoney continues to be 36% on a Y-o-Y basis on average basis, so I think it is also obviously --

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Shanti Ekambaram: It's growing at a sequential basis.

Devang Gheewalla: So, obviously it is because the rate of interest on the sweep TD is lower than the normal TD, so it is also helping us in lowering the cost of funds.

Abhishek M: So, how sustainable is this average current account growth? I mean, what are you doing at a business level to keep pushing it up? Or it can be a bit of an aberration and then it subsides, so that's what I am trying to understand because this is critical to your cost of fund and NIM.

Devang Gheewalla: Sure. So, as I mentioned in my speech, I think it is also helped by the IPOs. As you know, we have the large custody business, so it also depends upon the FPI flows coming in. So, I think it's very difficult to predict. But I think at the consumer Bank level, there is a sustained increased growth happening. The one with the volatile part obviously is in the wholesale IPO and the custody segment, which depends upon also obviously the capital market part of it in that.

Shanti Ekambaram: There is also core customer franchise in the wholesale and consumer side, then there is custody flows, then there is capital market flows. So, different quarters give you different flows. Our aim is really to keep growing the core customer franchise, which is the payments, the collections, both on the wholesale and in the consumer business banking and current account services. But we did benefit from custody IPO and that's a month-to-month change.

Abhishek M: Great. Thanks. And all the best for the next quarters. Please share the ActivMoney balance if you can, otherwise it's great. Alright. Thank you.

Shanti Ekambaram: It's there's in the deposit. If you look at the deposit slide, it is there, Slide # 12 in the investor deck.

Devang Gheewalla: Slide number 12. It is called TD sweep,

Abhishek M: Yes, I am sorry, my bad, I will take it from there.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Congrats on the quarter. Just a couple of clarifications, firstly, on slippages which are down about Rs. 200-odd crore Q-on-Q, is it entirely driven by retail, which means that unsecured slippages have still remained as high as last quarter? I am a bit confused here.

Devang Gheewalla: Hi Piran. So, yes, the slippage break-up, obviously as I mentioned, the slippages for the secured or the commercial business like tractor finance and all that have come down compared to last quarter, but unsecured I think we continue to maintain that credit card is sort of remaining stable, personal loan is tapering down, and retail micro credit is sort of showing a growth. So, this is how our composition has changed. So, the fall in the secured and commercial businesses compared to last quarter has helped it coming down.

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Piran Engineer: Got it, that clarifies. And secondly, just on fee

income, fee income growth, which was strong since

last year has been moderating for the last two quarters, and now we are barely at 10%. Is this merely a function of , A) lesser credit card spend ; B) maybe slower disbursements in personal loans , or is there more to it?

Devang Gheewalla: No. So, you are right , this has impact of the credit card business because obviously we are not able to do any incremental card business. It also actually got impacted by the referral fee circular, which was there , in that sense . And also , some of the transactions related fees, so we had in earlier quarter some debt capital market transactions , compared to last quarter this quarter has been lesser. So, these are all deal based income which was there. And of course, there is some IPO -related fee income also which is lower as compared to last quarter. These are the reasons why the fee income is lower.

Moderator: Thank you. The next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das : Thank you for the opportunity, I think a few questions have already been answered, just a follow -up.

I think in the commentary you mentioned that there are signs of stress building up in the CV segment. However, if I look at the growth that is impact , in fact the growth has been in this quarter 4% versus last quarter 3% on a Q -on-Q basis. So, I just wanted to know if you can give some color in terms of the segments where we are growing or you are seeing pockets of opportunities and where do you see it going in LCV, HCV, MHCV , what kind of group? Or is it the construction equipment piece or what kind of growth you are seeing in this book from which segment? If you can give some quantitative color, that could be great .

Shanti Ekambaram: So, if you look at the CV, there is a CV re tail, there are large fleet operators and you have construction equipment , all o f them are bucketed. If you look at the growth, it's 4% quarter -on-quarter . It is the retail CV where we saw a slight increase in delinquency, which is in accordance with the i ndustry levels where disbursements and the growth are actually slower . And it's construction equipment and the larger CVs that we have seen growth .

Moderator: Thank you. The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Thanks for taking my question. Most of them have been answered, but just this one on prime , on Kotak Prime you mentioned there is a pickup i n the delinquency , whereas on the secured assets of the Bank we are very comfortable. So, what is driving this divergen ce in asset quality ?

Devang Gheewalla: Yes, so I think I mentioned the delinquencies , Kotak Prime also does two-wheeler finance, so there is a higher delinquency in two-wheeler financing which is not obviously done in the Bank . So, that is where the delinquencies are higher, yes.

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Param Subramanian: And in the last quarter we ha d made a comment saying that we expect credit ca rd and microfinance delinquencies to largely be absorbed within two quarters , largely. Are we holding onto that sort of guidance?

Devang Gheewalla: I think as we mentioned, credit card delinquencies remain flat quarter -on-quarter and the retail microcredit delinquencies are yet to peak. So , that is how we look at it as of now.

Ashok Vaswani: So, guys, it's already I guess 6:30 on a Saturday evening , I am very conscious of your time and therefore I just wanted to say a sincere thank you. I appreci ate it. I hope you got a good sense of the business and the pro gress that we are making . And I sincerely forward to catching up with you again .

Thank you.

Devang Gheewalla: Thank you.

Shanti Ekambaram: Thank you. Bye. Good evening.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this confere

nce. Thank you all for

joining us. You m ay now disconnect your lines.

Call: May 2025

Kotak Mahindra Bank
Q4FY25 Earnings Conference Call
IST 6.00 PM on May 03, 2025

MANAGEMENT : Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Paul Parambi - Group Chief Risk Officer

Kotak Mahindra Bank
May 03, 2025

Safe Harbour

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Moderator: Ladies and Gentlemen, Good day and Welcome to the Kotak Mahindra Bank Q 4 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and Chief Executive Officer of Kotak Mahindra Bank. Thank you. And over to you, sir.

Ashok Vaswani : Thank you. Thank you so much. Good evening, everyone, and thank you so much for joining us. I do apologise for running a little late this evening. I hope it's not created any inconvenience.

At the end of Fiscal Year 2025, let me share some of my reflections with you. In Q1 calendar year '24, we defined the strategy at a group level. Kotak has a very strong product platform. We manufacture virtually every financial services product. The essence of the strategy is to bring together relevant products and

services in the form of propositions for defined customer segments. Thus, we are seeking to move from a product-centric approach to a customer-centric approach. We believe that doing this will enable us to transform for scale. We will stay focused on delivering this objective.

In 2025 Fiscal Year, while we began to execute this strategy, we had to navigate through three notable events during the year.

1. We had the technology embargo which had a direct impact on our cards and 811 businesses. This resulted in the share of unsecured loans to our total net advances declining from 11.8% in FY '24 to 10.5% in FY '25. The acquisition of the Standard Chartered personal loan portfolio partly helped us in holding up this share. Despite the embargo distraction, we stayed true to our strategy. We invested time and resources to not only fix the underlying technology issues, but also redefined our go-to-market digital strategy. This was reflected in the launch of our new mobile banking and 811 apps.

2. The microfinance industry has seen significant credit strains, something we had highlighted in Q1 of Fiscal Year '25. We

have proactively managed the business to bring down the retail microfinance book by 33% Y-on-Y, which now constitutes only 1.6% of total net advances. Having said that, we expect credit cost to stay at this elevated level for the next 2 quarters. Interestingly, despite this strain, the microfinance business has been profitable on a full year basis. The strategic question that we will have to answer is whether the changes in the industry are cyclical or structural and what changes we make to the business model which will determine our approach to this segment.

3. We saw segments of customers who had over leveraged themselves and this reflected in higher delinquencies in unsecured personal loans and credit cards. We moved early to take corrective measures by tightening our underwriting standards. The behavior of our unsecured portfolio is panning out broadly as we had predicted. The stress in PL continues to show a reducing trend where

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the credit card portfolio continues to plateau and we are hoping to see a decline in the second half of the year. The Standard Chartered personal loan portfolio is performing as expected. Despite these headwinds, we grew the business.

The Kotak Group is a diversified financial conglomerate with 4 engines of growth :

- Banking and Lending
- Capital Markets
- Asset Management, and
- Protection.

And these 4 engines provide us with countercyclical benefits.

In the Banking business,

Average advances grew by 18% year-on-year in FY '25, 13% on an end of period basis. This is very much in line with our prudent philosophy to grow the book at about 1.5X to 2X nominal GDP growth. Total average deposits grew by 16% in full year '25, 11% on an EOP basis. CASA ratio stood at a healthy 43%. The mix of deposits between CA, SA, ActivMoney and TD enabled us to optimize our cost of funds at 5.10% in full year '25. We are very focused on managing the cost of funds effectively.

We continue to maintain a disciplined approach towards managing our CD ratio, which stood at 85.5 % at the end of the period.

Our Capital Market businesses had a stellar year. Given our business leadership position and strength in the broking, investment banking and asset management businesses, we were able to take advantage of the market buoyancy. This is evidenced by around 75% year-on-year PAT growth in our asset management business and 40% PAT growth year-on-year in our Capital Market businesses.

Our insurance businesses continue to drive value creation with EV growth of 16%. Earlier this year, we unlocked significant value with a stake sale in KGI.

At a group level, we delivered a consolidated book value per share growth of 21 % this year.

Moving on to FY '26, we continue to stay on course with our strategy and deal with the risk and opportunities as they arise.

- On the positive side, we have seen an easing of liquidity and with the lifting of the tech embargo, we have restarted our cards and 811 acquisition engines.

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- On the flip side, there is a risk of global uncertainties emanating from trade and tariff arrangements, geopolitical issues, and downward trends in interest rates. We will continue to closely monitor these developments and cost correct where necessary.

In terms of implementation of our strategy, FY26 has started on a very strong note.

1. We recently launched the Kotak Group Brand Campaign, 'Hausla Hai Toh Ho Jayega' which for the first time pulls together the power of the entire group. Early feedback shows strong resonance and a significant lift in brand scores.

2. We have sharpened our proposition by customer segments. We have recently launched 'Solitaire', our proposition for the truly affluent segment. This proposition seamlessly brings together all the relevant products, including products from Kotak Securities, Kotak AMC, Kotak Life, and

Kotak Prime in a very simplified and convenient manner. For our core India customer, we strengthen the 811 proposition, offering payments, protection from Kotak Life and Zurich Kotak General, investments from the asset management company and borrowings on the new 811 app. We are already seeing encouraging signs of customer relationship deepening.

811 continues to provide us an increasing share of access to low-cost granular deposits. For our corporate and SME customers, we have significantly strengthened our cash and trade platform to help deepen relationships with them.

We have a strong proposition in place for the private Bank and we will continue to strengthen our product proposition, leveraging the corporate Bank, asset management and the capital market businesses. We are investing significantly to make it easier for our colleagues to serve our customers through process re-engineering, automation and digitisation.

As I mentioned before, our focus will be to continue to drive the implementation of our strategy while keeping a very watchful eye on events that could have an impact on that business.

With that, let me hand over to Devang to take you through the details of the financials.

Devang Gheewalla: Thank you, Ashok and good evening, friends. As Ashok mentioned, this has been an eventful year. As a Group, we navigated this period continuing on core principles of governance, prudence, risk management, control and compliance, remaining focused on our objective of transforming the Organisation for scale with customer centricity.

Since this is a year end, let me reflect on some of the key events that played out during the year, including unlocking of value in Kotak General Insurance, where we received a consideration of Rs. 4,096 crore, transitioning successfully through the RBI embargo, remaining well within the initial cost estimate which we had given, and dealing with a challenging credit environment for unsecured businesses where we saw the Bank credit cost for the year increased to 60 bps from 40 bps last year.

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This year for standalone Bank was on a backdrop of 2 consecutive years of high profitability of 25% each year due to higher NIM, a benign credit environment and also included some of the one-off gains in last quarter of last year as highlighted in our investor presentation.

With this backdrop, let me start with the performance of the consolidated Financial Statements:

FY'25 consolidated profit stood at Rs. 22,126 crore, up 21% YoY, 5% YoY excluding gain on the divestment of KGI of Rs. 3,013 crore. The consolidated net worth stands at Rs. 157,395 crore at March end with a book value per share 792 which grew at 21% YoY basis. We ended this quarter with consolidated profit of Rs. 4,933 crore.

For the purpose of consolidation, our group entities excluding insurance entities have now aligned with RBI direction on valuation of investment portfolio in this quarter resulting in MTM gain on the valuation of investment of Rs. 411 crore post-tax in the consolidated profit for this quarter and increase in the net worth by Rs. 1,262 crore at 31st March '25, which included the quarter profit of Rs. 411 crore.

Let me explain what it is. Till date, subsidiaries in their respective standalone financials have been reporting investment gain based on the Ind-AS accounting norms; however, for the consolidated financial statements, such gains were ignored under the Indian GAAP. With this change, net worth at 31st March '25 has been adjusted for Rs. 1,262 crore including MTM gain during the year on which subsidiaries investment of Rs. 411 crore net of tax. These investments have been made primarily by the capital and AMC subsidiaries on deployment of excess capital and hence now the consolidated results actually reflect the earnings on the excess capital deployed by these companies.

Our consolidated customer asset stands at Rs. 537,000 crore, which is about 12% higher than last year. AUM managed by the group stands at Rs. 6,69,000 crore, grew by 20% over the year. Our capital adequacy at the consolidated level remains healthy at group level at 23.3% with CET-1 itself of about 22.3%. ROE at consolidated level was 13.12% for FY '25 and ROA at 2.36% for the FY '25, both excluding the gain on KGI investments.

Let me start with now the individual entities:

FY'25 standalone Bank profit stood at Rs. 16,450 crore, up 19% YoY including the gain on divestment of KGI of Rs. 2,730 crore. Profit excluding KGI gain was Rs. 13,720 crore. Bank ended the quarter with a PAT of Rs. 3,552 crore. As we highlighted, last year quarter '24 included one-off gain aggregating to a PAT improvement impact of Rs. 426 crore. The Bank delivered the ROA excluding KGI gain of 2.2% for the quarter as well as for the full year.

At the Bank standalone level as well, capital adequacy remained healthy at 22.2% of which the CET-1 itself is 21.1%. Advances grew Rs. 4,44,000 crore, up 13% YoY on EOP basis whereas average advances

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for the year grew at 18 % Yo Y. Bank completed the acquisition of Standard Chartered personal loan portfolio during the Q4 of '25.

Unsecured retail advances at March '25 are 10.5%. Previously, it was 11.8% as we slowed down disbursement in microfinance business and credit card business due to impact of embargo. CASA ratio at 43% at March end with fixed rate SA growth of 2% on a QoQ basis. Average total deposit for the year grew at 16 % Yo Y of which current account balances grew at 8 % Yo Y. Average total term deposits growth of 28% for the full year and included growth of ActivMoney deposit by 46 % Yo Y. Bank continues to maintain healthy and disciplined CD ratio at 85.5 % at March 31st.

NIM for the quarter actually improved to 4.97% on a sequential basis with benefit of saving account rate cut and higher average current account balances. NIM for the full year is 4.96%, is lower by 36 bps on a YoY basis, mainly impacted by higher cost of fund and lower mix of retail unsecured advances. Fees and services grew at 11 % Qo Q in current quarter, led by distribution income. Growth in the fee income for credit card and 811 products in FY '25 got impacted by embargo, with corresponding reduction in acquisition as well as the product cost.

Our tech spends for financial year '25 at 12.5% of total opex as we continue to invest in technology for sustainable efficiency going forward. Q4 '25 operating cost includes cost of Kotak brand campaign, 'Hausla Hai Toh Ho Jayega' as we prepare to relaunch product and services impacted by embargo for our targeted customer segments.

During FY '25, we added 200 branches versus 168 branches added in last year.

Coming to the credit cost part of it, gross NPA at 31st March, 1.42% with net NPA at 0.31% with a PCR improved to 78%. Slippage reduced during Q4 to Rs. 1,488 crore compared to Q3, Rs. 1,657 crore, mainly due to reduction on secured and personal loan businesses.

Credit cost for Q4, 64 bps compared to 68 bps in Q3 due to recoveries and settlements in secured businesses. On retail unsecured credit cost, we see personal loan credit cost and slippages showing reduction. Credit card credit cost and slippages remaining at the same level while not increasing, whereas the microfinance credit cost and slippages remains at elevated level and we expect that to continue for couple of more quarters.

The secured book continues to have negligible delinquencies. Overall, the Bank performance for financial year 25 was impacted by normalization of NIM and increase in the credit cost in unsecured business.

Coming to the subsidiary performances :

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Capital Market business -related subsidiaries had an extraordinary year.

Kotak Securities recorded full year

profit of Rs. 1,640 crore, up 34 % on a Yo Y basis. This included MTM gain of Rs. 115 crore in Q4 FY '25 which I explained earlier.

Kotak AMC and Trusteeship Company recorded a full year profit of Rs. 977 crore, last year Rs. 525 crore, impressive 86% growth with 49% increase in the equity average AUM which is now just a shade under 3 lakh crore. Kotak AMC and Kotak Trusteeship profit included again the MTM gain of Rs. 164 crore in Q4'25.

Kotak Mahindra Capital which is the investment banking arm, full year profit again was Rs. 361 crore, up 68% on a Yo Y basis backed on large IPO and QIP mandates. KMCC continues to be ranked #1 in equity Capital Market for the 3rd consecutive year and also ranked #1 in the advisory business. Kotak Alternate Asset AUM grew by 6 % Yo Y now to about Rs. 48,000 crore.

The other lending entities other than Bank, Kotak Prime customer assets grew to Rs. 40,000 crore with a YoY growth of 16% and the PAT for the Q4 was Rs. 297 crore, up 34% Yo Y and for the full year, profit grew by 14 % Yo Y to Rs. 1,015 crore.

BSS Microfinance business correspondent ended the quarter with a loss of Rs. 91 crore due to lower disbursement and increasing collection related costs owing to increasing delinquency in select states. BSS net worth continues to be healthy at Rs. 936 crore at 31st March 2025.

Kotak Life ended the quarter with a PAT of Rs. 73 crore against Rs. 109 crore same quarter last year, primarily due to higher actuarial provision requirement on a account of interest rate change. Kotak Life continues to maintain high solvency ratio of 2.45 X against the regulatory requirement of 1.5 X with an embedded value growing by 16% to Rs. 17,612 crore as against Rs. 15,242 crore last year.

To conclude, the current year's Group performance reflects the strength of our conglomerate model as evidenced by the strong growth in our Capital Market and AMC businesses with non-Bank entities contributing 29 % to the group profit.

With this financial update, I hand over to Shanti for business update.

Shanti Ekambaram: Thank you, Devang. From a balance sheet perspective, this quarter deposits grew 5% quarter-on-quarter

and customer assets including credit substitutes grew at 4%. On an average basis for the year, advances grew 18% YoY and average deposits grew 16%.

Let me start with assets and with consumer assets :

Consumer assets was primarily led by secured businesses which grew 19 % Yo Y and 4% on a quarter -on-quarter basis.

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Mortgages :

Mortgages comprising of home loans and LAP grew 19% on the back of a strong Q4 numbers. Quality of the book continues to support our growth focus in these businesses. As I have said earlier, mortgages help us cement a long -term relationship with our customers and increase the wallet share, particularly in the affluent segment, and thus will continue to remain a focus area.

The LAP business continues to be steady. We have always been a strong player in this segment, given our strengths in the self -employed space and this will continue to be a focus going forward. We upgraded our tech platform for mortgages, which resulted in better transparency and customer experience in this highly competitive segment.

Business banking :

Our secured business banking comprising of small and micro -SMEs continue to see good growth at 19% YoY. Our portfolio metrics continue to perform well across industry in various geographies. In this business, we were able to serve the customer across all their financial and non -financial needs, both business and individual. This business is around our branches, and we will continue to focus and grow this segment. In the unsecured business loan segment, we continue to grow well, and the book is overall stable at the portfolio level.

Personal loans :

We have seen that the industry growth rate

has come down to 10 % to 12 % Yo Y as compared to 25%

previous ly. And this has been so at Kotak as well. Two reasons for that. One, we had the impact of embargo in the first 5 months, when the digital journey was stopped. And we also tightened our underwriting norms at the beginning of this year. A lot of the growth has come in from ETB customers through repeat programmes and top -up. And thus, delinquency has been on the positive side, and we have seen better trends on flows and collections .

Credit card business was under embargo and thus we could not issue new cards during the year. However, we focused on our existing customers and their spends to maintain our portfolio as well as monitor it well.

We saw stress in line with the industry, but we have seen stabilisation of flow in this quarter. Cards is a core proposition for our customer base, and we have new launches and initiatives catering to key segments in the pipeline to grow this business.

Let's move to commercial assets :

Commercial vehicles to begin with , at an industry level , grew 2% YoY. For the whole year , actually it de -grew. The goods vehicles segment business actually de -grew by 3% majorly on account of low government spending in many states as well as heat wave and liquidity tightness in the first half of the year.

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We moderated our disbursements over the last few months in this segment considering overall economic trends and sectoral trends. We continue to grow our used vehicle financing business considering the comfort that the significant part of this business comes from our existing customers. In Q4, collection efficiency remained flat at Q3 level and including improvement in the early buckets. We will continue to focus on profitable growth on relevant customer segments in this business.

The construction equipment industry was stable. We have grown better than the industry, which helped us improve our market share. Portfolio trends in the segment are stable.

Tractor industry witnessed 17 % Yo Y growth for Q4 coming on the back of lower base of the second half of last year due to better monsoon, better reservoir levels .

We grew our disbursements broadly in line with industry and continue to be a very key player with a strong market presence and market share. We continue to grow our used tractor financing business as well. With a normal monsoon forecast this year, we expect cash flows in the rural and semi -urban areas to improve and collection efficiencies in Q4 was better than in Q3.

Microfinance, I think enough has been said. The industry showed delinquency. This had impacted us as well, and that's why we de-grew our portfolio. We continue to tread cautiously in most markets in this space. We have moved some of the data science models to look at customer risk and underwriting norms across states to onboard better customers. We will wait to see in the next few quarters whether this is a cyclical or a structural trend, and then grow our business cautiously.

Agri SME, we continue to build the book with focus on NTB customers across core as well as food agro -processing. Portfolio in this segment continues to be very stable.

I will focus on the wholesale side of the business now, where the focus was granular growth and in the corporate SME business, we witnessed very strong asset growth of 31 % Yo Y and 6 % Qo Q. Both in SME

as well as in mid-market, acquisition of new customers was a major focus and we have seen good strength. Placement spreads have actually improved in the quarter despite aggressive pricing in the market and we continue to invest in technology, efficient processes and custom outreach programs.

In the wholesale, in the large corporate segment due to the very competitive pricing, we actually degrew the short-term advances at the end of the quarter, but we moved to focus on credit substitutes, which look very

interesting both in bonds as well as commercial paper. Including credit substitutes, our assets in this space grew at 6% YoY and 3% QoQ.

In the debt Capital Markets, which is a strong syndication business, it clocked its ever-highest fees supported by record volumes and closure of large marquee deals across products and sectors reflecting our market position.

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Our asset quality across the customer segments on the wholesale side continues to be very robust and we did not see any slippages in the quarter.

Customer profitability, ATROE, deeper penetration through transaction banking and higher fee income will be the cornerstone of this business.

Let me now turn to liabilities:

I talked about the fact that in this quarter we saw growth of 5% in deposits, 16% average YoY, and our CASA ratio stood at 43% as of March '25.

On the savings side, our regular SA grew at 2% QoQ. There has been a higher average monthly accretion in the last 2 quarters of '25 in savings. With our focus on affluent and mass affluent, we are seeing better quality customer acquisitions who are highly engaged on digital platforms.

We hope to launch some new products and proposition for our customers in the affluent segment of savings and hope to see better growth as we get into the quarter.

Kotak 811 was under embargo last year, so we had focused on cross-sell to the existing customer base, as well as upgrading the tech platform for better experience. The Kotak 811 deposits which are granular in nature in savings continue to grow despite the embargo. Digital acquisition has commenced with a superior product and tech experience and this will be the focus of 811 which will be to serve core India.

So, we have strengthened our proposition for CASA and are actively tapping our internal ecosystems for building it.

Current account. The average current account for the quarter grew at 9% YoY. On the consumer side, we have consolidated our acquisition on the self-employed space, and we have actually seen our best of a quarter on the NTB side in terms of value in current account.

On the wholesale side, we continue to focus on garnering greater share of customer collections, payment flows, and liability balances, which has seen strong growth this quarter. We have also strengthened our position in the tax payment space with throughput increasing 30% YoY.

Custody, a key strength and a key focus area, including on the domestic front where we continue to deepen our market penetration successfully. We onboarded new clients across both domestic and offshore custody business and this will continue to be a core area.

In terms of term deposits, our term deposits grew at 16% YoY. Retail TDs have shown strong growth across all quarters. Our core proposition with ActivMoney helped us grow our customer deposit. ActivMoney grew by 18% YoY.

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We will continue to focus on our key segments for savings growth and balance between savings, ActivMoney and TD in a granular manner for the overall deposit growth as well as optimize our cost of funds. The system liquidity has seen significant improvement and this should be beneficial to banks from a deposits perspective.

We have also taken several initiatives to enhance the customer experience through a customer 360 approach, customer service and grievance redressal systems. On the transaction banking side, we continue to invest in technology and digital for both corporate and SME customers.

Overall, we have seen reasonable growth in both assets and liabilities, and we remain focused on growing both the segments based on quality acquisition, deepening customer franchise, enhanced customer experience, and cutting-edge digital platforms.

I will now request the operator to open for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer

session. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So firstly, the question on provisioning coverage, now it is raised to almost 78%-odd and we are clearly seeing the decline in the slippages as well. So firstly, is this PCR largely the catch-up provisioning on the

unsecured wherein maybe the 100% is provided with a lag and not maybe within 90 days? So, is that the fair assumption or this is more like a conservative step to get it in line with the industry average and maybe given this PCR and declining slippages, what would be the outlook on the credit cost?

Devang Gheewalla : Hi, Kunal . So, on the PCR, you are right. I think it has improved to 78%. I think PCR, as you know, is the provision which we make on the NPA cases. Now, with the accretion in the gross NPA itself slowing down, I think that is one of the reasons why it is improving. And I think what we are seeing is that the new book which we are writing in the unsecured loans, it is much more better credit quality . However, the book which has been already become delinquent, the balance provisioning will be required under our policy going forward for the next couple of quarters. So , we will see provisioning for the old book, which is yet to be fully provided. Whereas for the new book, we expect the provisioning to be lower than the existing book .

Kunal Shah: Yeah, so maybe if you can just guide through in terms of like this kind of a run rate in the provisioning, could there be like, I would say like a broad improvement in the credit cost than what we saw in the second half. Given that you indicated most of the areas are now showing improvement in the slippages and the credit cost trend and secured retail plus corporate and all that is not showing any kind of a stress or incremental delinquencies ?

Devang Gheewalla : Yes, Kunal , I think we gave our view based on what we see today as of now the trends and some of the steps which we have taken to prevent any further NPA buildup. But you know, as I think some of the
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sectors are still getting impacted by external factors which are beyond our control. So, I think it be very difficult to give the guidance. But as I said, the new accretion to the book is certainly slowing down in personal loan. As I said credit card remaining more or less at the same level and the micro credit , it continues to be slightly elevated. So, it is very difficult to give guidance on the credit cost going forward.

Kunal Shah: Got it. And second question is on margins. Given we are in the repo rate cut environment, we have taken initiatives. We have cut the savings rate now almost to like 2.75 and 3.25, plus maybe some tweaking has happened on the TD side. Plus, there will be flexibility to cut sweep deposits as well. So firstly, maybe when you look at it on this cost of SA which is currently at 3.79 considering the rates which are prevailing currently at 2.75 and 3.25 , would it be fair to assume that eventually it should settle towards 3% odd and should give like 20 bps advantage on the cost of deposit side and similarly some benefit flowing in from say the sweep deposit , so maybe ideally what is the kind of margin trends which you would look forward to in FY' 26?

Devang Gheewalla: I think you have given the answer to the question itself, but you are right. I think the way we have to respond to the repo rate cut obviously is through the cost of deposits because that's what the margin is all about, right? So, if I look at the cost of deposits, it's in three broad areas. One is the saving account where traditionally we were paying actually higher interest rate compared to our peers. Now we have aligned the rate to 2.75 through cuts in the SA balances over the last one quarter. And therefore, now we are at the same level as our peers. And obviously, the SA rate cut is on the

portfolio , effect is there. In terms of the
ActivMoney deposit, as you know, it's a...

Kunal Shah: Sorry, so this can come down to 3% from 3.79, which is there currently , ideally?

Devang Gheewalla: As I said, today after the cut , the rate is 3.25 over 50 lakhs and 2.75 below 50 lakhs. So yes, broadly it is in that range, it can come, right? Continuing my thing on the sweep TD, as you know, it's a 6 months product , we offer for CA and SA. But actual cost of the sweep TD is somewhere around 5.5% against the headline rate of 7% indicating that the tenure of the deposit is much lower than 6%. So, the reprising part of that also will become much faster. We have also rationalised the sweep TD rates for current account to 5% with a 150-day bucket. And for the saving account, we have reduced it from 7 % to 6.5%. So, one is the rate reduction. Second is I think the reprising period which is faster , it should help. On the third bucket, which is the normal term deposit, clearly for the chosen buckets, and in line with peers and the competition, we have rationalised some of the TD rates. Again, our TD maturity, on a residual basis is less than one year, so the reprising also should happen over that period time. So, I guess all this combined should help us to sort of navigate and respond to the repo rate cut which remains. Anyone's guess now, how many much further repo cuts will come, how much it will come, when it will come , I guess, but that's what the sort of answer to your question is.

Kunal Shah: Okay. Thanks, and all the best.

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Moderator: Thank you. The next question is from the line of Anand Swaminathan from Bank of America. Please go ahead.

Anand Swaminathan: Thank you. I have a couple of questions. One is on capital management. What, according to you, is the optimal capital level for Kotak , especially since loan growth has come down to 13 %, 14% levels now? In a 2–3-year period, where do you see CET1 and what would be the strategy to achieve it? And number two,

in terms of the unsecured book and credit card, it's good to see that things are settled down and starting to improve. But just as a diagnosis of what happened over the last 12, 18 months, clearly a couple of bigger peers in the market, their credit card and unsecured performance has been meaningfully better. And what do you think was the delta for Kotak in this cycle? And would it change anything that you do in the coming cycle in those two segments in terms of risk or customer selection or anything like that? That's it from me. Thank you.

Ashok Vaswani: So, let me deal with that question, Anand. First on the capital management, look, there is no doubt we have excess capital and the way we think about capital is that really it provides a fortress balance sheet. And when I say fortress balance sheet, it really means that it gives us the ability to kind of deal with any kind of downturns as well as gives us the ability to take advantage of any opportunities that come for growth. So, we have always said that M&A and inorganic activities would be an important part of our strategy. And we continue to look at every single opportunity that comes along. Now, just because we have capital, we are not just going to kind of spend it and waste it. Obviously, any kind of acquisition opportunity that comes up has to make sense from a strategic perspective as well as from a financial perspective. Now, so keep that on the side. As and when that happens, we will be ready to do that. And we have got a watchful eye.

Two is, what are we doing with this excess capital and how are we dealing with it? The key thing is we run our businesses. Devang allocates our businesses at about 15% capital, and he then has excess capital. The way we utilize or invest our excess capital, first call is business, second call is our alternative asset businesses, which historically have

given us a very, very good return in the high teens post-tax. Now, you do not see the benefits of that on a quarter-on-quarter basis. It comes in lumpy, but still the returns are there.

Three, we like investments in financial market infrastructure. So, things like KFin, MCX and other such opportunities, we are constantly on the watch to say, do other such opportunities because we think long term, that will provide us great kind of growth opportunities.

Now, apart from these three, we are looking at other areas where this capital can generate a return. It will not generate a return as much as our businesses do. But if we can get, generate a return as close to our businesses, then it is a Nirvana situation where we have the opportunity to take advantage of any opportunities, manage any downsides, yet get a decent kind of return. So, that's how we think about capital management and understand that this is lumpy and opportunistic and doesn't happen in a clean row. But that's how we kind of think about it.

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Moving to your second question on unsecured book. Yes, the overall book, unsecured book fell from about 11.8% of our total advances to about 10.5% of total advances. Our desired state, obviously not in one year, but over a period of time, is to get to mid-teens. And we will continue to grow that. We like the credit card business a lot. And we are redoing our entire credit card business, rethinking of the strategy and aligning it with the broader strategy of getting the right product for the right customer. So, that's work in progress. But like I was talking about Solitaire, we have just come up with a new credit card for that truly affluent customer which will really meet the needs of that kind of customer as we kind of go ahead.

There are important learnings from what we have been through. See, we have got to recognize that at its core, at its core, Kotak is an SME bank, right? That's where our strengths are. And that's how we have got to kind of think about it and how we kind of cater to that.

Number two, right, we have always been very conservative, and I like that on the corporate side of the house, how do we take it and tweak that on the retail side of the house and get a better balance of risk reward? We went out and we did a whole bunch of tests and experiments. And frankly, we could have kind of put that into a box or limited the exposure that kind of came out of the test / experimental portfolio.

We recognize that we are different from our competition in the sense that we are more SME and less a Corp-Sal kind of bank. And therefore, what are we going to do about that? So, I think we have learned some very, very, very important lessons from this painful episode. And we are committed not to making those mistakes again.

Anand Swaminathan: Thanks, Ashok. That's very useful. Just, you know, if you can enumerate a bit more on the lessons in terms

of, was it customer selection, was it some processes, collection, and what would change in the current cycle, that would be useful.

Paul Parambi: No, the lesson, and you compared us with some of the large peers as well. I think one, as Ashok was mentioning, is we had consciously tried to do certain testing and rewriting in order to be able to cross-sell more to our existing base. In hindsight, probably that those percentages, the exposure to that segment going forward will keep much smaller such that the risk is contained. And this is something we have already taken action well before the embargo itself, but we will continue with that.

The second is, smaller ticket size credit card limits. Those have larger risk. That again we had addressed before the embargo itself, but we will continue with that as well. Our Solitaire proposition is an affluent proposition. That will help us to get affluent clients who inherently carry lower risk as well.

You were then compared

ing the portfolio with larger peers. You know, as you are aware, our credit card portfolio has been traditionally a much smaller portfolio. And we had gone really slow during the COVID period. And you probably are aware that vintage books perform significantly better. So, our portfolios are Kotak Mahindra Bank
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newer books which have been built more recently post the embargo. And therefore, those will naturally carry higher delinquencies.

So, that was a fact, not because of our post-COVID book, which would therefore, it doesn't reflect underwriting. It just reflects the nature of mix of the book and the fact that our credit card portfolio is much newer. But the policy we have written, it was pre-embargo itself. And what we have rolled out post-embargo is a much tighter policy on many of these factors, with much lower target loss rates.

Anand Swaminathan: Thanks a lot. That's very useful. Thank you.

Moderator: Thank you. The next question is from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Good evening. Thanks for taking my question. My first question is on the quarter P&L on the NII line. So

, in the PPT, we called out that we have seen the margin expansion quarter-on-quarter. There is also a loan book growth quarter-on-quarter. So, you know, 1% Q-o-Q NII growth doesn't tally with that. So, can you take us through the math for that? That's my first question.

Devang Gheewalla: The NII of last year included the interest on income tax refund which was there almost Rs. 142 crore. If you refer our slide on Number 9, it gives you. That is one of the one-off item which was there. It was part of the NII. So, if you actually sort of remove that, then you should look at the impact of the growth in respect of NII.

Param Subramanian: Devang, I meant quarter-on-quarter. I mean, we are showing that there is a 4-basis point improvement in margin.

Devang Gheewalla: Yes.

Param Subramanian: And there is a Q-o-Q loan growth of 3%.

Devang Gheewalla: Sure. No, I understand.

Param Subramanian: So, NII increase is only 1%, right?

Devang Gheewalla: Sure, I was explaining the Y-o-Y part. The Q-o-Q kind of what happens is that the March, there is always

the effect of the number of days. What happens is that because of the 31st March and February being a lesser number of days, it gives you the kicker in terms of the NIMs improvement, which is there marginally. But that is what creates this issue every last quarter of the year.

Param Subramanian: Okay, so just to be clear, so you accrue the NII over a lesser number of days. So, it affects your absolute

NII versus the last quarter. Is my understanding right?

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Devang Gheewalla: That's right.

Param Subramanian: Okay, perfect. This is really helpful. Secondly, on your CASA ratio, or rather on average SA, right? So, we have taken some rate actions on SA. And our average SA balances are like flat Y-o-Y. And I think if I am not wrong, I heard you say that, you know, we are open to taking more action. So, how should one look at that with, say, overall CASA growth outlook for next year as well?

Shanti Ekambaram: So actually, I had talked about that when I said that at this quarter, if you see quarter-on-quarter, we have

seen our regular fixed rate SA grow by 2% quarter-on-quarter. And we have also said that from an average accretion basis on the customer acquisition side, we have seen in the last two quarters, a much better average accretion given the focus, you know, the increase in acquisition of affluent customers.

So, we are very clear, CASA focus both CA and SA. SA, the core banking customers continue to grow SA. In fact, balances up to Rs. 10 lakhs have continued to grow quite robustly. The affluent customers' accretion is better, but you will see some amount into investment. So, it's a combination of CA and

SA and

ActivMoney SA. We hope to focus on our CASA balance.

Param Subramanian: Okay, just to follow up on that, Shanti, so in the past when liquidity has been very accommodative, we have also seen CASA ratios go all the way up to 60%. So, I am not asking for a guidance per se, but do you think the CASA ratio as such has legs to go up from where you are despite taking SA rate cuts from here?

Shanti Ekambaram: So, one thing, one is on a quarter-on-quarter, we have improved the CASA ratio. Probably most banks have. That's good. But when you talked about 60%, you must realise at that point in time, we had stopped

taking term deposits. Because during COVID, even lending had been everybody batten the hatches. So, I think as you expand your balance sheet and you sort of look at ratios, CASA ratios will show very different growth. Suffice to say we will grow our CASA, but ratios will depend upon your growth in balance sheet and the mix of the TD base. What you should look at is cost of funds and whether you are competitive on the cost of funds. I think if you see that even in this quarter, they have been very competitive on the cost of funds and that's what is actually correct.

Ashok Vaswani: And just to add to that, Shanti, I think linking the asset, the CASA or SA growth to rate may not be really the right thing to do because the elasticity of pricing at the lower end of SA, right, is very, very, very low.

And that has been demonstrated over the last four or five months when we initially took down the rate, right? So, I would not equate those two.

Param Subramanian: Perfect. Thanks, Ashok and Shanti. Just one more question, if I may. Any number around growth that you

have called out average advances growth of 18% for this year. So, you know, any number around growth that you want to call out for next year in terms of guidance? Yes, that's it from me. Thanks.

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Ashok Vaswani: So, you know, true to our philosophy, we have always said, look, we will grow assets somewhere between 1.5x to 2x nominal GDP growth. Frankly, that's a risk appetite statement, right? If the economy is, you know, if you are growing assets faster than 2x times nominal GDP growth, one has to ask the question, are you taking on too much risk? And if you are growing lower than 1.5x nominal GDP growth, then you ask the question, are you leaving money on the table, right? Because this is not about a day in the sun or a quarter in the sun.

It's all about a sustainable franchise, which is really something our customers admire. And therefore, we target somewhere between 1.5x to 2x nominal GDP growth. That will continue into Fiscal Year 2026 as well.

Param Subramanian: Thank you. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi, team. Congrats on the quarter. Actually, most of my questions are just follow-ups on previous questions. Firstly, for what Kunal asked about cost of SA deposits, from the 3.79, do we assume it goes down to 3 or do we just assume it goes down 25 bps quarter-on-quarter?

Devang Gheewalla: So, hi, Piran. I think 3.79 includes, besides the fixed rate SA, also the floating rate SA cost. So, while we have taken actions on the fixed rate SA to reduce the rates to 2.75 and 3.25, the floating rate SA rate remains as of now. But I think it all depends upon what the balance of that in the SA which will remain. So, when I answered the question, it was more from a fixed rate SA perspective that it would be around 3%. The floating rate SA will be based on the MCLR rate and as well as the quantum of such deposits as we go, MIBOR sorry.

Piran Engineer: Understood. Okay. That's pretty clear now. Secondly, again, just following up on Param's question, the 1% NII growth, but NIM being up. Now, we get that there is this number of days effect

other banks have

also mentioned it. But if I look last year, right, our NIM was up 6 bps Q-o-Q, but we still had a good 5% - 6% NII growth Q-o-Q with about 5% - 6% advances growth or customer assets growth.

Devang Gheewalla: Yes.

Piran Engineer: So, I am just trying to get the disconnect here.

Devang Gheewalla: So, I think that is what, Piran, I was saying when I was explaining that last year, last quarter, and if you refer Page 9 of our investor presentation, it included almost the income tax interest on refund of Rs. 142 crore, as well as the tax credit of Rs. 200 crore, right? So, in the NII, you had Rs. 142 crore. Again, just to take you, the interest on income tax refund is not considered for the NIM calculation because it is on the earning assets. But when you look at the NII, it includes the Rs. 142 crore of that.

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Piran Engineer: Okay, but this is just Rs. 24 crore number which is...

Devang Gheewalla: That's correct.

Piran Engineer: Okay. And just lastly, on this SA thing, right, now, even a few quarters back, we mentioned that there is a new, let's say, revamped push for SA. We will have a micro-marketing strategy in the top 25 cities. We will focus on specific customer segments, the affluent customer, etc. We will launch bundled products. But even if I now, obviously, maybe one or two quarters might not be the perfect time period, but it's been now six, seven quarters where the SA book is kind of stuck at this Rs. 1.2, 1.3 lakh crore.

So really, what here are we missing? Is it just simply that competition has heated up from private banks, PSU banks? Is it the fact that we are over-indexed to wealth customers, and they will continue to put money in TD, whatever we offer? Like how do we get comfort that SA starts picking up this? Otherwise, the performance of the bank has been good. Just that this SA has been one sort of tough point out here for a few quarters, not just one quarter.

Ashok Vaswani: So, look, I mean, if you do an analysis, right, in the first three quarters of the year, liquidity was very tight. And you compare it to every other bank on the street, right? Pretty much we are there and there about. Okay? On SA. Right? This is despite our 811 proposition being put on hold because of the embargo. Okay. So, that's one point.

The second point is that, look, with the ActivMoney kind of proposition, a lot of money gets swept. And you can see ActivMoney grew very handsomely year-on-year.

Shanti Ekambaram: Last two years.

Ashok Vaswani: I think 47% year-on-year growth this year and an equally amazing number last year.

Shanti Ekambaram: Average.

Ashok Vaswani: And that ActivMoney dampens the SA kind of growth. I think Shanti said this. The real way to look at this is our cost of funds. And you will see our cost of funds still is about the best there is in the industry.

Because of the way we manage CA, SA, ActivMoney and TD.

Piran Engineer: Got it. Okay, that's useful. And just lastly, if I may squeeze in. This jump in OpEx Q-o-Q, that's just more seasonal due to PSL purchases, etc. PSLC purchases or is there anything else to read into?

Ashok Vaswani: Yes, there is PSL purchases. You are right. Having said that, look, once we got out of the embargo, it was important that we came out strongly. And we came out strongly with the brand campaign, as well as restarted the engines on credit card acquisition and 811 customer acquisition.

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Like I said again, you know, this is not about a day in the sun or a quarter in the sun. We are trying to build a solid franchise and therefore, it could have been so easy not to spend on the brand campaign and improve the expense. But I really want to build a long-term sustainable franchise for our shareholders. And that's what we are going to do as we go about it.

Devang Gheewalla: Piran, just to add

to what Ashok is saying, in the last quarter what has also happened, because of the G -

Sec rate falling, the actuarial provisioning for the pension fund liability has to go up because of that.

And I think the second part is, because our share price is doing well, some of the share price-based incentive provisions on SARs and all also got a bit higher compared to the earlier quarter. So, besides the one-off cost on the brand campaign, which is the 'Hausla Hai Toh Ho Jayega' and some of these payroll-related costs, the cost has been higher in the last quarter.

Piran Engineer: Okay, this explains it perfectly. Thank you so much and wish you all the best.

Devang Gheewalla: Thank you, Piran. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Ashok Vaswani for closing comments.

Ashok Vaswani: So, thanks a lot. I once again sincerely apologise for starting late. We have had quite a rollercoaster FY '25, but I think a lot of the stuff is behind us. We are committed to driving our strategy and executing on our mission to move from product-centricity to customer-centricity. And we are really looking forward to FY '26 and giving you regular updates every 90 days or so. So, once again, thank you so much, and see you at the end of the next quarter. Thank you.

Devang Gheewalla: Bye-bye. Look forward.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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Kotak Mahindra Bank Limited
Q1FY26 Earnings Conference Call
IST 5.00 PM on July 26, 2025

Management: Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Nilesh Shah – Managing Director, Kotak Mahindra
Asset Management Company Limited
Mr. Manish Kothari – Head, Commercial Banking

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Moderator: Ladies and Gentlemen, Good day and Welcome to the Kotak Mahindra Bank Q 1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you. And over to you, sir.

Ashok Vaswani : Thank you. Thank you so much , Operator . Good evening, everyone, and thank you so much for joining us.

A lot has happened this quarter.

Economic growth continues to be benign as reflected in the RBI estimated GDP growth number of 6.5% in Q1 FY '26 and for the full year FY '26. To promote growth, the RBI has infused liquidity and cut repo rates by a total of 100 basis points in the last 6 months.

However, the cut in interest rates have not yet stimulated demand for Bank credit. Generally speaking, while the corporate balance sheets are healthy, we are not yet seeing momentum in private capital expenditure.

In addition, sales of commercial vehicles, passenger vehicles and construction equipment have been soft. The pace of retail credit growth has come down. Rural India should fare better given the start of a good monsoon season.

And finally, there is still a high level of uncertainty on the geopolitical arena and trade tariffs. All of the above, of course, has had an impact on the business.

But, we have driven healthy growth of 14% and 15% in net advances and deposits respectively on a year-on-year basis. This continues to be in line with our philosophy of growing our advances in the range of 1.5x to 2x times that of nominal GDP growth. We continue to see granular growth and our CASA ratio is comfortable at 40.9%.

The repo rate cuts combined with change in product mix, offset by reduction in deposit rates, have impacted NIM. The actual reduction is affected by the timing of the transmission of rate cut to the floating rate asset book, about 60%

of our total book and the deposits books.

Unless there are further rate cuts, we expect the NIM to stabilize over the year.

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On credit cost,

MFI credit cost were a significant contributor to the overall credit cost increase. However, it appears to have peaked and is expected to show a declining trend in the coming quarters. We have started cautiously stepping back into fresh disbursements given the declining trend in incremental slippages.

The credit cost in the credit card portfolio continue to plateau as we have highlighted earlier, and we should start to see it decline in the second half of the year. Credit cards fulfil a very important need for our target customers and we have launched new products this quarter, namely – Solitaire and Kotak IndiGo to cater to our customer needs.

The credit cost on the personal loan portfolio have also stabilized from Q4. Strategically, this is part of our core proposition, and we are committed to grow this book.

However, we have seen stress build-up in the retail CV segment, and we have been taking action in line for our new underwriting. We will continue to be cautious in this segment. This quarter also reflects the usual seasonal impact of the rural portfolio.

Credit cost for this quarter over last quarter was also affected by lower recoveries from the legacy corporate customer book.

A key reason that we were able to deliver this kind of growth despite the macro is due to our strategy to focus on the customer. We have made good progress as regards key customer segments with reference to product, propositions and technology.

Our combined SME book continues to grow strongly as we focus on the holistic wallet of the customer. We continue to invest in our 'fyn' platform as well as our mobile banking app. We have recently launched capability that allows a small SME customer to track both personal and business accounts in the same app, which is being highly appreciated by our customers.

We have launched a special proposition for the affluent customers, Solitaire. Solitaire offers to the affluent customers products manufactured from across the group, like investments, protection, credit card, personal loans, business loans, all on a pre-approved basis. This proposition has landed well in the marketplace and is enabling acquisition of quality customers. Our Private Banking segment continues to report healthy growth in AUMs. Our proposition for core India - 811, came back strongly this quarter. 811 allows us to acquire customers at scale, gives us valuable granular low-cost deposits and an opportunity to

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cross-sell various other products. Customer migration to the new dedicated 811 app is progressing well.

We will continue to invest in proposition for selected customer segments.

Strategically, our conglomerate structure allows us to capture opportunities as new trends emerge in financial services. For example, with savers becoming investors, our asset management business continues to demonstrate very strong performance with a 25% growth in Assets Under Management. Similarly, we saw an increase in market share in both the cash market and derivative markets in Kotak Securities. With corporate tending to tap capital markets, we see a very healthy pipeline in our investment bank or KMCC.

Overall, our book value per share grew 17% on a Y-o-Y basis to Rs. 829.

It has been a busy quarter with a lot of significant macroeconomic and geopolitical turbulence. But what I feel good about is the demonstrable progress that we continue to make in the execution of our strategy.

Now, I will hand it over to Devang to take you through the specifics of this quarter.

Devang Gheewalla: Thank you, Ashok . And good evening, friends.

Before I start detailing the performance, it is important to recognize three significant areas

impacting standalone Bank performance for Quarter 1, especially when we are comparing on a Y-o-Y basis.

First, NIM :

NIM for Q1 '25 was 5.02% which has reduced to 4.65% in current quarter. It is largely on account of 100 bps reduction in repo rate over last year. This would mean even at a 14% average advances growth , NII increase is restricted to 6%.

Second, other income and costs :

We had embargo for most of the last year, which impacted onboarding of new customers in 811 product and no issuance of new credit card. As we restart both of these businesses , post lifting the embargo , both income and costs related to these products ' new acquisition will start flowing over the remaining year.

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Last, but not the least , the credit cost :

As you are well aware, stress on MFI sector started reflecting in books from Q3 of last year, which continued in Q4 and has now peaked in Q1 of '26. Q1 '25 therefore had a negligible credit cost in MFI, which has now full impact in the current quarter.

With this backdrop, let me start with some more details on the Bank 's standalone performance first :

The Bank balance sheet grew 14% Y-o-Y with net advances growing also at 14% . Share of unsecured advances reduced from 11.6% to 9.7% during the year as Bank tightened the underwriting norms , especially for unsecured business.

Total deposits grew 15% Y-o-Y with current account and fixed rate SA growing at 16% and 9% Y-o-Y, respectively. CASA ratio stood at 40.9% at 30th June. Bank continues to maintain healthy CD ratio at 86.7% at 30th June . And Bank 's capital adequacy remains overall at 23%, with CET -1 itself about 21.8%.

Bank ended the quarter with a PAT of Rs. 3,282 crore, down by 7% Y-o-Y, largely due to increase in credit cost , while operating profit is up by 6% Y-o-Y. Q4 PAT of the Bank had one-off credit income items , and the PAT excluding the same was Rs. 3,466 crore , as explained in Page 8 of our Investor Presentation .

NIM for the quarter, 4.65%, Q-o-Q lower by 32 bps, largely on account of reduction in the yield in floating rate book and lower share of unsecured advances , which was partly set off by reduction in the deposit rates. Besides this, as highlighted during Q4, NIM for Q4 had a positive impact due to number of days computation. As deposits start getting repriced, NIM is expected to stabilize during later half of the year.

Fees and services income got impacted by lower fees on credit cards and lower deal-based income.

Operating cost of the Bank at Rs. 4,775 crore grew 6% Y-o-Y, while we continue to invest in technology and technology spend for the quarter around 13.5% of the total opex . We are seeing benefits of tech spend s in form of efficiency in payroll cost , however the retiral costs saw an increase due to reduction in the interest rates. This quarter also saw higher marketing spend on the restart of 811 campaign.

Gross NPA at 30th June is 1.48% with net NPA 0.34 % with provision coverage ratio at 77%.

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Slippages for Q1 increased to Rs. 1,812 crore versus Rs. 1,488 crore in Q4, with credit costs for current quarter at 93 bps. Overall sequential quarter increase in slippage and credit cost is mainly due to microfinance business and stress in retail commercial vehicle and seasonal impact in rural segment . We remain cautious on retail commercial vehicle segment.

Credit costs and slippages for microfinance business has peaked during the quarter. Stress in personal loans and credit cards also have stabilized . Last quarter, there were higher recoveries in secured business from 2 corporate accounts compared to current quarter.

Overall, Bank 's performance for quarter got impacted by margin compression and higher

credit cost.

Coming to consolidated performance :

Q1 consolidated profit stood at Rs. 4,472 crore . The consolidated net worth at just under Rs. 1,65,000 crore and book value per share at Rs. 829, which grew 17% Y -o-Y.

Contribution of the Bank and other lending -related entities in Q1 in consolidated profit was 74%.

As you would recall, Q4 '25 consolidated results included full -year MTM gain of Rs. 411 crore on alignment of RBI direction on valuation of investments during Q4, which for the current quarter is Rs. 204 crore in respect of subsidiary investments. In addition to the above gain, which has been taken through P&L, post -tax gain of almost Rs. 3,000 crore in respect of investment under AFS category for the Bank has been accounted directly in the net worth. So, this Rs. 3,000 crore post-tax profit has not gone through P&L. It has been accounted directly in the net worth. Cumulative post -tax gain accounted in the net worth for such investments stood at Rs. 7,244 crore .

Our consolidated customer assets are at Rs. 5,57,000 crore , which is 13% higher Y -o-Y. AUM managed by group stands at Rs. 7,50,000 crore , which grew by 18% compared to June '24.

Our capital adequacy continued to remain healthy at the group level at 23.7% with CET -1 itself 22.7%.

ROE at consolidated level was 11.13 % for Q1 and ROA at 2.03 % for Q1 '26.

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Coming to some specific performance of subsidiaries :

Kotak Securities recorded profit of Rs. 465 crore , up 16% Y -o-Y. This includes MTM gain of INR 86 crore . Cash market share of Kotak Securities improved to 10.1% with overall market share now at 12.8%.

Kotak AMC and Trustee Company recorded profit of Rs. 326 crore , up 86% Y -o-Y with a 24% Y -o-Y increase in the equity average AUM to Rs. 3,32,638 crore . Kotak AMC and Trustee profits includes MTM gain of Rs. 83 crore for Q1.

Kotak Life ended the quarter with a PAT of Rs. 327 crore , up 88% Y -o-Y due to higher realized gain on sale of investments. Kotak Life continues to maintain solvency ratio of 2.4x as against the regulatory requirement of 1.5x.

Kotak Prime customers ' assets grew to Rs. 41,469 crore with Y -o-Y growth at 16%. PAT for Q1 for Kotak Prime was Rs. 272 crore , up 17%.

Kotak Alternate Assets recorded Q1 profit of Rs. 59 crore on back of higher distribution income from investments in AIF.

With this, I hand over to Shanti for business updates.

Shanti Ekambaram: Thank you, Devang. As Devang had mentioned, the Bank's net advances grew 14% Y -o-Y and 4% Q -o-Q, while customer assets including credit substitutes, grew by 13% Y -o-Y and 3% Q -o-Q. Deposits grew 15% Y -o-Y and 3% on a quarter -on-quarter basis.

I will start with the highlights on assets :

Just wanted to say that at a macro level, we have seen an overall slow down on urban consumption, which has impacted certain areas. Consumer assets growth was primarily led by secured businesses.

Let me start with mortgages.

Mortgage loans comprising Home Loan and LAP grew 19% Y -o-Y at the back of a strong Q1.

In Home Loans, there is irrational and highly competitive pricing. However, we continue to focus on all home loans as it helps us build a strong long -term relationship with our customers and help increase the wallet share of our customers, particularly in the affluent segment .

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The LAP market continues to be strong. We have already been a strong player given our strength in the self-employment segments . In mortgages, we updated our tech platform, which resulted in better transparency and customer experience. Quality of the mortgage book is good , thus will continue to support our growth focus on these businesses .

Business Banking :

There is a strong demand for working capital in the small business banking

segment across

sectors, including food processing, light engineering, goods manufacturing, renewable energy, etc. Our secured business banking comprising of small SMEs continues to see good growth at 18% Y-o-Y. Our portfolio metrics continue to perform well across the industry in various geographies. In this business, we are able to serve our customers across their financial and non-financial needs, both business as well as individual. This business is largely around our branches and will continue to be a key focus area.

In the unsecured business loan segment, we continue to grow and the book is overall stable at the portfolio level currently.

Personal loans:

Personal loans is a key segment and a key part of our retail unsecured portfolio. This includes the portfolio acquired from Standard Chartered last year. Our organic personal loan disbursement maintained momentum driven by salaried customer segment and digital acquisition.

From a risk standpoint, we have seen stabilization in the trend of flows and collection efficiencies. We continue to follow a granular growth approach, emphasizing credit quality, focusing on digital origination and processing, and optimal ticket sizes. The acquired portfolio is being managed actively and so far, has performed as envisaged.

Let me turn to credit cards:

We re-embarked on credit card issuances post embargo last year. The trajectory has been a little slower than we envisaged. However, we believe this is likely to ramp-up over the next few quarters.

During the quarter, we also implemented a one-time clean-up on blocked accounts. These are accounts, which become inactive due to either 30-day or a year for existing cards for operational reasons. None of these cards were spend active. This led to a drop in market share on cards this quarter.

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During the quarter, as Ashok had said, we launched new credit cards, Solitaire and IndiGo catering to the affluent segment.

Credit Card continues to be a core pillar of our affluent customer proposition and unsecured retail strategy. We will continue to focus on the acquisition momentum in Solitaire, IndiGo and other cards, and we are well positioned to drive traction.

The delinquencies in the cards portfolio have plateaued, with flow rates stabilizing in the current quarter. We continue to strengthen our risk management and monitoring framework in cards.

Let's move to commercial assets:

Construction Equipment and Commercial Vehicles:

For Q1 FY '26, construction equipment industry sales actually de-grew by 4% Y-o-Y on account of low retail buying owing to tighter state government cash flows and early monsoon in many states. In line with this, our disbursements were also lower this quarter. We, however, continue to maintain our market position and remain a meaningful player in this industry. This is expected to pick up post monsoon and during the upcoming festive season.

For Q1 FY '26, commercial vehicle industry has, however, de-grown by 18% Q-o-Q and growth has remained flat Y-o-Y. Goods vehicle segment de-grew by 4% Y-o-Y, majorly on account of subdued economic activity and negative demand supply equilibrium. We have been witnessing a Y-o-Y negative growth in goods segment for close to 2 years now.

Passenger segment, however, continues to grow at 22% Y-o-Y.

In view of the overall economic environment, sectoral trend, the collection environment has been challenging, especially at the lower end of the retail segment. We have highlighted this in the last 2 quarters, and the flow in the retail commercial segment has been high. We have thus moderated our disbursement, especially in the retail segment.

Would however, like to mention that this is an important segment for us. Between construction equipment, commercial vehicles and the working capital

to that segment, it is

10% of our portfolio and has generated good ROE for us. The overall slower macro is impacting the micro, but we are dynamically managing the stress and the collection scenario. We will continue to focus on building a business in relevant customer cohorts through calibrated risk interventions, while keeping a cautious stance on certain segments like retail commercial vehicles.

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Tractor Finance :

Tractor industry witnessed 9% Y-o-Y growth in Q1 driven by favourable conditions, including good monsoons, improved agricultural yields and lower inflation. We had seen higher disbursements and have maintained our leadership position in this segment.

Q1 collection efficiency are at similar levels as compared to last year. However, June being a demand cycle month, credit cost was slightly elevated vis-a-vis the previous quarter. With the above normal monsoon forecast and expectation of a good Kharif crop, we expect improved cash flow in the second half of this year.

Microcredit :

We expect microfinance industry to see a gradual recovery in FY '26, barring any unforeseen event-based risk. The growth in the industry is expected to pick up in the second half. The credit costs are expected to remain elevated in the first half for the industry.

Our retail microcredit book grew by 12% Q-o-Q due to higher repayments versus disbursements. We have seen some pickup in the disbursements in June and expect the trend to continue. The early signs with respect to delinquencies are encouraging for the book originated through risk profile underwriting.

There has also been some improvement in the hard bucket collections. As we have said earlier, we think microfinance stress has peaked in this quarter and we expect it to be stable and hopefully better in the second half of the year.

The merging of BSS and Sonata is currently underway and is expected to be completed by Q2 FY '26. It will enable the Bank to create an integrated franchise with a national footprint.

Agri SME :

The Agri SME book maintained a healthy growth momentum with a Q-o-Q growth of 4%, led by continued focus on NTB sourcing. Quality of the portfolio continues to remain stable. This will continue to remain a focus area for us.

I will now take you through the highlights of the wholesale business :

This quarter, our wholesale banking assets along with credit substitutes grew 13% Y-o-Y and 6% Q-o-Q. A large part of the growth has come through our granular segment of SME and mid-market.

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This quarter, select accounts within SME portfolio were migrated to other verticals of the corporate Bank to ensure that these customers are served appropriately through the right business verticals. Due to the migration, current quarters are not strictly comparable to that of the prior period.

Advances from the rest of the wholesale Bank grew largely from working capital loans and trade assets across customer segments. Advances from GIFT City also showed a strong quarter.

Of the various customer segments, like I mentioned, we continue to scale up mid-market at a fast pace. Again, growth was accelerated due to onboarding new clients. And this quarter, the entire growth in this book has come from working capital and flow-based business.

Portfolio has remained robust, and we will continue to scale this business.

Pricing continues to be a challenge in large corporates and longer-term loans. And we have seen large corporates raise money from the capital markets. Our strategy in the larger corporates is more flow-led businesses, including trade, transaction banking and deeper penetration into their business.

Let me now turn to liabilities :

As of June '25, our average deposits grew 13% Y-o-Y and 5% Q-o-Q and CASA

Ratio stood at 40.9%.

Our fixed rate savings grew at 9% Y-o-Y and 2% Q-o-Q. Our continued efforts to capture the Core, Mass-affluent and Affluent customers through bundled offering, omni-channel customer engagement, enhanced digital platform supported by physical resources on field have resulted in better quality customer acquisition and deepening existing relationships. This helped us to increase the value for customer, which led to an improved CASA balance. In this quarter, we launched 'Hausla Hai Toh Ho Jayega' brand campaign, which commenced in February '25, which was very well received by the audience and our Spont Score jumped by 6 % points to 54% in June '25, thus increasing awareness for our various customer categories.

In line with our strategic focus on deepening relationships, as Ashok had mentioned, Bank launched Kotak Solitaire, a bespoke banking programme tailored to meet the financial, travel and lifestyle aspirations of our affluent customers. The initial response has been very encouraging.

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Our core proposition of savings with ActivMoney helped us grow our customer deposits.

ActivMoney grew by 23% Y-o-Y during this quarter.

Post lifting of the embargo, Kotak 811 had started acquiring customers with a revamped and superior products. This has led to better quality customers in value. The new revamped 811 app and platform has seen significantly higher engagement across transactions, products, and cross-buying. Kotak 811 will be an integral part of our strategy to acquire and serve 'core customers' of India.

Let me now turn to Current Account.

Current account balances for the quarter grew 16% Y-o-Y.

On the consumer side, in the self-employed segment, we saw positive traction on N TBs with much better value accretion. We continue to have strengths in the self-employed space.

Our lending engines on SME, Business Banking and LAP are strong enablers for retail CA.

On the wholesale side, our focus on garnering greater share of customer collections and payment flows, has resulted in strong growth in customer throughput and liability balances. Growth has come from both granular customers and deals including escrow and dividend deals.

From a strategic perspective, our liability strategy overall is focused across consumption-led, investment-led and asset-led liabilities.

Offshore custody flows, however, remained subdued this quarter, primarily due to net selling by FPI and a muted IPO market. In the domestic market, we continue to strengthen penetration into institutional customers and added customers in the insurance segment.

Additionally, we are now operational on a Global Custody from G IFT branch and have started onboarding clients as a global custodian.

Term deposits:

Our term deposits grew at 20% Y-o-Y and 7% Q-o-Q.

To summarize, we will continue on liabilities to focus on our key segments for savings growth and balance between savings, ActivMoney and term deposits in a granular manner.

Overall, we have seen reasonable growth in both assets and liabilities, and we remain focused on growing both the segments based on quality acquisitions, deepening customer franchise, enhanced customer experience and cutting-edge digital platforms.

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I will now request the operator to begin the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Kunal Shah from Citigroup.

Kunal Shah: So, firstly, particularly on the asset quality side, so you indicated that the incremental slippages and credit costs coming in from MFI, retail CV as well as some seasonal stress in rural, but if you can quantify with respect to MFI given that the portfolio is maybe at least last quarter

was closer to Rs. 6,700 crore, would it have meant that almost like, say, 5%, 7% of that would have been the credit cost on that?

Because ideally, when you look at it, like last time, Rs. 900 crore of credit cost also had the impact of Rs. 300 crore on increase in the provisioning coverage from 73 to 78. So, ideally, when we look at like -to-like increase seems to be quite high. So, would MFI be such a high portion?

Ashok Vaswani: Devang?

Devang Gheewalla: So, I think you are right. MFI continues to be, and I think as we have guided last quarter also, that we expect, look at it this way. The MFI stress started building and reflecting the books from the Q3 of last year, right?

And clearly, the gross NPA, which sort of flowed during Q3, Q4, given the provisioning norms of 75%, 25%, I think all accumulated towards the Q1 hit, which has resulted in a higher credit cost for the quarter. And that's the reason it has happened. And Karnataka issue, which happened during the January and February month, which also resulted in additional stress, which sort of also reflected in this quarter results as the additional credit cost.

Kunal Shah: But if you can quantify the number of slippage, maybe amount of slippage from MFI, that would be really helpful. Maybe you generally do not do that, but given that it is quite high, particularly MFI slippages would be helpful.

Devang Gheewalla: Yes, I think you rightly said generally we do not do that. So, we would like to keep it in that way. So, but I think it is one of the key reasons besides, as we said, the CV retail. But I think the important point as Ashok and Shanti also mentioned, it is sort of splitting down and it

has peaked during this quarter now. So, going forward, it will only sort of start tapering off.
Kunal Shah: Okay. And secondly, on margins, so if you can highlight in terms of maybe the repo rate cut, what is the kind of reset period and how much of the rate cuts in April and June has been passed on? And even on cost of fund side, when we look at it, it is not declining much
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adjusting for the SA benefit. We have cut the SA and if we look at it like say on 25%, in fact, that is higher than the overall cost of funds declined. So, not really sure in terms of we have not seen any cost of deposit benefit getting reflected in the 1st Quarter even except for SA.

Devang Gheewalla : Yes. So, I think you are right. So, if you look at the average SA cost, which we have mentioned in the EU, which is around for Q1, is about 3.25%. And as you know, now we have aligned the fixed SA rate finally to 2.5%. So, clearly, the SA cut, which we have done over a period of various months and more latest one in the month of June will obviously flow through in the Q2. So, clearly, directionally, the SA portfolio, we will be paying about 2.5% interest, which the average cost of that in Q1 was about 3.25%. So, you can easily see 0.50 is reduction coming and flowing through in the Q2. That is one part. Second part, what you are saying is right in terms of the repo rate benefit, which transmits to the customer, it happens on the interest reset date which happens on a fortnightly basis as the loans get repriced, and that flows over time. So, I think what we are saying basically that while the hit on the repo on the earning asset is upfront, I think with some of these cost reductions, as well as the CRR cut, which will also start kicking in from September, it will effectively even out over 3 to 4 quarters, of course, assuming no further repo rate cut, right?
Kunal Shah: So, 50 basis points would be entirely left out to be passed on, that will reflect in 2Q?
Devang Gheewalla : As I said, it's difficult to say because it has happened over a different period of time; it will also depend upon the asset repricing. But all I am saying is that, again,

also the deposit

also repricing, but over next 3 to 4 quarters, we will see the effect of earning loss getting offsetted by the cost of fund reduction. That's what I am saying.

Kunal Shah: Okay. Will take 3 -4 quarters. Okay. Thanks.

Devang Gheewalla : Thank you.

Moderator: Thank you. Our next question comes from the line of Mahrukh Adajani from Nuvama. Please go ahead.

Mahrukh Adajania: Hi. So, just a couple of questions. Firstly, that obvious reasons unsecured has grown slower, I mean, much slower than secured and mix is down to less than 10%, a little less, almost 10%. So, do we still aspire to grow unsecured in the mid -teens, or will we take a breather here? That's my first question. And then I have a couple of other questions.

Ashok Vaswani : Sure. Look, aspirationally, we would like our retail unsecured book to be at 15%, always in line with our guidance. In that three kind of elements, one is MFI, which we have talked about. And we have talked about how we are stepping back and starting disbursements. Currently, our disbursements level is more or less equal to the run -offs. But over a period
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of time, as the credit thing gets better, we will start building our MFI book again. Personal loan is again a very, very important product for us which our customers need and we will continue to grow that book and we are doing a lot of work there to really make, to step up the pace of personal loans. So, both MFI and personal loans will be more immediate. Card is one area where we have kind of getting our engine started, launching the new products, trying to get the right product into the right customer's hand. And card, as you know, it takes a bit of time, but it's clearly an area of high importance to us and we will go after it. This quarter, like we said, we launched Solitaire and the Indi Go card. There are other card product launches that are coming up and cards is one area that we will grow quite aggressively going forward. So, our entire focus of trying to climb up and get a higher percentage of our assets and retail unsecured is very much on the cards and we will do it in a sensible kind of fashion.

Mahrukh Adajania: Okay. And just in terms of margins, obviously there were multiple things that happened which took down margins this quarter. But is this the bottom or the earlier rate cut may not have been fully passed on and therefore there's some more catch up to do on yield. So, how do we view margins? Is this an up -fronted impact and therefore it is the bottom or which quarter do you see it bottom out?

Devang Gheewalla : So, I think, Mahrukh, if you see the latest repo cut happened in June. So, clearly the full effect of that 50 bps will reflect in Q2. So, therefore Q2, it is likely to bottom out before the repricing and the CRR benefits start accruing from Q3 and Q4. So, I think the other thing I

just wanted to also highlight is that while that is happening on our organic growth on current account and saving account, we have been having growth. So, that will also add to some improvement happening going forward. But I think to answer your question, the repo rate effect on the advances will be felt during the Q2 quarter just because the 50-bps cut happened in June itself. So, it's only for 15 days you have taken the hit in Q1, right? The full quarter effect will come and that's of course hold good for all the banks.

Ashok Vaswani : And the deposit repricing will happen as per maturity.

Devang Gheewalla : Absolutely.

Ashok Vaswani : And so we expect that to take somewhere between 3 to 4 quarters.

Mahrukh Adajania: 3 to 4 quarters. Okay. But the repo repricing policy is what, it's T+1, 30, 90. I mean, in how many months does the entire repo book reprice following a rate cut?

Devang Gheewalla : Broadly 3 months.

Mahrukh Adajania: Okay. Perfect. Thank you. Thanks a lot.

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Moderator: Thank you. Our next question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, thank you for taking my question. Can I just come back on MFI? You said that you want unsecured to be 15% of the mix, but you're stepping away from MFI for the moment. When you think about that 15%, how much of that do you think should be MFI roughly?

Ashok Vaswani: I think we look at it on a total kind of basis, right? We are not going to get to 15% overnight, but it's kind of building it up. Look, MFI as an overall book, as an overall of total assets will not be more than 3% or 4% of our total asset book, right? But I think the more important thing is to say that we would not like our retail unsecured assets to be more than 15%.

Currently, we are at a low of 9.7%. So, there is a long road ahead of us.

Chintan: Okay, thank you. And then the second question I had was on the, and again, sorry to come back on this, but perhaps, Devang, if you can help us understand the moving parts this quarter. So, the day count impact will probably be 7-8 basis points. Then you have adverse loan mix shift effect, you have an adverse funding makeshift effect because of the CASA deterioration. Is there anything else that we are missing out here that would explain the quarter-on-quarter decline in NIMs outside of these factors?

Devang Gheewalla : Sure. So, I think there are three primary reasons, as I explained in my opening remark. First, of course, is the repo rate cut and the cost of fund impact. Second, I think the mix of the unsecured which reduced in this quarter compared to Q4. And the third, as I explained, even in the last call, the way our system calculates the interest on the retail book and the number of days count. So, typically, Q4 has a benefit because of that and every year, Q1 has a reversal of that. So, effectively, these are the three key reasons which has impacted the movement of the NIMs.

Chintan: Okay. So, no other one off that might explain any or something, that is unexpected?

Devang Gheewalla : No.

Chintan: And if I may, a very quick one, on the AMC AUM, you highlight 18% growth. How much of that is net new money?

Shanti Ekam Baram : Can you just repeat that question, please?

Chintan: So, of the 18% growth that you have seen in AMC, asset under management, how much of that would be net new money, as in money coming in from clients as opposed to market price increase or asset price increase?

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Nilesh Shah : So, our total assets under management has grown about 8% quarter-on-quarter, of which new flows, thanks to the liquidity coming into banking system, was disproportionately higher on the debt side. Mark-to-market was less, and client flows was higher. On the equity market, again, markets have been fairly stable. So, the flow from clients will be almost equal to the mark-to-market gain.

Chintan: Thank you.

Ashok Vaswani: By the way, that was Nilesh Shah, the CEO of our Asset Management Business.

Moderator: Thank you. Our next question comes from the line of Sumeet Kariwala from Morgan Stanley. Please go ahead.

Sumeet Kariwala: Hi, good evening, everyone. I have two questions. First is on the cost of funds. So, that has declined by almost 8-9 basis points. Now, if I look at the number of measures, you've cut savings deposit rates, ActivMoney deposit rates, and so on. I was looking at cost of SA. Cost of SA itself has come down by 50 basis points Q-o-Q. Now, that itself would explain,

say, 10 basis points of funding cost decline. So, is it fair to assume that we have not seen much repricing on the term deposit portfolio or the active money portfolio?

Devang Gheewalla : You are right, Sumeet. The term deposit portfolio, as you know, our average tenure for the term deposit is

between 9 months to 12 months. So, most of the term deposit repricing will happen over that period of time. As far as fixed SA is concerned, the price reduction, today we have a 2.91% interest rate, which obviously will move down to 2.5 as we grow, as we already sort of declared the price. I think if you have also seen in the breakup, our reliance on the MIBOR related SA, which is a high cost SA has also gone down during the quarter. This will also obviously help us in reducing the cost of fund further.

Sumeet Kariwala: Okay. And the second question is on asset quality. So, if I look at MFI, credit cards, personal loans and retail commercial vehicles, we have been highlighting that stress for last 2-3 quarters. I just wanted to recheck on segments out of this, out of those segments. Is there any deterioration that you're seeing in the early buckets, particularly in the business banking and SME portfolio, please?

Shanti Ekambaram : As of now, Sumeet, we are not seeing anything in SME and business banking in this quarter as well. And as I mentioned earlier, personal loans, we have stabilized, both flows and collections, cards have plateaued. MFI, we believe, has peaked this quarter. Retail commercial vehicle, we think it will, based on what we are seeing, maybe continue over the next one odd quarter. We will watch that if we are managing that dynamically. But otherwise, as of now in our SME and business banking, we are not seeing any stress as of now, but we are monitoring it very carefully.

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Devang Gheewalla: Just to add, Sumeet, in our case, both SME and MSME, both the portfolios are fully secured. So, to that extent, we have that.

Sumeet Kariwala: Thanks a lot, Devang. Thanks, Shanti. That was from me.

Moderator: Thank you. Our next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi, team. Thanks for taking my question and congrats on the quarter. Just firstly on SA, I wanted to understand sort of movement. So, our opening balance was about 1.3 lakh crore and close at 1.28. But the average is more like 1.24. So, was it that we had some quarter end flows in the March quarter which impacted it or did we see some outflows when we cut SA rates during the quarter? How do I just reconcile this phenomenally?

Devang Gheewalla : So, I think, Piran, first of all, we have not seen till now, impact due to the interest rate cut on the SA balances. What has changed clearly is the breakup between the floating and fixed rate SA. So, if you refer to the slide 10 of our EU, which effectively will show you that the saving account average balances has improved by from 1.22 to 1.24. And also on the left side, if you see the EOP balances which have been broken down between floating and fixed rate SA.

Shanti Ekambaram: So, let me just add to that. Actually, we have been bringing down our MIBOR book. Our MIBOR book is down. If you look at it, Y-O-Y from 18,730 to 13,288, while our fixed rates SA, which is currently at 2.5, but has gone up from 105 to 114. So, the mix of savings is moving to better quality customer granular savings, which is the fixed rate SA and MIBOR we have been reducing it. We always have shown them differently because there are different customer segments and different strategies. So, it is the granular fixed rate SA that's very critical.

Devang Gheewalla: And the 3.32 cost, what you saw be low is actually both put together. It is MIBOR as well as the non-MIBOR SA.

Piran Engineer: Sorry. Maybe I miscommunicated. I am not referring to the mix or the cost of SA. I am just saying that the total SA balance as of 31st March was Rs. 1.32 lakh crore. And as of 30th June was Rs. 1.28 lakh crore. One would broadly assume the average to be 130. But the quarterly average is more like 124. Maybe I am overanalyzing, but just wanted to un-

derstand
if there was any...?

Devang Gheewalla : Piran, we can sit across and discuss this. Thanks a lot.
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Ashok Vaswani : See, look at page 10. So, if you see page 10, right, that kind of explains it, right? It's gone from March, it was 111. That's the fixed rate SA going to 114. Correct?

Shanti Ekambaram: The floating rate SA has come down.

Ashok Vaswani : The floating rate SA has come down.

Shanti Ekambaram: If you add both, it will be down, but there's a big difference between the two.

Devang Gheewalla : That's correct.

Shanti Ekambaram: You have to look at it separately.

Piran Engineer: Okay. I will take it offline with Devang. Secondly, just how do we think about the quality of the book that has been underwritten in the last 12 months to 18 months across segments.

So, we can talk about CVs, unsecured lending, credit cards obviously has not happened much, MFI, etc. Is the new book showing significantly better outcomes than let's call it legacy book?

Ashok Vaswani: Look, let's just go into the areas where we are seeing stress and what is happening there, right? So, currently, the stress is in MFI. And in MFI, clearly the newer book, say for the last, call it three quarters, or maybe even four quarters, definitely the newer book is much, much, much better than how the old book is kind of performing. Cards, as you know, we have not been growing. Actually, we have been de-growing. So, on a percentage basis, you may see a lift in losses. But actually, the portfolio is getting better, because all the bad stuff is kind of getting washed through. PL, definitely we are seeing improvements and the new book is definitely better. So, no concerns there. And in CV, we had actually spotted this trend about two quarters ago. If you remember, Shanti had mentioned this over the last two quarters, that we are seeing some stress in retail CV. So, it's not in the entire CV market, it's only in small retail CV that we are seeing stress. And over the last two quarters, we have tightened our underwriting for that segment. And that the new origination from that segment now has come to a real fraction of what we were doing earlier. So, generally speaking, we kind of stay, we kind of are like watching these books like a hawk, particularly since we are worried about the trend in the economy and I covered that in my opening statement. Look, the RBI says 6.5% GDP growth, which is a slip from last year. But we are just seeing where the implications are, and therefore monitor these books very carefully.

Piran Engineer: Got it. And just my last question is on gold loans. So, after COVID, we had been expanding branches quite significantly. But last year, we cut about 20 % of our gold loan branches. So, anything to read into that? Have we merged branches or what's going on there?

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Ashok Vaswani: So, I will ask Manish Kothari, who Heads up our Commercial Banking to deal with that.

Manish Kothari : So, gold loans, we continue to, the numbers I don't know where one is seeing. The gold loan branches which we would have reduced would have been more coming out of possibly towns where we were not really seeing much of the growth. But otherwise, actually the book has grown, despite the reduction in the branches, the book has grown by 30% plus. It's a small book, but it has grown 30% plus over Y-O-Y basis.

Ashok Vaswani: Yes, we have identified 488 branches, where we are concentrating on gold loan, building the capability, both operationally as well in tech in those 488 branches. And as Manish correctly pointed out, albeit of a small base, Y-O-Y growth in gold loans is 30%.

Piran Engineer: Okay. That answers my question. Thank you and wish you all the best.

Ashok Vaswani: Thank you.

Moderator: Thank you. Our next question comes from the

line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi: Yes, thanks. My question is just on asset quality. To what extent does it appear concerted slowdown across multiple places, as well as some degree of unwinding of the microfinance book? How much more of stress do you think it shows up? Does it show up only in second quarter? Or you think it continues over second half of the year? Thank you.

Ashok Vaswani: So, Harsh, like we said, look, a lot of microfinance has been actually quite painful. Started Q3, Q4, we believe it's peaked in Q1. We believe it will start coming down. And with both credit cards, kind of plateauing and PL being stable, some uptick in commercial loans, but the uptick in commercial vehicles, I doubt very much is going to be as much as the drop off in microfinance. So, what we are looking at is, if the microfinance book actually kind of drops off as much as we hope, then we should be in a better shape. But these are, as you know, Harsh, these things, you have to monitor them virtually on a daily basis, we are all over it. But we feel pretty confident that microfinance will peak in Q1. Look, the microfinance book has also come down quite dramatically and therefore, our confidence that lost rates will fall off is relatively high. And so I am hoping that same time next quarter, we have a better picture to report.

Harsh Modi: Thanks. I just wanted to dig in a bit more on that. Once the guy knows that the bank is kind of in a runoff mode in microfinance, does the willingness to pay back goes for a toss and when do you end up seeing a much higher probability of loss? And also on MSME, one of the smaller or for example large players, said that economic growth is a univariate variant

which has a significant impact on ability and willingness to service debt in MSME segment,
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especially for the smaller guys. Is that something, you said you're not seeing a lot there. I think Shanti said that. But is there something there where there's any early warning signs? Thank you.

Ashok Vaswani: So, Harsh, first of all, in the microfinance book, look, what we have done is that we have replaced the joint liability group model with individual underwriting risk-based models. And therefore, the way we are stepping back or the way we are, where we are dispersing and where we are not dispersing has a lot to do with what the model says are the propensity for repayment. And we have back-tested these models, and the models seem to indicate that that works into a very acceptable level of risk and loss rates. So, that gives us comfort that going forward, the model for microfinance has changed from a joint liability model to individual risk-based underwriting, I think we can get into a much better place. On SME, particularly the smaller SME, we are monitoring that portfolio very, very carefully, because obviously, we want to look to see whether there are any signs of a contagion. Monitoring very carefully, there are a couple of things that kind of help. One is usually these customers are solely banked and therefore we get the holistic view of the customer. And two, not a 100%, but for the most part, it is secured. Right? But having said that, given where the economy is, we are definitely looking at it and monitoring it very carefully.

Harsh Modi: Right. Thanks for that. Just so I understand, the probability of default may go up in SME, but loss-driven default may not, but the probability probably is moving up?

Ashok Vaswani: As of now, I am not stressed about the SME piece, but of course, we are monitoring it.

Harsh Modi: Thank you.

Moderator: Thank you. Our next question comes from the line of Jay from ICICI Securities. Please go ahead.

Jay: Yes. Hi, sir. Good evening. It's a question on your OPEX. So, this quarter, the growth has been 6% versus loan growth of 14%. And I think

as you mentioned in the opening remarks that

as credit card and PL book keeps, I mean, gains momentum, there may be some rise in the OPEX there. But for full-year basis, do you think that OPEX should be broadly similar to loan growth or you believe that it can trail loan growth significantly?

Devang Gheewalla: So, I also mentioned that while we continue to spend on IT, which obviously will bring efficiency, and we are already seeing some green shoots there with the payroll cost growing at much lower pace than earlier. So, I think it's a combination of the mix of the spend has changed towards more IT and less towards the payroll part. And I think the other part which will grow is related to the acquisition cost as we sort of start onboarding higher 811 customers and issuing the new and new credit cards, right? So, to that extent it will be a

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variable cost, but also those new acquisitions will bring the income also, which is currently not reflected in the other income line. So, to that extent, I think I would like to see the acquisition cost increase in line with the income also for the new onboarding of customers. And we are clearly seeing efficiency of the IT spend now coming gradually into the cost.

Moderator: Thank you. Our next question comes from the line of Zhixuan Gao from Schonfeld. Please go ahead.

Zhixuan Gao: Thank you so much for the opportunity. Just one question on the CV part that you're highlighting. On retail CV asset quality, do you mind sharing with us more details? Is there any sub-segments, either new versus used, or any sub-segments of retail CV that's having more stress? Because we have a CV player that reported yesterday and their commentary seems to be, things are pretty fine on the ground. It's just seasonality. So, I just want to understand, is there any sub-segment that's causing this for you guys?

Devang Gheewalla: Between CV, which is the segment, which is retail sub-segment, that is it.

Ashok Vaswani: So, what we are really saying is that within CVs, it's the retail CV, not really the transport operators and stuff like that, it's the retail CVs where we are saying.

Shanti Ekambaram: In the goods segment, retail CV is placed. In the goods, retail. Goods and retail.

Ashok Vaswani: Does that make sense?

Zhixuan Gao: Okay. Goods and retail CV.

Shanti Ekambaram: It's a retail commercial vehicle and in the goods segment, which is the goods. Transportation. Movement of goods.

Zhixuan Gao: Got it. Thank you. And then overall credit cost, are we expecting this to be the peak credit cost or how should we think about the next couple of quarters?

Ashok Vaswani: Like we said, we expect MFI to peak. We expect MFI to drop off. Cards, like we said, have plateaued. So, I don't think there should be too much change to cards. PL is also stabilized. So, that should be more or less the same. We will see some stress in commercial vehicles, like we said. And that's what the outlook looks like. And then, of course, the wild card in all of this is corporate recoveries as to how much you can get in a particular quarter, which is not, that's not the annuity piece, right? That provides to some extent the swing factor.

Zhixuan Gao: Got it. Thank you so much.

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Ashok Vaswani: Thanks.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. Ashok Vaswani for closing comments.

Ashok Vaswani: As always, thank you so much for joining us on a Saturday evening. Thanks again and we will see you next quarter. Thank you.

Devang Gheewalla : Thank you.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2025

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Kotak Mahindra Bank Limited
Q2FY26 Earnings Conference Call
IST 5.00 PM on October 25, 2025

Management: Mr. Ashok Vaswani - Managing Director & CEO
Ms. Shanti Ekambaram - Deputy Managing Director
Mr. Jaideep Hansraj - Whole-time Director
Mr. Paritosh Kashyap - Whole-time Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Pranav Mishra - Consumer Bank
Mr. Vyomesh Kapasi - Consumer Bank
Mr. Manish Kothari - Commercial Bank

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Moderator: Ladies and Gentlemen, Good day and Welcome to the Kotak Mahindra Bank Q 2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you. And over to you, sir.

Ashok Vaswani: Thank you so much. Good evening, everyone, and thank you so much for joining us. This is a very special earnings call because I would like to start by placing on record Shanti's immense contribution in building the Kotak Group. At a personal level, I would really like to thank Shanti for helping me settle into India and Kotak. As a true steward, Shanti will work right to her last day and has built a team that will take over her responsibilities absolutely seamlessly. I wish her the best in her future endeavors.

Shanti Ekambaram: Thank you, Ashok.

Ashok Vaswani: Moving on to today's agenda, I will make some opening remarks. Devang will cover the numbers in

details ; Prana v, the deposits franchise ; Vyomesh , consumer assets ; Manish, commercial banking ; Paritosh, wholesale banking ; and finally, Jaideep will update you on our subsidiaries.

Let me first cover the macroeconomic environment.

Over the past 90 days, we have seen considerable activity. The full impact of the repo rate cut has played out. The RBI introduced a series of welcome reforms for the industry , GST structure was simplified and of course, the U.S. further increased tariffs on exports from India.

With all of this, in the corporate India segment, we are witnessing a pickup in business activity , as reflected in the SME and corporate banking book growth. However, p ublic and private capital expenditure continues to be sub dued .

The equity markets have been tepid. We continue to see primary market activity, strong domestic inflows, but offset by net outflows from FII s.

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In the individual consumer segment, the consumption was muted till mid -September. The last week of September saw particularly strong growth on the back of the GST rate cuts and the festive seasons. Good monsoon season has resulted in a pickup demand in the rural economy.

While these events have had some impact on our business, we continue to focus on our strategy to scale responsibly.

This is reflected in our performance for the quarter.

We saw a healthy 15.8 % and 14.6 % year -on-year growth in net advances and deposits. This is in line with our philosophy of growing our advances in the range of 1.5x to 2x nominal GDP growth.

The key enablers for this growth have been our work in curating propositions for our focused consumer segments, leveraging automation and digitizing to deliver efficiency a nd scale.

We maintain a strong focus on SME and institutional segments within corporate India. Our combined SME book aggregating Rs. 1.09 lakh crore grew by 16% on a Y -o-Y basis.

For our institutional clients, Kotak's ecosystem works in concert : KMCC ori ginates and structures opportunities. Kotak Institutional Equities connect issuers to global and domestic institutional capital, while Kotak Securities and the Kotak Private Bank connect HNIs and retail. Banking and Treasury in the Bank ensure flawless execution and compliance.

In the individual customer segment, our Solitaire and 811 propositions are resonating well with the high network and core India segments. We will continue to invest in these propositions and also in technology to enable scale and efficiency.

Devang will cover the numbers in detail, but on a headline basis, our NIM is healthy at 4.54 %. We expect the benefit of repricing of deposits to reflect in the NIM over the next two quarters, assuming, of course, no further rate cuts.

Credit costs have come down from 93 to 79 basis points sequentially in line with our expectations.

As we said last quarter, personal loan credit costs have normalized. We now expect a downward trajectory on credit costs for both MFI and credit cards.

However, we continue to be cautious in the retail CV segment, where we had highlighted the buildup of some stress. Overall, we expect our credit costs to now gradually moderate in the second half of the financial year. Our focus will now be to gradually build back our retail unsecured busine ss.

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We have kept our cost growth in control, despite continuing to spend on technology. Operating expenses were flat on a Y-o-Y basis. On a sequential basis, it showed a negative 3% growth.

For the quarter, the non -lending group subsidiaries contributed 19% to the consolidated profits versus 24% last year. This is on the back of an exceptional Q2 for capital markets last year. Further, this quarter also had a one -on impact due to GST and Ja ideep will cover that in more detail.

Overall, our co nsolidated book value per share grew 14% on a Y-o-Y basis to Rs. 844.

The above results are a reflection of our continued progress against the execution of our strategy of driving scale for relevance without diluting our DNA of risk prudence and profitabi lity.

Let me now hand over to Devang for the details on the numbers.

Devang Gheewalla: Thank you , Ashok. Good evening, friends. And I hope your family had a wonderful and safe festive season.

Let me start by sharing overall Bank Q2 performance in back drop of immediate sequential quarter .

Q1 performance, as you know, was impacted by decline in our NIM as well as a higher peak credit cost. Q2 performance reflects stabilization of NIM and moderation in credit costs which are on expected lines.

Bank continues to grow advances over industry growth rate funded by healthy growth in low cost deposits.

The total OPEX of the Bank contin

ues to be under control with consistent reduction in our cost -to-asset s ratio.

With this backdrop, let me start with more details on the Bank 's standalone performance :

The Bank 's balance sheet grew 13 % Y-o-Y and now crossed Rs. 7 lakh crores . Net advances grew at 16 % Y-o-Y, mainly in secured business. Unsecured advances at 9.2 % of the total net advances. Total deposits grew by 15% Y -o-Y with CA and fixed rate SA growing at 26% and 10% Y -o-Y respectively. EOP CA included some temporary deal -based growth at the end of the quarter. We saw granular Y -o-Y growth in average low cost d eposits with average current account growth at 14% and average fixed saving s account at 8% on a Y -o-Y basis.

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CASA ratio of the Bank improved to 42.3% at 30th September. Bank continues to maintain a healthy CD ratio at 87.5% on 30th September.

At the Bank standalone level, capital adequacy of the Bank remained healthy at 22.1% of which CET-1 is 20.9 %.

Bank ended the quarter with a PAT of Rs. 3,253 crores . As you will recall, Q 1 performance included dividend from subsidiaries of Rs. 449 crores , excluding which a Q-o-Q growth in PAT is 11%.

NIM for Q2 is at 4.54% , down by 11 bps on a Q-o-Q basis. This is mainly on account of the full impact of the 50-bps repo cut, which happened from 15 June , and change in the asset mix. Cost of funds on the other end reduced by 31 bps mainly due to full impact of saving s account rate reduction , which we have done towards the end of Q1 and repri cing of term deposits on maturity. We expect NIM to show gradual improvement with ongoing repri cing of deposits and CRR benefits during the second half of the year assuming no further repo rate cut .

Fees and services grew by 7.4% on a Q -o-Q basis with growth in distribution and debt syndication income.

Operati ng cost of the Bank at Rs. 4,632 crore for Q2 remained flat due to continuing focus on cost control and automation.

We continue to invest in technology and have added 44 branches during the quarter. This quarter also saw lower retir al cost due to change in discounting rate.

This quarter we saw improvement in asset quality with reduction in gross NPA ratio to 1.39 % vis-a-vis 1.48 % last quarter and net NPA at 0.32 % vis-a-vis 0.34 % last quarter , resulting in provision coverage ratio maintained at 77%.

Slippages during Q2 were also lower at Rs. 1,629 crore versus Rs. 1,812 crore with credit cost for Q2 reduced to 79 bps, down 14 bps on a Q -o-Q basis. Decrease in slippage and improvement in credit cost was primarily in credit card and micro finance business, whereas we continue to remain cautious and closely monitor stress in retail CV and rural segment. We expect credit cost to gradually moderate over the next two quarters.

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Coming to consolidated performance :

With respect to group companies, last year same qu arter was the best qu arter for the capital market subsidiar ies. Current quarter shows lower volume flows in capital market business Y-o-Y as well as on a sequential quar ter basis. Our AMC business continues to perform well with growth in AUM, whereas the insurance business got impacted by GST regulation changes.

The consolidated networ th at 30th September is Rs. 1,67,935 crore with book value per share growing by 14% to Rs. 844 per share. Our consolidated customer assets are Rs. 5,76, 339 crores grew by 13% on a Y-o-Y basis.

Asset under management by the group stands at Rs. 7,60,598 crores , which grew at 12% compared to September '24.

Our capital adequacy at the group le vel remains healthy at 22.8%, of which CET-1 itself is 21.8%.

Q2 consolidated profit is Rs. 4,468 crore , in which contribution from Bank and other lending entities is 81%.

ROE at consolidated level is 10.65 % for Q2 a

nd ROA for Q2 is 1.97%.

With this I hand over to Pranav to take you through the deposits franchise.

Pranav Mishra: Thank you Devan g. Devang has taken you through the numbers. I will now take you through the underlying strategy in the Bank 's depo sits franchise.

Our strategy to serve the customer focuses on three levers for growth , consumption -led, investment -led and asset -led in a cost -effective manner. Customers are now highly digital, expecting real time friction -less engagement across every touch point of the Bank .

We are continuing with our strategy of leveraging branches and all forms of digital and virtual

distribution in synergy , to deliver the right proposition and omni -banking experience to our focused customer segments.

Current Account :

Our average current account balances grew by 14% Y-o-Y this quarter. Our focus on the self -employed customer base continued to show momentum in new acquisition, contributing to overall balances and long -term value creation. In addition, the focus on customer collection and payment flows drove growth in throughput and liability balances.

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Turning to our Savings Account :

Our average fixed rate savings balances grew 8% Y-o-Y. In savings account, our focus continues on high net worth, mass affluent, and core customer segments, supported by a comprehensive relationship -led approach that values customer engagement across Kotak's ecosystems, including liabilities, investments, insurance and loans.

Kotak Solitaire, which was launched in the last quarter, is a proposition curated to execute the above -mentioned strategy. This was driven with quality acquisition , deepening of relationship and sustainable deposits growth. Our ability to serve our customers both at acquisition and at service stages has witnessed growth due to decongestion and digitization of processes at branches and all other channels.

Turning to Kotak 811 :

Our digital banking proposition which is focused on serving core India , that is a billion Indians , it is designed for customer acquisition and digital serving through full -stack digital solution. It delivers scale, simplicity and speed and offers seamless digital journeys for sachet -sized cars, loans, investments and protection plans. It gives us granular inflow through seamless digital onboarding. Notably, Kotak 811 app ranks as the third most downloaded banking app globally and the topmost downloaded banking app in India, reinforcing its role as a key growth engine.

Turning to Term Deposits :

We grew by 17% Y-o-Y. We did not renew some bulk deposits which matured in the quarter due to higher pricing. Our flagship proposition ActivMoney continued to be a differentiator, growing 10% Y-o-Y during the quarter.

Our distribution strategy continues to deliver omni -banking experience by leveraging physical, digital and virtual channels.

To act as a bridge between branch services and digital platforms, our virtual banking platform offers personalized, scalable and round -the-clock customer engagement. This approach helps us in enhancing operational efficiency and the effectiveness of remote banking services. Our focus remains on balancing savings, current , ActivMoney and term deposits to drive sustainable growth in liabilities in a cost -effective manner.

I now hand over to Vyomesh to take you through the consumer asset business.

Vyomesh Kapasi : Thank you , Pranav .

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I will take you through the highlights of consumer assets.

At a macro level, we are now witnessing good demand for consumer assets in the market. Overall , consumer assets have grown by 16% year -on-year and 5% during the quarter.

Mortgages :

Mortgage loans comprising home loans and loan against property continue to show healthy growth of 18% year -on-year

and 5% quarter -on-quarter. The home loan segment continues to be price sensitive.

Our strategic focus is on building deep customer relationships while positioning home loans as an anchor product particularly for the affluent segment. The home loan portfolio has demonstrated reasonable growth and remains a key area of focus.

The loan against property market continues to perform well. We maintain a strong position in this segment. The emphasis has been on process improvement and enhance customer experience. The quality of our mortgage book remains sound , supporting our continued growth in this space.

Business Banking :

There is a sustained demand for working capital in the business banking segment across sectors. Our secured business banking portfolio comprising of micro and small SME has grown 20% year -on-year and 8% quarter -on-quarter. Utilization has been strong, particularly during the festive season.

In the unsecured business loan segment, growth continues with a strong emphasis on portfolio quality.

Portfolio of business banking across both secured and unsecured continues to be stable.

Personal Loans :

Personal loans are an important component of our retail unsecured portfolio. The portfolio acquired from Standard Chartered last year is performing in line with our expectations. Our organic personal loan disbursements have maintained momentum, driven by salaried customer segment and digital acquisition channels. We have observed strong momentum in the recent past, driven by a surge in consumption trends following the changes in the GST.

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Our focus on credit quality remains steadfast, with continued emphasis on digital origination. We will continue to build this business by managing risk through rigorous data analytics and policy measures.

Credit Cards :

We resume credit card issuance after embargo. Our newly launched Solitaire credit card is gaining traction and is helping in strengthening our value proposition for our affluent customers. We will continue to drive acquisition momentum through Solitaire.

Credit card is a core pillar of our affluent customer proposition and unsecured retail strategy. We have seen improvement in flow rates and drop in credit cost in our credit card portfolio this quarter. We will focus more on growing this book in coming quarters.

In summary, delinquency in overall unsecured portfolio have improved with better flow rates and collection efficiencies observed in this quarter. We continue to enhance our risk management and monitoring framework for all our consumer asset portfolios.

I now hand over to Manish to take you through the commercial banking business.

Manish Kothari : Thank you, Vyomesh. I will now take you through the highlights of the commercial Bank business.

Commercial Vehicles :

The commercial vehicle industry saw a 10% Y-o-Y and a 8% Q-o-Q growth, primarily on account of improvement in small commercial vehicle sales. The growth in industry numbers is also partially due to the higher wholesale numbers achieved in the last week of September as the GST changes came into effect.

As we called out earlier, we are seeing higher stress in the retail CV segment. Hence, over the last few quarters, we tightened our underwriting and we have reduced our disbursements to this segment. We have also aligned our collections accordingly. The recent reduction in GST is expected to have a positive impact on the economic growth and better cash flows for the retail customers. We have a balanced book in the commercial vehicle business ranging from fleet operators to the retail segment. And we will continue to focus on building our business through calibrated risk interventions while keeping a cautious stance on certain customer segments.

Construction Equipment :

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The construction equipment industry sales witnessed a negative growth of 7% Y-o-Y in the first half of this financial year. And this was on the back of a flattish FY '25, primarily because of lower, newer projects that got awarded, delayed infra execution that we saw due to tight state government cash flows, and early monsoon onset and also extended monsoon disrupting projects.

We have tightened our disbursements to some extent and we maintain a cautious stance. We expect a post-monsoon recovery with festive season demand and renewed government spending likely to revive business momentum for the industry.

Tractor Finance :

The tractor industry sales saw 31% Y-o-Y growth in Q2, primarily due to favorable monsoon and better rural cash flows, and also higher wholesale numbers achieved in the last week of September. Our disbursements grew in line with the industry, helping us maintain our leadership position. Collection efficiency faced some pressure due to extended monsoon, but is expected to recover as rural cash flows improve. With good monsoon and healthy reserve levels, we expect the industry to continue to do well.

Microfinance :

The microfinance industry advances had started degrowing in the last quarter -on-quarter basis from Quarter 2 of last financial year. And we expect that the trend should start to reverse and the industry should gradually pick up from Q3 of this financial year.

Our retail microcredit book contracted quarter -on-quarter, primarily due to repayments outpacing disbursements, although there has been some pick-up in disbursement volumes quarter -on-quarter, and we anticipate that this positive trend will continue through the second half of this financial year.

Early indicators on portfolio quality for business originated through a risk profile -based underwriting model is quite encouraging. Targeted recovery effort is also showing improvement in collection efficiency across all buckets.

As previously communicated, the microfinance stress peaked in Quarter 1 and we expect the portfolio performance to continue to gradually improve in the coming quarters.

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The merger of BSS and Sonata has been consummated on 11th of October. This Integration will allow us to build a unified national franchise, enhancing our reach, operational scale, and ability to serve customers more efficiently across geographies.

Agri Business Group :

Agri Finance segment focuses primarily on Agri value chain SMEs comprising traders, primary and secondary processors, and Agri infrastructure providers. In fact, we are one of the strong players in the government -backed subsidy schemes for financing Agri Infrastructure.

In this segment, we continue to grow our new customer acquisition with specific focus on deepening our penetration in high -potential crop clusters. Additionally, there is a strong focus on providing holistic solutions to these customers through a 'One Kotak' approach.

Basis the crop cycle and in line with the trend across the years , the working capital utilization of existing customers has gone down Q-o-Q and will gradually move up in the second half of the year.

I now hand over to Paritosh to take you through the wholesale banking business.

Paritosh Kashyap: Thank you, Manish. I will now take you through the highlights of the wholesale banking business.

This quarter, our wholesale banking assets along with credit substitutes grew at 13% YOY and 3% quarter -on-quarter. Growth was witnessed across customer segments. We continue to focus on granular growth through our SME and mid -market verticals.

The corporate SME book grew 16% YOY and 7% quarter -on-quarter this quarter and witnessed record new customer acquisitions. Adjusting for the migration we did at the start of this year from corporate SME to other verticals of the corporate banking, SME advances grew

at 26% YOY and 7%

quarter -on-quarter.

Our mid -market portfolio too continues to scale at a fast pace with strong new customer acquisitions. Our book here is diversified and almost the entire growth has come from working capital and flow -based businesses.

Advances from the rest of the wholesale Bank also grew strongly with growth coming mainly from short -term and trade assets. Our credit substitute book saw a degrowth of minus 10% quarter -on-quarter and minus 2% YOY as the pricing in the loan market was comparatively better. Pricing continues to be a challenge in the larger corporate space especially in long -term and project finance cases.

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We continue to focus more on flow -led businesses and profitability through higher cross -sell, greater share of transaction banking and deeper penetration. Our focus on trade has resulted in strong growth in our domestic trade and supply chain businesses this quarter.

We are focusing on deepening our digital penetration by fully digitizing journeys and ramping up digital platforms such as our EwayGo platform. EwayGo seamlessly integrates with GST network to auto -populate trade data enabling a truly scalable and zero -touch trade finance experience for our customers.

Our asset quality across customer segments continues to be robust and we saw minimal slippages this quarter.

We continue to bolster returns and profitability through liabilities and fees. Fee income saw healthy growth led by higher processing fees and syndication revenue. FX revenue was muted as exports plateaued towards the end of the quarter amid the tariff uncertainty. We continue to focus on increasing our share of customer collections and payment flows. This quarter we were selected as bankers to the issue for 13 Mainboard IPOs that raised Rs. 17,900 crores . Custody balances were however muted as the country witnessed net outflow from the equity segment driven by geopolitical uncertainties.

We continue to invest in improving our technology and digital offerings. 'fyn', our unified corporate and SME portal is seeing good customer adoption. We continue to add features, make APIs available and improve the resiliency of digital platforms. Overall, the wholesale Bank business remains in good health with acceptable ROEs.

I now hand over to Jaideep to take you through the subsidiary's businesses.

Jaideep Hansraj: Thank you Paritosh. Our Q2 FY'26 consolidated profits stood at Rs. 4,468 crore . For the quarter, the subsidiaries contributed 27% to the consolidated profits versus this number being 33% last year.

Our four engines of growth that enable us to meet customer needs across the financial spectrum are banking and lending, capital markets, asset management and protection.

Starting with lending, Kotak Prime :

Our auto finance business grew its customer assets to Rs. 42,274 crore with a YOY growth of 12%.

Moving to capital markets :

The profits of the capital market subsidiaries fell. This was because of a dip in volumes of both cash and derivative markets in this quarter. However, there was an increase in overall market share Kotak Mahindra Bank

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to 13.1% from 11.6% YOY. Kotak Securities also has a market share of approximately 15% in the MTF business.

Our institutional equities practice is a Tier-1 broker for global and domestic institutional investors and works in collaboration with the investment Bank, which itself is ranked #1 in the equity capital markets category for the third consecutive year.

Moving to asset management business :

Kotak Mutual and Trustee company saw a growth of 31% YOY in profits and a growth in equity average assets under management as well to Rs. 360,000 crore odd.

Our alternate asset management business, which is KAAML, continues to be one of the largest domestic alterna

te asset managers in India, with total funds raised since inception of about USD11 billion.

Our India Mid-Cap fund with an AUM of close to USD3.5 billion continues to be one of the largest India-focused actively managed offshore funds.

Moving to the life insurance business :

The individual AP E new business premium for KLI grew 12.2% YOY in Q2 of '26. The assets under management have crossed Rs. 97,600 crore, showing a growth of close to 10.5% YOY. Kotak Life continues to maintain a solvency ratio of 2.33x as against the regulatory requirement of 1.5x.

The introduction of GST effective September 22, 2025, impacted profits for KLI in the quarter ended September '25. The reduction in profits on account of this was Rs. 165 crore.

Our biggest strength is our uniqueness, friends. There's hardly any financial product which we as a group don't manufacture or distribute. Our subsidiaries not only manufacture and distribute financial products through their own channels, but also tap into the Bank's distribution platforms, either through corporate relationship managers, private bankers, branch network or digital apps. Further, each of our entities is completely owned by the group, giving us 100% ownership that ensures alignment and consistency across the board. This also ensures the retention of the entire profits within the group.

Strategically, our conglomerate structure allows us to capture any opportunity in the financial market space as new trends emerge.

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I will now request the operator to begin the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Thanks and team, wish you a very Happy New Year and Happy Diwali. So, firstly, with respect to credit card, in fact, last quarter also you indicated that we should start to see the growth this quarter, but it was down like 4% odd and I think the end September would have seen the decent spend and volume. So, what is ideally leading to this and the right of quantum which was there of almost like Rs. 1100 crore odd, is it more skewed towards the credit card which is leading to decline in the credit card portfolio?

Ashok Vaswani: Yes, Kunal, Happy Diwali. On credit cards, like we had mentioned, Kunal, that we are kind of revamping the business. As you know, last year we were in embargo, we couldn't issue any new cards and therefore the credit card spends year-on-year would be really, really difficult. But with the launch of the new products like Solitaire, the relaunch of IndiGo and stuff like that, I am feeling actually hopeful that we will kind of come back. August was anyway quiet, end of September we saw spend kind of come up, but hopefully we will see some lift into the coming quarters.

Devang Gheewalla : Kunal, on the write-off question, I think it is a combination of personal loan, credit card and MFI and write-off based on the policy of 180 days or 270 days and that is the write-off which we have done.

Shanti Ekambaram: So, it is as per policy.

Devang Gheewalla : Yes.

Kunal Shah: Okay, so not skewed towards any particular segment like credit card or so?

Devang Gheewalla : No. These 3 segments as I said.

Ashok Vaswani: In fact, Kunal, on the credit thing, we have always said that personal loans, it is already kind of

normalized. MFI, we said last time we believed that Q1 was at peak, Q1 was at peak, we have seen a decline in Q2. Credit card, last time we had said it plateaued, this time we are saying it is getting better. So, generally speaking, credit cost, like Devang said, hopefully for H2 would tend to be better than H1.

Devang Gheewalla : It will gradually moderate, yes .

Kunal Shah: Sure, and the second question is on cost of SA. So, it is still at

2.89, we have revised the rates to

2.5 from July onwards. So, how much of Delta is still left to get towards, I would still believe like

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there is a floating rate SA which would be at a relatively higher cost. But ideally, can it actually come down to what level do we see it stabilizing given the rates are at 2.5 currently?

Devang Gheewalla : Yes, so you are right. I think, Kunal, that the rate is a combination of the fixed rate SA where we have reduced it to 2.5 % and the floating rate SA. If you see the composition of the average balance on a QOQ basis. Actually, we have reduced dependency on the floating rate SA which is a higher cost deposits from 19,000 average to about 14,000. Now, whereas our fixed rate SA has actually gone from average of 1,05,000 to 1,13,000. So, what you are seeing 2.89 % is effectively about 2.51 % because we pay slightly higher on the savings account for the staff. So, it is slightly higher to 2.5 % is on the core SA balance and average around the floating rate SA is anywhere between 5.5% to 6%. So, if you do the maths, it is basically that is the 2.89 %. I think the amount over 2.5 % will depend upon the quantum of the floating rate SA which we will take and the rate at what we will take. And clearly, this quarter, as you see, the actually the quantum for the floating rate SA is actually reducing significantly.

Kunal Shah: Okay, got it. But otherwise, it is largely the repricing is already done. There is nothing much left on SA now. From 2.89 % level?

Devang Gheewalla : So, savings account, you do it similar to the repo rate on the advances. It is on a portfolio. So, the total savings account was repriced at 2.5 towards the end of last quarter.

Kunal Shah: Okay, got it. Thanks and all the best.

Moderator: Thank you. Our next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi, team. Congrats on the quarter. Just firstly, on getting back to OPEX , I think two quarter back we had highlighted that this year we are going to do advertising spends and credit would pick up. So, OPEX would pick up. But OPEX has actually remained quite low. Is that merely a function of credit cards not having picked up or is there more than that?

Devang Gheewalla : Hi Piran. See, the OPEX has a free component. I think if I look at the pure payroll cost, we are seeing a sizable reduction in the payroll cost with the headcount remaining more or less flat. So, that is the benefit on efficiency and the automation which we have got. On the second part, I think this quarter, we had a benefit of savings in OPEX on the retiral as the discounting rate has sort of changed because of the G-Sec yields have improved. So, that is a one-time gain which we have got. But on the third part, which is what you are saying is right, the variable cost on the acquisition is also one of the reasons for OPEX . But as the expenses are lower, the income on the acquisition also is not there. So, to that extent, I would say it is a combination of the efficiency gain, lower acquisition and some retiral benefit coming. But we continue to spend...

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Piran Engineer: Can you quantify that?

Devang Gheewalla : No, broadly I think, as I said, even without retiral, OPEX will be in a single digit as we have seen in the last quarter QOQ growth. But we continue to spend on technology about 12% to 14% of the total OPEX that continues.

Ashok Vaswani: And we have not cut back on any marketing, we continue marketing.

Devang Gheewalla : Absolutely. Marketing, it might have postponed to Q3 maybe because of the festivity and all that. But we will remain committed on what is required to promote our branding and the marketing on that.

Piran Engineer: Fair enough. Okay. Secondly, just on your subsidi

ary Kotak Prime, because it is in a business which

is kind of adjacent to our parent, our profits have been sort of stagnant at this Rs. 250 crores mark for the last several quarters. Is that to do with higher credit costs or what is going on?

Devang Gheewalla : So, Piran, there are two things. If I look at on a YOY basis, last year Q2 had some IPO profit in the Kotak Prime. I am just explaining the non-core first and then we will come to the core part. The sequential quarter in Kotak Prime also had a dividend just like banks. And therefore, it is showing a slight decline compared to QOQ or YOY because of this non-recurring income. Second part on the core finance business on the car business, I think this quarter while there is an uptick in some

credit cost, however, on a placement rate basis, the margins have also improved. So, on a risk reward basis, we are still comfortable, but there is some marginal increase in the credit cost for the car business in that sense.

Piran Engineer: Okay. But this is only this quarter or it has been a trend for a while now, like you have called out retail CV. I am just trying to understand, does that trend exist in cars also?

Devang Gheewalla : No, we believe that the credit costs have sort of scaled up and here onwards it will remain at that level going forward.

Piran Engineer: Got it. And just lastly, going back to that earlier question on floating rates SA, now can you choose not to accept it or if you do not accept it, the customer will then put it in TD, right, which will be even higher than 5.5%. So, I am just trying to think that floating rates SA is still better than having that money flow into TD.

Shanti Ekambaram: It is like this, we do not refuse floating rates SA, but we have increased the thresholds as far as accepting floating rate SA is concerned, right? So, what happens is automatically only above a certain threshold which is a much significantly higher threshold, the higher rates kick in, right? Up to a certain extent it is fixed rate, then there is low floating rate and then above a certain extent the

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floating rate SA kicks in. So, customers who we sign up and who qualify for that and if they cross the threshold, they get that. That is the way it is. So, we are not accepting it, but we have changed the thresholds to make it more efficient for us.

Piran Engineer: Got it. But then, Shanti, gets back to the same question that if you change the bar, the guys who are getting eliminated, I do not know if it is fair to assume that they will leave their money idle in fixed rate SA or they will move to TD. I am just trying to think about it.

Shanti Ekambaram : Typically, larger corporate entities do not have money for long -term TDs. They need usage and they sort of keep transacting in their businesses. There are various options for investment and floating rate SA is one of that.

Devang Gheewalla : So, Piran, these are from some strategic clients, a handful of clients. It is not that it is something widespread. So, to that extent, it is restricted to some of those select clients.

Piran Engineer: Got it. That is it from my end. Just one request and this is a request I make to all banks. If you could please move your results to weekday, like all other corporates do, it would be really useful. I think this is a practice and Mr. Vaswani , you worked in an MNC Bank abroad and it is not a practice anywhere else. And I do not know why this is the case, but if it could be moved. I think Axis is the only one that still sticks to weekday. It would be really grateful if that can happen.

Moderator: Thank you. Our next question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Good evening. Happy Diwali. My first question is on provision. So, you spelled out the specific credit cost, 93 basis points decl

ined to 79. So, if you do some rough calculation, then your other general or standard provisions have gone down materially, right, from around 2 billion to 0.4. That is correct, right? And why would there be a decline despite asset growth there? That is my first question.

Devang Gheewalla: Okay. So, Mahrukh, first of all, when I say 0.93 and 0.79, we are talking about only the specific NPA provisioning. We are not talking about total provisioning. As far as the other provisions are concerned, we also had this time, other than the specific provision, about Rs. 50 crores write -back, which we have highlighted in the EU. This is on account of the AIF -related provisioning in view of the revised guidelines from the RBI, which now requires you to provide on a lower of exposure versus investment. So, there has been a write -back of about Rs. 50 crores provisions. And therefore, other than the specific NPA provision, there is a reduction in the balance provision, largely on account of this.

Mahrukh Adajania: Okay. Because last time it was roughly 2 billion. So, even if you add back that Rs. 50 crore , then it would be around 1 billion, right? So, 2 has gone down to 1 possibly.

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Devang Gheewalla : Yes. And there is, of course, the standard provisioning will depend upon the nature of assets which you finance because there are separate rates for different type of assets. So, clearly, that is there.

And there are obviously certain other provisions like unhedged foreign currency exposure, these and that, they obviously will change according to the profile of the client, and the risk will take to that. So, those are some of the other reasons.

Mahrukh Adajania: Got it. And my other question is someone, Piran, already asked about OPEX , but I had a broader question on OPEX . So, if you see from the time of the ban, so just a quarter before the digital ban to now, the total OPEX growth, I know there will be retired benefits or rate benefits in some quarters, but from then to now, OPEX point to point has grown in single digits . It is just like a point -to-point growth. Whereas if you see HDFC or ICICI, even for them, the point -to-point growth in that period

has been in double digits. I know you have been spending on technology like all other banks have been. So, where have the savings come from, say, relative to other banks? This is growth, not in terms of ratio. And actually, because we are aspiring to grow from a smaller market share to a higher market share, you spelt out your growth aspirations. So, shouldn't we be investing more or at least as much as the other banks, given that now other foreign banks are also deeply interested in India? We have seen FDI.

Ashok Vaswani: So, let me, first of all, look, I don't think we have a great amount of visibility into other banks. So, I am not going to comment on other banks. I definitely have a high degree of visibility into Kotak.

And therefore, let me connect upon Kotak. See, one of the things that we have been doing over the last couple of years, actually, is investing quite heavily in technology. And because of our investments in technology, we have been able to automate and digitize our processes quite extensively. And Pranav, I think, covered it in his comments, where he talked about decongestion, declutterization, devoucherization of our processes. And that is kind of paid off benefits. Now, that is a good part about it. That is a good efficiencies and stuff we have got. I would also add, in the spirit of complete transparency, that our credit card volumes have been lower than what we thought they should be or what we aspire to. So, credit card acquisition costs are slightly lower. And then spends on credit cards have also been lower than what would have aspired. So, if spends on credit cards is lower, you get the feature cost or the rewards

cost on cards also being lower. So, some of it, most of it, most of the benefit is really because of efficiencies that we are driving through the Bank, not only in the consumer Bank, across the Bank. Some of it is due to things like lower volumes on cards, lower volumes on MFI, because we have a banking correspondent and we pay them as a function of total outstandings. And therefore, those two, in fact, those are two areas where I wish our expenses would have been much higher. But net-net, I feel very good and very pleased with the efficiencies that we are getting out of the efforts that we are doing on automation and digitization of Kotak.

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Devang Gheewalla : Yes. And Mahrukh, I think I would also urge you to look at the cost-to-asset ratio over a period of time. Despite increasing the balance sheet at an average 14% to 15%, we have been able to manage the cost. I think largely also because of the quality of spends, while we spend about 12% - 14% percent on IT, the balance 85%, what we have worked also gets reflected in this.

Mahrukh Adajania: Okay. Thanks a lot. Thank you.

Devang Gheewalla : Thank you.

Moderator: Thank you. Our next question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi. Good evening. Can I start with your CASA? The growth has been quite strong this quarter. I just wanted to check what was driving that, if there were any, the short-term flows that you get sometimes in the CASA that help bulk up your CASA ratio? You've seen a lot of IPO activity or if there's anything else that you would consider as something that is transitory? So, that would be my question?

Pranav Mishra: Hi, Chintan. This is Pranav. Basically, if you look at the entire set of CASA numbers and I would like you to give more attention towards the averages and that will give you an understanding in terms of whether it is granular or whether it is a bulk. So, it is primarily a drive towards granular CASA.

Two-three things which we have been putting in place, one with respect to launch of a proposition called as Kotak Solitaire, which resulted into in terms of mobilization towards a better and a higher set of customer segment, which is encompassing high networth as well as the mass affluent segment. Simultaneously, on the current account side, our emphasis is in terms of building a very strong throughput through the collections and the payment ecosystems to be captured at a consumer level. And that is where more of a granularity than bulking it up, simultaneously reduction as far as our SA on the floating rate is concerned is another testimony to the fact that we are focusing towards building this as a granular franchise.

Shanti Ekambaram: So, I just want to add two points to what Pranav said. The savings account growth that we talked about and if you look at it, average 8% Y-o-Y growth is entirely granular and it is both a combination of new customer acquisition on the affluent side which Pranav talked about as well as growing our existing base. As far as current account is concerned, you look at the averages, it has grown 14%. This is across both consumer as well as wholesale and we are focused on granular. There were some EOP deal-based balances, but that is not relevant. We should look at the averages of growth, both you are seeing strong growth in CASA.

Chintan: Thank you for that, Pranav. I only look at averages wherever they are available, but thanks. I think that adds a nice color to your CASA print. The second question, if I could ask in one perhaps for Ashok, we are sitting on a very healthy CET -1 ratio. We have got RBI draft proposals on credit risk

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and ECL which may be quite positive. If you could perhaps put a postcode on the RWA reduction in the pipeline, is it

high single digit RWA reduction and following that, Ashok, how do you think about the excess capital? If I look at your projected just on consensus numbers, at 15% CET -1, you can probably grow your loan book at 18% -19% before you need capital that is from your excess bucket. You have come in sadly in an embargo, but now that is behind us. How do we think strategically about excess capital?

Ashok Vaswani: First things first, this is a good problem to have. And at least the way I think about excess capital is that it gives us a lot of flexibility. One, it allows us to weather any kind of downturn or any other kind of issues that may arise, but also it gives us an opportunity to take advantage of any other inorganic activity that may come into the market. So, the way we think about capital is the first call on capital. The first call on capital is always that of the business. Operating businesses have the first call on capital. If they go faster, they get it. Devang holds the businesses feet to the fire at a 15% capital and then we manage the excess capital separately in a capital optimization committee which Devang runs.

The excess capital then is first deployed into KAAML. Now, Jaideep talked to you about KAAML and Jaideep talked about how we have raised YTD about \$1.1 billion in that. We always put skin in the game into the funds that we raise in KAAML. That really helps us with our LPs and stuff like that. By the way, KAAML over a period of time has delivered very decent after-tax kind of returns. So, we like the investments in KAAML. Now, those investments do not pay off on a quarterly kind of basis. So, it is a little lumpy, but still the return is very good. The second call is we really like because we understand the financial infrastructure in this country, we really like investments in financial infrastructure. So, things like MCX or things like KFIN, where we have got these investments. Now, all these investments, the market value can go up or go down. When they go up or go down, we take them directly into network and therefore, you see excess capital going down or coming up. Coincidentally, this quarter, excess capital has actually come down by Rs. 1,183 crore because of the market value of these securities kind of coming down. So, that is the second one. The third one is we are constantly looking for other opportunities to invest this invested capital in such a way that the return on this excess capital is as close as possible to the return which we get in our operating businesses. Now, that is obviously not easy, but the lower the gap, the better. And obviously, we always keep in mind that we want, we may need that liquidity for any other opportunity that may kind of come along. And we scan, we look at every single opportunity in the inorganic space, not restricted to the Bank. I would love to get some opportunity either in our life business, in our brokerage business, in our asset management business, just love to get those kinds of opportunities. Within the Bank, we really like these portfolio tuck-in acquisitions. It takes away very little management bandwidth. It helps us bulk up and it helps us kind of move along. So, we look at everything. If the opportunity makes sense strategically, and then if it makes sense financially, we execute upon it. And that in a nutshell, I hope it gives you a sense of how we are

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thinking about excess capital. Unfortunately, because of the nature of the industry, we are not allowed to do buybacks and stuff like that. So, that really is not within our control. But sorry, you were saying something.

Chintan: Could I argue that even taking into account these three factors you have told, you're sitting on chunky excess capital, now, there is, of course, an inorganic opportunity in the pipeline. If it plays out, then you will utilize

some of that capital. If it doesn't, could we expect some action on that?

Because even considering all the points you mentioned, there is still enough out there?

Devang Gheewalla: Yes. Just because I have excess capital, I don't think we should go out for opportunities which does not make sense. So, I think we have to carefully evaluate capital because capital is a very scarce commodity. So, we would like to clearly evaluate each opportunity carefully before sort of investing.

Chintan: And any postcode on the credit risk proposal and the ECL proposal on what impact you could have on it?

Devang Gheewalla: So, I think the ECL guidelines are still at draft and in fact, there is a deadline for submission, the suggestions by 10th of November. So, we would rather wait for the final guidelines to come before commenting on that. Only thing is, given that we are highly capitalized, additional provisions, if any, will be comfortable with our capital adequacy at this rate. So, we will wait rather than commenting on the impact of everything on this.

Chintan: And the risk-weighted assets, any reduction postcode, high single digit maybe?

Devang Gheewalla: Yes, I think we will have to wait for that. I think look at the final guidelines because there have been quite a few representations already being made. So, let us wait for the guidelines to come and we will come back with the impact on that.

Ashok Vaswani: Having said that, we have the capital. So, even if it is a little adverse, we will be able to absorb it quite easily.

Moderator: Thank you. Our next question comes from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thank you for the opportunity, sir. The question is on the asset mix. Now, we have almost 300 bps below what was the unsecured mix, say, 4 -5 quarters before. The direct question is, how many quarters away are we from the unsecured share in overall mix starting to rise, not stabilize, not go down, but to start increasing, which means these products put together start outgrowing the rest of the book? That is the question?

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Ashok Vaswani: Yes, look, I am definitely not going to hold back secured asset growth just to make the percentage kind of improve. I think this will be like a 3 -stage process. The first stage is, microfinance was negative, cards were negative, how do we make it positive? So, in rupees, crore , how can we grow this? That is Stage number I, hopefully, shortly. Stage number II is how do we actually cross at least into the double -digit arena. But longer term, we would definitely like to get higher. This is an area of tremendous focus for us and we are working hard to kind of get the turnaround. I don't at the top of my head remember when it suddenly gets into kind of double digits. But this is a very key area of focus, which we will be kind of spending a lot of time on.

Devang Gheewalla: Yes, I think we have to be careful, you know, we don't build up further stress on this. So, I think as the slippages are going down and the new book is getting built on a better credit quality, so it will be a gradual process to build up a quality unsecured book over a period of time.

Jayant Kharote: Yes, sorry about that. Just a follow -up to that is, you earlier mentioned that MFI is where the next quarter looks better and PL, you are anyway stable. It is the credit card piece, which is keeping you a little bit away to buy it right now. Is that a clear understanding?

Devang Gheewalla: No, credit card has stabilized. It is not increasing, but it will reduce at a gradual rate.

Ashok Vaswani: No, he is not talking about losses. He is talking about the business.

Ashok Vaswani: So, look, where we stand today, PL, we are kind of building on momentum. MFI disbursements are pretty much in the same zip code as repayments. Car

ds is the one which we are really looking to

see how we can kind of come back to . Like Devang said, we are being, we do not want to do anything crazy. We want to make sure that we are going to get this right. So, if that means it takes another quarter, so be it, but we want to build the business in the right way. It is a tremendous degree of focus, like I said, and we will report out the results, of course, every quarter.

Jayant Kharote: Understood. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Thanks. Sir, my question is on margin. So, is it fair to say that the yield compression due to repo transmission is largely played out, and from here, your yield on advances should basically reflect a mixed change rather than any repricing? So, is that a fair conclusion?

Devang Gheewalla: Yes, Abhishek. Largely, you are right because assuming there is no further repo cut, what you are saying is right.

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Abhishek M: Of course, yes. And then, on cost of term deposits, since your repricing period is less than 12 months, so basically the repricing should happen for the next couple of quarters because we have already had pretty much 2 quarters of repricing of term deposits specifically?

Devang Gheewalla: Yes, that is right. I think our average book is between 9 -12 months. So, we started reducing the rates in April -May. So, by Q4 or at the most first quarter of the next year, we should be able to reprice the book.

Abhishek M: The conclusion would be that from, let us say, the next couple of quarters, you see some margin expansion, but next year, just thinking about it, how it would move from a quarter -on-quarter basis, it would pretty much flatten out around the 4Q exit or thereabouts. Is that qualitatively the right understanding on how NIM should progress from here?

Devang Gheewalla: See, I think we are still, we are looking at this year first, next year we have not thought, but what you are saying is effectively, yes, from Q3 -Q4, you will see gradual improvement in the margin.

Obviously, the exit margin at say March 26 will be higher, obviously, and thereafter, I think it will depend upon how the general economy rates move.

Abhishek M: Right, and can I just squeeze in another question, if that is, okay?

Ashok Vaswani : Sure, go ahead.

Abhishek M: Thank you. So, on OPEX, basically, until the loan mix sort of moves back towards unsecured loans, you will continue to see lower cost to assets, because it is just reflecting the business you are doing

on corporate and home loans. So, is that again a fair assumption?

Ashok Vaswani: So, look, like I said, there are two elements to it. One element is all the benefits that we are going to drive from automation and digitization that I am hoping will continue and we will continue to drive that. Now, so that should be a continuous trend. As and when cards, basically, cards kind of start picking up, we will see some level of spends go up, obviously, product costs will go up and stuff like that. But I think the general trend of getting the benefit out of digitization and automation hopefully continues.

Devang Gheewalla: But as I think as product cost goes up, the income from the additional acquisition also will go up.

Abhishek M: Alright, thank you so much and all the best for the quarter.

Ashok Vaswani: Thank you.

Moderator: Thank you. Our next question comes from the line of Rikin Shah from IIFL Capital. Please go ahead.

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Rikin Shah: Thank you for the opportunity. The question is on credit cards. It has been like 6 months since the embargo was lifted, but the card book is down around 7%. What I wanted to check was, is it driven by any regulatory corrections required in

any part of the card portfolio still? And what would be the

share of commercial credit cards in the overall credit card business for us? That is the first one?

And second, just quantitatively, Devang, is the retail benefit of around Rs. 100 -Rs. 200 crore or is it substantially higher in this quarter?

Ashok Vaswani: So, I will take the first part on cards and I will let Devang talk about the retail benefits. So, first of all, there is absolutely no regulatory restriction on cards. Like we said, we got out of the embargo at the end of the last fiscal year and we started getting back into cards and really it is about ramping up the cards business, which is what we are in the process of doing. Commercial cards frankly is a small piece for us. So, our spends get affected by that. But commercial cards are not really the most profitable part of cards. It is a small piece and it is a nice piece. That is it. Let us go with it.

Devang Gheewalla: Yes, on the retail part, I think it is less than Rs. 100 crore. But I just wanted to highlight one thing.

As the yield goes up, while I get benefit in the retail, there is obviously a negative on the treasury MTM. So, as the yield reverses, you will get benefit in treasury MTM, but the retail cost will go back.

So, I think it is a reverse part of it. But to answer your question, it is less than Rs. 100 crore.

Rikin Shah: Absolutely. Thank you so much.

Moderator: Thank you. The next question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead. Jai Mundhra, your line has been unmuted. You may proceed with your question.

Jai Mundhra: Hi, good evening, sir. Thanks for the opportunity. You have explained the credit cost trend in PL, CC and MFI. If you could also talk about CV, which we had talked about in the last quarter?

Manish Kothari: So, the retail book is what we had called out saying that we have higher stress in the retail CV segment. The overall impacted part of the retail book is not a very large part of the retail book as we have and it will take up over the next few quarters, we expect it to kind of gradually come down because the CV is normally a 5-year book that you underwrite and hence it will take that much time for the thing to wear off over the next few quarters. It will start to gradually come down.

Jai Mundhra: So, all, let us say, high credit cost book, which is PL, CC, MFI and maybe CV, they all are experiencing stable to improving trajectory, right, and that should hopefully sustain?

Devang Gheewalla: Let me again repeat for the sake of repetition. The credit card, the credit cost has stabilized. While they are not increasing, they will reduce at a gradual pace for the next 2 quarters. MFI's book, the credit cost has started reducing and we will see gradual decline going from Q2-Q3. As far as personal loan is concerned, I think the credit cost have dissolved and I think it has significantly

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reduced. As far as the commercial vehicle retail business, what we just now discussed, it is still under stress and for next couple of quarters, we may see remaining or slightly increase in that cost.

Jai Mundhra: That helps. And lastly, sir, ActivMoney, the amount has declined on a Q-o-Q basis. Is there anything to read into this deficit?

Pranav Mishra: ActivMoney has a flow from CA as well as from SA. So, what we have seen is there is a huge amount of utilization of funds and that is where we have seen a bit of money going out of, what you called as ActivMoney, getting utilized for the liquidity purpose of the customers, both at a CA as well as at a SA level.

Jai Mundhra: Sure. Thank you.

Moderator: Thank you. Our next question is from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Yes, hi. Thanks for taking my question. Question again on margin. So, in the

first half, of course, we

cut our savings rate more than peers, but our margin compression over the last couple of quarters, if I look across the private banks, it has been larger compared to your peers, right? Now, moving to the second half, we are possibly looking at maybe the consensus view is one or two more rate cuts from the treasury. What are the levers we have to defend margin because as we see it right now, secured book is going faster than unsecured? So, that is an added pressure. Yes, that is one. And the second one is your yield on investments is down sharply quarter -on-quarter. Is there something to read into that? That is a calculated number that I have. Yes, just trying to understand that because we have also reported a treasury loss.

Devang Gheewalla: So, Param, on the margin part, I think the savings account rate before the rate cut, we were paying actually, slightly higher than the peers on the savings account. And therefore, when we cut the rate, the benefit is also higher. The only thing is we cut the savings account rate towards end of quarter 1, for which the full benefit has come in Q2, which is what is reflected in the 31-bps reduction in the cost of fund. So, now that is aligned with the peers at 2.5 for the fixed rate SA. As far as the term deposits are concerned, obviously, we have done the rate cuts as per the buckets, what we believe is right. And that will flow as and when the deposits start repricing going forward. The question is whether if there is a further repo cut, what are the levers we have? I think we will have to play by not only what we want, but what market wants and what peers are doing. But largely, can it be the term deposits rate, can be further savings account? I think it is at this stage very difficult to say anything on that. But clearly, as we have responded to the already, the rate cut about 75 bps, I think we will also respond for any further rate cut based on the market and the peer's part.

Param Subramanian: Fair enough. The other part on the investment book.

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Devang Gheewalla: Investment books, I do not see any material change on that. Because I think, frankly, when I looked at it, while we have taken an MTM reversal in the current year, as far as the yield is concerned, I do not see any material change compared to earlier quarters.

Param Subramanian: Maybe I will check with you offline on that because I am looking at my calculated numbers. Thanks a lot. All the best. Thank you.

Devang Gheewalla: Sure.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Ashok Vaswani for closing comments. Over to you, sir.

Ashok Vaswani: So, thank you. Thank you very much. Really appreciate you all doing this on a Saturday evening. It has been quite a hectic quarter. I think we have made steady progress against our overall goals and we are continuing to kind of focus strongly on execution. So, once again, thank you very much and see you at the next quarterly call.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

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Kotak Mahindra Bank Limited
Q3FY26 Earnings Conference Call
IST 5.15 PM on January 24, 2026

Management: Mr. Ashok Vaswani - Managing Director & CEO
Mr. Jaideep Hansraj - Whole-time Director
Mr. Paritosh Kashyap - Whole-time Director
Mr. Devang Gheewalla - Group Chief Financial Officer
Mr. Pranav Mishra - Consumer Bank
Mr. Vyomesh Kapasi - Consumer Bank
Mr. Manish Kothari - Commercial Bank

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Moderator: Ladies and Gentlemen, Good day, and welcome to the Kotak Mahindra Bank Q3 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Vaswani – Managing Director and CEO of Kotak Mahindra Bank. Thank you, and over to you, sir.

Ashok Vaswani: Thank you. Thank you so much, operator. Good evening, everyone, and thank you for joining us. Before I begin, let me welcome Anup Saha, our new WTD designate. Anup brings over 3 decades of vast experience and domain expertise across many fields, including retail finance, analytics, risk, collections, and financial service operations. He will oversee our consumer Bank, data analytics, and marketing verticals. His addition strengthens our leadership team and accelerates our ability to execute at scale.

Moving on to today's agenda, I will make some opening remarks. Devang will cover the numbers in detail ; Pranav – the Deposits Franchise , Vyomesh – Consumer Assets ; Manish – Commercial Banking , Paritosh – Wholesale Banking , and Institutional businesses, and finally, Jaideep will update you on our subs .

Let me first talk a little bit about the macroeconomic environment :

The global landscape has become more volatile. Geopolitical tensions, trade and tariff uncertainties have weighed on global investor confidence. While there seems to be a high level of confidence to get a trade deal with the EU, the absence of a final trade agreement with the U .S. continues to add to this uncertainty. We have seen unprecedented strengthening of gold and silver and outflows from India by FIIs to other markets that are perceived to be more attractive to foreign investors.

However, the Indian economy continues to demonstrate strong and stable growth : GDP growth continues to be resilient with a positive outlook. This is supported by several enabling acti

ons like the RBI's repo rate cuts and GST rate rationalization. 3Q also saw an uptick in growth led by the usual festive demand.

Rural India overall looks stable, supported by good monsoons.

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The rupee weakness has partly offset tariff impacts but has also affected foreign flows and liquidity.

With respect to capital flows, while FIIs have been net sellers, domestic institutional investors have provided support with around \$24 billion in inflows in Q3 FY '26, reinforcing the Savers to Investors trend. This is also evident in the strong IPO pipeline expected for calendar 2026.

In the Banking sector specifically :

System credit growth has been healthy , but the flows into commodities and capital markets are putting more pressure on low -cost deposits.

There is enhanced volatility seen in the banking sector liquidity , while benchmark rates are reduced, longer -term treasury yields have firmed up.

Within this context, coming to Kotak :

We remain focused on our strategy to scale responsibly. This discipline is reflected in our quarterly performance . In the Bank , net advances grew 16% Y -o-Y. This is in line with our stated philosophy of growing our advances in the range of 1.5 x to 2x nominal GDP growth. We have seen consistent growth of around 4% per quarter for the last 3 quarters of this financial year.

Average deposits grew 15% year -on-year. We have been focusing on granular CASA growth. This is on the back of our focus segment strategy and I will come to that shortly.

We called out unsecured retail loans earlier. We said we would grow gradually and responsibly, with the unsecured assets growing in absolute terms in the first instance. And that's exactly what we have done and will continue to do so.

The Bank 's NIM continues to be healthy at 4.54%, supported by our low cost of funds.

Credit costs, as indicated previously, continue the downward trend, supported by our updated underwriting models and enhanced collection efforts. Credit costs are down sequentially from 93 basis points in Q1 to 79 basis points in Q2 and now 63 basis points in Q3. But within this, we continue to watch the Retail CV segment carefully. Overall, we expect normalization of credit costs to continue, though at a more moderated pace.

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Total operating expenses continue to remain under control as we drive productivity and efficiency. This quarter includes certain one -offs, which Devang will cover in his comments.

In the subsidiaries, this quarter our subsidiaries contributed 30% of consolidated profits, which grew 11% on a year -on-year basis. Jaideep will take you through the details. At an overall level, the consolidated book value per share grew 15% year -on-year to INR 176 on a post -stock split basis.

Stepping back, this was another quarter of solid progress against our stated strategy.

Kotak is the most comprehensive financial conglomerate. We run the group through the Bank and 19 wholly owned subsidiaries. This enables us to create holistic propositions for our chosen customer segments. In addition to this, we run Tractor Finance , CV, CE as standalone product verticals.

We have identified four focus segments, High Net Worth , Core India, SME, and Institutional

Clients .

For the High -Net-Worth segment, we have the Private Bank and Solitaire Propositions. Our private Bank has shown consistent good growth in AUMs across MF, NDPMS, AIF, et cetera . Solitaire, our offering for the affluent, has worked well in growing CASA, SIPs, mutual funds, and driving card spend.

In Core India, we have our 811 offering. After the embargo, we are back to acquiring a large number of customers every month. This has also contributed to the savings book growth. Our recently launched 811 Super is attracting the digital

y-savvy younger customer with a much better ticket size.

SME continues to be the backbone of Kotak. The total SME book grew 17% year -on-year to INR 1.16 lakh crores.

On the institutional side, Investment Banking and Alternate Assets businesses had a very good quarter.

Additionally, we continue to be leaders in Tractor Finance with a quarterly growth of 5% , and year -on-year growth of 16%.

On the tech front, we are now further accelerating progress on automation and digitization of Kotak, improving customer service, and enhancing efficiency. This covers the entire gamut of the customer life cycle and our various channels across sales offices, branches, Kotak Mahindra Bank

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call centers, and digital channels. These efforts have allowed us to grow the balance sheet without corresponding headcount growth.

We have made significant progress on strengthening technology resilience and recalibrating credit risk. Our strategy is clear, execution is progressing well, and we are seeing good traction in customer acquisitions, deposit, and asset levels.

The above results are a reflection of our continued progress against the execution of our strategy of driving scale for relevance without diluting our DNA of risk prudence and profitability.

With that, I will hand it over to Devang to walk you through the numbers in detail .

Devang Gheewalla: Thank you, Ashok. Good evening, friends, and wishing you all a happy new year.

Let me start with the overall Bank performance for Q3 :

If you look at it, this quarter actually saw all -round improvement in net interest income, fee income, as well as credit cost, combined with growth in granular low -cost deposits while maintaining the credit growth. Operating costs saw some one-offs related to acquisition and volume -related costs. I will speak about that later.

The Bank 's balance sheet grew 15% on a Y-o-Y basis, with net advances growing at 16% Y-o-Y.

For advances book, mortgage asset continues its growth trajectory with 18% Y-o-Y growth. Aggregate SME advances, as you know, we do SME from 3 separate verticals, which is combined within commercial Bank - Agri, working capital and business loans in consumer, and SME in wholesale business, all 3 put together, growing at 17% Y-o-Y basis. The Bank was able to retain its leadership position in Tractor Finance business at 16% Y-o-Y growth.

Absolute unsecured retail loan book growth showed gradual growth, as we had indicated. We remain cautious in growing retail commercial vehicle book , while addressing the credit concerns.

Coming to the deposit side, the total deposits grew 15% on a Y -o-Y, supported by healthy growth in low -cost deposits, as CA and fixed rates SA both growing at 15% across customer segments. Even on average basis, we saw significant granular movement in low -cost deposits, with average CA growing 8% Q-o-Q, and average fixed rates SA growing 4% on a Q-o-Q basis. We have obviously also reduced our reliance on the LIBOR linked SA , Kotak Mahindra Bank

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which has also helped us in getting a higher cost of fund benefit. CASA ratio at 31st December was at 41.3%.

Bank's net worth is at INR 1,30,000 crores, with a ROE for Q3, 10.68%. Net worth increase in Q3 included about INR 2,000 crores unrealized gain on valuation of the strategic investments, which we hold, which is the MCX and KFIN . As you know, we have been accounting this post -tax gains under AFS reserve, and we are not taking it to the profit and loss count. ROE for Q3 computed on net worth, excluding this cumulative AFS reserves out of the strategic investments, is actually at 11.29%. And if you further adjust for the excess

equity, at 15% of capital adequacy, our ROE is closer to 14%.
At the Bank standalone level, capital adequacy is very healthy at 22.6%, of which CET1

itself is 21.5%.

Coming to the income statement :

Bank ended the quarter with a PAT of INR 3,400 crores. Q3 includes high cost on account of new labor code -related provisions, which at the Bank standalone is INR 96 crores pre - tax business. Adjusting for this, profit actually grew 8% on a quarter -on-quarter business. NIM for the quarter remained at 4.54%, which is same as last quarter, despite the 50% repo rate cut in the quarter of June. During the Quarter 3 , we also saw a higher short -term liquidity, which was deployed in treasury assets . If we exclude those short -term earning assets, our NIM actually improved to 4.58%, up 4 bps during the quarter.

Cost of funds reduced by 16 bps during Q3 at 4.54%, driven by low -cost deposits and repricing of maturing term deposits. So, if I look at the cost of fund trajectory, it used to be 5.01 % in Q1, reduced to 4.70 % in Q2, now So, down to 4.54%.

Fee income saw a healthy growth of 6% Q-o-Q, contributed mainly by FX, debt capital, and distribution income. Credit card fee growth continues to remain muted.

Employee cost of the Bank is INR 2,200 crores for Q3, which includes INR 96 crores, as I mentioned earlier, pursuant to the new labor code. Further, there was a saving in the retiral cost during Q2, if you recall, which we had mentioned, which has been normalized during Q3. So, that is also an effect of Q3 movement over Q2 under the retiral cost, which has also impacted the cost. Actual payroll cost without this, which is basically the CTC cost of all the staff, remains flat on a Q-o-Q basis.

Other operating expenditure of the Bank is INR 2,700 crores for Q3, which is up 5% Q-o-Q basis. However, to further analyze that, it includes marketing spend during the festive

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period on brand promotions. Further, this quarter saw a significant increase, which is seasonal factor, on the tractor finance disbursement. And as you know, there is a higher brokerage we should pay in tractor finance, which is accounted upfront, and that is also resulted in the acquisition cost going up. There was also an increased acquisition in 811 products, which also increased the volume -related cost.

Cost to income ratio, without considering the one -off impact of the new labor code is at 47.4%.

Asset quality parameters across all the parameters improved significantly during Q3 on expected lines. Gross NPA at 1.30% versus 1.39%. Net NPA at 0.31% versus 0.32% last quarter, with a provision coverage ratio now at 76%.

Credit cost for Q3 reduced to 63 bps, down 16 bps Q-o-Q from 79 bps in Q2. As you recall, Q1 credit cost was at 93. While delinquencies in Unsecured Retail business showing improvement, we remain cautious on Retail Commercial Vehicle segment. Slippages for Q3 were INR 1,600 crores, which includes INR 257 crores that got upgraded within the same quarter. The slippage ratio, therefore, improved 1.34% from 1.41% in Q2.

Coming to the consolidated performance :

With respect to group companies, capital market subsidiaries showed growth with increased volume and improved market share. Our AMC business, including the Trustee company, continues to perform well with growth in AUM. Insurance business, which got impacted by GST regulations , changes in Q2, has normalized in the current quarter.

Our consolidated customer assets are at INR 5,98,000 crores, and our AUM managed by the group is now INR 7,87,000 crores , both grew at 15% on a Y-o-Y basis. Q3 '26 consolidated profit after tax is INR 4,900 crores, grew 10% from INR 4,400 crores. Q3 profit PAT is after the new labor code impact of INR 128 crores. INR 128 crores is the pre -tax cost at the group level, equivalent to INR 96 crores what we took it in the Bank .

ROE at consolidated level is at 11.39%, and ROA for Q3 is 2.10%. The consolidated net worth of the group is now INR 1

,75,000 crores.

Our capital adequacy continues to remain strong at group level at 23.3%, with CET-1 is 22.4%.

The book value of the share is 176, which has grown by 15% Y-o-Y, and this, obviously, the book value is after considering the split of the shares.

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With this, I hand over to Pranav to take you through the highlights of the Deposit s franchise .

Pranav Mishra: Thank you.

Devang has taken you through the numbers. I will now take you through the underlying strategy of the Bank deposit franchisee.

As outlined earlier, our strategy to serve the customer focuses on 3 levers for growth, consumption -led, investment -led, and asset -led in a cost -effective manner. Customers are now highly digital, expecting real -time, frictionless engagement across every touchpoint of the Bank .

We are providing and curating journeys to capture following customer behaviors, w hich trends across High Net Worth , Mass Affluent , and Core India, and that is a billion Indians.

#1. Consumption -first mindset : We are leveraging spending patterns to create relevant banking opportunities.

#2, Savers to Investors : We are tapping into the shift from savers to investors via SIPs, Demat , and trading accounts to build CASA granularly and sustainable growth onto it.

#3 Liabilit ies opportunity from asset : We are building a banking ecosystem around customers having asset r elationship by offering aspirational products.

Our propositions are capturing these behaviors and providing enhanced experience to new to Bank customers, as well as adding value to our existing customers.

On current account, our average current account balances grew by 14% Y-o-Y this quarter.

Our focus on the self -employed customer base continued to show momentum in a new acquisition, contributing to the overall balances and long -term value creation. In addition, the focus on customer collection and payment flows drove the growth in throughput and liability balances.

On savings account, our average fixed rate savings balances grew 12% Y -o-Y. In savings account, our focus continues to be on high Net Worth, Mass Affluen t, and Core Customer segments supported by a comprehensive relationship -led approach that values customer engagement across Kotak's ecosystem, including liabilities, investments, insurance, and loans.

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Kotak Solitaire, as spoken by Ashok, that proposition was launched in Quarter 1, and is designed to execute the above -mentioned strategy through quality acquisition, deeper relationship, and sustainable deposit growth.

We have observed an uplift in new to affluent customers with increase in relationship value , primarily driven by deposit s and investments, including mutual funds, SIPs, and other asset building products. This trend is visible across both newly acquired and existing customers.

Kotak's 811, our flagship digital banking proposition, continues to accelerate customer acquisitio n and digital service at scale with speed and simplicity. It gives Kotak granular, sticky, and low -cost deposit through seamless digital onboarding and app platform.

Kotak's 811 Super Savings account is the first of its banking proposition , based on cash flows, not on average monthly balance. It offers 5% cash back on debit card spend s. It is specifically designed for Core India customer, young, aspirational, and value conscious.

Term deposit, we grew by 17% Y-o-Y and 4% Q-o-Q.

Distribution :

Our distribution strategy continues to deliver omni -banking experience by leveraging physical, digital, and virtual channels. The virtual banking platform bridges branch and digital services with personalized, scalable 24 x7 customer engagement. This approach helps us in enhancing operational efficiencies and effectiveness of remote banking se

rvice s.

Our ability to serve customers at both acquisition and service stages has been improved due to decongestion and digitization of processes across branches and all other channels. Our focus remains on maintaining a balanced mix of savings, current, active money, and term deposit to drive sustainable growth in liabilities , in a cost -effective manner.

I now hand over to Vyomesh to take you through consumer asset business.

Vyomesh Kapasi: Thank you, Pranav.

I will take you through the highlights of the consumer assets :

At a macro level, the demand environment of consumer assets remains favorable, supported by stable economic activity and improving customer confidence. Our consumer

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asset portfolio delivered 16% growth year -on-year and 4% growth sequentially , led by strong momentum in MSME , segment reinforcing our strategic focus on balanced high - quality expansion.

Mortgages :

Mortgage loans comprising of home loans and loan against property continue d to register healthy growth of 18% year -on-year and 5% quarter -on-quarter.

The Home Loan market continues to be price sensitive , however, our strategic focus on deepening customer relationship and positioning Home Loan as an anchor product for the Affluent segment continues to drive steady traction. This approach enables us to increase wallet share from existing customer, helping in cross -selling to liabilities, investments, and other core banking products. The Home Loan portfolio has demonstrated reasonable growth and remains a key area of focus.

The loan against property segment, largely serving the MSME customer base, continues to show strong momentum, supported by healthy borrower demand and our disciplined approach to underwriting. We maintain a strong position in this segment, supported by ongoing investment i n process improvement, enhanced credit assessment, and an elevated customer service.

Overall, the quality of our mortgage book remains sound, enabling us to sustain growth in this particular space.

Business banking :

There is a sustained demand for working capital across sectors, driven by a surge in consumption trends , following the changes in GST. Our Secured Business Banking portfolio, comprising micro and small SME customers, recorded a strong growth of 21% year -on-year and 5% quarter -on-quarter, with u tilization levels remaining high, particularly during the festive period.

In the Unsecured Business Loan segment, growth has remained steady, with our focus on maintaining portfolio quality.

Overall, the Business Banking portfolio across both Secured and Unsecured segments continues to be stable.

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Personal loans :

Our Organic Personal Loan business continues to be the main driver of our growth in the Retail Unsecured portfolio. Disbursements have stayed strong, led by Salaried Customer segment, supported by a wider range of digital lending journeys.

Credit quality remains stable, helped by better analytics, sh arper underwriting, hence stronger risk controls. The rapid expansion of digital origination channels is allowing faster decisions, deeper customer reach, and healthy growth in this segment.

The Personal Loan portfolio acquired from Standard Chartered las t year is performing better than expected. Although the rundown of the acquired book has been quicker this quarter, the strong pickup in organic disbursement positions us well for a return to growth in personal loan advances in coming quarters.

Our focus on maintaining credit quality remains firm. We will keep building this business by using data -driven insights, discipline d policies, and digital -first origination to manage risk effectively.

Credit cards :

Credit cards are key to our core strategy for deeper engagement with our customers, ecosyst

em stickiness, richer data insight, cross -sell, and better CASA retention to drive improved profitability. Our new Solitaire credit card continues to gain traction in the High Net Worth Customer segment.

The GS T cut and festive season improved customer spends and stronger portfolio engagement.

We are seeing consistent improvement in credit quality due to moderating delinquencies , driven by enhanced data analytics, strengthened risk control, and portfolio streng thening .

The analytics -led pre -approved programs, superior risk model, new product launches across customer segments, digital issuances, and targeted ecosystem partnerships will drive scale with quality.

In summary :

Delinquency in overall Unsecured portfolio has improved with better flow rates and collection efficiencies observed in this quarter . We will continue to enhance our risk management and monitoring framework for all our consumer asset portfolio.

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We are leveraging analytics, including machine learning models, alternate data in collection to increase collection efficiency and recovery of unsecured portfolio.

I now hand over to Manish to take you through the commercial banking business.

Manish Kothari: Thank you, Vyomesh .

I will start the highlights of Commercial Vehicle portfolio.

The CV industry saw a sales growth of 22% Y-o-Y and a 21% Q -o-Q growth on account of growth across medium, light, small commercial vehicles. The growth was primarily due to reduction in GST and price hike announced by OEM's effective 1st of Jan.

We continue to maintain our overall market position with an appropriate customer segment mix , ranging from fleet operators to retail. As we had mentioned last time, we continue to witness some stress in the Retail CV segment. Hence, over the last few quarters, we have substantially tightened our underwriting and have reduced our disbursements to this segment. We have strengthened our collections accordingly.

The portfolio built over the last few quarters is showing better performance in terms of early delinquency trends and hence we expect improvement in overall portfolio performance over a period of time. We will continue to focus on building our business cautiously through calibrated risk interventions , while keeping a close watch on certain customer segments.

Construction equipment :

The Construction Equipment industry sales continued to witness negative growth , (-14%) Y-o-Y in Q3 and negative growth of around 10% for YTD December, primarily impacted by slower infrastructure activity as well as project execution challenges due to early and extended monsoons disrupting equipment deployment as well as tight state government cash flows delaying infra -execution.

Industry -wide, the institutional buyers and mid -size contractors continue to show resilience , whereas small contractors and first -time users and buyers are navigating a slightly more tightened liquidity phase.

Given this environment, our disbursements were broadly in line with industry trends and we continue to maintain a strong position in the market.

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Improved cash flow released by state governments, local bodies, municipal corporations, strong and expeditious project award by the government , and higher budgetary CapEx allocation in the upcoming budget will be key for the industry numbers to pick up in the coming quarters.

Tractor finance :

The tractor industry sales saw 22% Y-o-Y growth and 19% Q -o-Q growth in Quarter 3, primarily due to GST rate cuts, government support on subsidies and favorable rural sentiment due to good monsoons.

Monsoons extending into early November as well as soft Agri-commodity prices have had some impact on the cash flows of the farmers. However, robust rabi sowing should improve rural cash

flows.

Our Disbursements grew broadly in line with the industry, helping us maintain our leadership position.

Impact of cash flow for the farmers reflected in slightly lower collections efficiency in this quarter and is likely to recover as rural cash flows improve.

Microfinance:

The microfinance had started degrowing quarter -on-quarter from Q2 of last financial year. While the disbursements have picked up over the last few months, we expect the industry data to reflect a muted Q3 as well.

Our retail microcredit book has remained flat quarter -on-quarter, primarily due to scheduled repayments offsetting the current disbursement rate. The portfolio quality for business origination through a risk profile -based underwriting model is performing quite well. We expect disbursements to gradually improve from this quarter and the portfolio performance to continue to get better in the coming quarters.

We have also started covering our microcredit loan disbursements under CGFMU Credit Guarantee Scheme.

Post -merger of BSS and Sonata in October, we are working towards integrating the overall franchise to serve our customers more efficiently across all geographies.

Agri Business Group:

The Agri SME book saw a YOY growth of 12% and a quarter-on-quarter growth of 8%, supported by pick-up in working capital utilization and a strong growth in New-To-Bank customer acquisitions. The quality of the book continues to remain good.

In this segment, we will continue to grow our new customer acquisition across Agri clusters and focus on providing holistic solutions to these customers through a One-Kotak approach addressing borrowing needs, transaction banking, investment and protection needs of our customers.

I now hand over to Paritosh to take you through the Wholesale Banking and Institutional Business.

Paritosh Kashyap: Thank you, Manish.

I will now take you through the highlights of the Wholesale Banking and Institutional Businesses.

This quarter, our Wholesale Banking Assets along with Credit Substitutes grew at 17% YOY and 3% quarter-on-quarter driven by robust advances growth. The Credit Substitutes book was, however, flat this quarter as better loan market pricing led to a shift from investments to loans. We maintained our emphasis on granular growth through the SME and mid-market verticals.

In Corporate SME, new business momentum remained strong with stable spreads.

Adjusting for the migration we did at the start of this year from SME to other verticals of the Corporate Bank, SME advances grew at 26% YOY and 7% quarter-on-quarter. SME remains a core strategic pillar and our ongoing investments in technology projects such as CRM, loan operating system, and digitization of customer journeys are helping reduce turnaround time and improve productivity. Consistent with our focus on building holistic long-term relationships with customers, we partnered with Indian Institute of Technology to launch programs that enhance further readiness and AI adoption among our SME customers.

Our mid-market portfolio too continues to scale rapidly. Our book here is diversified and a substantial portion of the book is from working capital and flow-based businesses.

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Pricing continues to be a challenge in the larger corporate space, especially in long-term loans and project finance. We continue to focus more on flow-led businesses and profitability through higher cross-sell, greater share of transaction banking and deeper penetration.

Trade remains a priority. While overall growth in the trade book was muted this quarter due to pricing pressures and large mandates, the granular portfolio showed good momentum with new client acquisitions and mandates. We also saw good growth in the cross-border trade

book in GIFT City. Our recently launched EwayGo digital platform for supply chain finance is also witnessing a robust pipeline.

Our asset quality across customer segments continues to be robust, and we saw minimal slippages this quarter.

We continue to enhance returns and profitability through liabilities and fees. There was an uptick in DCM volumes and revenues this quarter driven by successful completion of large transactions across corporate, real estate, and infrastructure. FX revenue also grew aided by both corporate and institutional flows.

We continue to focus on increasing our share of customer collections and payment flows.

This quarter, overall number of transactions and throughput have grown well. This was complemented by capital market transactions, including escrows, dividends, buybacks, resulting in healthy average liability growth this quarter.

Investment in technology, including the launch of a dedicated escrow platform and enhanced API capabilities, have further strengthened our system.

Our unified corporate portal, Fyn is seeing good customer adoption. This quarter, we automated the working capital loan disbursement, dealer financing and servicing on Fyn.

The wholesale Bank continues to work closely with the investment Bank and institutional brokerage businesses to improve corporate and investor coverage. Together, the group is

able to maximize opportunities across custody, escrow, FX, financing, and primary market activity, and deepen relationships across the franchise.

This quarter was an active quarter for these businesses with several marquee IPOs and advisory deals. In capital markets, the investment Bank managed 11 IPOs and 3 QIPs, raising a cumulative of about INR 74,000 crores, and in advisory, the investment Bank advised on 5 transactions with a cumulative deal value of about INR 26,000 crores.

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The institutional brokerage business also maintained its tier 1 ranking with most global FPIs for their India investments, and with leading domestic mutual funds and insurance companies, and gained volume share in a challenging market.

Custody balances at the Bank also showed growth this quarter in both the offshore and domestic custody space. We remained focused on onboarding new custody clients, including through GIFT City.

Over all, the wholesale banking and institutional businesses remain in good health, delivering acceptable ROE, and demonstrating resilience across market cycles.

I now hand over to Jaideep to take you through the subsidiary businesses.

Jaideep Hansraj: Thank you, Paritosh. Good evening to all.

Let me talk about our subsidiaries now:

In Q3 FY'26, our subsidiaries reported profit of INR 1,453 crores, up 11% YOY and 19% sequentially. This strong performance meant subsidiaries contributed a healthy 30% of consolidated profits for the quarter, underscoring the depth and resilience of our conglomerate model. It enables us to capture shifting financial trends through cycles and retain profitability within the group.

Our four engines of growth that enable us to meet customer needs across the financial spectrum are banking and lending, capital markets, asset management and protection.

Starting with the lending subsidiaries:

Our largest contributor, Kotak Mahindra Prime, our auto finance business, delivered PAT growth of 15 % YOY. Its customer assets grew to INR 43,244 crores, with a YOY growth of 13%. KMIL and KIDF saw muted performance in the quarter. Hence, the total PAT for lending and related subsidiaries decreased on a sequential basis, but was up 6% on a YOY basis.

Turning to the capital market business:

Last year was an extraordinary period for capital markets with buoyant volumes, driving strong profits in our capital market subsidiaries. The first half of this year was tepid, but Q3 has bounced back with our PAT up 31% sequentially.

Given the high base in the previous year, the PAT was down YOY. In Kotak Securities, our overall market share

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increased to 13.5% from 11.5% on a YOY basis, and its market share in the MTF business was about 14% as of December 31st, 2025.

As mentioned by Paritosh earlier, our institutional equities business and the investment banking business have had a very healthy round of market share, with the institutional equities business being a tier 1 broker for global and domestic institutions, and K MCC acting as investment bankers for high quality mandates.

Turning to the asset management business:

Kotak AMC and Trustee companies saw growth of 31% on a YOY basis and 22% on a QOQ basis. The total domestic MF AUM increased by 20% YOY to INR 5,86,610 crores as of 31st December 2025.

KAAML, Kotak Alternate Asset Managers Limited is one of the largest domestic alternate asset managers in India, with total funds raised since inception of USD 11.08 billion. This quarter, it had some successful strategy exits in the portfolio, which is reflected in the profitability.

Moving to the life insurance business:

The individual annual premium equivalent grew 18.7% YOY in Q3 FY'26. Our retail sum assured recorded a 75% growth in Q3 FY'26 due to increased focus on the protection segment aided by GST relief provided to customers. The AUM has crossed INR 1 lakh crores for the life insurance business, showing a growth of 14% YOY. Kotak Life continues to maintain a solvency ratio of 2.3x as against the regulatory requirements of 1.5x. Q3 FY'26 is flat on a YOY basis on account of GST and one-time labour code impact.

In conclusion, let me reiterate that our unique strength lies in our breadth. We manufacture

every major financial product as a group, with subsidiaries that not only build and distribute through their own channels but leverage the Bank's distribution strength. A 100% ownership allows us to retain full alignment and profits within the group and also capture emerging opportunities across financial markets as trends evolve.

I will now request the operator to begin the Q&A session.

Moderator: Thank you very much. We will now begin the Q&A session. Our first question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Hi, thanks for taking the question. Firstly, on the margin part, it was a flat quarter-on-quarter. Last time you had guided that there should be a gradual improvement looking at

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the deposit repricing and the CRR benefit. What has actually changed in terms of the expectations with respect to margins? You had indicated maybe some short-term liquidity deployed into treasury, which impacted by 4 odd business points. But apart from that, anything else which has impacted the margins, which has just led it to be flat quarter-on-quarter? And what would be the outlook getting into Q4 and next year?

Devang Gheewalla: Hi Kunal, Devang here. You are right. So, let's understand what has impacted this before going to the likely scenario next quarter. So, this quarter, of course, the yield got impacted.

The floating rate yield got impacted by the 50-bps cut in the June, of which the effect came in the Q3 as on expected lines. However, this was offset also by partially the CRR rate cut which happened during Q3 and, of course, the repricing of deposits where we saw the cost of funds reducing from 4.70 to 4.54. As against that, Kunal, as I explained, we also saw a lot of IPO-related short-term funds available in the Bank. And that obviously got deployed in the treasury assets, which are typically lower-yielding assets for a short period of time. And that effectively brings down the averages of the funds available and impacts the NIM mathematically. So, if I effectively

remove the effect of the short-term funds, which were significantly higher compared to the Q2 on an average basis as well, the NIM improvement is actually 4.58 as against the average which got arrived at 4.54.

Now the second question, how do we see the outlook going forward? I think Q4, we will obviously have the impact of the 0.25% rate cut in the Q4 floating rate advances as well. However, the repricing of deposits of course will continue in the Q4, but at a lower pace, as you can see actually, the cost of fund decline was 5.01 to 4.70, now to 4.54. So, that has been obviously at a reducing pace which will go into Q4 as well. However, the CRR cut which happened during each of month in Q3. The average of that will have a full quarter impact benefit, actually, in the Q4.

The last one, as you know, Q4 has a typical aberration where in February we have lower number of days, while the yield on the advances are at a full month basis of 30 days, the deposits come only for 28 days. This does bring some sort of a kicker in the NIM, which is aberration which gets of course corrected in the Q1. So, assuming no further rate cuts in February, I think we will see a moderate increase in Q4 NIM, as I explained. But I think more realistic and stable NIM is something which we will be able to sort of estimate going forward from Q1, once the aberrations are also removed and we have a clearer picture. We are already seeing some of the tightening in the liquidity and the rates in the term deposits hardening. And as against that, we also expect to see some growth in the unsecured business. And let's see how it plays out and impacts.

Kunal Shah: Sure. That helps. And the second question is with respect to credit cost. So, eventually now we are seeing the specific credit cost coming down to 63 odd basis points. You

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indicated some stress continuing on the retail CV. But otherwise, are we comfortable on PL, credit card? Has MFI also maybe almost picked out and you should see the benefit? And where should we ideally see the credit cost trajectory going forward?

Devang Gheewalla: Yes. So, the credit cost reduction is on the expected lines. And as I explained, the unsecured businesses, which is the microfinance, credit card and personal loan, if I look at each of them, the microfinance and personal loan, credit cost actually has started decreasing. And that's actually the benefit, which is sort of you are seeing. A credit card obviously has plateaued and it's not showing any increasing trend. So, the primary reason for the reduction in the credit cost is on account of unsecured business credit cost coming down. On the commercial vehicle, I think we are now saying we are cautiously observing it. We are hopeful that it will plateau down during the Q4. And then we will see how it operates. But I think the good news is that the unsecured credit cost is behind us now. And

that's what is effectively resulting in the reduction what we saw during the quarter.

Kunal Shah: So, what should be the steady state credit cost number now after having achieved 63 basis points, do we see improvement to 50 basis points to 60 basis points over a period, maybe over the next 12 months period?

Devang Gheewalla: So, Kunal, if I just step back, pre -COVID, if I look at my credit cost, where of course my unsecured percentage is also lower, hovering around 0.4 -0.45. As you increase the mix of unsecured credit costs, obviously credit costs on a standalone basis might show an increase. But I think it also gets you higher returns. So, given that the mix of unsecured will gradually go up, it obviously has to be higher than the historical what we used to have. But clearly, even in Q4, we expect the credit cost to further gradually go down and the trend continuing during Q1.

Kunal Shah: Thanks. That's helpful. That's all from my side.

Devang Gheewalla: Thank you.

Moderator: Thank you. Our next question comes from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: Hi. Good evening, everyone. I had four questions. So, the first one is on CA and you alluded to some benefit from capital market, but even the average CA balance s even on sequential basis for last two quarters have been improving. So, how much of this would you really be attributing to the capital market? And how should we think of stickiness of this deposits?

So, that's the first one.

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Paritosh Kashyap: Hi, Rikin. This is Paritosh. See, in our wholesale business, we have a large number of customers who are from financial segment, which is custody, private equity funds, mutual funds, insurance companies, all of them and also capital market s business gives us deal CA. Some of these things are consistent , one or the other customer keeps giving us this CA. So, even if this is a deal CA, this is a regular and consistent deal CA, which keeps coming to us from multiple set of customers. So, I would say there is a tendency of this business to be more sustainable with some degree of volatility.

Devang Gheewalla: Just to add, the current account, the average growth is not only the wholesale deposit. The consumer current account also granularly grew, including the SME business, which also contributed. My reference to the IPO and all that was with respect to the short -term deployment in treasury. But I think if I look at purely on a current account average thing, it's not only wholesale, but I think the consumer bankin g also contributed to that in that. So, despite EOP, if you recall, we had said that Q2 EOP had a lumpy deal -based thing. But on an average basis also, if you see the current account is showing a growth, both for consumer as well as wholesale.

Rikin Shah: Got it. The second one is on the SA deposits. So, some of your peers have seen rundowns in the institutional SA deposits. So, what is the quantum of such deposits for Kotak? How is it behaving for you and the outlook on the same, please?

Pranav Mishra: Hi, this is Pranav. With respect to institutional or for that matter, marquee and bulky savings account, if you look at, we are more focused towards granularity and we are also consciously looking on quarter -on-quarter, running down as far as SA MIBOR is concerned. So, as far as the fixed rate SA is concerned, it is being built with primarily having more of retail focus onto it with granularity. And also, if you look at one of the engines of growth for us is 811, which is primarily the smaller ticket size, but with a lot amount of granularity and an active participation of the core India into it. So, that's how we have designed our strategy to take care of whether high net worth individuals are concerned or for that matter, mass affluent and then the core In dia. So, that's where it is building on as far as more granularity than a bulkiness onto it towards institutions.

Rikin Shah: Got it. The third one is on the total cost of deposit. How would that number look like? Would it be broadly 4.45%? And how much of term deposit repricing do you think is still remaining? So, that's the third one.

Devang Gheewalla: Look, I think we have indicated the average cost of the saving account, which is already there in that. I think the term deposit rates obviously have sort of reduced over quarter -on-quarter. But I think as I indicated, getting into Q4, clearly there is some tightening and hardening of the rate, which may take place. In terms of the residual sort of repricing, I explained the cost. If I look at the cost of fu nd benefit itself, which used to be about 32 bps

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in Q 2, further reduced to 16 bps in Q 3. It's further , obviously as the repri

cing starts

completing, it will further go down. So, clearly with the average term deposit, which is between 9 months to 12 months, and if you look at roughly the repricing started towards middle of Q1, we expect the repricing to get completed by Q1 of the next year.

Rikin Shah: Got it. Perfect. And the last question is on the Agri PSL. So, some of the peers have had some regulatory supervisory observations. Would you be able to comment whether the same audit has been done or any broader color for your book as well?

Ashok Vaswani : It's not possible for us to comment on other banks. I just don't know. As far as we are concerned, we have not taken any provision. Also, as far as the RBI audit is concerned, that is something that we are required to keep confidential, so I can't discuss the findings of anything from the RBI audit. But suffice to say that we have not taken, as you would have seen, we have not taken any provision in this quarter.

Rikin Shah: Got it. Thank you, gentlemen, for answering all the questions.

Ashok Vaswani: Thank you.

Moderator: Thank you. Our next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi. Good evening. So, my first question is on loan growth and specifically just coming to credit cards. This quarter we have seen, at least in the RBI data that came out, that a lot of other smaller banks have started increasing their card issuances. What seems to be holding you back in terms of card issuances and spend pickup?

Ashok Vaswani: So, frankly, Abhishek, like we have been talking about, we completely revamped our credit card proposition. We have launched a whole range of new products, right from Solitaire for the top end to Air+ and Air, which is a cash mile product for the mass affluent and then a cashback product. This whole range of products are going out and you will start seeing growth in spends and Air cards. Having said that, we want to be cautious. We obviously don't want to grow very aggressively and then get into credit problems. And as you would have seen, Q3, generally speaking, has been a very muted quarter for credit cards across the industry. So, we will see in the first instance, we will see spend on the cards go up as we ramp up acquisition. And then we will see ANR build over a period of time. The newly launched products, particularly Solitaire, is doing very well. And we are very hopeful that those numbers will start showing up very quickly.

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Abhishek Murarka: So, it's probably more a matter of time that all these steps that you have taken, they'll start building up and we start seeing some traction, maybe 1 or 2 quarters down the line in this portfolio?

Ashok Vaswani : That is correct.

Abhishek Murarka: Understood. And as far as OpEx is concerned, so one of the things is that, the marketing spend and the acquisition cost that will also continue to go up as PL, cards, etc., all of these scale up. So, just from a cost growth perspective, what kind of, say, medium-term growth should we look at as a sustainable run rate? Because right now, a lot of it is impacted by last year's slowdown in several segments. But going forward, we are looking at more traction. So, how would the cost growth pan out?

Ashok Vaswani : Abhishek, think about it this way, that, we want cost to go up when we are acquiring new customers in 811, in Affluent, new cards, new tractor loans, and stuff like that. Those costs, frankly, are good costs and let them kind of go up. That will be offset by a lot of our effort in automation and digitization, where we are trying very hard and working feverishly to improve efficiencies and our customer experience. And obviously, as we kind of grow the acquisitions and grow the marketing costs and things like that, you will see income go up as well. I don't think we can really tal

k about a kind of guidance on either cost-to-income

ratios and stuff like that. But effectively, that is what we are trying to drive. Anything you would add, Devang?

Devang Gheewalla: Yes, just to build up on that, one data point, while Ashok rightly mentioned the acquisition costs are obviously volume-related, which we obviously want to grow with our philosophy of growth for scale. But I think if I look at the fixed costs, and let's say the CTC, which is the payroll cost of the staff, which is effectively around 60% -65% of the total cost, between Q3-Q2, it has remained flat. So, while we are spending on acquisitions, new businesses, I think the fixed cost is where we are clearly controlling. And, some of the investments in technology which we have been continuing, is now sort of helping us to rationalize some of those things.

Abhishek Murarka: No, absolutely. I don't look at costs as any negative item as such. It is a necessity for growth and revenue generation, of course. But just as a thought process, if you are expecting, let's say, mid-teens, high-teens, whatever, loan growth, costs would lag it substantially by 3-4 percentage points or you could see more operating leverage as cost

growth being much slower than loan growth. So, just how do we think about these two? And then that can give a sense of the jaws going forward. So, I am just trying to get some understanding there.

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Ashok Vaswani : Over a period of time, Abhishek, not quarter -by-quarter -by-quarter, but on a trend basis, we should see cost -to-assets coming down. And we started to see that trend and we are hopeful that that trend will accelerate.

Devang Gheewalla: Actually, if you also look at cost -to-assets ratios, if you look at, as Ashok rightly said, over a longer period of time, if I look at from last year over this quarter and this quarter, as I said, some aberrations, actually it has come down. It used to be about 3%. It is now down to around 2.7 and 2.5 sort of range, right? So, it is always coming down, that's a good way to look at as an indication as a cost -to-the-asset build -up basically. I think it's already on this way. I certainly would like to further improve that as we go along, right?

Abhishek Murarka: Exactly. So, that is where my question was from because cost -to-assets has come down in a period when some of your assets, which require more spend, they have not grown. And now when they grow, does cost -to-asset go back to 3% or from here you continue to see steady reduction in cost -to-assets? So, just that understanding, that's it.

Devang Gheewalla: I think we would like to obviously maintain cost -to-asset ratio in the range of 2.5 -2.6.

Abhishek Murarka: Got it. Thank you. Thanks a lot and all the best.

Moderator: Thank you. Our next question is from the line of Marukh Adajania from Nuvama. Please go ahead.

Marukh Adajania: Yes. Hi. Good evening. My first question is on ECL. So, based on the draft, what would be the likely impact on credit cost for you from ECL? And my other questions are that you did mention or you did allude to some rundown in the PL portfolio purchase from Standard Chartered. So, could you quantify or throw some light on it? And I just also wanted to know if you could quantify the proportion of liabilities which are yet to reprice in the 4th and 1st quarters from the old--

Devang Gheewalla : On the ECL part, as you know, it is still a draft circular which RBI has come up and all the banks, including us, we have obviously represented because it requires you to make a floor -based provisioning by asset segment. However, considering even the draft circular, the impact of the ECL provision is less than 2% post -tax for us in the Bank. So, it is not likely to materially impact even if you were to apply the draft circular as is. So, that is the first point.

t.

Marukh Adajania: 2% what?

Devang Gheewalla: 2% of the net worth. And as you know, we already have significantly higher net worth than required. So, we don't see any significant impact arising out of that. And even in fact, the

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circular also provides for amortizing that over 4 years and all that. But we will see how the final draft circular comes. But I think it is suffice to say it is not a significant impact at all, even if you were to go as this circular.

Coming to the standard charted portfolio, which is there, now I think the residual portion which remains is not very significant. It is less than INR 1,500 crores approximately. It is about 20% of what it was. So, I think it will run down over the next 2 quarters in that sense. The third portion, what you said, is on the repricing, which is left, which I partially answered earlier. As we had mentioned, the term deposit average maturity is about 9 -12 months. And we expect the repricing to effectively complete during the Q1 in that sense. And that anyway, if you see the trend of cost of fund reduction, it reflects actually the repricing pace of the term deposit. So, that is how I look at it going forward.

Marukh Adajania: Thank you very much. Thank you.

Moderator: Thank you. Our next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi, team. Congratulations on the quarter and also on hiring Mr. Saha. Just firstly, getting back to the current account thing, our growth for the last 2 quarters was good. Last quarter was even better at 8%. Is all the pickup in growth due to the capital markets business or some structural changes we have made due to which current account growth is picking up?

Pranav Mishra: Hi, Pranav here. Our current account is primarily, if you look at, there is a lot amount of activity around the granularity in the market also. And we have been able to capitalize on in terms of the opportunity which is being thrown out there in the market as far as

acquisition of more of what you call as private labelled companies, proprietary, and things like that. So, our growth primarily, and that is where you will find an AMB growth commensurating with the fact that these are granular current account franchisee getting created.

Paritosh Kashyap : I will just add, in addition to that, our focus on building CMS capabilities and offering more cash management services to our corporate customers, which not only help us get better CA, also effectively helps improve productivity both at Bank end as well as the customer end. So, that is together between consumer Bank and the wholesale Bank helping us improve the CA.

Piran Engineer: But see, this was also true a year back, right? Year, year and a half back. But our growth was still weak then. And we were catering to the SMEs. We had the consumer banking

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product, cross-selling current accounts to them. But this year, we have seen current account deposit growth really accelerate. So, just trying to understand, maybe it just happened by chance, but have there been any specific steps we have taken? That was my question?

Ashok Vaswani: Trust me, it hasn't happened by chance. It has been a lot of effort and a lot of focus of the sales teams. And Pranav has driven a lot of this through the branch network. We have been very focused on getting the affluent customer base. The level of changes that we have driven to our branch network, both in terms of process, focus, building our branches based on persona of catchment areas, making the whole acquisition process far more efficient, all of that, plus all the automation and digitization to help customers with their payment flows has all resulted in this. So, trust me, it has been a trem

endous amount of effort and

focus on this area, which has led to this kind of performance.

Piran Engineer: Got it. That helps. Secondly, just on your Agri-finance book now, I last couple of years, it has been unchanged at INR 25,000 crores. And this is different from the tractor book. So, can you just talk a bit about what loans are there here and why you are not growing them? And I am presuming these are better yielding than the rest of the book?

Manish Kothari : So, this is primarily the Agri-SME value chain, which is what we cover here. So, this is not the KCC book. This is primarily the Agri-SME value chain business, which is what we are.

We have kind of pivoted around, building around the various Agri-clusters across the geography. And that is something which we kind of pivoted as a strategy over the last couple of years in terms of driving it. And that is what is yielding results in terms of numbers that you are seeing. Slowly, the numbers have been inching up on our last 3 quarters, when you see the numbers.

Piran Engineer: So, these are like food processing units or storage units or stuff like that?

Manish Kothari : Agri-traders, Agri-processors, primary processors, secondary processors, all of that falls within this particular segment.

Piran Engineer: Got it. And then just lastly, a couple of clarifications I needed. Devang, when you say the CTC is flat, but even if I adjust for the labor code, the employee OPEX is up 9%. So, what am I missing here? And secondly, what is the mix of LAP in the mortgage book?

Devang Gheewalla: So, I also mentioned that if you see the pension liability, last time I had mentioned we had a benefit because of the interest rate movement, which has effectively reversed out and normalized during the quarter. So, that is the first part. Second, I think some of the share-based incentive, which are like SAR, obviously, the provisions have gone up because of the share price movement, which has impacted those provisions.

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Piran Engineer: Got it. And just on the LAP percentage of the mortgage book?

Devang Gheewalla: LAP and sort of HF, I think it should be around almost equal 55 -65 sort of thing, basically.

Piran Engineer: Got it. That is useful. Thanks and wish you all the best.

Devang Gheewalla: Thank you.

Moderator: Thank you. Our next question comes from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Yes. Hi. Thanks for the opportunity. I think a few questions have already been answered.

Just a follow-up and two questions total. First one on the credit card follow-up. While as you have mentioned that your Solitaire Card seems to be performing well, but I guess last time, you had earlier slowed down the card acquisition through 811 channel for the mass customer segment. Has that funnel been reopened? That is one. And also, in terms of the Solitaire Card, it is a Super Premium card, right. So, is it a ROE accretive product? Related

to credit card also one question. In terms of this proportion of personal loans on credit cards, what could be that proportion in terms of this overall personal loan book of INR 25,000 crores? So, that is question one .

Question two, sir, is on strategy a bit. In terms of, say, the Bank 's leadership bandwidth in the consumer vertical has been further strengthened. In that context, do you have any plans, say, to expand or rejig the consumer Bank 's product portfolio? Are there any products which are probably not key focus areas or maybe growth drivers today or maybe you are not offering currently, but you see becoming incremental growth drivers overtime? And the last question, sir, in terms of this IDBI deal, what would be your comments? Since now government has finally invited bids ?

Ashok Vaswani: Yes. So, let us start with cards, right? So, Solitaire is targeted

towards the affluent. Solitaire

has landed well. The spend on the Solitaire Card is proving to be very accretive for us. While it is still early days to see how it kind of builds up, I believe that Solitaire will be a profitable product in its own right, given the levels of spend that we are getting on Solitaire.

Your other question around 811. At one point in time, we had done a lot of experiments with the 811 kind of customer base, and those experiments did not entirely work out well for us. It is not as if we are not selling card products to the 811 base, but we are doing it in a much more refined kind of way, using advanced risk models and capping exposure just to make sure that we are getting it right. So, that will kind of continue. We will come back on cards and kind of grow the book.

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IDBI, look, we look at every single transaction that comes up in the marketplace, and we essentially have 3 criterias that we look at. The first criteria we look at is, is this particular transaction going to add to us strategically, right? If the transaction adds to us strategically, then of course, we go to the next stage. If it doesn't add strategically, it kind of goes away. Then we look at valuation and say, what is the valuation on this particular transaction and is it value -accretive for the firm? I have said time and time again that for us, scale is scale for relevance and not just scale for size. So, does it really add strategically, and will it be accretive to the group? If it is both strategically and financially good, then of course, we get excited about the transaction. But even then, there is a third lens that we put to it. And the third lens that we put to it is really the lens of saying, what is it going to take to really integrate this kind of acquisition, right. We are on a pretty significant transformation path.

Our transformation path is about getting far more customer -centric. It is about automating and digitizing Kotak to take it to a completely different level. And there is a lot of effort that we are pushing into driving those efficiencies within the system because those will be clearly longer -term, significant benefits for Kotak.

So, even if it meets strategically or if it meets valuation, then we always compare what does it really mean in terms of integration? How much management bandwidth is it going to be? How much of that will be a distraction? What are the kinds of things that you really want to spend your time on? You want to spend your time on developing new technologies, getting into the AI game, making customer satisfaction a big priority, or do you want to spend your time integrating HR systems, dealing with labor unions, and all of that kind of good stuff? And therefore, we look at every single opportunity against these 3 lenses, right? And whichever opportunity comes up, we will continue to look at it against these 3 lenses and then weigh up whether it makes sense for us or does not make sense for us.

Suraj Das: Sure, sir. And sir, those 2 questions on the strategy on the consumer Bank and the PL on?

Ashok Vaswani: Yes, on the consumer Bank , look, our stated strategy is all about identifying focus segments and going aggressively after focus segments to get disproportionate market share, right? We have launched the Solitaire proposition. We have got a great proposition in the private Bank . Core India, we have got a great proposition in 811. Now, these propositions, once we land the proposition, it is not as if we are going to just keep quiet, right? We want to continue to enhance these propositions so that we get a greater deal of customer engagement and a higher level of acquisition. So, that is going to be an ongoing effort as far as we are concerned, right? And we are constantly monitoring what our customers are saying, what do they really

want, and how can we serve these customer

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segments better? And based on the feedback that we are getting, based on the conversations, we will improve the propositions that we have in the marketplace.

Suraj Das: Sure, sir. And any quantum if you can highlight on the PL on cards portion and the overall personal loan book?

Ashok Vaswani: So, we have a pretty much separate product in PL. And therefore, PL on card, frankly, to my mind, is not such a great product because it clogs up the credit limit. And therefore, for us, that is not a very significant proportion of the credit card book.

Suraj Das: Thank you for answering all my questions.

Ashok Vaswani: Thank you.

Moderator: Thank you. Our next questioner is Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi. Good evening, sir. Thanks for the opportunity. Sir, on slippages, right, so the absolute slippages are stable Q-o-Q. You have been mentioning that the Bank has been experiencing improving trajectory on personal loan, credit card, MFI. And those are supposedly high delinquent product. So, if they are improving, then, which is the piece which is rising and hence, the overall slippages are stable. That is if you can provide some clarity there apart from the retail CV, which anyway is a very small proportion, I believe?

Devang Gheewalla: Hi, Jai. So, if you look at the slippages data, you are right that if you compare just the slippage data, say, 1,629, going to 1,605 doesn't make a significant reduction. I think I would urge you to look at the fresh slippages upgraded within the same quarter. So, if you look at the number during this quarter is 257. So, effectively, while INR 1,605 crores is a gross slippage, which we entered during quarter, of which 257 actually also got cured during the quarter. If I look at the similar number in the last quarter, it is 1,629, going to 1,464. So, if I consider the upgraded portion also as a part of the slippage, actually it has come down by about INR 100 crores on a quarter-on-quarter basis. So, that is the first part. Second piece, I think, yes, slippages are combination, but I think in terms of the unsecured businesses, they are indeed coming down. But I think it is the retail commercial vehicles and some of the rural-related advances which is effectively sort of bringing it up during the quarter.

Jai Mundhra: Sure, sir. And lastly, on One Kotak, right, so, as we have been saying that we are a unique positioned financial conglomerate, but if I look at the core fee income, despite industry-leading loan growth and deposit growth, but the core fee income growth has been much weaker or much smaller than the loan growth and even in absolute basis, despite all this conglomerate strategy. So, is there anything which is, when can we expect the core fee Kotak Mahindra Bank

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income going more or less similar in terms of business growth? So, far, was there any obstacle? Thank you.

Jaideep Hansraj: Two things, Jai. One, obviously, the fee income consists of a combination of a whole host of things, starting from foreign exchange income to DCM income to life insurance distribution income to mutual fund distribution income and other such products as well. If you look at the fee income growth on a Q-o-Q basis, you started seeing green shoots with a 6% growth on a quarter-on-quarter basis. As I said that this is something which has been started, we have been talking about for maybe about 2-3 quarters now, and it is not immediate that you would see the results, but 6% quarter-on-quarter number is, I would say, a beginning, and we just like to keep growing on that, hopefully on a quarter-on-quarter basis.

Ashok Vaswani: And I think it is beyond the fee line also, right. Look, there is no question about get

ting

referrals for assets, and it is also not only just from the subs to the Bank, but also Bank to the subs. So, I think we have got to look at it on a little more holistic basis.

Jai Mundhra: Right. Thanks. And I think, sir, if you could repeat what you said in response to that we have strengthened the consumer banking management bandwidth, any products that you would like to sort of rehash or reintroduce or introduce or scale up over the next few quarters here? Thank you.

Ashok Vaswani: Yes. So, what I said was that, look, ultimately, it is not so much about doing a particular product, it is more about the propositions that we have landed for our various customer bases, right, and strengthening the proposition. So, we land the proposition with a certain set of products and services, and then we are constantly monitoring what customers say about that proposition. And based on the feedback, we continuously strengthen the proposition so that it becomes more meaningful and more engaging for our customers. And we will continue to do that. There will be things that will land, which will have resonated with customers, and then there will be other things which may have not resonated or there will be feedback, and we will twist and adjust the propositions to take care of those things.

Jai Mundhra: Sure, sir. That helps a lot. Thank you and all the very best.

Ashok Vaswani: Thank you.

Moderator: Thank you. Our next question is from the line of Chintan from Autonomous. Please go ahead.

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Chintan: Thank you for taking my question. I will restrict myself to one question. Devang, you mentioned that rates are tightening and competitive dynamics might not be as good in the 4th quarter. Do you not think the RBI measures will help there? Or is the tightening for you strong enough that we should be a little wary of how the dynamics play out in the 4th quarter?

Devang Gheewalla: I think they are super high. My comment was also based on the initial liquidity in the system data, which is what we are seeing. Of course, you are right. Some of the measures have been taken by RBI currently. But typically, Chintan, if you see, Q4 is a very quarter where for the corporates as well as for the Bank, where the liquidity does tighten up in that sense. So, it was more based on what we saw for the first 10 days of January. Of course, if RBI takes measures and to ease it out, it will sort of reflect in that. But till date, at least we have seen, at least the term deposits rates, even if you see the term deposit rates quoted by the peer banks across the buckets have actually inched up. So, my comment was based on that experience, actually. Now, of course, with these measures tightening, who knows whether they will sort of further break it down but let us see about that.

Chintan: And just a request for the next quarter, just for a couple of quarters, if you could give us a yield on advances and cost of deposits, just as this repricing completes, I don't want to get into that granularity, but it will help for a few quarters. Thank you.

Devang Gheewalla: Yes, we will consider your request. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Ashok Vaswani for closing comments. Over to you, sir.

Ashok Vaswani: Thank you so much. Thanks, everybody, for joining us. Much appreciate doing this on a Saturday evening. And I look forward to seeing you all again in approximately 90 days.

Thank you so much. Bye -bye.

Moderator: Thank you. On behalf of Kotak Mahindra Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.